

AIA Engineering Ltd. (AIAENG)

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Call: Aug 2022

AIA Engineering Limited

August 12, 2022

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001

Script Code: 532683

Dear Sir/Madam, To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1 , Block - G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

Script Code: AIAENG

Sub: Transcript of the Investors' Conference Call held on August 9, 2022

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call between the Company and Investors on Tuesday, August 9, 2022 to discuss the financial result and performance of the Company for the Quarter ended so" June, 2022.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Company Secretary

Encl.: As above

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"AIA Engineering Limited Q1 FY-23 Post Results
Conference Call"

August 9, 2022

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ANAGEMENT : MR. KUNAL SHAH – EXECUTIVE DIRECTOR
(CORPORATE AFFAIRS), AIA ENGINEERING LIMITED

MR. SANJAY MAJMUDAR –AIA ENGINEERING
LIMITED

AIA Engineering Limited

August 9, 2022

Moderator: Good evening, ladies and gentlemen, thank you for standing by. This is Yashaswi, the moderator for your call today. Welcome to the Post-Results Conference Call of AIA Engineering Limited. We have with us, today, the management team of AIA Engineering Limited.

At this moment, all participants are in a listen-only mode. Later we will conduct a question-and-answer session. At that time if you have a question, please press '*' and '1'.

I would now like to turn the conference over to AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Thank you. A very good evening to everyone. Warm welcome to our conference call. This is Kunal, and I have Sanjay Bhai here also on the call with us. Given its first quarter, we have discussed at length on the plans for this year on the fourth quarter call last month, 1.5 months ago. So, we do not have a lot of updates for this quarter, but nevertheless, as usual, we will run through the numbers, share a brief on where we stand on a macro level and we will open it to Q&A thereafter.

So, we have produced about 68,000 tons in the quarter and sold about 68,000 tons of sales for this quarter, which is up from 60,000 tons in the first quarter last year. But clearly, that quarter is not comparable because of COVID interruption. On a sequential basis, we did about 73,000 tons in the fourth quarter. Compared to that, we did about 68,000 tons this quarter. Our realization has inched up to about 150-plus during this quarter, largely reflecting the inflationary pass-through that has come along.

Over last 2 quarters, we have seen that pass-through that we had spoken of come along. For the quarter, our raw material pricing still reflects the high raw material costs. We have seen some easing over the month of July, but still not material in that sense of things. So, raw material pricing still continues to be volatile and high and so is shipping. Most of the lanes where we operate, shipping costs have yet not softened, but it looks like when we speak to people in the trade that shipping costs should start to normalize in a few quarters' time.

So, given the (Inaudible) 2.38 and hence the realization increased to 150-plus, we have seen our revenue is at Rs. 1,064 crores. Our EBITDA is at Rs. 267 crores, and which is about 25% as a percent of sales. And our profit after tax is at about Rs. 190 crores. These numbers are largely comparable to the fourth quarter of last year. Our other income is at Rs. 15 crores, which is largely export benefits and which is RoDTEP and drawback. We have got non-operating other income of Rs. 20 crores, a large part of that is treasury income of about Rs. 14 crores and foreign exchange gain of about Rs. 6 crores.

Raw material is at 44% to sales in line with the fourth quarter. I think most of the costs are comparable to the fourth quarter. Working capital is, again, similar to the fourth quarter. We had about 120 days. No significant change in raw material inventory, finished goods or AIA Engineering Limited

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receivables. Tonnage breakup that we have shared in our quarterly snapshot, mining is 45,000 tons and non-mining is 22,000 tons. We had a slightly slower sales in cement, but more seasonal than anything structural, just the product mix for this quarter. Our non-mining was 28,000 tons and mining was 44,000 tons. So, the 5,000-ton reduction largely comes from the non-mining seasonal impact for this quarter.

Our cash at the end of the quarter was Rs. 2,065 crores, up from Rs. 1,868 crores end of March. And from a CAPEX standpoint, investment standpoint, we continue on track for Rs. 300 crores this year. Just to recap, we are in the process of commissioning our mill lining plant, which is at 50,000 tons. We are waiting for consent to operate, and we are expecting that in August

of this year, this month. So, latest by this month or next, we should be commissioning that plant, which will take our weighted capacity from 390,000 tons to 440,000 tons.

We have announced some grinding media plant in our last quarter call, which is of 80,000 tons and which will take our capacity to 520,000 tons. The grinding media plant will get commissioned in the second half of FY '24, total CAPEX of approximately Rs. 250 crores.

Over and above that, all other CAPEX put together, over the next 2 years, we will need another Rs. 150 crores for maintenance CAPEX, some investments in wind and renewable energy, maintenance CAPEX, some capacity building for patent shop and other things that we need off. So, we are looking at about Rs. 400 crores total CAPEX between 2 years, of which about Rs. 250 crores Rs. 275 crores should come this year and the balance should come next year. From an overall market standpoint, as mentioned early on, shipping still remains to be a cause of concern in terms of our current cost. But clearly, we are shifting gears to say that we are looking at growth making this part of the cost conversation. When it comes to conversion from forged to chrome, obviously, shipping freight becomes an additional delta that we need to pass

through. And that is just something that we would wish was a little lower. It would have gotten closer to pre-pandemic levels, and we are hoping that, that will happen in the next 2 quarters. Having said that, we remain optimistic of doing 30,000 tons of additional tonnage this year and then continuing that pace of 25,000 tons to 35,000 tons each year thereafter. This is more directional. We explained our constraint in giving exact figures to model just because many variables play into that conversion time line and which is where we will be sharing near-term guidance and overall structural direction for periods going forward after that. I think that, by and large, mining companies remain optimistic about their prospects. Commodities have done well. And our solutions for mill lining and high chrome grinding media, all feed into significant material benefits for our customers, right? They are looking at increased throughput in mines for copper, for example, where that is a very valuable improvement because the quality of ore is worsening rapidly and any inputs which can improve throughputs is very, very welcome from the customer side.

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Likewise, we are able to help with recovery, we are able to help with power costs, material costs, which is cost of raw material, which is cost of grinding media and mill lining, cost of reagents. All put together, we remain very, very excited about what the future holds and we have discussed that strategy then. We will have Sanjay Bhai just share his summary on this, and we will move on to Q&A thereafter.

Sanjay Majmudar: Well, good afternoon, and happy to just very quickly add to what Kunal said. Directionally, we remain absolutely on track as the results have shown. We continue to demonstrate our ability to pass on the cost increase, both in raw material as well as in freight as it will be seen from an increase in the average realization, which has inched up to 150 -plus this quarter. The margins look healthy. Even at the operating level, the EBITDAs are in the range of about 23 %-odd, whereas the reported EBITDA is obviously higher at about close to 25%. The CAPEX plans are on track.

The work for the new grinding media facility, which we have announced with 80,000 tons has already started. The mill liner project is actually technically commissioned, but we are waiting for the last mile approval from the local authorities and then we should be able to flag it off. But all other work on that project is over.

So, we continue to maintain the same guidance that we gave at the time of the FY '22 results call about

the growth. So, in short, everything seems to be quite very much in order. The work on all the new mining opportunities is going on with full blast. And I think we should be able to achieve what we have projected.

I think with this, I will request the moderator to go ahead with the Q&A.

Moderator: Thank you. We will now begin the question-and-answer session. We have our first question from the line of Ashutosh Tiwari from Equirus Capital. Please go ahead.

Ashutosh Tiwari: Congrats on good numbers. Firstly, if I look at the freight outward expenses, they have declined almost 20% quarter-on-quarter. So, is it there are some reduction in the ocean freight cost or it is ?

Kunal Shah: No, that is just the export from India because we have got a fair amount of material in transit also, right? So, that is just a quarterly volume of export, that reduction only reflects that. It gets built into a stock value and increase/decrease ultimately.

Ashutosh Tiwari: Okay. So, there is no reduction in freight costs.

Kunal Shah: No. That is not reflecting in the shipping.

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Ashutosh Tiwari: Okay. And we are seeing lot of this, the power and fuel cost increase happening for industry per se but we are not so much impacted so far. So, anything that can come up in that in future like, say, an increase in power and fuel cost expected?

Kunal Shah: So, we have got some amount of gas that we use for our industrial, but the large majority of our cost is grid linked to power, right? 20% of our power comes from our own captive renewables. So, that is protected from inflation. Of our total energy, I would imagine, gas is less than 15% or 10%. So, that is not a material part. And the balance is I think the state's electricity costs have not significantly gone up. There is some increase, but not comparable to other energy increases that you have seen.

Ashutosh Tiwari: Okay. And what was the realized rate for USD/ INR in this quarter?

Kunal Shah: Realized rate? Just one second. Ashutosh, I will just come back to you. I do not have it.

Ashutosh Tiwari: No issues. Lastly, in terms of demand side, mining side, things remain healthy, there is no change per se.

Kunal Shah: Yes. From a demand standpoint, absolutely okay. I mean the only last bit of our story is taking market share from a large pie, right? We are not linked to growing that pie, right? That is not what we are focused on or really affects our fortunes. So, to that extent, market is there, there are all sorts of headwinds. I think most are getting addressed. Shipping rates is part of our process now, right? But it would be nice for that to have eased out. I think from a demand standpoint, customers remain extremely buoyant. I do not think there is any concern there.

Ashutosh Tiwari: Okay. And just one more question. We are also hearing that the transit times are coming down in terms of your ocean container transit times. Is that correct? If that is correct, in that case, should we also see some reduction in inventory going ahead over the next 3, 4 quarters?

Kunal Shah: I think so inventory will get optimized, but too early to say that, right? I do not think it is linked to the transit time, it is linked to customers' anxiety about interruptions in the supply chain, right? The higher shipping cost also reflects that the supply chain is not back to normal, right? It is still affected in terms of delays at ports for clearances and other things, right?

And making sure we have inventory there just gives them comfort that they will not be affected by any interruption there. Absolutely, there is scope for some reduction there but no point in factoring any of that today when still things are not optimized and not normal yet. The realized rate was Rs. 77.32.

Moderator: Thank you. We have our next question from the line of Sumit Jain from ASK Investment

Managers Private Limited. Please go ahead.

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Sumit Jain: So, when you talk about roughly 30,000 tons of additional volumes this year and next year, this is only the grinding area or this includes some lining material also because.

Kunal Shah: No, it is all put together, total volume growth.

Sumit Jain: Total volume growth, including mill liners?

Kunal Shah: Yes.

Sumit Jain: Okay. And this reduction in freight cost, if you can just explain a bit more because you are saying it is not still freight cost per ton or your freight costs coming down and you still have challenges passing it on?

Kunal Shah: Sorry, can you repeat, Sumit, I did not get your question?

Sumit Jain: So, this reduction Q-o-Q in freight cost, if you can explain a little more because what you sound and what you tell, and correct me if I am wrong, is that you are trying to tell us is that you are still not able to fully pass on the freight cost.

Kunal Shah: No. There are three different things you are touching on. One is the reduction in freight cost, the absolute reported figure between Q4 and Q1. That figure is simply what was exported in those 2 quarters and the shipping cost that we incurred on that export, right? That does not reflect the export sales because when we export, we are billing it to our own subsidiary, and that sits down as inventory over there, right? This line item is net of those adjustments. It is just what we exported and what was the cost incurred for that export. That is not suggestive of lower cost or higher cost.

Sumit Jain: Right. So, there are still challenges in terms of passing on the freight cost to the customer, right?

Kunal Shah: So, that one is clear? That is not a lower cost, it is just reflective of the export volume in those 2 quarters, first point. Second point is that over the last 3 quarters, as you have seen our realization has moved from 120, 130 now to 150- plus, we have been able to pass through raw material increases, we have also been able to pass through the shipping cost, right, where our EBITDA coming back up to 25%.

I am just comparing EBITDA and not the operational margin. I mean the same delta will appear over there as well. We may have done a little more in some quarters. But generally speaking, we have been able to pass through most of our costs. So, that is second part of it, right? The third part is, I do not think there is a large part of cost that we are getting today and we have not been able to pass through. I mean, reasonable part of it has been passed through.

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The third angle is, if a freight cost was \$100 per ton before COVID or a normalized shipping, that cost is \$300 per ton. For new when I am talking of business growth, which I am talking of new conversions from forged to chrome, that additional cost becomes my delta over a local producer, right? If I am replacing a local producer of forged type, he is not incurring this extra shipping cost, right?

So, there is a cost difference between forged and chrome. There is an additional cost that is there on account of us having to ship from India to wherever that customer is right? That is

what we are saying is, it is a cost we would like, that conversions could have faster had that cost been little lower. That is our impression now. So, that is the third part linked to business growth.

Sumit Jain: So, which means that eventually when freight normalizes, your volumes can come back because your product becomes that much more competitive to the local competition.

Kunal Shah: Exactly. That is why we are saying 30,000 tons, 40,000 tons, 25,000 tons, 35,000 tons we will add each year comes from that, right? And that was our original model, right? That was where we are saying we are a better product as compared to forged for a variety of

things that we

discussed, right, throughput, this that.

Question is, freight becomes an additional deterrent today, the additional cost factor for discussion. I would say absolutely, I mean, that cost going down, certainly lubricates the conversation. It allows us to take that one more cost for the returns to work. Absolutely, I mean, we would hope that as and when shipping rates normalize, our growth rates, it would get reflected in our ability to convert better.

Sumit Jain: And our OP per ton of Rs. 36, I think this was splendid margin. When eventually disinflation or softening of inflation prices coming down happens, does that go down or this is kind of maintainable?

Sanjay Majmudar: Look, first, I just want to clarify that internally, as we have been repeatedly telling, we do not compute all the margins pattern for the simple reason that we do not have a standard unit of measurement in the sense that our product range is very wide and diverse. So, at one end of the spectrum, you are buying grinding media and then you have liners and then you have castings and there is a mix of things.

However, having said that, freight is an add-on to the FOB price that we charge to the customer, and that is always charged on an actual basis. So, theoretically, the realization might come down if supposing the freight goes down. See, as you rightly pointed out, there is a little bit of a directional movement in the freight costs. We see they are going a little bit on the southwards.

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Having said that, there are still pockets where we operate where things are not moving as quickly. So, eventually, we will take maybe in the next 3 months or 6 months, you will see the freight costs really going down. At that point in time, our average realization can come down definitely because that is a function of actual costs being added to the FOB rate at which we have formed up a contract.

However, therefore, from a margin standpoint in an absolute terms, we will be agnostic for the simple reason that freight is always charged extra on an actual basis per customer. So, if you look at the percentage margin theoretically, it may inch up a little bit. As the freight costs go down and the margin remaining constant, then margin as a percentage to sales can inch up a little bit but very marginally. So, I think it is not fair and correct to take it on a pattern basis.

Sumit Jain: Right. And lastly, if you can give commentary about the 3 places where we have OP, that is Canada, Brazil and South Africa in terms of volumes?

Kunal Shah: So, South Africa, very little volumes, Canada also very little this quarter. I think Brazil continues. Full year, we will do between 8,000 tons and 10,000 tons.

Moderator: Thank you. We have our next question from the line of Amit Dixit from Edelweiss Broking. Please go ahead.

Amit Dixit: Congratulations for a very good set of numbers. I have a couple of questions. So, the question is if you can give a breakup between exports and domestic sales volume in this quarter? That is the first question.

Kunal Shah: Okay. And what was the second question?

Amit Dixit: Yes. The second one is essentially that, with the mill liner plant also going to get commissioned, so will there be incrementally better margins from mill liners? Or how do you look at it? Or will the margins be similar?

Kunal Shah: All the margins in liners at a product level, the margins are different, at an EBITDA contribution level, most margins normalize, right? In the current product mix, we have grinding media and we have a non-grinding media piece, right? So, while mining liner comes up, we are still looking to ramp up our grinding media sales also.

So, I do not think you should look at grinding media and the mill linings separately from a margin standpoint, right? Even at 260,000 tons, if I add 15,000 tons of mill I

linings, it is not

even a material margin movement even if it was different in that sense. So, I think we will not have additional margin on that account.

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Sanjay Majmudar: So, always lot to talk about blended margins and that is how it is. Theoretically, as Kunal explained, there would be a variation, obviously, but we continue to give broad indications about the blended margins.

Amit Dixit: Okay. So, an offshoot of that question, will these mill liners now that your product portfolio would increase essentially, so would it help you to further enhance the conversion? Because now you are offering basically one more thing in the product.

Sanjay Majmudar: Definitely. See, our strategy is that we target various mines based on different strategies within the broad focused universe of gold, copper and iron, okay? So, as we explained in the past, there are quite a few mines we approach based on the DP-related or the down process-related advantages that we can bring on table. There are quite a few mines we approach on the liner situation. Our whole idea is that whatever approach we take, ultimately, the volumes would want to be doing lot of cross-selling.

And therefore, our idea is to increase the sales of grinding media on the back of liners or vice versa. There are quite a few mines where we talk of grinding media and then also push liners. So, the whole focus is we are perhaps the only company in the world who can give all these multifarious solution capabilities, which we can demonstrate and therefore, the eventual idea is that while the liner market could be just about 300,000-odd tons and we are talking of 40,000 tons, 50,000 tons, near to 50,000-plus tons capacity that we have created, dedicated plus the existing setup, the whole idea is that while we improve or increase the penetration on the liner side, we will definitely push the volumes through grinding media. That is the whole idea.

Kunal Shah: And just to answer volume question, our volume is also similar to our revenue breakup between 26%, 27% is India versus west wing export, yes.

Moderator: Thank you. We have our next question from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: My first question is with respect to the blended realization. Obviously, this quarter realization was one of the highest. How do you see the realization panning out? Has it fully captured in the price increases that we need to take further rupee depreciation, can it be relevant to the realization? Where do you see this realization settling in over the next 12 to 24 months?

Sanjay Majmudar: See in our view, we believe that the current Q1.

Kunal Shah: I think so this reflects more or less most pass-throughs. Some raw material prices, it may not increase significantly. The only difference would be currency and product mix from here on.

Sanjay Majmudar: So, it may come down, as I said, if the freight goes down or if the ferrochrome prices come down. I think we are seeing directionally a little bit of softening everywhere. So, you may treat this as the peak.

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Ravi Swaminathan: And secondly, with respect to the efforts with respect to the grinding media in new geographies in Latin America, any update on that? Especially the key countries like Chile, Peru, bulk of the volumes from copper, et cetera, can be there. So, any large?

Sanjay Majmudar: Nothing to report over last quarter.

Kunal Shah: Yes, exactly. We continue to put our efforts for those markets.

Ravi Swaminathan: Got it, sir. And any target volume for mill lining this year and next year from the new facilities that you can talk about?

Kunal Shah: We will just leave it at overall 30,000 tons volume, allow us to just execute this over this year.

Moderator: Thank you. We have our next question from

on the line of Bhoomika Nair from DAM Capital.

Please go ahead.

Bhoomika Nair: Congratulations for a good set of numbers this quarter. Sir, just to extend on this realization bit. Now I understand that ferrochrome prices have actually fallen by about 20%, 25% on a spot basis and not to mention that other aspects like freight, et cetera, itself are softening. So, would it be fair to say that in a gradual manner, this would be reflected into our realizations as we move ahead?

Kunal Shah: Yes, it is a pass through both ways, Bhoomika. It cannot be one way, right? The customers have given us the pass through when it went up, we will have to be fair and square and pass back some of those movements. Yes.

Bhoomika Nair: Okay. So, when we pass it on, while I do understand that it is not fair to really look at on a per ton EBITDA or a per ton gross margin, given the change of mix and other aspects which come along the way, but how should one look at the margin profile? Would it remain in the 22%, 23% band? Or with the pass-through element of the lower cost structure, the margins will optically look better, though maybe not on your basis in terms of per ton basis may not really go up. Is that the way we should be thinking about?

Sanjay Majmudar: Yes. You are very right, Bhoomika. Sanjay, here. You should not look at it on a per ton basis. I think as I explained in one of the previous questions, the correct way would be to look at it as a percentage. So, operating EBITDAs are around 23%, they might inch up a little bit in terms of percentages as gradually the realizations go down. But as we have always maintained, it is always also a function of product mix.

So, if product mix becomes better in terms of more value-added products getting added, the realizations average level might not fall drastically from the present level. So, I think from a percentage standpoint, I think we should be good and this should be regarded as quite comfortably maintainable and maybe improve a little bit.

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Bhoomika Nair: So, the other thing is in terms of the volume growth. We are looking at 30,000 tons to 50,000 tons on an annual basis incremental volumes over the next few years. As we kind of scale up in terms of our market share, at what point do you think that the forged media guys will get up and say, okay, we are losing like the Mol Corps of the world that we are starting to lose market share and they start getting more aggressive in whatever manner that they can, either in terms of getting aggressive in terms of market. Your views on that, sir, maybe long-term perspective not something.

Sanjay Majmudar: Yes. So, first, let us be very honest, this whole equation is actually far more complicated than it sounds over a call, okay? So, there are multiple factors that we always face when we approach a mine. Most important part, what we believe is that, given the cutting-edge capability of offering this unique solution, this capability is not available with forged media players. So, beyond a point, they cannot compete.

We are not sounding arrogant, but the fact remains that when they cannot directly have an apple-to-apple comparison in terms of solution capability or the product attributes that what we offer vis-a-vis what they are currently offering, there is a limit beyond which they cannot go. Having said that, the fact remains that they are very close to the customer, they are there for ages. So, they have those deep relationships and the mining manager will always be a little hesitant in just jumping.

And that is why we are actually adopting multipronged approach. We believe that, eventually, we should be able to slowly and gradually gain a significant market share. The market will continue to grow. It is not like that Molycorps of the world will just suddenly stop. Yes, there will be very, very stiff competition.

But I think eventually, we should be able to convert and obtain a decent growth in the market share for the very simple reason that we believe we have a much, much better solution to offer than a plain forged media player can offer. And that is what will differentiate us.

Bhoomika Nair: Sure, sure. Point accepted. Sir, the last question is on the cash on books. So, we have, over the years, kind of accreted a lot of cash. And again, on quarter-on-quarter basis, it is kind of gone up to over Rs. 2,000 crores. Now that the uncertainty of COVID, et cetera, is behind and you are back on the growth path and likely free cash flow generation, what is our thought process on this cash on books? Any dividend distribution or any other usage that you have in mind?

Kunal Shah: Yes, nothing specific to report, Bhoomika, but we will not significantly add from here. Of course, there will be some accumulation. But over next 2 years, because of the growth that we are seeing, between the dividend levels we have, fixed assets and working capital, we will consume cash for the next 2 years, right? If there is significant accumulation, obviously, that mindset will change. But for now, I think we are more focused on making sure we do everything to realize the growth that we are looking ahead of us.

Moderator: Thank you. We have our next question from the line of Raja Kumar, an individual investor.

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Raja Kumar: So, I have a couple of questions. The first question is, I just wonder, any opportunities AIA is seeing from the orders that will be let go an European competitor Magotteaux with the high power costs?

Kunal Shah: Sorry, we missed most of what you said.

Raja Kumar: Because of the higher power cost in Europe, some of the competitors are looking at, I mean, that will be an advantage for Indian companies right, so just wanted to know, is AIA seeing any kind of upside from market share standpoint?

Kunal Shah: I think there is not so much facilities in Europe. So, it is not a big opportunity in that sense.

Raja Kumar: Okay. And sir, for the current financial year apart from the volume increase of 30,000 tons that you spoke, so what are the other levers for margin expansion?

Sanjay Majmudar: Okay. So, there are several reasons which can come in our favor. So, you are talking about '22-

'23, correct?

Raja Kumar : That is correct.

Sanjay Majmudar: Yes. So, what I am saying is we have said we have not given any specific guidance about margins. We were only replying to the question that whether there should be a per ton analysis or whether it should be a percentage analysis, so what we have said is that whatever we have done 22%, 23%, as a pure operating margin, that can definitely continue. We also mentioned it could be inching up a little bit from an arithmetic standpoint.

So, just for example, if we add Rs. 10 as a freight to a selling price of Rs. 100 per kilo and then that freight goes down to Rs. 5, and therefore, the actual cost is also lower, and therefore, theoretically, in terms of percentage, the margin remains the same, therefore, as a percentage of sales, it can inch up. That is what I will say. Having said that, as our product mix improves, our liner and all other product sales goes up and we penetrate deeper into bigger mines, copper mines, gold mines, et cetera, we believe the margins have a potential to improve. Having said that, we have not given any specific guidance on margin improvement.

Raja Kumar : And the last question, sir, I just see that the inventory as of Q1 end is about Rs. 100 crores more than what you had in Q4. So, given that the raw material prices have started coming down, so is there any reason you have build up the inventory because we would have generally thought that you would have unwind high-cost inventory?

Sanjay Majmudar: As our raw material inventory build

up is very nominal, what is going up is on the finished goods side. If you see, because we are maintaining lot of inventories across 20 -plus warehouses across the globe, point #1. It is just.

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Kunal Shah: It is a timing issue. I do not think that there is any strategy behind. It is just a timing issue at this point in time.

Raja Kumar: Is it to do with your upcoming mill liner project or it is just.

Kunal Shah: Nothing . It is just a point in time like we told you . Nothing , no specific reason for it to go up in that sense.

Moderator: Thank you. The next question is from the line of Mr. Dhiral Shah from PhillipCapital. Please go ahead.

Dhiral Shah: Sir, you just talked about the total mill liner market size is 3 lakh tons . So, is it only a metallic mill liner or it includes rubber and composite also?

Kunal Shah: That is a metallic market of 300,000 tons .

Dhiral Shah: Okay. Sir, I mean about how much would be composite or how much would be rubber mill liner?

Kunal Shah: We do not have the exact number on it. 300,000 tons is a metal market on which we are focused on.

Dhiral Shah: Okay. Sir, since you are entering into this metallic mill liner for the first time, even one of the domestic player were into similar line of business, it is only disrupting the metallic mill liner market through the innovative product. So, what is your take on that?

Kunal Shah: We are not disrupting the metal market, we are just replacing the metal mill liner with another metal mill liner, but it is just got a design intervention from our side. We are already doing 20,000 tons of mill lining for mining each year already.

Sanjay Majmudar: Predominantly outside India.

Dhiral Shah: Yes, as in, do you feel any threat or going ahead for the metallic mill liner as a whole?

Kunal Shah: Not really. That is a different application where metal is a superior material for the type of grinding that is required.

Moderator: Thank you. We have our next question from the line of Siddhart Purohit from InvesQ Investment Advisors. Please go ahead.

Siddhart Purohit : Sir, one clarification. Like in the overall scheme of things, what will be our contribution in the total cost for the miners? Like basically, I want to understand if, let us say, copper producer

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spends \$100 for producing 1 ton of copper, how much of mill liners or maybe our product is used over there? Is it significant enough or ?

Sanjay Majmudar: Yes. So, Siddharth, see, there is no clear yard stick. There are very different types of operating conditions, but you can generally say that grinding , the consumable , the wear parts that we are focused on will constitute 8% to 10% of the entire mining operations cost. That is an average.

It can vary mine to mine, but this is the average, so that is significant. So, the value add that we say, that if you use our grinding media or liners, A, you can reduce the consumption by 10%, 15%, 20%, which would mean a direct 1% or 2% addition to your EBITDA.

That is point #1. Point #2, we bring a lot of value add apart from the savings that we are talking about. So, we talk about reduction in the power cost, we talk about reduction in the cost of other reagents at the DP stage, and we talk about improvement in the throughputs marginally, but that overall cost of ownership in the hands of the mine goes down significantly. And that is what is unique about us.

Siddhart Purohit : Right. So, sir, the reason I am asking is that, in the last couple of weeks, we have seen sharp fall in commodity prices. So, are there cases where you are able to like convince a customer that if you adopt our product more aggressively or maybe faster adaptation, then probably you can make better money as compared to your competitor?

Sanjay Majmudar: So, first, Siddharth, we try

to be as much agnostic as possible to the commodity cycle. Having said that, in a scenario of falling commodity prices, if theoretically the margins of mines come under pressure, then they would be a little more open to look at us because we are talking about their benefit.

Having said that, under any circumstances, if you talk of a solution, which can bring revolutionary changes in the operating parameters of a mine, they are always open. So, initially, before 7, 8 years, when we were approaching mines just on a cost savings basis in the consumption of the consumable wear parts, that was not making full impact.

Today, I think we have become a much more potent solution provider. We are talking about significant benefits at no extra cost in the sense that the miner is paying me for the product that I am supplying. I am not asking anything extra for the service or the consulting or whatever additional value add I bring on the table. And therefore, I become very compelling. Imagine the case of a copper mine or a gold mine, where we say that we can improve your throughput by, say, even 0.25%, then the cost of consumable wear parts becomes insignificant. You get my point?

Siddhart Purohit : Right.

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Sanjay Majmudar: Yes. So, I think we are talking on a much, much different plane now than just on a cost savings basis, and that is what is making us feel very confident that we should be able to consistently keep on getting more and more market share over a longer time horizon.

Moderator: Thank you. We have our next question from the line of Pritesh Chedda from Lucky Investment Managers. Please go ahead.

Pritesh Chedda : Sir, one clarification. To one of the participant, you responded that realizations, you do not see changing much in the cycle, despite the reduction in ferrochrome price .

Kunal Shah: The question was, can it go higher. What Sanjay Bhai responded was this looks to have plateaued in raw material pricing. If it goes down from here, our realization will mirror that.

Pritesh Chedda: So, the current 20% reduction in ferrochrome price is already reflected in the Rs. 160 realization.

Kunal Shah: We did not say 20%, I do not know where that number has come from. Ferrochrome is very, very volatile. Every day, every week, the price is changing. And I do not think we have seen cycles where things go down and go back up again. So, we will have to see this over the next 2 quarters on the price. The important thing is, in theory, in practice, in the way that our model works, if it is fair and square with the customer, if it reduces on a sustainable basis, our realization will mirror that.

Pritesh Chedda: So, the product mix angle that you guys were referring to, is there any substantial product mix change, which can ?

Kunal Shah: Over quarters, we do have higher the product mix does change and that can impact but, of course, it will not impact margins by 30%, right? But you still have margin differences that accrue on account of that.

Pritesh Chedda: Okay. And the mill lining, is the realization equal to the average that the company has or it is a higher -priced product?

Kunal Shah: It is a higher -priced product, but it will not help you derive the impact of it on margin because we also have many other higher -priced products compared to the average realizations, right?

So, it will be part of the overall mix. As we grow, we will also be selling other parts nearer to the average or lower than the average, right? So, it is a sum total of all those parts that we sell.

Moderator: Thank you. We have our next question from the line of Priyanka Biswas from Nomura. Please go ahead.

Priyanka Biswas : Congratulations, Kunal Bhai and Sanjay Bhai , on the great numbers. So, of course, most of my questions are answered. So, just one question from me. So, we are seeing that freight rates are

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softening. And I remember, you had once told that, at the moment, the supplies to Canada and Brazil, the freight rate was kind of an issue. Now how much does the freight rate, according to your calculations, need to fall from present levels for you to, let us say, resume shipments to Canada? And how much volumes?

Kunal Shah: No, I mean today, freight rates are at least 2x, maybe 3x in many lanes. Again we do shipping from 100 miles to a few thousand miles, right? So, that is not a one answer. But I mean, those shipping lanes where we sell to, it should come back. So, at some places, it is 2x, some places it is 3x and some places it is still even 3.5x or 4x our original rates, right? So, it is more a directional answer versus objective answer, saying, if it falls below 30%, I get 20% more margin. I do not think there is a one-to-one correlation like that kind of.

Priyanka Biswas: But your FY '23 or FY '24 does not include any contribution from Canada, right?

Sanjay Majmudar: At this point in time, no.

Priyanka Biswas: Okay. So, let us say, freight costs were to, hypothetically, let us say, fall by 30%, 40%, then is it possible that we could be starting to sell again to Canada?

Kunal Shah: Difficult to say at this time. I think we will share as things evolve. There is lot of volatility, lot of variables that we are looking at right now. So, just answering one variable independent of others may not be a fair way, which is why the overall guiding 30,000 tons should be possible, right? See, one may come, something else may go, something else may change, right? So, I do not think that would be a fair response to pin.

Moderator: Thank you.

Kunal Shah: I think most questions seem to have been answered. I think we can go for the closeout comments. So, thank you all. As always, Sanjay Bhai and I remain available offline for any other questions that you need answered. And we look forward to connecting after Diwali for our second quarter results. Have a good evening. Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you. Have a great evening.

Call: Nov 2022

AIA Engineering Limited

November 18, 2022

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-I, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on November 14, 2022

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call between the Company and Investors on Monday, November 14, 2022 to discuss the financial result and performance of the Company for the Quarter/Half Year ended so

September, 2022.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Post Results Conference Call"

November 14, 2022

MR. SANJAY MAJMUDAR – AIA ENGINEERING
LIMITED

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Moderator : Good evening , ladies and gentlemen , thank you for standing by. This is Michelle the moderator of your call today. Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment all participants are in listen only mode. Later we will conduct a question-and-answer session . At that time if you have a question please press '*' and '1'.

I would now like to turn the conference over to AIA Engineering management team , please go-ahead sir.

Kunal Shah: Yes, hi thank you for the introduction. Very good evening to everyone. This is Kunal and I also have Sanjay bhai with me here, pardon my voice today. I think Sanjay bhai will do most of the talking. We are very happy to report probably one of our best quarters ever in this quarter with 78,500 tons sales over a production of 80,000 tons. That's up from about 69,000 tons of sales second quarter last year but also up from 68,000 tons sequentially from first quarter of this year. Most of the pass-throughs in terms of cost inflation has now been factored into these numbers with a netted average realization for the quarter coming at about Rs. 167. That's where a lot of this pass-through in terms of shipping costs , raw materials has now been baked in these numbers and that has taken our numbers to 1,300 crores , about 1,311.59 crores and which is up from about 871 crores in the second quarter last year.

I think the rest of the numbers are broadly in line. Our raw material consumption now has reduced from the second quarter last year largely reflecting the pass-through that have come. Our EBITDA is at 344 crores which about 25.9% and profit after tax at 244.81 crores , up from 137.59 in the second quarter last year.

I think just finishing off a few housekeeping numbers . export benefit we get drawback and that reflected in the other operating income for the second quarter largely in line and little higher than first quarter reflecting the higher export . Treasury income is about 29.72 crores and then balance is foreign exchange adjustments . To the net other income in this quarter at 32 crores up from 20 in the first quarter this year and 35 crores , down from 35.72 in the second quarter last year.

I think working capital is largely in line. Our debtor days, our inventory days look a little lower than before. We have tried not to add to inventory , we liquidated it a bit and higher revenue figures from a tonnage standpoint it's reduced a little but because of the value of the goods the number of days has reduced a bit. Our inventory days are down from 84 to 75. I think our guidance would be closer to 78-80 going forward and our receivable days are at about 64 but they will also be normalized around 70-72.

Mining , as most of the growth in this quarter has come from mining . We did about 54,000 tons in this quarter and almost closing at 100,000 tons for the half year compared to 85,000 tons we

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did in first half last year. Non-mining has remained largely flat from 44,000 half year last year to 46,500 half year this year. From half year numbers, we've grown from 129,000 tons to about 146,000 tons for H1 this year.

A few more ; our net cash end of the quarter is about 2,050 crores . There's net of some debt and some extra cash that we have got, gross cash is higher but there's also some debt working capital against that . Net cash in the 2,050 crores and we probably we expect that will stabilize with a lot of working capital deployment over the last 2 years given the inflation that kicked in and just a higher value of our working capital of our stock. I think all of that will also stabilize going forward.

We had three announcements that we had made this year. On

we was a supply arrangement that

we've done with a company in Ahmadabad , based out of Ahmadabad SAL Steel and they are producers of Ferro Chromium. It's like a job work arrangement on a commercial under a supply agreement and all it does is helps us with a diversified locks in supply chain for us. As you all know Ferro Chrome is an important raw material. They have a plant in Gujarat and they are all set up for efficient logistics for ore from the east of India as well as captive power plant allowing for an efficient cost and conversion from ore to ferro chromium format. This allows us comfort of having almost a captive arrangement for production to this extent. At the peak of this arrangement , we expect to get between 3,000 and 4,000 tons a month from them. At which time it will be about 50 %-60% of our requirement between this year and next, maybe

a little more . But again that will be determined by a host of factors but we have had a lot of questions asking us more about it but it is actually a simple, they needed cash infusion in that business to stabilize their operations and they will get visibility on sales of their product while we get almost a captive producer and this being a critical strategic raw material we just felt more comfortable having a partner who's doing it for us. We've extended 125 crores secured loan to them and at a 10.5% yield, so to that extent we are well protected not just on the coupon on that but also on the security against those assets and which will be more than adequately compensated in terms of the supply arrangement that we're looking at. In addition to that we are very excited about the mill lining plant that we commissioned after the close of the quarter. It's a fully automated plant or significantly automated plant for the casting. As far as castings which is other than grinding media production, I think one of its the best type of plant in the world for these type of castings which are large custom made. These are not repetitive parts. These are custom -made to our application with designs that we curate for the customer and we are very hopeful that we'll be fully utilizing this plant over the next 3 to 4 years. We welcome all of you to come visit Ahmedabad and have a look at the plant whenever you are visiting this side. Also , we disclosed about Canadian Border Service, we are doing the assessment of the duties that they have assessed last year in end of 2020. This assessment gets triggered when costs change materially. It is on their prerogative and because raw material cost and other costs have

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changed significantly from the time that this was last assessed , this is an administrative procedure to revisit and assess that structure. So , we'll be fully cooperating , with that we will not be able to share more information except that the materiality of this market today is that we've done about 3, 000 tons first half of this year. Maybe we'll do 5,000- 6,000 tons a full year. To that extent we are in the market. It's a sub judice matter again, it's business as usual for us. Duties may change, may get maybe in a little different format but our business model is far above and beyond that. We will not be able to take more questions on what it means beyond that it's a regular assessment . There may be more such as cost change and that's something that as a business as a company will be well organized to support and gear up for. From a CAPEX standpoint , total this year and next we'll do 480 to 500 crores . Half of that comes from a grinding media plant , about 250 crores . There's about 20 crores spend on the liner plant which happened this year . There's another 50 crores that we plan to spend on the line of plan for supporting infrastructure in the pattern storage etc. We are investing about 60 crores for captive power and about

about 70 to 100 crores on balancing other infrastructure support in the next 2 years. Broadly we've got a CAPEX plan of 480 to 500 crores this year and next . We've done about 112 crores till September this year and the plan is to do another 160-170 crores for the rest of the year or some may spill over to the next year. Broadly in next 1.5 or six to seven quarters going forward and two quarters past , over that 2 -year period starting April '23 between March and June '24 we will go about 500 crores of overall CAPEX. With that said I will have Sanjay Bhai just give you a brief about the markets and what we are seeing going forward. It looks like ferrochrome ; scrap are at a peak pricing. Ferro chrome seen some downward adjustment over the last quarter but it's anybody's guess which way it will go scrap still continues near the peak it reached some time back. Shipping costs are volatile particularly trending downward . I think that's a good sign for us that finally these costs look to be stabilized or don't seem to go higher from here . But it's too early to say that it's going one way or the other. We are on a watch and stay and play mode and be ready to drop and adapt as costs in the situation changes. Most of the COVID restrictions around travel have gone. Our people are traveling all over the place, trying to go to gear back up for the whole strategy that we are trying to lay out. Between mining liners and grinding media we hope to add 30, 000 tons at least going forward. We may not be able to guide on exact numbers on how far and wide that number looks like as you're aware.

One last point before I handover to Sanjay bhai is that as costs will ease down there will be a pass back on those costs. I mean long-term margin guidance ; we may not again unfortunately be able to offer beyond 20% -22% operating margins. Please do bear with us on that. There will be quarters where we do better and we aspire to do better but there are too many variables as you all know that we work with. It's difficult for us to exactly pinpoint where those margins will ultimately reside.

I'll just hand over to Sanjay bhai and then we'll go on to Q&A.

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Sanjay Majumdar: Thanks Kunal and good evening to all of you. So, as we can all see it was a fairly satisfactory quarter, both in terms of the volume growth as well as the overall margins. But as Kunal has cautioned going forward, we believe that the peak level pricing has already reached, so probably there could be a little bit of softening as the raw material prices rate has already gone down, started going down. We believe that going forward we should be able to, we might see of decline in terms of average realization though it is a bit difficult for us right now to predict exactly how much it will be. I think the average price realization in the first 6 months is around Rs. 162 a kilo in terms of sales which could be regarded to be I think peak and it may go down a little bit. But as we have always maintained it is our endeavor to ensure that the margins are protected and our absolute margins will be protected. Possibility that while there could be a little bit of a downward trend on the realization margins will be maintained, so we'll see margins in percentage terms also should be maintained. But the current level of operating profit margins are at around 23% -24% and we are quite happy about it. Overall, the volume growth has started to kick in as is evident from the first 6 months numbers. We believe that we should be on track. We are on track, we feel that about 30,000 to 35,000 tons comfortably per year. Overall traction is appearing to be good although geopolitical issues are there. But so far, I think we have circumvented them and we should be able to go ahead. As Kunal explained, this Canadian authority's reinvestigation is more

procedural rather than anything further to be read into it. We will keep all of you posted as we cross the bridges. So broadly we are quite on track. We are very comfortable. I think with this let's have the Q & A moderator. Thank you so much.

Moderator: Thank you very much sir. We will begin the question-and-answer session now. We have the first question from the line of Ashutosh Tiwari from Equirus Capital.

Ashutosh Tiwari: Firstly, on the volume side we almost had done almost 1 lakh tons in the first half in mining. Is the growth driven by new mine additions or ramp up at the older mines only? How should one look at it?

Kunal Shah: This is new mines. The growth is coming from new mines.

Ashutosh Tiwari: Any particular minerals are doing very well for any other let's say gold or copper or something which is doing very well for us in the first half?

Kunal Shah: 15,000 in this growth is not that large to really draw patterns from. But clearly gold and copper remain metal of interest.

Ashutosh Tiwari: Gold?

Kunal Shah: Copper and gold both.

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Ashutosh Tiwari: Finally, now that probably you have done 146,000 tons in the first half. We probably are on track of delivering 30,000 tons incrementing this year right?

Kunal Shah: Yes.

Ashutosh Tiwari: You obviously mentioned, so like realizations have gone up because of this whole commodity pass on and plus shipping costs as well. But is there a benefit in this quarter that probably costs have started coming down and probably the pass-through happens with a lag so that's why we probably had a high margin in the current quarter.

Kunal Shah: Absolutely you are right. So, ferrochrome because a lot of these are formulae driven and which is where I was saying that as costs reduced there will be a downward adjustment which you'll see in the next quarter.

Ashutosh Tiwari: On the liner side, we expect major volume to kick in from next year only because just the plant is commissioned. So, it will probably take some time to go to customers and showcase them and all those things will happen.

Kunal Shah: No, we have orders but execution, see what happens in mill liner once we get the order there's a design phase, there's pattern making, approvals. With that lag you will see volume coming in next year. I think from an order standpoint we are actually seeing growth. We've seen growth. And we take orders in anticipation because the plant is commissioned. Invoicing may happen next year onwards. So, I think we are track to have at least 10,000 tons per year starting this year. Invoicing may be a little lower.

Ashutosh Tiwari: You said 10,000 tons incremental volume on line aside this year.

Kunal Shah: Yes.

Ashutosh Tiwari: Then probably like I said...

Kunal Shah: Invoicing will be lower.

Ashutosh Tiwari: Probably you want to utilize the plant, so that load should be extra

Kunal Shah: 3-4 years its fully utilized. I don't think that looks too much of a challenge as of now.

Ashutosh Tiwari: Okay. This is also makes of domestic as well as export customers.

Kunal Shah: Largely export.

Ashutosh Tiwari: Lastly on the USD-INR realization side how much we did for the quarter?

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Kunal Shah: Realization, just one second. 81.3.

Moderator: We have the next question from the line of Dhavan Shah from AI fAccurate Advisors.

Dhavan Shah: Just a couple of clarification from the last question. You said the mill lining volume will be 10,000 metric tons this year.

Sanjay Majmudar: No, orders will be 10,000 invoicing maybe...

Kunal Shah: We are just trying to give him answer directionally that he asked the question that because the mill got started now, you will go out and take orders. I said we've already started to get order

s

of more than 10,000 tons, invoicing may not happen this year. Some of it will spill into the next year.

Sanjay Majmudar: So, Dhavan just to elaborate. We are already selling mill liner. Now we have shifted to this dedicated plant and volume should go up. It will be definitely higher than annual what we did last year. The exact number may be difficult but definitely higher than what we did last year.

Dhavan Shah: I think on average annually we are already selling 10,000 to 12,000 metric tons right?

Sanjay Majmudar: Exactly. More.

Kunal Shah: No, we are selling 18,000-20,000 tons mill liners last year, about 18,000 tons last year. And these are mining mill liners. That is over and above cement mill liners.

Dhavan Shah: So, when you say cement mill liner this is (+ 18,000) you would be selling whatever will be the cement mill liner, correct?

Kunal Shah: Correct.

Dhavan Shah: So that would be another 5000? That would be how much? That cement mill liner would be how much?

Kunal Shah: I don't think we are no, the idea of sharing this liner tonnage is only to give a perspective that we have set up a plant and just for comfort that product will be fully utilized as a practice not sharing segmental product wise data. It does not add to the overall understanding for the business. It just becomes a....

Dhavan Shah: I got it. Basically, I think now the total capacity is 50,000 metric tons, total?

Kunal Shah: For mill liners, yes.

Dhavan Shah: So basically, then we are already doing more than 18,000.

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Kunal Shah: No, total capacity will be about 67. We've got existing casting plants there also we can make some quantities. This is a new

Sanjay Majmudar: So, Dhavan let me summarize this. We have a dedicated plant for mining mill liners for about 50,000 tons which has been commissioned. As we explained last year, we still did about 18,000 tons from our existing plant. Now that volume will obviously be shifted to this dedicated plant, point number one. Partly so we have the flexibility of using the dedicated plant.

Kunal Shah: Mill liner is strictly dedicated plus another 15-20 will come from the shared plants. But what I'm saying is again don't get bogged down by that. This capacity will fully utilize in 3 to 4 years.

Dhavan Shah: And secondly that realization like normally we had guided for at least we will be at the level of 150. Basically, this quarter is obviously exceptionally high. At least we will maintain that 150 - realization run rate or it will come down below.

Kunal Shah: That is a function of our cost. I mean cost, shipping, currency, so the average selling price is a function of a lot of other input variables and it will move in line with that.

Dhavan Shah: But basically, since till last quarter we were saying that we were not able to pass on exactly the whole thing, right? Obviously, we would have passed on in this quarter. I'm just saying that is there going to be a lag effect?

Sanjay Majmudar: Dhavan I'm sorry I'm interrupting you. There is a little bit of a misconception here. So first let us understand our model. Our model is that we are 100% in a position to pass on the cost increase in the input cost even when they happen with a lag of about one quarter in most of the cases. Many times, it may go up to two quarters. Now your statement that we are not able to pass on is not a correct statement. We have said we are able to pass on even the freight costs on a full basis, shipping costs on a full basis and raw material mainly ferrochrome and scrap. Now what we are talking therefore that current realization of Rs. 160 average for first half looks to be the peak because (a) the shipping cost started coming down (b) the raw material costs do not look like going up from this level but only going down a bit, so

with a lag the price reduction will also happen the way it happens, increase happens with the lag reduction happens with the lag. It's a transition process which is continuous. Now our price realization is a function of therefore the costs which are going in the input, the freight plus the product mix. So, what is more important for you is that what is my margin, my margin has to remain comfortable and fixed and therefore we believe that we will be able to maintain a decent margin of 22% to 24% without any problem. On operating profit level, I am talking about particular range and that should happen. I think a better way is to track it as a percentage more rather than a realization. Realization is just to explain that we are giving benefit of pass through. That's all.

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Moderator: Now we have the next question from the line of Bhumika Nair from DAM Capital.

Bhumika Nair: Sir, sorry to just harp upon this realization bit. Very accurately you said that we are clearly seeing the benefit in terms of the better pass through, which is reflected in our realization. While now of late we have started seeing the correction in commodities and trade costs, etc., would it be possible to see obviously in the second half there will be a decline in realizations because of this same aspect. But a few things stand today on spot basis what would be the gap in terms of the pass through versus what today is in terms of spot of ferrochrome or in terms of scrap or logistics cost, etc.

Kunal Shah: Bhumika, which is where we've already shared our long-term margin of 20% -22%. And things ultimately even out at that level, right? It doesn't serve any purpose to tell you this quarter I've got 15 crores extra or in our next quarter it could, correct? I mean the math we can do but it does not help us because in any case our pricing is going to be a function of my cost and we aspire, and we work to make sure we keep a margin like Sanjay explained at 20% -22% margin. It does us no good to know whether next quarter will be 155 or 140. Yes, my absolute margin can change with that but it's fait accompli. I'm not going to change anything in a business to know that business because that requires us to estimate what it will be. And the way volatility has worked out we have realized it's an endless loop of trying to estimate. So, you will still have to consider that we'll be at a 20 %-22% long term margin and we maybe a few quarters above that, a few quarters much above that and few below that. But it'll all normalize at that level is unfortunately all I can share.

Bhumika Nair: Sure. The other thing is in terms of volume. We've seen a pickup in terms of the volume trajectory in the current quarter. If you can talk about the next one or two years how we are seeing the volume scale up, where are we in terms of trial run, new customer acquisitions, how is it kind of moving, which gives us visibility for and confidence on the volume growth trajectory as we move ahead.

Sanjay Majmudar: First and foremost, Bhumika, as you have seen there is a definite increase in the level of volume growth is visible now and, therefore, it validates our statement that annually around 30,000 tons incremental volume growth is something that we are working on, and it appears that things are falling in place. We are very -very consciously optimistic because that is the way we always are. We want to be as close to reality. The good part is that now forget about these geopolitical issues but overall, it seems that we are on track for that incremental 30,000-35,000 odd tons minimum volume growth that we are expecting year over year. That is point number one. We have three major focus areas. One is the pure chrome or cost advantage that we can offer because of the ferrochrome vis-à-vis forged. That part is clear that m

any endeavors

towards conversion of minds is happening on that. Plus, we are working very hard on the DP front. We have been always cautious about this that in our business it always takes more time for us to convert the customer because the mind is more concerned with the cost controls rather than the benefit alone that can come on table hence therefore it is taking time. Having said that

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we are very strongly working on DP and equally strongly working on the mill liner advantage that we are offering both for the purpose of improvement of throughput, improvement of yields and reduction of cost. We believe that with this three-pronged approach we should now see a fairly consistent trajectory. The growth can at times in one quarter it may appear to be a little low, in another quarter it may appear to be a little high. Our humble request is please track us year to year on a long-term basis medium to two to five years. And I think we are very comfortable. There's absolutely no change in any of the business propositions. All opportunities remain the same. Now we are able to demonstrate something on the balance sheet and that is what we are happy about. So let us see. We'll wait and watch.

Bhumika Nair: Sure. Definitely feasible. The basic thing is can it go ahead of that 30,000 incremental volume.

Sanjay Majmudar : It can but we are not giving you any guidance on that. As and when we have more clarity numbers will speak and we will also speak. It definitely can but when we don't know , let us see.

Moderator: We have the next question from the line of Amarnath from Ministry of Finance of Oman.

Amarnath: Hi sir. Congrats on a very good set of numbers ahead of what we have expected from you. Of course, the market condition has helped you as you explained. I have two questions on this.

First of all, you said that you aspire to grow 30,000 a little bit here and there, on a year-to-year basis. So, for the next two to three years if we assume that this is going to be the case, do you have the adequate capacity to execute that kind of growth for next two-three- four years?

Sanjay Majmudar : Absolutely. So that is your first question. Should I answer that, or we will take question by question. Okay let me answer that. So, first as you would have seen my rated capacity today installed capacity today is 440 ,000 tons. I'm operating roughly at about 70% -72% average capacity utilization as we speak. We are also adding another 80 ,000 tons of brownfield expansion for grinding media which is our core volume -based product at the same location that is at GIDC Kerala which is close to Ahmedabad . And that will take me to about 520 ,000 tons. So, today assuming that today I reached somewhere around this year about 290 or thereabouts and if I keep on adding 30,000 -35,000 tons year over year for next two to three years, I'm good to go for the next two to three years without any problem. Secondly historically we have been very conscious about the fact that our capacity addition does take time because we have to first get the site clearances from an environmental standpoint and then we can do the CAPEX, etc . So, we also keep on adding the infrastructure like the required land , etc. We have to buy well in advance, apply for all the permissions well in advance from an environmental or site clearance perspective which is now very standardized for us because we have been doing this kind of brownfield expansions and greenfield within the same area quite regularly. We are very conscious about the fact that we can't go beyond 80% -85% of the rated capacity and we have to keep on adding capacity at regular intervals.

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Amarnath: In that case your current cash accrual speed will be adequate enough to fund all those future CAPEX requirements you are thi

nking about , right?

Sanjay Majmudar : Absolutely. So , I have about (+) 2000 crores liquid or cash investments available. I have decent cash accrual position so we should be able to take care of that.

Amarnath: Can you guide me what is your current ROCE ?

Sanjay Majmudar : Our current ROCE without considering our investments is higher but on a balance sheet basis about 22%. Now if I exclude investments which or the surplus which is passed in these financial securities then because that is typically lower ROCE business then I would be around 27%-28%.

Amarnath: Now if I connect the dots, here we are talking about a volume growth of 10% to 12%. I don't know about I have a control over my margin which we're talking about , 20% to 22% with an operational ROCE is between 25% to 28% and most of our CAPEX is going to be plowing back to the business , so every incremental money I am putting into my CAPEX is going to give me a ROCE above 25% and based on the cash basis almost no debt. That is the way we are looking into the future capital generations from your company for the next two or three years.

Am I right?

Sanjay Majmudar : You are right absolutely.

Amarnath: This is a very healthy situation in the current situation in the current scenario, I must say. Now I just have one more question relating to this cash. As you also know that this investment which is sitting in your book and your future prediction of the cash, and you are in a position to fund most of your CAPEX using your internal equals and you yourself also know that extra cash investment is lowering down your overall ROCE . Do you have a plan to deal with this extra cash to return to the shareholders in a different way or how do you deal with that? Because overall ROCE is getting rust if that cash accumulation trend increases .

Sanjay Majmudar : A very pertinent question and a question which we have been very regularly facing. One , as a company we remain a bit conservative, and we still continue with our same old dividend distribution policy of about 20%. We know that we do have surplus cash generation , free cash also coming in. However, there are two situations which we are envisaging. One , see as we have been repeatedly telling the headroom growth opportunity is significant. We are working on several mine conversion projects in various geographies all over the world. While we are very conservative and we are very realistic, I may use this word, in giving a growth trajectory overall indication of 30,000 -35,000 tons annually , there is a possibility , as one of the previous participants did put a question, of a more aggressive growth . In our situation therefore, there is a possibility of some significantly heavy involvement in working capital because bulk of our sales happens through warehouses which are located all over the world where we maintain a

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significant inventory. It's tending to a little bit more working capital accretive if the growth trajectory but becomes steep and we start growing at a faster pace. Now the problem is we have not reached our optimum level of sales in mining which we believe could be anywhere between 300,000 to 400,000 tons. We're still talking about 200,000 tons odd of sales in mining. So, we are still talking of at least a couple of years where we believe that we may consider having reached a decent level of plateau and penetration the way we want. So as a management we want to continue to remain a bit conservative in cash distribution at least for the next one or two years in the maximum situation. Having said that in every board meeting we are consciously discussing this. We are very alert about this and as soon as we get the right opportunity, we will be taking a conscious view of making our distributions a bit more aggressive. But this is the conservative stance we want to

maintain at least for some more time.

Amarnath: This is music to our ears sir to hear this explanation. As a shareholder we don't want the cash back in any form especially when a business while the plowing back can give me 25% return on capital employed. The things you just now said is giving us a hint that there is an opportunity to increase the growth trajectory and utilization of the extra cash within the business which gives me more return than getting the cash back. We don't invest in a company to get the cash back. We invest in a company where the company really takes this cash and utilize and give us more ROCE.

Sanjay Majmudar : Thank you, sir.

Amarnath: If I can give one more option, sir. Now the cement part of your business, as we all know last few years cement industry has undergone very difficult times, as well as it is a cyclical business as well. But what we are hearing from different cement companies concall that the business outlook is going to be very good in the next one or two years. Demand is increasing, pricing power is little bit coming back. So, from that side of the business, this grinding media business for cement how is your outlook please? That business, if you can focus, please?

Sanjay Majmudar : Simply put, my growth in cement will be co terminous with the industry growth which still with all said and done is only in a decent higher of single digit type of a growth, for the very simple reason, a) the cement industry worldwide is already converted to a very large extent to the product that I'm supplying that is high chrome. Second, if you talk of India the overall consumption of these wear parts in cement is significantly lower. We have been talking about the overall replacement market worldwide, an opportunity of about 3,00,000- 3,25,000 tons. Most of it is already converted so therefore when I have an overall 35% market share in this industry ex of China whatever the industry grows in India or anywhere else in the world; we operate in more than 125 countries and we service all the cement mill key plants all over the world. But the consumption ratios are very low and it is already converted. Therefore, the growth will be only tepid if I may use that expression as par with the existing growth.

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Kunal Shah: We will grow with the market but its anyways not material in the scheme of things now. Our non-mining business will be about 80,000 tons, 75,000 to 80,000 tons. Even if we grow 10% that's 8,000 tons. In the scheme of things if we are growing to will be 3,00,000 tons this year that's still not material. So, all our growth is coming from or all our efforts towards growth comes from the mining market. Cement is fait accompli if it grows, will automatically grow with it.

Amarnath: Are you getting something in China Plus advantage somewhere you are seeing it because you are operating across the globe? Are you getting cement there?

Kunal Shah: Thankfully both our industries we operate in which is cement and mining our local industries. Our customers never migrated to China. They were anyways located all over the world.

Chrome nevertheless came from ex-China suppliers and migrate to and a few others. To that extent we are agnostic to all that happened in China.

Amarnath: Thank you very much, excellent sir. It's a very healthy reply you have given us a fantastic comfort.

Moderator : We have the next question from the line of Ujain Shah from Congruence Advisors.

Ujain Shah: One of my queries would be, can you just I think I have missed out the point. Can you just repeat that the secured line 125 crores of that SAL thing which we have been discussing at? It is a 3,000 tons in the incremental right from the SAL which we have been doing, backward integration?

Sanjay Majmudar: I'll just quickly explain. One, this company is manu

facturing ferrochrome in Gujarat. They have a plant where their peak capacity can go up to 4,000 tons. What we have done we have entered into a contract with them whereby the entire capacity they are reserving for us with a minimum period of 3 years and therefore for us it's a raw material security. It's a raw material security and it's a very comfortable kind of an arrangement that we have entered into and since they have dedicated their entire plant, we have paid them a secured security deposit with interest bearing of 125 crores at 10% where we have taken the first charge on their entire block of fixed assets of ferrochrome and the power plant.

Ujain Shah: Just add to this question. If we wanted to set this ferrochrome plant so what would be the total cost? If let's suppose we have to set up a 4,000 tons of plant currently. Could we say that the cost would be around 200-250 crores of?

Sanjay Majmudar: Minimum. More actually.

Ujain Shah: That is a very win-win situation for us because we are giving just 125 crores at a yield of 10% and we are getting secured raw material. That's a good situation from our side?

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Sanjay Majmudar: Right.

Moderator: We have the next question from the line of Gopal Nawandhar from SBI Life.

Gopal Nawandhar: Two questions. One, on the post opening up the travel restrictions were still there and the client conversions were delayed and all. If you can just highlight how are the things on the new client conversion, travels and all?

Sanjay Majmudar: Things are very much back to normal. Frankly we have all forgotten about COVID. So, traveling there is no restriction, our people are able to travel to most of the mining locations without any problem and that is the reason why over last 6 months we have been sounding a little more confident about going back to the growth we had incremental volume trajectory.

Gopal Nawandhar: One of the other elements was like on the competitive landscape because of this higher shipping cost and all we might have lost some volume to the competition with this current reduction in the shipping cost and all. Are you winning back on the competition, on the pricing and all?

Sanjay Majmudar: Frankly I don't think we have lost anything significant to any competition. This is the first statement I want to make. Secondly the endeavor is always to gain market share and to convert mines from but current focus of competition is more on the forged players and we are focusing on converting people from forged media to grinding media in our alignment. There our whole equation and our whole business strategy is very different as explained earlier that we are talking of significant cost savings and we are also talking of reducing the cost of ownership and making the mining operations more efficient. That way I think we have a superior solution and of course, we have one major competitor worldwide that is Magotteaux but that situation very much remains.

Gopal Nawandhar: But in terms of pricing now will we have better competitive pricing with the reduction in the logistics cost and INR, right?

Kunal Shah: The margin standpoint which is why I am giving you a guidance of 20%-22%. It will be higher, lower depending on the pass through, it takes two to three quarters to pass through but that will even out over the period.

Gopal Nawandhar: With this current volume run rate of like 78,000 out of which almost 54,000 on mining should be a sustainable run rate?

Kunal Shah: Yes, very much.

Moderator: We have the next question that is a follow up question from the line of Dhavan Shah from AlfAccurate Advisors.

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Dhavan Shah: Since this arrangement is there for ferrochrome will be having some benefit because of this on the gross margin also like let's say

getting some discount from the market pricing and all those things?

Kunal Shah: I think this is the agreement, the purpose of the agreement is supply chain and that's we will have to look at it from that standpoint.

Dhavan Shah: The annual capacity with this plant is 48,000 metric tons, correct?

Kunal Shah: We can keep sharing more information not material to the scheme of things. I think all we are trying to say is that we would like to protect the supply chain by offering a secure loan. 3,000-4,000-2,000 there are lot of variables linked to that and as a practice now we are not sharing more information around it.

Dhavan Shah: Secondly in terms of the other income like the current run rate of other income what would be the FOREX part into the other income in this quarter?

Kunal Shah: It is about 3 crores this year, gain of 3 crores.

Dhavan Shah: 3 crores in this quarter, right?

Kunal Shah: Second quarter, yes.

Participant: 3 crores in this quarter.

Sanjay Majmudar: Basically, if we exclude 3 crores rest all is kind of a sustainable other income.

Kunal Shah: There is a treasury income of about 28 crores in the second quarter.

Dhavan Shah: And the tax rate would be around 20% to 22% -23%, 20.5%?

Sanjay Majmudar: The effective tax is about 20% to 22%, effective tax, overall tax rate.

Moderator : We have the next question from the line of Raja Kumar B, an individual investor.

Raja Kumar B: I have three questions. So, should I ask all at one go or should I ask one by one?

Sanjay Majmudar: Whatever makes you comfortable. We have no issue.

Raja Kumar B: The first question is on the margin. Sorry to labor on that point. What I understand from the call is you are maxed out on the selling price. But how about the absolute EBITDA reported will be more or less protected and go forward the margin expansion will come more in terms of the volume and the mixed increase. Is that a fair understanding?

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Sanjay Majmudar: Yes of course. I am making it clear disclaimer that as a matter of policy we are not giving any guidance about the margins but your understanding is broadly correct.

Raja Kumar B: The second question is that you have a subsidiary called Welcast Steel. I was just looking at the numbers for this quarter. It has come down significantly compared to the previous quarter.

Just wanted to know are we not fully utilizing the capacity in this subsidiary and what is the kind of a plan for the quarters to come?

Sanjay Majmudar: In the overall scheme of things Welcast is sort of our contract manufacturing support subsidiary. It has a facility in Bangalore, as you know we are putting up significant capacities here so it's more to be looked at not in isolation but in the overall scheme of things and therefore Welcast therefore from that point of view has a very limited role to play. But it's important because it's a facility in the South for grinding media.

Raja Kumar B: But do you plan to utilize them kind of fully in the quarters to come or it will be more in the current?

Sanjay Majmudar: Again, it will depend on which type of product, where markets etc., on a totality basis.

Kunal Shah: Look at us as a consolidated, we will not be able to share plant wise information that way.

Raja Kumar B: Lastly one housekeeping question. So, I saw 460 crores borrowing on the balance sheet side.

Just wanted to know what is that given that you have a high cash balances?

Kunal Shah: It's a treasury investment, not borrowing.

Sanjay Majmudar: No, I'll explain. The borrowing is in the nature of export credit, which we are getting at a very competitive rate. Therefore, as an export finance we are utilizing it because it is to our advantage.

Moderator : We have the next question that is a follow-up question from the line of Amarnath from Ministry of Finance of

Oman.

Amarnath: Actually, I missed one question last time. You said that you are going for an investment for this power plant and for your I think renewable energy. Can you elaborate a little on that, that by doing that are you going to save some of your electricity and energy costs? And second related question is how is your outlook as a company towards the ESG side regarding decarbonization related target and how much investments or something you are planning for that because the industry you are operating at, at an international level the foreign investors including us; we all look at that ESG compliant part very seriously nowadays. If you can give little more outlook on that side, please?

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Kunal Shah: Absolutely very conscious on the ESG footprint that a company has. It's a regular feature and conversation at the board level and which is where we started our journey for renewable power. So, end of '22, about 20% March '22 about 20% -22% of our power 23% of our power came from renewable sources. The idea is to take it up to 30 %-35%. That's how the policy allows today. It was our choice. We would have done all possible. There's a limitation on how much captive renewable offsite one can set up. We will do all that is possible within the current regulation to migrate on the renewable side. In addition to that we have moved to cleaner fuel sources like PNG for our heat treatments which we moved away from electricity; coal fired electricity. That's as far as fuel is concerned but outside of that we are busy and large not just compliant but looking to do, we're doing green plantations etc. but a large part, a multi-order value is what we bring on the customer side. We are helping customer reduce their

power cost and overall reduce the amount of power that goes into their overall system. Some of these things, in as far as gold and copper is concerned where our Chrome grinding media potentially reduce the consumption of reagents which has a toxic residue or improve the recovery of gold and copper. These are the footprint that we have as far as ES G is concerned is significantly higher at the customer end but also mindfully doing all possible, as far as our doing things at our operational level is concerned.

Amarnath: During that process are you going to have some financial saving due to coming out of your traditional power input to 30% -35% of the renewable power? Net-net will there be any financial saving due to that.

Kunal Shah: Yes, captive power is always cheaper but instead of using or setting up our own coal fired captive we have chosen renewable which could be higher cost but ultimately obviously there's a cost saving link to it because you're getting an offset from the grid power which is more expensive than a captive source.

Amarnath: Just to if I may allow because it is all leading to one final question to. Now if I link all the things you said that we can increase our capacity, we can increase my capacity utilization, we increase our volume, we are using the renewable power and as the capacity utilization increases the economies of scale must be picked onto it. Then if I put all the things together then I supposed to get a higher EBITDA margin as all those things progressing upon. Then why we always keep that EBITDA margin range between 20% to 22%? Because okay at a small volume it is okay. But as you are increasing everything and economies of scale kick start, it should reflect in a higher EBITDA margin. Does it so?

Sanjay Majmudar: Actually, if you look at our history we have grown from a very small company, we were a joint venture earlier. Our whole mindset is to always remain conservative and be mindful of what we are talking. Now you see we are, the whole game today is market share gaining. So, which is my biggest range of I mean the biggest targeted range

of customer. They are all mines.

These mines are extremely decentralized if I may use this word from a power or a budgeting standpoint, mine manager is the boss, he works with a very close budget. In spite of all the
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benefits we have to take a lot of time and efforts to convert that mine and start getting orders. Therefore, we also many a times have to become very competitive in order to ensure that the mine manager remains comfortable. So, sum total of all these factors make us a little conservative when we talk about an achievable operating margin range of 20% -22%. Having said that again I'm talking of pure operating so you remove other income, you remove FX, you remove everything. My point is yes there is a potential for an increase in margin but since our entire focus today is gaining higher market share, we are very consciously giving this kind of guidance that yes this looks to be a long-term sustainable margin. Given the fact that all these imponderables or all these variable factors we have to always face.

Amarnath: So now you are giving us look that okay even if there is an opportunity to increase the margin, I will preferably make it within a range and use that as a weapon to gain the more market share by increasing our competitiveness in the international market which is very competitive there. I will gain through the volume and market share and probably I will maintain my EBITDA at the current level and use that economies of scale to gain my more market share. That is the strategy?

Sanjay Majmudar: Well broadly without taking this as a guidance yes, that is the strategy but we want to remain conservative. That's very important.

Moderator: We have a next follow up question from the line of Raja Kumar B, an individual investor.

Raja Kumar B: There is a news article that the government is trying to revive the Kolar Gold Fields in Karnataka. So, just wanted to know is that an immediate opportunity for AIA or it's like a long term and also what would be the potential?

Sanjay Majmudar: So, Mr. Raja frankly our market is actually worldwide. The volumes outside India are much larger. All our efforts are actually for mining concentrated outside India. Having said that if any such opportunity does in fact come, we will look at it.

Moderator: As there are no more questions, I would now like to hand over the conference to AIA Engineering management team, please go ahead sir.

Kunal Shah: Thank you all once again and Sanjay bhai and I remain available offline for any further clarification. Thank you so much and have a great evening.

Moderator: Thank you. Ladies and gentlemen this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you. Have a great evening.

Call: Jan 2023

AIA Engineering Limited

January 30, 2023

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on January 27, 2023

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call between the Company and Investors on Friday, January 27, 2023 to discuss the financial result and performance of the Company for the Quarter/Nine Months ended 31st December, 2022.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited

Post Results Conference Call"

January 27, 2023

MANAGEMENT : MR. KUNAL SHAH – AIA ENGINEERING LIMITED
AIA Engineering Limited
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Page 2 of 2 Moderator : Good evening, ladies and gentlemen. Thank you for standing by. This is Nirav, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would now like to turn the conference over to the AIA Engineering Management team. Please go ahead, sir.

Kunal Shah : Thank you, Nirav. Good evening to all of you, and thank you for joining our call. This is Kunal. We also have Sanjay Bhai on the call with us. As always, I will get into a summary for the quarter, and we can quickly get on to question and answers thereafter. Finally, this year, over 9 months, we have grown materially from 9 months in the previous period. We have seen a few years where we had different types of headwinds, different headwinds of different natures in which there was some amount of growth related question. So I am happy to report from about 187000 tons from 9 months previous period, we have done 217000 tons and about 30000 tons more for the 9 month period with about 71500 tons for the quarter, and for the whole year, we should be between 295000 and 300000 tons, hopefully, crossing the 300000 mark, finally. So we are happy to report that. That sale of 71500 tons translates into sales of about 1209 Crores, and an EBITDA of 39.42%. This quarter has been very interesting, like last three, four years for us have been every single variable, every single assumption got tested. There are several things and several wheels in motion. Thankfully, we are in a business where the customer demands on us for keeping his wheels in motion, right. Our product feeds into our supply chain where the end user industry, which is cement and mining. Thankfully, we have been humming in many cases, growing, and our product becomes an important replacement part of their supply chain, of their consumption, of their production. So thankfully, from a growth standpoint, from a consumption standpoint, while that continues, we saw a lot of changes in terms of raw material, currency, freight costs, availability of containers. So finally, it looks like that a lot of those cost pressures are heading away.

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Page 3 of 3 So, when I look at an EBITDA of 39.42% and of course, there were treasury income in that of about 40 Crores, 42 Crores, the rest of that being operating in nature. But there is about 5% in treasury gains end of December the rupee was at 82 plus levels, and a lot of our invoicing for that quarter was pegged to a lower amount. The rupee was weakening in that small period rapidly. So, there is an operating other income related to currency. We also had a very favorable product mix just in terms of this period. So about a 2%, 3% margin that got added on that account. So those two put together is about 7% to 8%. There is a margin that is sitting on currency and product mix. On the cost side, we have seen raw materials correct from between 8% and 10%. So there is some ease off. Most of our contracts now have a price pass through mechanism. So pricing this quarter would reflect the raw material costs in the previous quarter. So when the pricing kept going up, there was a paying lag, and now there will be a small period where the price reduction will follow by a lag. So there is 3% to 4% of

that sitting, which is all costs related to raw material and freight costs. Some amount of freight cost has also started coming in. So from a margin standpoint, of course, the next question will be what is our guidance on margin going forward. I think we will continue with our policy. I think we look at our business over many decades, at least many years in front of us, and when you are building such a franchise, it is very futile for us internally to look at every quarter after others. So while we continue maintaining a 20%, 22% operating EBITDA margin, it is more directional, more indicative than a quarter, especially last few quarters, we have done better than that, and there have been quarters in the past even worse than that. But I think that continues to remain. I think in the next quarter, we can share a little more sharpened margin guidance for the next year. But for now, the volatility continues. While some raw material prices have reduced, we have seen a bounce back in those rates. So the amount of volatility that we are setting on is uncharted, and in that case, trying to predict variables and then give a margin continues to be a challenge for us.

I think all we are trying to say is that over the last 3, 4 years, our business has demonstrated the ability to work with clients, work with customers and progressively be able to pass

through most costs on the way up. Now obviously, with a fair and square basis, it will be adjusted down, and that is what makes us proud that there is a franchise we have built where we are not dependent on the winds of how the market moves.

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Page 4 of 4 Moving forward, so EBITDA at 483 Crores of course, highest ever EBITDA amount, absolute value ever. Profit before tax of 453 Crores and profit after tax of 350 Crores, which has been a record quarter, and so 9 month profit remains at 787 Crores, which is up from 425 Crores, 9 months last year. Our export benefits, which is the RoDTEP scheme, Remission of Duties and Taxes, that is about 16.90 Crores, largely in line with the previous two quarters.

Treasury becomes a little higher this quarter compared to previous at 42 Crores, and there is a large foreign exchange gain of 75 Crores. Some part of this foreign exchange also related to cross currency, not just rupee-dollar, but we have some exposure in other cross currencies, and this largely reflects dollar weakening, not just against the Indian rupee, but also cross currencies that we have an exposure to.

Our working capital continues at par. Raw material is at 138 Crores at 30 days working capital. All our stock, WIP and finished goods is at about 991 Crores, to be precise, and receivables is about 63 days, 853 Crores. I think all working capital numbers are largely in line.

In this quarter of the 71500 tons there is a little higher portion that is come from other sectors, which is cement at 27100 tons. Of course, and we keep maintaining that. So 9 months, if you look at it, 73000 tons versus 61000 tons and full year we will be closer to say, 95000 tons.

So on a full year basis non-mining did about 90000 tons, and this year, maybe 10000 tons more. So I do not think we should read a lot into the quarterly changes. Mining is at 44000 tons for the quarter and 144000 tons 9 months, and 73000 tons for non-mining, which is cement and thermal utility.

Some key numbers, a lot of you have those questions. Ferro chrome was around 117, 120 a kilo at the start of the year that is between 105 and 100 a kilo, about 10% lower and likewise, scrap.

We are sitting on next cash of 2300 Crores. Full year, I have already mentioned, we look at about 295000, 300000 tons for this year. Going forward, 2024, about 30000, 35000 tons is something that I think looks doable for now. Of course, that includes mill liners.

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3, we think we will do about 6000 tons of production and sales from that plant, and about 24000, 25000 tons of total sales coming from mining mill liners, and that should grow by another 10000 to 15000 tons next year, and based on that, about a 30000 tons, 35000 tons overall growth for fiscal year 2024.

Lastly as far as Capex is concerned for next year, we will do about 300 Crores. This year, we have done about 135 Crores. We have another 70 Crores, 75 Crores odd to spend. So we will do about 200 Crores of Capex this year. Next year, it should be about 300 Crores, which is a 200 Crores for the grinding media expansion for 80000 tons that we are doing,

which will take our capacity from 440000 to 520000 tons. Some land of 30 Crores, balancing Capex and some other enhancements that we are doing at about some another 70 Crores, 80 Crores so that put together is about 300 Crores of Capex for the next year.

So broadly, I think while a lot of sectors are worried about what global range look like. I think our focus on the core industries of cement and mining, I think continue to give us confidence that irrespective of what happens on global markets, at least in the coming 12 months we have got, there is not any macro worry, at least as far as what we have hearing from the customers.

We continue to do our work on many fronts as far as customers in mining are concerned, which is now the down process benefits. The whole solution that we are bringing in with our mill lining offering, and ultimately becoming a partner to the mining customers, where we are enhancing all benefits that they can accrue by partnering with us and using our products.

So no other major highlights to speak off. I think it will be business as usual for the next 12 months.

Having said that, I will request Sanjay Bhai, if you wants to share a few insights and then we will take to Q&A.

Sanjay Majmudar : Thank you, and thanks everyone, for your interest. So it was a very interesting quarter, a very excellent set of numbers, but as Kunal clarified, quite a bit of it can be regarded as one off. Having said that, the basic business outlook remains the same. The opportunity remains equally exciting, and all the efforts are on to take a significant share slowly and gradually

away from the forged into high chrome, and directionally, everything has remained the same. So from a business strategic point, opportunity point, our earlier thought that we
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Page 6 of 6 should be able to do at least around 30000 plus year-over-year addition incremental volume. I think all that remains and we believe that as we go ahead, we should be able to share more exciting news. So I think with this, let the house open for Q&A.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari : Congrats on very good numbers. Firstly, on the volume front, obviously, after a very long time, you are delivering very strong numbers, and so in the mining side, it is still driven by copper and gold only. These are the two bigger vendors contributed to this growth.

Kunal Shah : Yes. So copper and gold, and of course, we are doing some work in iron ore, that also continues to be an area of interest and mill lining, which is not just gold and copper. So it is a mixed bag at least as far as there is no single ore driving disproportionate volumes.

Ashutosh Tiwari : You also mentioned about this 6000 tons of production sales from the new plant. This is for full year, right.

Kunal Shah : Yes, we have done about 2500 tons till now. In this quarter, we will do another 3000 tons, total about 5000 to 6000 tons is what we will do from the new plant.

Ashutosh Tiwari : Cement volumes, like obviously nine month figure is probably one of the highest that we have

done in the last four, five years in the nine month period. So is there something to read over there in terms of new addition.

Kunal Shah : We have done about 12000 tons more, but there is a little bit volume that we have done with one thermal bit in India. But I think broadly 90000 tons to 100000 tons, 80000 tons to 85000 tons is not going to become 150000 tons. So still the materiality is not there.

Ashutosh Tiwari : Yes, but after a long time, we have seen some growth over there. So, yes, thermal, you are saying is not included.

Kunal Shah : We are happy about that, but none of those are factors that will give us material growth going forward.

Ashutosh Tiwari : This Forex gain that is part of other income a decent chunk is due to depreciation of INR versus Australian currency.

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Page 7 of 7 Kunal Shah : So INR rupee would be about almost 60%, 65% would be Indian rupees, but that is realized unrealized, both put together, and the rest would be cross currencies, or exposure outside of India.

Ashutosh Tiwari : While we discuss our freight costs coming down, but as we look at the freight cost number outlook freight cost number that we reported now as part of profit, that amount is almost similar in this quarter.

Kunal Shah : You will have to look at our linkage with our export, because we are not reporting our exported figure. We are shipping things out and it gets invoiced the following month or the following quarter. So that is how we are looking. We know that the freight cost is going down, this is actual freight cost incurred not the underlying export volume. This does not show that.

Ashutosh Tiwari : So there is some reduction in freight which is of course to come through.

Kunal Shah : That said, it is not very material, but this is coming on. Freight cost, okay some of the lanes that we operate in have seen consolidation and which is where we have not seen the kind of reduction, few other shipping lanes have seen the traffic means that are there. But we are hoping that will happen, I mean, shipping across the board has a weak outlook. So I think over next 12 months, that is one cost aspect that will reduce.

Ashutosh Tiwari : Realization should come down from next quarter as the past year happens.

Kunal Shah : Yes absolutely.

Ashutosh Tiwari : Like you said that our total mining liner will be around 24000 for the full year. What was the number last year?

Kunal Shah : About 17000 tons, I think.

Ashutosh Tiwari : So this new liner we have planned.

Kunal Shah : Correct.

Ashutosh Tiwari : Okay that is all from my side, all the best.

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Page 8 of 8 Moderator : Thank you. Next question is from the line of G Goel, a Chartered Accountant. Please go ahead.

G Goel : Good evening, sir. Sir, my question is on the EBITDA per ton side. So basically, it is consistently increasing for the last three quarters, and one year before, these were around 26000 per ton, and if I talk about 2021, these were only 24000 per ton. But in this FY2023, in first nine months, these are almost double, double to 47000. So my question is exactly what is happening. Is there any change in business economics that I am not getting? Because I understand, part of the reason could be the raw material pass on is happening, and cooling of the prices. But the thing is your absolute EBITDA is increasing, and that can only happen if you are able to increase your prices in addition to the cost increases.

Sanjay Majmudar : I understand your question. So let me first and foremost, tell you that you should not look at EBITDA per ton because it is not a correct reliable yardsticks for two, three reasons. One we do not operate with a standard product. So we have a very wide diversity of products, ranging from grinding media, then liners for cement, liners for mining, then we have VSM, that is vertical spindle mill

pads, where the price range is very high. My point is that volume and pricing, they do not go in parity and hand-in-hand, and because of that, if you do not have a standard unit of measurement, you cannot view it as a unit of EBITDA per ton. So there is a product mix, then there are different geographies, different product economics. So we should always look at EBITDA in a percentage terms. That too as Kunal explained there are, again, on an operating EBITDA side, there are certain one off sort of benefits that did flow. Then we always do a pass through. For example, freight is 100% pass through as additional direct add-on item with the sales. On the other hand, raw material variation is also passed through on both positive as well as negative side, which, of course, are lag. So when there are so many variables, EBITDA per ton will be misleading. Having said that, we have already clarified what are the reasons why this year you will see this quarter a sharp increase in EBITDA. We have explained that there is some effect of treasury. Even if you remove Forex, and if you look at pure operation, there also we have a benefit of raw material pass through, not effected or rather the selling price adjustment not made exactly in tandem with the raw material reduction. So there are multiple factors, which we have to say. But as we explained, an operating EBITDA of around 22% odd, pure operating EBITDA is what is a very base case and there are chances it will go up. But at this point in time, we are not giving any guidance on the AIA Engineering Limited
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Page 9 of 9 margin. So this is the scenario. I cannot answer why my EBITDA per ton is going up or down because I am not internally evaluating based on that.

G Goel : The second thing, you mentioned your volume will be around 300000 kind of...

Sanjay Majmudar : This year, yes.

G Goel : Okay, yes, and for the complete year also, you are guiding this 22% to 23% EBITDA margin. Or you are guiding nothing.

Sanjay Majmudar : We are not guiding. What we are saying is, that is the base case with which we will be working. Why we are not guiding, we have been in the past saying that our current entire focus is market share and conversation from forged into high chrome, and there are, therefore, very, very different challenges that we are facing. Having said that, we have a business model that is robust to deliver higher margin. Then this 22% we are talking about.

But having said that, at this point in time, we are not saying that we will do it. We are saying this is 100% visible. But right now, there is no guidance on the EBITDA side or on the margin side.

G Goel : Okay. That was the one point, and second thing is how you look at your top line, after financial year 2023, in terms of volume, if you can like...

Sanjay Majmudar : See what happens, we can only give you an indication about the volume, which we have been very consistent. Now we are saying that at least a 30000 tons per year incremental volume growth. Having said that, if you see my average realization, in this quarter and the previous was around 165 or so per kilo. Now that is a function of product mix. That is a function of the raw material pass through and the freight pass through, which has been reflected in a higher realization. Having said that, if the raw material prices come down in the quarter-over-quarter in a consistent manner and if rate goes down, my realization per ton can definitely go down.

Now how much it will go down it is not possible to let you know today, because even we do not know. So therefore, a volume growth and a very consistent margin is what we are internally looking at rather than absolute. Otherwise, this absolute number in tandem, I can say there will be a 10% topline growth, but that may not happen.

G Goel : Understood. Thank you very much sir. That is it from my side.

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of 10 Moderator : Thank you. Next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah : First question would be on, first of all the production per metric ton and the sales per metric ton. So in this quarter, our total production is 64000 and our sales is 71000. So I think from last, let us say, from 7, 8 quarters we are low at production. So are we seeing any difficulty in the production side or like due to installing new facility, it has been like with the low production and it can take some chunk to 75000, 77000 in next quarter.

Kunal Shah : I think it was only a working capital optimization. I mean, that is something that we keep doing, and there was a higher amount of stock if you go back to our commentary over the whole of last year. Because of containers not being available, we were keeping more stock in transit, against an order to make sure that there is no situation when the customer is without supply. I think progressively, as things improve. Today, we are not speculating on how much improvement can happen. But we have been able to do something, because there is visibility of containers and shipping lines and delivery times. There is some amount of adjustment that we are trying to do at this time. I think it is just an optimization exercise right now.

Sanjay Majmudar : Just to add, when you said difficulty in production, there is no technical difficulties. It is just an average operating capacity utilization of around 65% that we are currently having. It will inch up as the volumes go up, but we cannot go beyond 75% or 80% theoretically because this capacity is also calculated based on an assumption about a particular product mix.

Kunal Shah : Also Sanjay Bhai, are the plants that we are setting up are higher capacity, right. 50000 tons mill lining plant, we cannot utilize that in the first year. So as we grow and our minimum size of plants is a little higher is where utilization levels appear a little low. That is why we are trying to give some guidance on sales volume nature for that.

Pujan Shah : Sir, the 300 Crores Capex, I have actually not get that point. So I missed your point on that one. So is that 300 Crores plus 200 Crores grinding...

Kunal Shah : Total 300 Crores Capex for next year, FY2024, as we speak. Of which majority is towards the grinding media expansion that we are doing. About 200 Crores goes to that.

Pujan Shah : About 200 Crores, and the 100 Crores.

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Page 11 of 11 Kunal Shah : 100 Crores, that is, we need to buy land. Because we are setting a plant, our internal optimization efforts are going on. 30 Crores towards buying land, 70 Crores towards maintenance Capex, some other capacity rationalization, etc., automation, other projects that we have taken up internally.

Pujan Shah : My next question would be on the 2300 Crores cash. So I assume that 300 Crores would be deployed in the Capex part for the next year. Still we hold a 2000 Crores of cash and cash equivalents. So what are we planning to get in to? Are we looking at inorganic opportunities or we are rewarding shareholders for some portion for that.

Sanjay Majmudar: No, so I tell you, we have been very consistent on this. We are very conscious that yes, we are carrying a significant volume of cash or liquidity with us. Having said that, it is very strategic because a) as we explained year-over-year, we will have to do Capex, b) we will also have to invest significantly in our working capital because we are concentrated in India in all of our production related efforts and the sales happens across 125 countries of the world through a network of more than 20, 25 warehouses that we maintain, and we will have to ensure that we are able to give just in time deliveries to customers.

There could be some opportunity. But at this point in time, we believe that till we reach a reasonable

level of sales in mining, and we acquire a decent market share, and we reach an internally stable situation, we want to have that luxury of carrying a little bit of extra cash

and liquidity. Yes, we are conscious that current payout ratios are not high. Having said that, we are reviewing it, and we will definitely evaluate that if there is a surplus cash available and there is no such opportunity in sight, we will take an appropriate call. But at this point in time, at least for next one year, we do not want to take any such call.

Pujan Shah : Sir, on the mining and others. If you see great improvement, and so in FY2021, we can see from 16000 to let us suppose to have reached at 27000. So are we seeing the others have been more margin lucrative compared to mining media or like the margin have been all dependent to the commodity cycle and how actually the realization goes on.

Kunal Shah : Cement and mining largely have a material margin difference. I mean, these are all products for us and pricing for it is a combination of a lot of things. But the expansion of margin that has happened is, of course, there is some amount of commodity pass through that is there. That remains and in some part of that, you will see easing going forward.

Pujan Shah : That is from my side. Thank you, sir.
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Page 12 of 12 Moderator : Thank you. Next question is from the line of Priyanka Biswas from Nomura Securities. Please go ahead.

Priyanka Biswas : Congratulations Kunal bhai and Sanjay bhai for very good results. My first question is like when I see your numbers for the nine months, and it seems that for this year, you are very much on track to do possibly a Rs.100 plus EPS. That is what it seems like, I mean, just on the nine months. Now next fiscal year FY2024, I believe that there would be some price pass through to customers, I mean, as the things cool off, the freight and the commodities, and as you said that like a 22% margin broadly. So in the next year, how do we grow our profitability or PAT? Because it seems that this year is so high that it even with a, let us say, 35, 40 growth next year, it becomes kind of a tough. So that is the first question. So what are your thoughts on that.

Sanjay Majumdar : So, thank you for telling us that yes, our EPS will be Rs.100 this year. My point is, as a management, we really do not look at the numbers from a narrow standpoint. We know what is the opportunity, what is the challenge and what we have to achieve. So we know that if the opportunity is 2 million tons or 2.5 million tons, and I am presently still scratching the surface, so to say, I have to ensure that I keep on going and converting maximum number of mines and reach a position where I become a dominant player in the space where I am operating. We know that technologically, we are unquestionably a leader today in the world. But whether from a market share standpoint, what is it that I want to achieve. So the whole focus is how do we convert mines, of course, make it profitable, and of course, ensuring that once we convert generally, the customer stickiness will ensure that I keep on growing my business with them. So as Kunal explained and as we are very clear, a one off can always happen. One off on the positive side, one off on the negative side. What is very important is that is my business model robust enough that year-over-year if I gain 10%, 15% market share or top line and I continuously increase my sales, can I maintain or even grow my basic core operating EBITDA from what is it my current level. My answer internally is yes, yes, we can do that. My business model is strong enough. Having said that, therefore, we are not worried that in this year, say my PAT reaches nearly 1000 Crores or say anything closer than that. Then there are years where we had shown that there were dips. Now this is a very different year, of course,

our side, our internal endeavor will be to see that we continue to deliver similar decent numbers. But there is no internal comparison that if this year I have done 1000 Crores, I have to do 1200 Crores next year. What is important for us is what is it that I am gaining, how many new mines I am gaining, which are the new markets and surmounting and how my traction continues. This is the entire focus. I am sorry, I am bit candid, but this is the fact.
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Page 13 of 13 Priyanka Biswas : So that is quite a nice answer. Since you talked about the markets and all, actually two related questions on that. Like since you are exploring out new markets, so what are the geographies that we are like seeing a very strong traction right now, and parallelly, like within these strong results for this quarter, was there some benefits from the SAL acquisition that you had done to vertically integrate into the raw material space that you have done, I think, three, four months back. Was there any benefits of that as well.

Kunal Shah : No. Sanjay, I will take that. So first question, I think when Sanjay meant new markets, I mean, there is enough work that is already done. We just have to harvest those efforts. There is not one new mine that we are going to where we expect a lot of work to come. That is there has been dogged in our perseverance and our efforts to keep engaging, keep demonstrating that we can be a valuable partner. It is a longer lead cycle as we continuously try to explain, and the benefit of this long lead effort is that once we are in, it remains for a longer period. We do not go through the vagaries of subsequent economic cycles. So I think from the market standpoint, business as usual, that was in my initial commentary, there is nothing material that we have not mentioned or talked about. The ferro chrome part, the agreement that we have done, I think, is on track. I mean we are slowly ramping up progressively, they are also listed companies. So I do not think we want to speak much about it. I think it will just remain as one of our supply partners, along with other purchase vendors that we buy from for our raw materials.

Priyanka Biswas : I actually meant like, whether there were some benefits from this agreement this quarter.

Kunal Shah : No, it was not benefit linked, it was more trying to protect the supply chain. More than anything else, ferro chrome is an important raw material for us, and there is a plant in Gujarat, which is getting the raw material and it just gives us comfort that if something

were to happen to the large one or two of her vendors we are buying from, there is supply chain visibility.

Priyanka Biswas : Just one last question from my side. So it is a bit environment related. So what is happening is like investors now a days are often asking this question like on the carbon border adjustment tax that the Europeans are proposing and maybe it becomes more prevalent in the whole world. So what are our thoughts regarding reducing the carbon footprint. So any steps that you are planning to take.

Kunal Shah : We are very proactive. We are very conscious . Last year, I think 23%, 18% or 23% it is not on top of my head, but a reasonable amount of power came from our own renewable

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Page 14 of 14 sources, and I think we will take it to the max possible, which is 30% or 35% given we are a foundry where our loads are variable, we cannot go to 100%. So the base load that we consume based on current policies in states where we are present, we can go up to 30% or 35%. I think 30% broadly is what we will surely go to. It also saves us cost. So there is no reason for us to not pursue that. Over and above that, there is a large carbon footprint saving that we do or reduction that we do on the customer side. If you are helping to produce more if you are helping to reco

ver more metals from the waste ore that goes out or reduce power consumption at their end. That is a material or reduce the toxic waste at the mining side. Mining companies, reduction of footprint at their end is what a large part of our business is. So I mean, we are doing work to quantify and put numbers around that. It is not easy because we do not get a lot of that data back from the customers. Or rather endorse data from the customer, they do not want to share their numbers. But we know it is very material thing. But power is one of the biggest carbon footprint from our standpoint, and we are already 20%, 23%. If we go to 30%, 35% that itself is a material step forward for us.

Priyanka Biswas : Thanks, that is all from my side. Thank you.

Moderator : Thank you. The next question is from the line of Abilash, individual investor. Please go ahead.

Abilash : Sir can you explain the establishment strategy like we have our current line in this warehouse globally. So how do we decide it? Is it volume dependent? Can you elaborate on that?

Kunal Shah : I think warehouses are not in the sense that other companies have where you have stock of material than whoever comes you replenish or fulfill from that location. Most of our warehouse is barring, I think two or three locations, are customer specific stocks. So when a customer places an order on us, given that we are not based in those countries. We are based in India. We are producing and exporting out of India. They get comfort if there is stock on the ground closer to them, and we are doing a do or delivered supply. We are not using the third-party intermediary doing the fulfillment or the last mile sale to the customer. It is under our own agents, which is where a lot of those stock point locations are stocked, meant for a customer against an order which is already placed. So the strategy is that if there is a customer placing 10000 or 15000 tons of products from us, which is 1000 tons a month, we are very happy to stock 2 or 3 months of stock closer to his location, so that he gets a visibility for between 4 and 6 months, and that absorbs the need for a local plant for us. So

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Page 15 of 15 it is built. It is more customer specific and depending on the ocean lines, etc., around that country.

Abilash : Sir, but my understanding is that we have nine warehouses, and considering that you said that the stocks are customer specific. Now we are in various customers across cement and mining specifically. So in terms, it would be one warehouse would be carrying a different kind of stocks for different kind of customers.

Kunal Shah : A warehouse would be specific to a customer, but it could be at same point what are you coming to. What is your end question? I did not understand. A little bit of context or what you are trying to get. Maybe the answer is different than what I was going to say. What are you coming to?
Sanjay Majmudar : We have more. We are talking about 18 to 20, not 9. I do not know how from where you got this number.

Kunal Shah : No, no Sanjay Bhai, I am just saying that what is 9, it keeps changing. Today a customer changes, we may agree for a direct supply. The number of warehouses is not material. What is your question, what is the context that you are trying to understand.

Abilash : So the context is, I am just trying to understand is how our mode of the business is in terms of supply. So when you say it is a direct supply...

Kunal Shah : More than 70% supply is direct. It is more than 65%, 70% of my supplies direct, the balance, and that is customer specific, there is no rule of thumb within that. Depending on

customer circumstance, between one and three months of stock, is kept for their comfort. When we start off. As we go forward, they get more comfort, we try to reduce that stock. But there is no rule of thumb. There is no specific overarching gene

ralized statement I can make about our strategy for that.

Abilash : Sir can you explain where is the application of the forged media, which is still better than a high chrome.

Kunal Shah : Can we take that question offline. There are many other investors who probably understand the difference we have been talking about it. Sanjay Bhai, if you do not mind, we can spend half an hour, if you explain a little bit more how forged and what our strategy is.

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Page 16 of 16 Sanjay Majmudar : Fundamental question because everything is a grinding application. The only thing is our media reduces the wear rates and make the whole process efficient, otherwise, it is the same.

Kunal Shah : Yes, but it will require a little more context. I think just for the benefit of everyone else on the call, if you do not mind, we can have an offline chat and explain a little more of what we are trying to do with this.

Abilash : I just mentioned where I was coming from, and then I will go to the next question is that in the Canadian antidumping tribunal order, it was mentioned that SAG mills only use forged and not high chrome. So that was just the context where I am coming from.

Kunal Shah : First of all, there is no criminal action there. It is just we complete with Magneto, and as a completion, they try various means to keep, as a defense mechanism. They have a local plant over there, and they are going to a body where they are alleging that there is a competition related issue, and we are fully cooperating. It is a sub judice matter, I may not be able to speak more about it. But it is a market where we are already supplying high chrome and they are also supplying high chrome.

Abilash : Yes, I understand, I did not mention anything criminal. I just mentioned what was mentioned in the tribunal order, sir.

Kunal Shah : Tribunal order you mentioned criminal.

Sanjay Majmudar : He mentioned tribunal.

Abilash : Tribunal sir, not criminal.

Kunal Shah : Sorry. My bad. It is more the market is high chrome, where we are as in Magneto are supplying, and it is related to those supplies.

Abilash : Sir in R&D expenses, where do they get reflected in the annual reports under which head do they represent.

Kunal Shah : R&D expenses are not in nature of where we invent a new alloy. A lot of work that we do cause an effect link, if we are doing a new design, if we are doing a new alloy, we were trying different combinations of industries and metallurgy and micro structure related to heat treatment on top of that. Most of that work is where we are doing a supplier.

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Page 17 of 17 Depending on end user conditions, we design a product, we design the shape of the part or if there are castings, and the alloy of its grinding media, the alloy or what size to use depending on that end user condition. So a lot of our innovation comes from giving a solution to a set of end user conditions. Unfortunately, it is way difficult to carve out expenses across the value stream and park those under R&D expenses, because a lot of R&D that gets classified is more related to innovation and which is going to lab or you have got a bunch of people whose costs gets allocated over there. Most of those are costs that are operational in nature and are accounted as such.

Abilash : So that will be a part of COGS basically, right.

Kunal Shah : Yes, it is basically a part of operating expenses. Correct.

Abilash : Sir, can you explain what percentage of our receivables are parked as retention money.

Kunal Shah : Nothing. There is no retention in my business. We are not EPC contractors.

Abilash : Because there was some mentioning of retention in the annual report, that is where I think it come from. Okay no problem, sir.

Sanjay Majmudar : Hardly anything.

Kunal Shah : But not a material amount. I mean there could be some customers wh

ere there is some performance. If you have given a new product and some amount, but it is not a material amount, maybe it is an accounting classification, but nothing material as a concept, we do not supply where our money is tied to an end goal. It is led to, expect if it is trial also given some new guarantees to get in or do additional work.

Moderator : Thank you. The next question is from the line of Dhananjai from ASK Investment Managers. Please go ahead.

Dhananjay Bagadia : Hi, sir. Maybe you mentioned this, but what volumes are you targeting this year and what we are targeting next year.

Sanjay Majmudar: Around 30000 tons, incremental additional. We are talking about close to 300000 tons this year and about 330000 tons around that about next year.

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Page 18 of 18 Dhananjay Bagadia : 330000 tons next year, and this includes you mentioned 24000 tons from the mill liners for next year.

Sanjay Majmudar: No. milliner is a part of my total volume. We are talking of incremental volume.

Dhananjay Bagadia : You got 300 Crores Capex in FY2024, 200 Crores for grinding media liner, 30 Crores, other, 60 Crores, 70 Crores, is that right.

Kunal Shah : Yes, right.

Dhananjay Bagadia : Thank you, sir.

Moderator : Thank you. Next question is from the line of Charanjit Singh from DSP Mutual Fund. Please go ahead.

Charanjit Singh : First of all congratulations Kunal Bhai and Sanjay ji for very good set of numbers in a very tough environment with so many challenges, we have been able to achieve very good volumes for the first nine months. Sir, my first question is in terms of when we look at despite the duties which got imposed in three different regions, we have been able to achieve good set of volumes and we have been able to make up for the 25000 to 30000 tons of shortfall in volumes. Sir, can you just touch up on, has it been our new customer acquisition, which got accelerated, which helped us or any specific region or customer, which helped us achieve this in a very tough environment. That is my first question.

Kunal Shah : I think it is just that those four years, three years, we did not grow because of those reversals, but the whole thesis was that there is enough market for us. We have been talking about market in excess of 2 million tons, 2.5 million, 3 million tons even for forged material, where chrome is only 0.5 million tons, and there is this reasonably large runway for us to continue to grow. It is just that we talked about it, and these reversals meant that our growth was not visible, here. So, we have made good some of that and continue to grow. The idea is that if our thesis is correct, if our understanding of the market is reasonably on cue, we believe that chrome is a better solution than forged in material working conditions, in material number of mines which will allow us for that growth runway. As we grow, this is all uncharted even for an Indian company to be selling directly to consumers in 120 countries, and this is not a commodity product, it is a solution driven where we engage. There are consequences of using our product, and to that extent, that is the time it takes and which is what we have not been able to really plug and say I will

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Page 19 of 19 grow x amount this year versus next just because of the decision making cycle there is. But I think it is a mixed bag. It is existing customers having grown. But clearly, these are new customers where we migrated from forged into chrome. So I think it is the whole thesis that we have been talking about coming forth in this volume addition that has come along.

Charanjit Singh : Sir, the other aspect is now again for the next year, we are very positive in terms of doing 30000 to 35000 tons of incremental volume. So here, will you be able to help us in terms of the incremental how much will be from new

customers, how much from existing customers,

and how is the new customer pipeline looking like from a number of mines that you would be targeting.

Kunal Shah : In our case, even if it is the same customer, if I am getting more volume, it is like a new customer for us because whole effort is different. It is not where the customer is growing or giving us half and saying, next time, I will give you more. So if it is a different side of the same customer, therefore, it is completely independent of work that we have done before.

The whole effort to do proof of concept to make sure we are doing enough trials to give comfort, discussion on pricing. Okay, there will be some relief that there is a reference from a related mine site. But the large part of the effort remains the same. So the new 30000 tons you are talking of, I would say, at least 80%, 85% would be new customers.

Charanjit Singh : We also talked about liners now picking up pace in terms of overall volume next year, and we have been doing a fair bit of testing with the customers. So do you think that next year, as our solution gets implemented, there could be a positive surprise to that, and in terms of EBITDA margin or the profitability profile you have touched it also earlier. But has there been any kind of an increase in the overall profitability what we see on the liner side.

Kunal Shah : Liner is still 25000 tons of 300000 tons. Less than even 8%, 9%, and like we explained

mining liners are part of the non-casting, non-grinding media piece of what we do, which anyway has had a higher margin compared to grinding media because of cost, effort, everything is not comparable. So I do not think so it is more mining liner related margin. But clearly, I think as we go forward, as the world realizes that today, you do not get people to do menial tasks, let alone engineering and high end work in the western world. It is starting to reflect in China. It will happen in India. I think for a type of business that we are in, where you need hands to do work. You need skilled hands wanting to work on the shop floor. I think India remains a great place, and going forward, we just remain optimistic about it that there are enough motivations in the business that a fair margin would continue. Now the fair margin is a very complex subject, and to that extent, we are coming from Bajaj bhai

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Page 20 of 20 the whole philosophy is that we want to keep this business for many more decades, and 20, 22 is a robust margin. We have done 25, we have done 28 in a quarter, we have done 18 in others, and that is linked a lot of other things. So we stopped spending our time and effort to postulate what will it be next year or this quarter. From a margin standpoint, please allow us that we are not able to give more color beyond what I have just said. From a tonnage standpoint, I think mill liner is exciting for us, just that the whole competency is coming together. It is product aligned to everything else that we are otherwise doing. But we have seen many, many years where we have talked about it and not delivered or the growth has been slower. I think 30000 is a good place for us to start and stabilize from. Maybe a better guidance in another 12 months. Mining liner is also fairly new for us. As a philosophy, we would not want to extrapolate 1 or 2 good quarters into a guidance going forward. So I think 30000 tons is a fair guidance to leave it for now.

Charanjit Singh : Got it. Thanks for taking my questions, and giving detailed responses. That is all from my side and all the best for the future.

Moderator : Thank you. Next question is from the line of Bhoomika Nair from DM Capital Advisors. Please go ahead.

Bhoomika Nair : Good evening sir, and congratulations on a good set of numbers. Most of my questions have been answered. Just one or two things. You mentioned that we have started now kind of t

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pass through is much more easier with the client. So if you can just take a step back, how is the nature of the contract in terms of raw material pass through or freight pass through or any other cost pass through. How has that changed over the last two to three years in general time?

Kunal Shah : So when the raw material costs were going up. I think the pass through was coming along. But by the time you pass through, see first of all, it is that the discussion on pricing is very dicey. It goes up, but when it is going up, you always feel this is the top and chances are it is coming back. You do not want to waste your conversation with the customer on a pricing discussion, unless it is inevitable and required because there are plenty other things that we do with them. I want a higher price because of a better value addition and not because my raw material price went up. So it started with saying maybe here at the top will come along to it. But obviously, the formula, the pass through all of that is there. So raw material costs, there is a fair bit of pass through but even if there is a pass through customers are always coming back and saying, can we do 80% of this, 70% of this, all of it. They are large customers, and by the time the pass through came up, the prices of raw material costs went

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Page 21 of 21 up higher even, and that cycle was there for two years, so we never went to fair margin. I recovered but by the time the cost went up again. Big thing about passing through of the shipping cost. That was never part of the contract, and it is still not part of the contract. It is that here is my shipping cost and because I cannot contractually say there is a lot of volatility, there is a little bit of complex science behind shipping. I think the big win for us was to be able to pass through that. That was a direct question on my model where I am producing in India and supplying to the rest of the world, and shipping rates go up and there are local incumbents. Maybe this forging guys and others, thankfully, all of it came through. All of my shipping cost has been passed through. I do not think many companies can play claim to this statement. To that extent, this reinforces that everything that we are doing, the cost structure that we have, the talent that we have in India, the place that we have built in and the global footprint and the structure that we have, it is over a three year period. I think that is what is the endorsement that comes through. So I think the contract is still a pass through for costs. Shipping is something that is something we discussed on a spot basis.

Sanjay Majmudar : So just to quickly add, I think most of the contracts are long-term, three years or above, and the purchase orders are typically for a quarter. So this adjustment they happen quarter-over-

quarter. It does not happen every month.

Bhoomika Nair : Got it. So now on the way down, when commodity prices are starting to slightly correct, though there is some bit of volatility, freight is obviously falling down quite a bit. So would that also get passed on with a decent lag now where it is again customer...

Sanjay Majmudar : Sanjay Bhai saying it is a quarter basis. Raw material is a quarterly adjustment in a fair number of contracts. Raw material is not something that we want to sit with and keep talking about each time. So where raw material pass through are coded into a large number of contracts and that will happen as is. So wherever the price is at the end of the quarter, that becomes the basis for the subsequent quarter.

Bhoomika Nair : And the rest of it will be based on discussions of how much the price.

Sanjay Majmudar : There is a time line between coding everything and for example, auto component companies where their customers are tying them every nut bolt into cost and structure is there, and that is something that whether

that is a structure you want versus where we

would like to keep discussion, because there is a value added is we are winning along. We are not replaceable vendor because there is always a conversation, my sales guys always at

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Page 22 of 22 the site to discuss new opportunities to add values. The discussion on pricing should be the last conversation.

Bhoomika Nair : Sir the other thing was just what has been the price range in ferro chrome of late in terms of December, January, because there was some up move in commodities.

Sanjay Majmudar : Exactly. It reduced, but it went down, say, by 15%, went up by another 15%, but bounced back. I think it would be about 10% lower than about nine months ago, 10% to 12%.

Bhoomika Nair : On the volume trajectory, clearly, it is very heartening to see the kind of up move that we are seeing close to 300000 tons this year, next year is about another 30000, 40000 tons, and if I look at mining within that it will be about 200000 tons. Now in terms of the overall market, obviously, it is much larger. What can possibly help accelerate this additional

volumes to maybe 40000, 50000 tons kind of a range or higher. What additional steps do we need to do kind of to grow at a faster pace. Where does that tipping point come where we see a faster acceptance or faster turnaround with new clientele or...

Kunal Shah : I think the emphasis is, it has been a three year wild ride. I think it is just to stabilize, continue to grow. Our customers are not such that we are not an ecommerce business where there is hyper emphasis on high growth. The idea is that we want to grow, but we have to grow making sure we are not doing anything in advertent at the customers end. We do not want to go, give out guarantees or give out benefits that may not accrue and leave that conversation with a heartburn. I think 30000 tons for now is a fair amount of growth. Of course, we can do better and more, but I think given the variables, given what we have seen over the last 5, 7 years, we would rather wait and watch. There could be opportunities to do more. But for now, as we learn about the world and growth within this environment. I think we will be happy with the 30000 tons for now.

Bhoomika Nair : Okay, sir, this helps. Wishing you all the very best.

Moderator : Thank you. Next question is from the line of Bhavin from SBI Mutual Fund. Please go ahead.

Bhavin Watsani : Congratulations Kunal Bhai and team for great set of numbers. My question is, the EBITDA margins that you have reported in this quarter of about 30% excluding the nonoperational income and foreign exchange gain. If you were to take business as usual, we

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Page 23 of 23 understand it is never the case, but given the lead lag in pricing on, what would have been a normalized margin in this quarter if you take off those lags into consideration.

Kunal Shah : We have not done that exercise. I mean we can do it, but I do not think it helps us any better doing the bridge. We will have to work on with what that margin would have been.

Sanjay Majmudar : We have been saying that our normal operating EBITDA under normal set of circumstances could be anything in the region of 22% or thereabouts, a little higher also. Yes, we have been reporting better operating margins. But as we have been repeatedly saying, we are not giving consciously any guidance. So I think a very base case scenario of 22% would be a better number to work with on a long-term average basis. It can move up year-over-year. But at this point in time, we are not giving any guidance on that.

Bhavin Watsani : Sure. The second question, again, which is a subpart of this, and if I look at your employee cost over the last three years, the quarterly average has been in that 36 Crores, 38 Crores a quarter. Over the last 3 years where we have seen significant amount

t of inflation, you have

increased capacities and volume s. If you could give us a perspective how has this been managed? Is it through increased automation, lesser manpower working with incremental, it would be useful to understand as we see that at least 1.5% has come from the operating leverage benefit only from the employee basis.

Kunal Shah : I think, but that will catch up over the period anything employee inflation in India is already picking up. But over the last three years, you are absolutely right. We have done a lot of optimization. We used the COVID period, we were already lean. We do not have a fancy head office. There were not cost in my P&L, which was outlandish. There is no fat in my overhead. But nevertheless, we went through the plans, we tried to optimize whatever people spend. So during those three years we try to keep the same absolute number, which is by some optimization at the plant level, all the capacity in the production we added we tried to do it without additional staff. I think broadly, that was what we started with, but this figure, we will start seeing some amount of increase there. Also our manpower cost, some amount of contractual manpower costs, it should have gone up, are sitting in other costs. So you will have to add both to see the real impact. At an employee level, I do not know what it was last year, the year before that, but we have done some amount of optimization and the balance is under other expenses.

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Page 24 of 24 Sanjay Majmudar : Just one thing to add, Kunal, as a percentage, it might appear to be dropping. But if you compare absolute numbers this is about 10% increase year-over-year as a normal increase about 7% to 10%, yes. That is what it is. But percentage would appear to be a little drop.

Kunal Shah : Yes, manpower is absolute. We try to do manage growth with the same manpower, I think, exactly.

Bhavin Watsani : So the other question is on the realization we have seen about almost Rs.172 a kg this quarter, and you mentioned about softening of the input price, which will now come in. so what we want to understand is, in your pricing how have the structure like, because freight is a large element, what part of your pricing or the contracts that you have are CIF linked pricing and given that the volatility that we have seen in freight is also negated, and if you were to take these one off element and the volatility out, this Rs. 172, what directionally would we see it like 10% lower in the subsequent quarters.

Sanjay Majmudar : Very difficult to put a number to it, but gradually, yes, it can go down a little bit. What exactly how it is going to go down. Frankly, it is very difficult to decide, very difficult.

Because see, everything is not automatic. So it is always subject to some negotiations. So if it goes up fast, it may not go down in the same proportion or with the same speed. But around over a long-term average, if commodity cycle goes down, there would be a reduction, maybe 5% to 10%. But again, it is a gas. There is no arithmetic, which we have put to it yet.

Bhavin Watsani : As things stand today, given the current freight and the input prices, what would this Rs.172 be? Will it be like as you mentioned, there is a lag impact.

Sanjay Majmudar : That is why I explained, no, we have not done any math to explain that Q4 it will be so much, Q1 next year it will be so much but over a longer period, if not strictly quarter-over-quarter. If this trend continues, it could be 5% to 10% yes.

Bhavin Watsani : The other question is on like when we had the question on the Canada. One of the explanation that you had highlighted that, okay now all is not gone, but given the way the freight has gone from \$3000 per container to \$8000, \$9000. It is become economically questionable because of the freight. Now that freight has reversed completely, could we expect

that 50% is not lost, and can you see that at reversing? Or are we already seeing that reversing because the freight normalization has already happened.

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Page 25 of 25 Kunal Shah : I think as a decision as far as Canada is concerned, given it is sub judice because they are investigating it again, there is a large market for us across the world, we would rather not keep talking about Canada as a specific point. I think it may come, it may not come, some may come, some may not come, we are working in a way where that is incidental. Just like cement is today. Tomorrow something else will happen. Now there is a conversation. There is a local plant and there is an authority involved looking into it, and to that extent, you would rather be into a free market situation and do our bit. So if it is okay, we have decided not to speak about the Canada business, and we consider it not a material part of our operations.

Bhavin Watsani : Last question. There was a lot of effort being put across on some of the South American markets, which are large copper producing mines but share here is much lower. Could you talk about the progress that we have had since a year or so that we have renewed focused in

other part of the world.

Kunal Shah : So again, the whole effort there, we are making a lot of effort in those markets. There was a lot of large pushback on account the freight cost s. The highest freight cost from India were to South America, and there was no commercial conversation or viability given that highest cost. Now that shipping rates look to be on their way down, they are still not corrected as much. I think it is just becoming an interesting time. We are doubling our efforts over there. It remains a very, very important market for us and we hope that we have something interesting to share in the next few quarters.

Bhavin Watsani : So in our guidance of incremental volumes 30000, 35000 for the next financial year, have we built in something coming incrementally from the South American, Latin American market or it is agnostic of that.

Kunal Shah : Yes. Again, it is agnostic of that. Today, we are saying there will be some, our plans are very different. We want to do much more. There is a lot of effort already down. So something from South America may come and something else may not come. I think 30000

is what where we are comfortable. That this much should happen. I mean it is not contingent on 1 or 2 or 3 mines coming up or not. We have assumed some portion of our considered market not coming. Now whether that does not come from South America or another market, I mean it is a question today.

Bhavin Watsani : Great. Thank you so much, and wish you all the best.

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Page 26 of 26 Moderator : Thank you. Next question is from the line of Anupam Gupta from India Infoline. Please go ahead.

Anupam Gupta : Hi, Kunal and Sanjay Bhai good set of numbers . So just quickly harping on the realizations a bit. Do you have a sense of what the exit rate of realization was versus 169 for the quarter, which you have reported?

Kunal Shah : Sorry, say again.

Anupam Gupta : The exit rate of realizations, let us say, what you repriced in December versus for the average of the quarter was there a material difference.

Kunal Shah : Second quarter was 167, third quarter was 169.

Anupam Gupta : So let us say, what I am asking is, what was it in December. If you have that sort of a sense versus average other quarter.

Kunal Shah : I do not have that number.

Sanjay Majmudar : You are talking about particular month.

Anupam Gupta : Yes, whatever signed, to look at it, what sort of reduction has happened in December, although October, November...

Sanjay Majmudar : No, it is not monthly. It is our generally, the pricing is for a quarter, which is based on the previous quarter's passed. So we do not have a monthly adjustment.

Anupam Gupta : And second question, I just want the exports mix. So as a revenue, we know that 80% is exports. But let us say, if you look at in terms of volumes, what is the export mix, and again, within mining and non-mining what is the export mix, if you can broadly give us that.

Kunal Shah : I do not think it will help the underlying question that you may have. I think we will leave it to this macro figures.

Anupam Gupta : Understand, that is all from my side. Thank you.

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Page 27 of 27 Moderator : Thank you. Next question is from the line of Amar Maurya from AlfAccurate Advisors. Please go ahead.

Amar Maurya : Sir, thanks a lot for the opportunity. Two questions. Sir, you indicated that 3000 was from the new plant. So basically 6000 tons is from the old capacity for the mill lining, 3000 tons additional we did this quarter.

Kunal Shah : No, I was only saying that there is a general question of what is the update with the new plant. I preempted that by saying whole year, we will do about 5000 to 6000 tons from the new plant, which is part of the total approximate 24000 tons that we will do full year for mining mill liners.

Amar Maurya : But then, sir, capacity doubled, right.

Kunal Shah : Capacity is 50000 tons for the new plant.

Amar Maurya : So when you say 6000 tons from the old plant...

Kunal Shah : 18 came from the existing plant and 6 from the new plant. That is broadly what I am saying.

Amar Maurya : And then year-to-date.

Kunal Shah : Not year-to-date, for fiscal year 2023 that is the guidance.

Amar Maurya : That is the guidance, okay. But then we expect the utilization of the new plant, let us say,

what would be the utilization for 2024 then.

Kunal Shah : 2024, we will do about 50000 tons. Our guidance was adding 10000 tons approximately each year to be fully utilized between four years and five years, in 4 to 5 years. So we are on pace for that. Hopefully, we will do better than that, but at least that much.

Amar Maurya : And secondly, sir, this power cost, I mean, even in this quarter reduced significantly. So should we see that further going ahead in the quarter, the power cost will reduce further.

Kunal Shah : Power cost reduction is, I think not really material. There is also this cost savings that we accrue from our captive power sources, plus the little bit of efficiency that kicks in. Otherwise, I think, I do not think cost will reduce. In fact, it will only increase because of

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Page 28 of 28 the state electricity board where we buy from, we do not expect a reduction there going forward.

Amar Maurya : In this quarter per ton, power cost has reduced. That is what I am asking.

Kunal Shah : Per ton, I have not done the math but that is all product fixed and other things.

Sanjay Majmudar : Again, the power cost is a function of 2, 3 things, how much WTG credit we got, how much production was more or less. So based on variance analysis we do quarter-over-quarter. So this quarter, one of the key reasons is that there is actually a reduction in production.

Amar Maurya : No, exactly. Per ton should not impact.

Sanjay Majmudar : No. So again, that is exactly what I am saying. Do not go on per ton basis because we do not do internal per ton calculations at all, and it is very, very misleading. A large volume plant is operating at a higher capacity vis-à-vis a semiautomatic or manual large casting plant operating at a different metrics. So therefore it is very difficult. We do not do per ton. It is not possible. Per ton power cost is not possible. Actually, it will not give you the correct yardstick.

Kunal Shah : And our cost, in fact. If I just do the math we have produced 80000 tons at a cost of 102 Crores last quarter, it was about Rs.1.27 and that is about Rs.1.03. I do not know where you got the reduction actually.

Sanjay Majmudar : So, it is very d

ifficult.

Kunal Shah : No, that is not reduced. No, let me clarify, cost has not reduced per ton of production. It has, in fact, gone up slightly. We can take this offline, but for 80000 tons, there is 103 Crores. For 64000 plus tons, it is about 84 Crores. That cost has not reduced. You can just do the math again and connect with us offline if you still want to unpack that further.

Moderator : Thank you. The next question is from the line of Sajan Kumar, individual investor. Please go ahead.

Sajan Kumar : Thanks for the opportunity. Congrats Sanjay and Kunal Bhai for the great set of numbers. While we continue to using the cricket parlance, while you continue to guide like Dravid, but your actuals are like Shewag spin the ball out of the park. So I just wanted to know why you remain so conservative in your guidance.

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Page 29 of 29 Kunal Shah : When you run a business like us, you will realize the amount of variables that we work with, we honestly the idea is, again I will give a short half a minute answer is we actually focus on the long-term, a lot of our customers are there for a long period, there is a lot of solution driven conversations happening, it is as long as I am doing that job well, the outcome is going to be okay and that is where all our effort goes into. The outcome currency changes, raw materials change, shipping cost change, the competitive scenario changes, some duties position comes in. The idea is that despite all of that how can we continue to grow and keep a decent margin and keep the market for a few decades going forward. When we look at it, I think 20%, 22% is a fair margin to keep you look at it on a ten year period, we may not be very far off from there. Now when costs are going down and previous quarter raw material savings are still baked in we have not pass through that. There will be some amount of extra margin sitting over there, that is what we have explained. So our guidance does not adjust for timeline related differences that may come along. I think that is the only difference in our guidance.

Sajan Kumar : No, I completely understand. I just wanted to congratulate for the great performance. Sir, just to elaborate on the same point. I just want to know how much of Forex movement you need to pass through the customers, is it some thing that will be retained by the company.

The reason why I am asking this is this year rupee has depreciated almost 10% vis-à-vis the dollar that could also contributed to your EBITDA whatever the constant revenue to 24% guidance.

Kunal Shah : Yes, absolutely, but it does not flow it, it is not like an IT company selling to a US market where Indian cost affects margins, because even though I am selling in US dollar or our large part of a business in US dollar where there is actually 120 countries on the other side

which are importing in the local currency. So in India rupee has weakened the factor is dollar has strengthen across the market of currencies. So when Indian currency is weaken by 10% my dollar pricing may have to be reduced to adjust for their local currency increase. So it is not a one way street for us but generally speaking directionally a weaker rupees better than a stronger rupee because if the rupee strengthen they have to go ask for a higher dollar price when I have to reduce my dollar pricing it is a happier place to be than the otherwise so directionally yes it helps us, but in reality a lot of that has to be pass through just for us to remain competitive for the customer and their importing currency.

Sajan Kumar : Thanks a lot and so the second question is you have almost 2300 Crores of cash so just want to know any plans are we looking at any backward integration strategies.

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Page 30 of 30 Kunal Shah : I think to that extent we just believe and likely keep saying our best is still ahead of us and

we are excited of what is presented in terms of the landscape and AIA can actually become a very different business going forward in three, four years and cash allows us to have that wider vision, but as of now nothing outside our core business there is no fund use plan outside of what we are doing which is working capital or factories for our business.

Sajan Kumar : All the very best, Sir. Thank you.

Moderator : Thank you. Next question is from the line of Aditya Khandelwal from SIMPL. Please go ahead.

Aditya Khandelwal : Thanks for the opportunity. Sir just wanted to get a better understanding of the mill liner market. So like in grinding media where chrome is gaining market share over forge. So just wanted to know that is also happen with the mill liner segment like chrome is gaining market share.

Sanjay Majmudar: Not really, mill lining has a different alloy base, and we are trying to introduce new alloys, but it is not forge versus chrome at the existing incumbent it is a low chrome product, and we are in that same alloy range if I were to use that word. The differentiation for us comes in, in terms of design of the liners and of course with the metrology that we are offering ultimately resulting in benefits for using our product versus the competition in the mill lining space.

Aditya Khandelwal : So the reason why I am asking was because this another listed player which claims that is hybrid mill liners which is made of steel and rubber and got the same benefits which we have with our chrome mill liners. I just wanted to know your views on it.

Sanjay Majmudar: I am not sure we have understood what their claim is, but rubber and steel are generally mutually exclusive there are operating conditions where steel is a better solution and then there are operating conditions where rubber is the defector and there will be overlap conditions where either can work depending on some other variables, but that is our understanding of the market I do not think I can reflect or respond to someone else's view on that that is for you to verify whatever is the steel market in our opinion is and will continue largely to be a steel market of course with the caveat of some overlap operating conditions where rubber could be a solution and likewise where rubber can be replaced by steel on the other side. So with the caveat of that overlap we believe steel as a material will continue in the market that we are serving.

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Page 31 of 31 Aditya Khandelwal : Just one last question. You mentioned that we should look at the company on an EBITDA margin basis so your realization comes down and the margins remain the same, so the EBITDA on an absolute basis would be a little lower, but with volume growth our EBITDA would be on an absolute basis remain the same and show some kind of growth in the next year. So would that be a correct understanding.

Sanjay Majmudar: Technically, theoretically what happens, that when my margin remains constant sales theoretically comes down little bit then in terms of percentage actually it will grow a little bit as a percentage of sales, having said that there are multiple variables with which we

work one is product mix, second is the status of pass through which is a particular product at that times and we do multiple products like casting, liners, grinding media. So depending on product mix also, it plays a very major role in pushing the EBITDA needle either which way. Having said that technically and theoretically if I work with a basic understanding that I want to earn and maintain my margins then in percentage terms in a falling pricing scenario actually the margins will go up as a percentage, but that is a theoretical answer.

Moderator : Thank you. The next question is from the line of Sujit Jain from ASK Investment Managers. Please go ahead.

Sujit Jain : Thanks, congratulations. Did I hear it correct

ly that every year mill liner volume can go up 10000 so let us say in FY2024 it could be 34000 tons.

Sanjay Majmudar : No, so you see we are talking our consolidated volume this year, which Kunal explained you about 20000, 23000 odd tons our rated capacity of the new plant is about 50000 we are also doing some liner from our existing plant. So we believe that over next two, to three years we should achieve a near optimum capacity utilization but then exact number of 10000 is not what we are talking about. We are talking of a directional opportunity, if the opportunity is good, our efforts are on, let us see. But we talking of a blended volume incremental growth of 30000 so we are not saying from that mill liner will be so much, no we do not do that.

Sujit Jain : Second question is on Brazil that I think was to come up five years after the initial duty which was in December 2017, so when it could have come up for hearing in Brazil, if you can quickly give an update on that, December 2017 was when it was imposed and this period was for five years.

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Page 32 of 32 Sanjay Majmudar : Yes, we will see next year but as of now currently we have already as I explained in the earlier call we have already started supplying on a decent basis to Brazil and they are paying the duty so very honestly we have become agnostic to the antidumping duty scenario in Brazil.

Sujit Jain : It should have come up for hearing again with the government in five years December 2022 that was the last understanding that we had.

Sanjay Majmudar : Yes, it will come up, but as of now we have not tried anything on that.

Kunal Shah : It will come up for reassessing middle of this year 2023.

Sujit Jain : And currently 11.8% duty.

Kunal Shah : Correct.

Sujit Jain : One last question is on SAL. See how much of your raw material is basically ferro chrome and how much would be scrap, ferro chrome broadly.

Kunal Shah : 25% of my production.

Sujit Jain : SAL would be 25% of your ferro chrome consumption.

Kunal Shah : No, the SAL would be just one of the five vendors that we keep buying from I do not think there will be material related to that supply immediately, ultimately we will see how they scale up and what happens.

Sujit Jain : Sure you said 25% is ferro chrome of the RM.

Kunal Shah : Yes, in volume terms.

Sujit Jain : And typically for 100 tons you will require 110 tons of RM.

Kunal Shah : Correct.

Sujit Jain : Sure. Thank you. All the best.

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Page 33 of 33 Moderator : Thank you. As there are no further questions. I now hand the conference call to the management for closing comments.

Kunal Shah : Thank you Nirav for taking this. Thank you all for joining the call. As always Sanjay Bhai and I remain available for your follow up questions offline, and we look forward to engaging again for the fourth quarter numbers. Thank you and have a good evening.

Sanjay Majmudar : Thank you. Thank you all.

Moderator : Thank you very much. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: May 2023

AIAEngineering Limited
May29,2023

To,
TheManager (Listing),
TheBSELimited
Phiroze Jeejeebhoy Towers,
DalalStreet,
Mumbai -400001
ScriptCode:532683To,
TheManager (Listing),
National StockExchange ofIndiaLimited
"Exchange Plaza",C-I,Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai -400051
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DearSir/Madam,
Sub:Transcript oftheInvestors' Conference CallheldonMay25,2023
Pursuant toRegulations 30and46(2)(oa) oftheSEBI(Listing Obligations andDisclosure
Requirements) Regulations, 2015,pleasefindenclosed herewith theTranscript ofConference
Callbetween theCompany andInvestors onThursday, May25,2023todiscuss theAudited
Financial Results andperformance oftheCompany fortheQuarter/Year ended31stMarch,
2023.
Theaforesaid transcript isalsobeing hosted onthewebsite oftheCompany,
www.aiaengineering.comin accordance withtheRegulation 46ofSEBI(Listing Obligations and
Disclosure Requirements) Regulations, 2015.
Kindlytakethesameonrecord.

Thanking you.
Yoursfaithfully,
ForAIAEngineering Limited
S.N.Jethliya
Company Secretary
Encl.:Asabove

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"AIA Engineering Limited
Post Results Conference Call "

May 25 , 2023

MANAGEMENT : MR. SANJAY S. MAJMUDAR – AIA ENGINEERING
LIMITED
MR. KUNAL SHAH — AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is L izann, the moderator
for your conference call. Welcome to the post results conference call of AIA Engineering

Limited. We have with us today the management team of AIA Engineering Limited. As a
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reminder, all participant lines will be in the listen-only mode. Later we will conduct a question-and-answer session and at that time if you have a question, you may please press star and one.

I would now like to turn the conference over to AIA Engineering management team. Thank you, and over to you, sir.

Kunal Shah: Yes. Thank you so much. A very warm welcome to everyone. We are happy to report end of this year, fiscal year '22-'23. And the numbers for this year are very, very encouraging. We've seen growth after last few years of stall on account of various reasons. We ended the fourth quarter with sales of 73,500 tons on a production of 74,674 tons, translating into sales of INR1,251 crores, an EBITDA line item of INR 379 crores and profit after tax of INR 268 crores.

Major highlights for this quarter was when raw materials. Also, I'll just talk about the highlights for the year. We've done 291,000 tons for the full year. That's up from 260,000 tons full year last year with a top line of INR 4,800 crores compared to INR 3,500 crores for full year last year. EBITDA of INR 1,475 crores, up from INR 877 crores and profit after tax of INR1,055 crores, up from INR 619 crores.

A couple of highlights for this year. This year has been the first full year after the COVID interruptions. And the setback that we got for duties, shipping costs going up etcetera. And happy to -- we feel that we're back into that growth mode. In this quarter, there is a reduction in other income related to forex, and that's largely on account of the changes in currency that we saw at the end of March. Of course, the Indian rupee has since recovered and some of that will get reversed.

When I compare sequentially Q3 to Q4, there is about 5% reduction at EBITDA level in currency terms, and there's another 5% on account of your cost of goods sold, and that largely reflects increased change in product mix. There's also a price pass-through, which is adjustment on the lower side. And we also had actually, raw materials go up this quarter from the previous quarter. So while the selling price was reflecting the lower raw material price previous quarter and hence a lower selling price, but my cost on the other side has gone up a little bit.

So on that account, there's a 10% -- almost a 10% sequential reduction in EBITDA, and that's in line with our commentary last quarter that -- this is a super normal margin. And when there's a pass-through both ways, and there is -- there will be a pass-through when raw material prices go down and that's reflected in this quarter's numbers. Of course, the raw material prices have still been up last quarter, and we're seeing a little higher raw material price this quarter as well.

And that's a constant situation. So we don't spend time estimating the future, imagining the future and where it will be. Thankfully, our business model allows us that full pass-through. So it will be where that number ultimately end up that way.

Some key other numbers, our export benefits are a little higher than the first 3 quarters because there's a 1% RoDTEP, remission of duties and taxes on export that has started grinding media.

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So there's a little bit of increase on that account. So it's a INR 21.75 crores compared to INR16.90 crores in the

the sequential third quarter.

Our treasury income is at INR 48 crores compared to INR 42 crores, largely in line with our cash. We are at about INR 2,550 crores of net cash and the treasury reflects that. But the main changes in the foreign exchange, which gained, which was at INR75 crores approximately in the third quarter, that's reduced to about INR 15 crores. INR 60 crores sitting in that account. And I think some part of that will get reversed as we go forward because of the weakening rupee. But that's a change that will keep happening on an ongoing basis.

I think our working capital is largely in line -- receivable at 63 days comparable to the third quarter, WIP and raw material, again, a number of days terms largely flat. Our growth are 73,000 tons, 3/4 of that, about 48,000 tons came from mining and 25 is non-mining, which is cement and thermal power and quarry, the 3 industries that we service. And so for the full year, we are about 192 in mining versus 170 in the full year last year. And non-mining has grown from about 90,000 tons to 98,000 tons, and that's the breakup for the growth of that 30,000 tons.

A few other key numbers, if I were to reflect on. We are -- as a business, we are doing some restructuring of our plants, our manufacturing footprint as far as our non-grinding media is concerned. There's some amount of automation, upgrade, debottlenecking, creating some

warehouses, etcetera, to allow for some improvements in operations.

So we have overall earmarked INR 200 crores towards that reorganization, which is land for that warehouses, we need to build some extra storage places, some decongestion automation. And the y're doing some extra molding lines which will not enhance capacity, just increases our ability to do some type of parts. So all of that put together is about INR 200 crores.

As a result, there will be operational and productive outcomes, but there will also be about 20,000 tons of non-grinding media capacity that we will see an increase with. And it should take about 4 to 6 months for some of that to come through. So I think we expect between October and December, that additional 20,000 tons of capacity, non-grinding media capacity to come up.

So over and above that INR 200 crores, we are already working on a grinding media project, which is 80,000 tons enhancement. That project from where we stand, some delays in that execution on the design, procurement, etcetera, will take up to end of 2024 to get implemented. And there's about INR 150 crores capex on that account. So we have a INR 350 crores total capex, both these line items, and about a INR 50 crores in renewable investment that we are looking to do. So after that investment, after the INR 50 crores renewable, we should -- on this year, power consumption, almost 40% of our power will then come from captive and renewable sources. And this is largely constrained by the regulatory aspect within the states that we operate, I think.

From we were at 18% or 20% the year before, this year, we are at about 23%, 25% -- 27%.

And we'll go up to 40%, 42% going forward on current year production. As we grow

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production and consume more and have more connected load, probably we can add more captive renewable sources and take it from there.

So about a total INR 400 crores broad capex, the grinding media capex will be between this year and next. Let's say, half an hour. The bottleneck for our non-grinding media and the wind will be surely -- some part of it may be next year, but wind is surely this year, the other part. So as of now, this is the total capex spread between this year and next, about INR 400 crores.

Okay. So besides that, we are happy to announce that the board has today declared a dividend of INR16 a share and that'll roughly be about INR 150 crores of outflow for the company. So that's what we are ha

ppy to report. Our order book is at about INR 770 crores, but as we explained that these are orders, not reflecting the contractual commitments, underlying those orders.

From a business standpoint, multiple efforts and which we have kept talking about in the past, where we are doing interventions with the customer in terms of our mill lining abilities, mill liners and the whole proposition that we have on that side. We continue to focus on the chrome benefits as far as the down process, the benefits are concerned for gold and copper. And continue to reinforce with existing customers and adjacent customers in those geographies.

I think with that said, I think we look to be comfortably placed to grow at a 30,000-plus rate as of now and continue with a guidance of 20%, 22% operating margin, and more, if we can, but that's the model going forward. Our weighted -- our realization per kilo is at INR 170, which is comparable to what it was last quarter. And it reflects a product mix change also. I think there's a little more of casting this quarter versus grinding media. And that's why -- you're seeing -- otherwise, given the price pass-through, this would have been 3%, 4% lower. That's the only thing that I would remark about.

I'll have Sanjay Bhai share his opening thoughts, and we can get to...

Sanjay Majmudar: Good evening to all participants. Thanks, Kunal. Just a couple of very quick observations from my side. So one, of course, this year end and quarter marks a milestone for AIA in the sense that we have crossed -- the total income has crossed INR 5,000 crores with INR 5,143 crores being the total income reported. And the profit also has simultaneously across the important benchmark of INR 1,000 crores with our PAT after minority interest reporting at INR 1,055 crores.

A couple of very quick observations. If you see in the last call, we were very candidly clear that this 39% should not be read as something which is constant and we've been sort of vindicated in the sense that, that one-off INR75-odd crores of FX gain has significantly reduced plus the impact of the pass-through on the negative side has come in this quarter, which has resulted into the Operating EBITDA becoming in a more realistic range of about 30-odd percent. And on an entire year basis, it is about 24%, 25%, which is also reflecting what we have been saying. As we know, quarter-over-quarter amendments and adjustments are not something that

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we look at, but it is more on an annual basis, and that is what we were actually quite clear about.

Second point, in our presentation, we are talking of a capex of INR200 crores. But actually, the total -- that INR200 crores is only with respect to ongoing brownfield expansion plus the wind part and the real actual picture is what just Kunal said, INR 400 crores. So we'll also make some adjustments and amendments and because it's a little bit in a hurry. So we will be, again, uploading it.

But this is just for the benefit of all, broadly that the current year broadly capex is INR400 crores. Bulk of it, close to INR 300 crores coming this year, and about INR 50 crores to INR 100 crores going next year. This is the broad. And lastly, all of our growth drivers are very much intact. The business opportunity is absolutely the same, tremendous efforts all over the key markets are being on with a total focus on mining, conversion from port to hydro, that being our main stay. A lot of new business directions are also being added through mill liner efforts.

So all in all, the story remains the same. We are all remaining equally committed and excited.

And I think going forward, we should be able to see how the things unfold. I think with this, I request the moderator to open the house for Q&A.

Moderator: Ladies and gentlemen, we will now begin the question-and-answer session. The first question is

from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.

Ashutosh Tiwari : Congrats on a good set of numbers. So firstly, on the realization part, you mentioned that obviously, this quarter is a bit higher due to this mix change with costing being higher. But that number, say, 3%, 4%, lower than this, will that sustain going ahead? Or is there some pass-through of that or plate or RM or anything remaining?

Kunal Shah: What are you saying whether this...

Sanjay Majmudar: Whether INR170 will sustain.

Ashutosh Tiwari : You said INR 170 is maybe 3%, 4% higher than normal and because of castings and all. So if you remove like, say, then INR160 plus is sustainable number going ahead in terms of realization per ton -- per kg?

Moderator: Ladies and gentlemen, we seem to have lost the audio from the management line.

Kunal Shah: Ashutosh, INR170 at current raw material should hold. It's a product mix issue. So to that extent, it can change maybe. As of current raw material and current situation, between INR 160 and INR170 is where it should stay. I mean there are too many variables for us to answer, give an objective answer.

Ashutosh Tiwari : Yes, I got it. Got it. But the freight cost, everything is now fully passed on. There is nothing on that is nothing remaining as such.

Kunal Shah: No, no. It's fully passed on to the customer. And it's reducing. So there is some amount of pass-through that will happen.

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Ashutosh Tiwari: It will happen in next quarter ?

Sanjay Majmudar: Yes, it is an ongoing process.

Ashutosh Tiwari : Then the margins are probably settling at higher levels than what probably is a longer-term thing maybe because -- is it because maybe South Africa was lower margin, and that's why is that the reason why margin is probably settling at higher level?

Kunal Shah: I don't think there is -- there are plenty of variables, no Ashutosh, for us to say one thing like that. But your question was freight, there's some amount of pass-through to the customer that will still happen over -- that's an ongoing process like Sanjay Bhai said. I mean these are costs -- and our ability is there to pass-through. And then that will be -- that's all I think we can help you with just now on it.

Ashutosh Tiwari : Okay. Got it. And secondly, you mentioned this 20,000 tons of non-grinding media capacity, this is liner or castings?

Kunal Shah: Castings, castings. We have the whole order of cluster where we do...

Ashutosh Tiwari : Yes, yes. But that is mainly for cement, right?

Kunal Shah: No, no, no. We have mill lining. We're doing vertical mills. We're doing thermal power stuff over there. And it's integrated with our new plant also, right? So we are doing some parts, some work with the new plant also where the flexibility of the parts, the parts we can make have required some amount of equipment. And sometimes you to invest. Your headline

capacity is there at 50, right? But then their ability to produce what is also -- they're doing right from 50 kilos to 20 tons and it's not always possible to estimate.

We take a certain amount of estimate to say let's start with this equipment. So just now based on what we are foreseeing for non-casting, there will be some amount of investment just to widen our product portfolio within the sizes of castings that we are handling right now. Of course, and these are older plants we need to bring in automation. We need to decongest, right?

So we are retooling them for next 10 years, basically.

Ashutosh Tiwari : Okay. Okay. Got it. And liner, also the volumes this year?

Kunal Shah: Liner volume was about 25,000, 26,000 tons.

Ashutosh Tiwari : Okay. And this should grow to around 35,000-plus next year, say '24?

Kunal Shah: We'll do 10,000 each year, I mean, 25,000 should be closer to 35,000 next year, at least. I'm talking of mining liners.

Ashutosh Tiwari : Yes, yes. Okay. And in terms of like the demand outlook, is there any change or demand remains strong? And which metals right now are doing better for you in terms of growth cost...

Kunal Shah: The same is -- business as usual because we are not with a 0 underlying business, economic trend that affects our business. Gold and copper and cement are commodities that will -- and

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they will continue to be produced and used with a small variation here and there. Their end prices may change to market sentiment, economics, etcetera. But I don't think it just -- it's a -- we continue to do the boring job.

We have to go to the customer do all of that, right? And we are replacing -- converting from an incumbent to us, that's the journey that we have to do, generally unaffected by global factors.

Higher shipping price and all of those things are more important to us than really how is gold doing or how is copper doing or how is iron doing.

Ashutosh Tiwari : No. I meant mainly the cost of relation that we work in copper and gold. So will copper and gold...

Kunal Shah: Nothing to report over the last quarter or 2, Ashutosh.

Sanjay Majmudar: It's the same, Ashutosh. Our focus is absolutely the same.

Moderator: The next question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan : Congrats on a good set of numbers. My first question is with respect to the mining efforts that we are taking in terms of new geographies, etcetera. Any thoughts on that? Are we looking at newer countries in terms of addressable market? Any thoughts on that?

Sanjay Majmudar: So Ravi, actually, all the key markets, which are very, very important would include, of course, the North American market, the LATAM. They remain the markets of absolute star focus. Australia remains a very important market. CIS remain s a very important market. So all those markets -- the whole issue is that -- as we explained, it's an agonizingly long process of conversion. And the market, the dynamics, everything remain absolutely the same. Chile, Peru. These are all extremely critical, Brazil. So similarly North America, Canada, they are all very, very important. Gold and copper remain the key driving force. Iron, of course, is there. So it's absolutely the same.

New customer development continues. A lot of new mines are under discussion, regulation.

Again, onboarding important, good number of people. Training them continuously, that all processes have to continue to make sure that our bandwidth is available. And conversion, as you know, is a very long process. So we are at it, absolutely.

Ravi Swaminathan : Got it, sir. One more question. So working capital has kind of improved this year significantly.

Kunal Shah: Yes, you're right. Yes.

Ravi Swaminathan : Any reason behind that? Or...

Sanjay Majmudar: It will -- I would -- it's a little more conscious efforts and also the fact that because of improvement in shipping times and other things, the inventory which was in transit, that impact is also reducing a little bit.

Kunal Shah: And that's what we have guided as well, right, that we are carrying extra inventory during COVID and uncertainty around shipping times, I think it's just a little bit of alignment back...

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Sanjay Majmudar: So 7 -8 days improvement in finished goods holding, a few days improvement in data realization. So yes, there is an overall...

Kunal Shah: It is an ongoing process, but the COVID shipping is what helped us with the finished goods.

Moderator: The next question is from the line of Garvit Goyal from Nvest Research. Please go ahead.

Garvit Goyal: Sir, my question is from other income side. So like you earlier mentioned in the other income, forex gains are constituting a significant part. So can you give

me a number, how much is for

closing FY '23 out of this INR 240 crores of other income is the forex gain.

Kunal Shah: Out of -- there is a...

Sanjay Majmudar: We have given the breakdown.

Kunal Shah: Forex gain for the full year was INR 58 crores last year and INR 99 crores this year.

Garvit Goyal: And you are mentioning it is likely to give us in FY '24, right?

Kunal Shah: No. I was saying that at the end of Q3, our foreign exchange gain was at INR 75 crores, right?

In Q3 -- between Q2 and Q3. Essentially, that was the difference. Some realized some not because the rupee came down and then weakened in that quarter. And as you would know that in the fourth quarter, January to March, rupee is tender, right? While the rupee has subsequently in this quarter, weakened again, I mean, that -- I was just explaining the drastic reduction from INR 75 crores in third quarter to INR 15 crores in the fourth quarter.

Garvit Goyal: Understood. Understood, sir. And sir, again, on the realization side. So like currently, these are INR 170,000 kind of. So my question is on the -- how much of this realization is the kind of permanent one, like due to the product mix only?

Sanjay Majmudar: No. So it's very, very difficult to give you exact math because it is a function of several factors. One is the product mix, which is a very important factor. Second is there's always a lag of pass-through either on the increase of raw material in freight and decrease of raw material in freight. Again, the product mix variation is also very, very vast. If you see the lower end to upper end, we are talking of INR 80, INR 90 all the way going to INR 250. Again, so there are multiple sets of factors that work. We, therefore, generally, historically, we have been giving this data.

Actually, internally, we do as a percentage of operating EBITDA, which is the best yardstick for us also. And I think that's what we have been always saying 22% to 23% is what we have

been consistently focused on. Yes, some quarters, we have done better. Couple of quarters, we might not do as good, but over a longer period, a consistent percentage pure operating EBITDA is what would be the best yardstick to monitor us.

Moderator: The next question is from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

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Dhavan Shah : My question is in the last con call, I think we mentioned that the volume guide for '23 was roughly 2,95,000 to 3 lakh tons , against which we did roughly 2,91,000 tons . Can you please share, I mean, what led to miss the roughly 5,000 to 10,000 volumes for this FY '23? And this will be shifted in the next fiscal or not? Because your guidance is roughly 30,000 tons , which you already shared the last con call also that the FY '24 guidance would be roughly 30,000 to 40,000 tons. So this incremental 5,000 to 10, 000 missed will be added in the FY '24 numbers? Is that understanding correct or not?

Kunal Shah: Okay. So I'll just answer that question quickly. It's more indicative in directional. There are -- we sell to more than 120 countries, there is shipping involved, right? So there's always a few thousand tons that move here and there. 30,000 tons , whether we did -- I guided 2,95,000, we did 2,91,000, so it will be 30 plus 34, it doesn't work that way. It's only directional. So we'll do additional 30,000 -- Exactly. So -- it's only directional. We may do 25,000, we may do 34,000.

Directionally, we are saying that it looks to be headed that way next year.

Dhavan Shah : Okay. And can you share the ferrochrome price for the last quarter Q4. I think in Q3, the price was roughly INR 120 a kg. So is that almost the same or not?

Kunal Shah: That was lower -- it's gone to -- I don't -- see, it's difficult for us to -- we work with several alloys. These are all directional answers. It will be difficult for us to do. But ferrochrome

as we

price is about 5% to 10% higher than what it was end of fourth quarter -- end of third quarter.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK Group. Please go ahead.

Dhananjai Bagrodia: Wanted to ask you, sir, on your freight cost, is it till boat or till the final customer?

Kunal Shah: It depends. For majority of the customers, it's still the final customer. We generally do a delivered basis. But there will be customers who want if FOB, CIF at the port, etcetera. So all those combinations are possible, but largely delivered to the customer.

Dhananjai Bagrodia: Okay. And maybe I missed this with all the noise going on, but just roughly what -- any volume guidance you would give for the company as a whole for next year , '24?

Kunal Shah: About 30,000 tons for next year.

Dhananjai Bagrodia: Okay. And any margin guidance?

Kunal Shah: No. 20%, 22% is our -- 20% to 22% is a directional profit guidance.

Dhananjai Bagrodia: And sir, lastly, I just wanted to ask then, let's say , in mining or now in cement, are we seeing any particular increase happening in overall capex between any of the clients we have?

Because on the other side, we're not seeing so much mining growth happening in some of the commodities we track. Are you all seeing that?

Sanjay Majmudar: No, no. So let me first clarify that our growth is more of a function for our conversion cycle getting positive in our favor, given the fact that there is a very significant headroom between the current role of penetration of ferrochrome vis-à-vis the current market. So assuming for a

moment that -- okay, so we all know that mining continues worldwide with a growth of maybe

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single -digit 3%, 4%, 5%, 6%, whatever it could be. But assuming that there's no growth, even then with the current penetration of, say, about 25%, I have a headroom for growth for conversion. And that is what is driving our growth.

So our is completely, we are very agnostic to the industry growth and capex cycles. Having said that, copper and gold both are very, very bullish, overall the approach, as you know, in EVs and everywhere copper is required. Gold is a commodity. Gold is a metal, which is always in demand. Iron continues to be the metal, which is normal growth with the overall world growth. So I think generally, as I explained, we are not very particular about the capex cycles. Having said that, we see some positive capex cycle, but our total focus is on conversion rather than those capex cycles.

Dhananjai Bagrodia: Okay, sir. No, definitely. Perfect. And you said INR 400 crores capex over the next 2 years.

Sanjay Majmudar: Yes. Yes.

Dhananjai Bagrodia: And sir, would working capital...

Sanjay Majmudar: That's the minimum. That could be a little higher, but this is as of now.

Dhananjai Bagrodia: Sure. And will working capital be in the similar range as it is now?

Sanjay Majmudar: I think you can take it in the similar range. Number of days, overall.

Moderator: The next question is from the line of Priyanka Biswas from Nomura. Please go ahead.

Priyanka Biswas : Congratulations, Sanjay Bhai and Kunal Bhai for the good set of numbers. The first quick question is, I see some debt that you have taken all of a sudden, I mean, a bit of a surprising.

So...

Sanjay Majmudar: No, no, no. So that is -- basically, Priyanka, the working capital foreign currency borrowings...

Kunal Shah: I think these are normal treasury operations, Priyanka.

Sanjay Majmudar: It's basically packing credit. Exactly. They're all optimizing our treasury.

Priyanka Biswas : So packing credit, those sort of things, essentially. Like that -- like on the balance sheet that it was just present, something like that.

Sanjay Majmudar: Yes, around INR 400 crores, correct.

Kunal Shah: So cash is INR 3,000 crores, we've got INR 400 crores, INR

450 crores or debt. So you have a

net cash of whatever, right? So we haven't reported gross cash -- but these are treasury operations that are normal and customary at this level of working capital.

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Priyanka Biswas : Okay, understood. The second part is typically in fourth quarter, your non-mining volumes tends to be quite high. But this time, what we are seeing is that the March quarter non-mining volumes are lower than December. So any...

Kunal Shah: But I keep explaining every time there is no trend, there is no trend. I'm happy it's that way because I can now get away from that question on the fourth quarter. It does us no good to report a great fourth quarter. There's no reporting on an annual basis. You guys grill us every quarter, nevertheless, right? So I mean, it happened that way. There are so many -- every container is an invoice for us and there are various -- what happened that quarter, the concentration of customers, the delivery lead times, etcetera, that comes into play.

Sanjay Majmudar: No, there is nothing cyclical about our business, so to say, really.

Priyanka Biswas : Also, additionally...

Sanjay Majmudar: It is all driven by a particular requirement...

Kunal Shah: This quarter also see the West has cement plant shutdowns because of winter. There are times when they place it in the third quarter, sometimes in the fourth quarter. So there are underlying things, but nothing that's a given saying fourth quarter will always be more. Understand.

Priyanka Biswas : Okay. Understood. So it was merely just it used to happen like earlier, I mean no definite trend?

Kunal Shah: Exactly, correct.

Priyanka Biswas : So what I see is this time the other operating income is higher. So you explained that there was a 1% RoDTEP received -- So this should continue in FY '24 and '25, right? So essentially by that quantum it should be higher?

Kunal Shah: Yes, yes. As long as the policy continues.

Priyanka Biswas : Same policy if it continues, as you -- Also, one more question, if I can squeeze in. So any developments in Canada or Brazil related to the antidumping matters?

Kunal Shah: Not really. Our Brazil duty will come up for review middle of this year and will take another year for its process. But like I said, it's now -- this is something that we have to deal with.

Canada is there's a well-settled administrative process in place and which we are complying with.

Sanjay Majmudar: And our dispatch is continue.

Priyanka Biswas : Okay. So when can we hear anything about Canada?

Kunal Shah: Sorry?

Priyanka Biswas : So when can we hear about any updates from Canada?
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Kunal Shah: We shared Canada to say we lost volume when there's a duty thing. Now it's part of all the other countries that we're doing. I don't think Canada needs special attention beyond that.

Sanjay Majmudar: And our volume growth is economic to that.

Kunal Shah: Everything else that we're doing that Canada is not a material part of our things. It's an important market. And we'll deal with it, right? The growth cannot be contingent on things happening there. I mean the mindset in which business is being structured.

Moderator: The next question is from the line of Ganesh from Dhanalakshmi Investment . Please go ahead.

Ganesh: Sir, I just wanted to know about the strategy of our company broadly. So when we say that lining market and the grinding market is shifting from legacy players, we are also seeing some lining kind of composites or polymers or even ceramic -based grinding media. So how do you see our right to win in chrome -based media and lining? And how do you evaluate that currently? so that will be my first question.

Kunal Shah: I think there are 2 parts to the answer. One is underlying structure of the business for the contrary to everyone

else on the call, I think it will be a longer answer, and Sanjay Bhai and I can help you offline with that. Ceramic is a print solution, right? There is -- as far as grinding media is concerned, there is force in this cast chrome. We do not offer commercial third spherical medium to grind input feed. So today, I think these are -- there will always be fringe elements, small parts here and there being used. But -- and they may be in that zone for many, many years or decade. So from a grinding media standpoint, there is no alternate material coming in.

As far as mill linings are concerned, you always had -- the current market also uses metal hybrids and rubber, and each has its own independent silo. And we will also have a strategy for hybrids like others may and there is enough market for all of us to grow. I mean today, 50,000 tons capacity that we have, I think we are not too much bothered by the macro hybrid versus rubber versus steel and all of that.

I mean it's a far more layered solution that we have, where we are going and talking about increasing throughput reduction in power and other things within the metal side, right, today.

And then that's a large market for us to not really worry about those -- there's no point in debating or discussing another company strategy or another person's view over here. I mean there is a market for hybrids and there's a market for rubber and a market for steel liners. I

think we'll leave it at this for now, and happy to do offline for overall strategy for the business.

Sanjay Majmudar: Just a quick add, what solution we have in mill liner, I don't think anybody else can offer. I mean that is the uniqueness of our solution.

Ganesh: Okay, sir. Got it, sir. Thank you for that. Sir, coming to the chrome -based media in particular. So how do you evaluate our current competency or current competitiveness in this market?

Sanjay Majmudar: Now -- see, very honestly, we believe that we have climbed up the knowledge chain quite a bit in terms of our competencies. So in cement, I think unquestionably, we would be a quality

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leader across the globe and the kind of solutions that we have, any type of mill, any type of equipment, we have that solution. Similarly, now in mining with our focus on the chrome and the wear rate advantage that our product brings, plus the DP or the down process benefit that we have demonstrated and the mill lining uniqueness of the solution.

Again, we believe that we are a very unique company offering all these under one roof. On a very composite basis, there is -- of course, there is competition. So there are companies like Meghatop, they compete with us. Then on the forging side, you have the Molycop and the Electmetal. And then on the mill line, you have Bradken and Norcast etcetera. But one company having all these capabilities and also very unique benefits or solutions that we can bring on table, I think, that's a very sweet spot to us, and we continue to remain very focused in taking advantage of that situation.

Ganesh: Okay, sir. And my last question would be on the cash and other investments that we have in our books. So do we have any planned out any strategy for...

Sanjay Majmudar: No. So -- right now, yes, we understand there's a very decent amount of we are generating and utilizing. However, having said that, significantly large capex is still on cards. And we believe that we should reach at least a significant level of penetration. Any opportunity can come across. We should be ready with any situation. So we believe that we want to remain a little more comfortable with higher level of cash, at least, for maybe minimum one more year or maybe even a little longer. That's our internal thought process.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: A few

questions. So firstly, on the mill liner part, it seems to me that we've done about 5,000 to 6,000 tons from the new mill liner facility this year. And the plan is to go or add another 10,000 over the next 1 year. So if you could just throw some light on what lenses that visibility to ramp this up in FY '24 in terms of the trials that are undertaken.

Kunal Shah: We have already shared our overall guidance that we'll add about 10,000 tons of mill lining a year. Idea is to fully utilize the plants in 4 months -- 4 years -- 50,000 rated capacity, so we should be able to do between 40,000, 45,000 and comfortably add 10,000 tons of -- is the current plan. So that's all within our current utilization.

Aniket Mittal: Could you maybe just throw some light with geographies, you're probably getting traction on for these ramp -up in mill liners? What is the number of sites where trials are happening?

Kunal Shah: Yes. So there are 3 types of customers. Our existing customers who has a -- who -- where we can try and open up a relationship. Second is new customers where we are doing it with our own design. Third is with the new design, right? So there's a whole variety of these people are

-- it's a very conservative market. People don't want to change their incumbents or existing peers. The ultimate strategy is to sell more grinding media.

The idea is not just to sell mill liners. So our wish list is to go to a customer where we can sell a whole solution, which is mill liner and grinding media and offer the whole gamut of benefits

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that accrue by using our old combination, right? So that it takes within these 3 parts. And this is to customers wherever there is mining being done. So no special focus on one geography.

Aniket Mittal: So our current mix is also fairly diversified, that would be fair to say for the mill liners?

Kunal Shah: Current split is -- so current sales you're saying is also split amongst geographies, right? That's your question? Yes, there's no one country doing 50% sales or one customer doing 50% of that.

Aniket Mittal: The second question was just to harp on the non-mining front. You talked about this being fairly volatile in nature. And we've seen that over the past 4 quarters, but let's say, going ahead, how do we look at, let's say, the volume growth of...

Kunal Shah: So it is not volatile. We said billing invoicing cannot be sharpened to every quarter. I mean there is -- it moves between quarters here and there. But broadly, we've done about 90,000, 95,000 tons. We don't expect a lot of growth coming in from there. So -- I mean it is linked to the cement market overall and the thermal power in India, and these are not industries that are fundamentally growing and most conversion has happened to chrome. So we are not factoring growth or budgeting any of that. Whatever the market grows or additional requirement comes in, we'll be a natural beneficiary of that.

Aniket Mittal: What would we expect between, let's say, cement and utility within the...

Kunal Shah: I don't think it will help any further analytics because that's our pocket of -- we are not sharing further granular information on it and probably won't help any further evaluation of the business.

Moderator: The next question is from the line Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Congratulations on a good set of numbers. Sir, my question was you're talking of an incremental 30,000 tons of volumes annually. Now with the mining liners capacity coming up and a lot of our solutions, which are now much more like a solution base rather than just only the castings or the grinding media and everything because it's kind of a complete integrated solution that we are offering. I mean we're looking at a 10% kind of a growth as such going forward. So shouldn't actually the volume scale up be faster now that we are

having a much

better integrated solutions and offering now?

Kunal Shah: You're absolutely right, and that's what we are working towards, right? But there is an overriding layer of context to this industry, which is customers being conservative, right?

There is an element of decision -making. There are these other variables which are a strong influence. And what that does is it limits our ability to forecast and give a certain figure, right? For us to go out and say 50,000 may or may not be easier. It's easier to do, but it's easier -- it's difficult to forecast.

So I think that's where we are coming from that -- the beauty of the business is not going to be a rapid J -curve growth. It's the steady stability that comes with that growth is because the customers pay, right? I don't have to go fish for that one more order, one more customer which

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somebody else is trying to pry away, right? That's the beauty of this business, that -- it could be a slower growth, but it's a surer growth throwing out reasonable free cash flow and profit. I think that's the nature of our business.

I mean, the joy is not to go and say we did 100,000 tons a year, right. The joy is to go become the largest in the world and whatever time and effort it takes towards that. But answering -- the short answer is yes, we would hope and wish that it's more. But the experience has taught us that there is some variable that can go against us. And we don't know what that is. And that's why rather than forecasting and trying to explain variance, we're saying here's what's possible. It's more directional answer, as you know. This is not a studied specific answer.

Bhoomika Nair : Right. Because where I was coming from is that we are already at 440 by the end of this year with the additional capacity coming in, and we'll be at 520. And then we are talking of also debottlenecking a little bit, which will further add capacity. And if we are adding 30,000 on an annualized basis, that would mean that utilization levels and asset on would kind of fall quite a bit because you would have 350 -odd or if I take broadly a 30,000 tons of incremental. So -- will we possibly go slow on expansion

Sanjay Majmudar: Bhoomika, no, no, so let me stop you there. See, 30,000 is a doable number as we speak today. But as we explained, there are several mines on which we are working. There are many, many opportunities on which we are working. A significant conversion or a major conversion can ramp up the volumes much better than what we are talking, and that is the reason why we're feeling encouraged to go on expanding our capacities, correct? .

The problem is, as we have explained again and again. This conversion process, we work with several constraints. The mines, they work with a fixed budget. They need a lot of conviction. Our solution has fantastic results, and there are a lot of demonstrating the fact that we have also talked to the mines. It takes a little while. Now there would be an inflection point where we can say that, yes, we can grow much faster. We hope we should reach that inflection point sooner and as we reach things can change. So -- but let's -- as of now, let's go with this number, at least, for this year. Let's not talk very long term. Otherwise, there's no point in my expanding, no.

Bhoomika Nair : Sure, sure. So the other aspect was on the margin profile. Now obviously, margin has kind of moved up whether we look at it on a per ton or a percentage basis, etcetera. Now as we're expanding our volumes and driving volume growth, how is the competition? Do you think that we'll need to scale down if you want to grow volumes a little more aggressively? Or do you think that can happen hand-in-hand together?

Sanjay Majmudar: No. So frankly, we have to have a mix of everything. So then wherever the chrome advantage is moderate, we have to be very com

petitive in pricing. Wherever we want to have a breakthrough in a mine and that mine manager doesn't want to budge with his budget, we have to again be competitive. But over a period of time, we have demonstrated that for certain pockets and certain businesses where our titration is more based on significant value add, the pricing as a stress is not the only point that really can impact us.

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So I would say at this point in time, a 22-odd percent sustainable pure operating EBITDA is something that we are very, very sure of. There is definitely room for improvement. But at this point in time, for the same reasons, we are not giving any guidance for any margin expansion. Having said that, there is good room for margin expansion. Let's see how it goes. You have to wait and watch.

Bhoomika Nair : Sure, sir. Sir, just lastly, we have about roughly INR 2,500 crores, INR 2,600 crores of net cash on books. And obviously, every year, we are generating a huge amount of free cash flow, which can easily fund working capital and capex requirements. So any thoughts on usage of cash? While we have announced a INR 16 dividend, yet I think the cash is quite high.

Sanjay Majmudar: INR16.

Bhoomika Nair : Yes, yes. But despite that, I mean, there's decent amount of cash that is left behind.

Sanjay Majmudar: No, no, I agree. So as I said, we have conservatively decided to have a little higher holding at least for another year. I assure you there will be -- there is a very conscious and continuous discussion in every board meeting on this. And there would be at an opportune time, something that we will do with extra cash, either consider giving you back or doing something which is there. But I think let's wait for a while.

Moderator: The next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

There seems to be no response from the current participant.

Kunal Shah: Operator , I think the queue is over then, right?

Moderator: Yes, sir.

Kunal Shah: All right. Cool. All right. Thank you, everyone, for joining the call. And Sanjay Bhai and I remain available offline for any more questions. Thank you.

Sanjay Majmudar: Thank you.

Moderator: Thank you, members of the management team. Ladies and gentlemen, that concludes your conference call for today. We thank you for your participation and for using Chorus Call Conferencing Services . You may please disconnect your lines now. Thank you, and have a great evening.

Call: Aug 2023

AIA Engineering Limited
August 4, 2023

To,
The Manager (Listing),
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001
Script Code: 532683 To,
The Manager (Listing),
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400051
Script Code: AIAENG

Dear Sir/Madam,
Sub: Transcript of the Investors' Conference Call held on August 2, 2023
Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Wednesday, August 2, 2023 to discuss the Unaudited Financial Results and performance of the Company for the Quarter ended so "June, 2023.
The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Kindly take the same on record.

Thanking you.
Yours faithfully,
For AIA Engineering Limited
S.N. Jetheliya
Company Secretary
Encl.: As above

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"AIA Engineering Limited
Post Results Conference Call "
August 02, 2023

MANAGEMENT : MR. SANJAY MAJMUDAR – INDEPENDENT DIRECTOR –
AIA ENGINEERING LIMITED
MR. KUNAL SHAH – EXECUTIVE DIRECTOR –
CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen, and thank you for standing by. This is Neerav, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment all participants are in listen -only mode, later we will conduct a question and answer AIA Engineering Limited
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session. At that time, if you have a question, please press star and one. Should you need assistance during the conference call, please signal an operator by pressing star then zero on

your touchtone phone. Please note that this conference is being recorded.

I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Good afternoon. Good evening to everyone. This is Kunal and we also have Sanjay Bhai here on the call with us. This has been -- it's not been long since we last interacted for the fourth quarter numbers. And we hope will make a quick wrap up on numbers and get into Q&A for this call. We don't have a lot of updates, but nevertheless, we'll be happy to answer those. We've done 73,000 tons -- 74,000 tons of sales. And I think it's after many years, we've broken the number barrier of 70,000 in the first quarter. We generally were between 62,000, 65,000, 67,000. So 74,000 tons and roughly equivalent production for this quarter, which translated to about INR1,220 crores of product sales, EBITDA of INR 402 crores and profit after tax of INR272 crores. They are materially higher than first quarter last year and mostly comparable with the fourth quarter of last year.

From an other income standpoint, we've done INR19 crores of operational other income, which is largely incentives for export. Our other income, most of it which comes from treasury that's about INR56 crores, and that compares to about INR4.8 crores fourth quarter last end of March. There's a small exchange gain about INR2.86 crores for a total other income of INR59.51 crores, total other income, non-operational other income and INR19.29 crores operational other data.

Our treasury net cash is about INR27.50 crores. And -- with average yield of above 7% on that total corpus, which is where there is some M -to-M loss we had in the first quarter last year and of course, a smaller corpus and which is where there is a much smaller treasury income in the first quarter of last year when you look at it sequentially.

Moving on, our working capital days are around 100 and significantly lower than -- materially lower rather than 118, 120 days that we had for a long period and some part of that coming from the reduction in overall stock that we are carrying finished goods, all earmarked for a customer, but on account of supply chain, easing up. There is some amount of respite that we have over there. So I think the peak finished good stock that we had of about INR1,000 crores plus, which is about INR890 crores now. So there is a INR100 crores reduction in just on that account.

Raw material is largely at about 30 days. So total 100 -day working capital cycle, broadly 74,000 tons, we've got 53,000 tons coming from mining and the balance about 20,000 tons -- 21,000 tons coming from non-mining, which is cement, and some amount of thermal power in India.

Our order book continues upward of INR600 crores, and we've reported some amount of foreign exchange contracts. But as you all know, the spread has reduced. The premium on

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foreign exchange derivatives has reduced

as the interest rate differential is reduced. So -- and that's also reflected in a smaller foreign currency coverage open from here on.

Some notable things that probably we would share. One is on the capex side. We discussed about INR510 crores of capex for the full -- for two years, which included INR200 crores of the overall older cluster restructuring, which is creation of warehouse space, creating some pattern storage and related infrastructure, restructuring some old plants and some debottlenecking.

We will see about 20,000 tons of additional non-grinding media capacity that will come up with that. So there was INR200 crores on that account. INR250 crores on the grinding media work that we're doing, which will take -- the 80,000 ton grinding media plant and which is expected to come up by end of next year and another INR60 crores plus on captive renewable power generation. Of that after about INR510 crores for next -- between '24 and '25, we've done about INR63 crores in the first quarter towards all the se 3 line items.

There was an announcement yesterday about Peru. We've formed a subsidiary in Peru in the way that country works and in line with our work that we're doing in Latin America. The lawyer there -- law firm created that entity and then had to transfer it to us. That's how the entities get created there it looks like. And so it was termed as an acquisition. But it was only basically creating a fully owned subsidiary in Peru. Just to clarify the announcement that was done yesterday.

We also have a sunset review for the duties that are there in Brazil, which are currently at 11.8%. And the outcome of that process will be known by end of March. So we'll continue to work on that and doing a bit, working with the authorities in Brazil on that.

Another thing is for mining liners, we've done about 9,000 tons of mill liners this quarter. And from what -- we did about 25,000 tons last year, full year, and we hope to do about between 30,000 and 35,000 tons this year. So that's on track and about 4,000 tons of that coming from the new plant, so which is all

getting settled very well.

Our captive generation now stands at 64 megawatts. And because of the -- sorry, 38 megawatts -- our total installed capacity is at 64 megawatts and our captive is 38 megawatts. But as you know, it has a lower PLF generation, so about 22% of our total power came from our own captive renewable sources. We are happy about that.

And lastly, you will see a little higher tax provision for this quarter, but that's the sum total of -- we've got all the subsidiaries outside India within India, and that's a point in time. I think for the full year, our tax will continue at about 23%, but this is just a point in time profit as is. And once the transfer pricing adjustments, etcetera, are done, which are all year-end activity, tax will be at 23%. So there is no other reason for the higher tax -- the tax is at 27%, 26.7%, I think. But -- this quarter, but it will normalize to 23% for the full year.

From a market standpoint, I think absolutely, the commentary remains what it was for the fourth quarter. We continue to remain focused on the mining sector. Metals that we are focused on, which is copper and gold, remain to be metals of interest for the world in terms of

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its end use. And to that extent, there is a lot of interesting conversations that we are able to do on account of the solutions that we provide to our customers, which is -- which we've discussed extensively on our calls. And that allows us this excitement that there's this whole conversion story as far as moving from forged to chrome is concerned and the whole mill lining opportunity in terms of delivering improved throughputs, lower power consumption for the customers.

So I think for the full year, we did about 292,000 tons. We will -- we hope to add about 30,000

tons

on that this year, including the mill liners. We may do a little more or a little less, and we'll keep sharpening that as we go forward.

With that having said, we'll have Sanjay Bhai share his input and then we can go on...

Sanjay Majmudar: Thank you very much, Kunal. So good evening, everyone. And yes, business as usual. All the basic parameters remain the same. We have done reasonably well in Q1. Bottom line appears to be the operating margin after adjusting the treasury income is at about 28%. It is including the other operating income. But as we always say, it is a function of product mix. It's a function of a lot of factors that come in play, the pass-throughs, the reducing freight cost impact and all that.

So I think we are doing pretty good. And as Kunal explained, the capex plans are absolutely on track and the efforts for conversion is going with full force, and we are hopeful of continuing traction. On an annualized basis, we believe that we should keep on growing the way we have been anticipating. I think with this, Kunal, let's open the house for Q&A.

Moderator: The first question is from the line of Akash Bhavsar from Equirus Group.

Ashutosh: Yes. This is Ashutosh here. Hi Kunal, firstly the overall volumes looks good and others volume this quarter was a bit low. Is it like a quarterly phenomena or should normalize on a full year basis?

Sanjay Majmudar: It will normalize. It will normalize.

Ashutosh: Okay. And you mentioned 30,000 tons we plan to add this year, the same guidance as earlier.

Sanjay Majmudar: Yes, yes. it is absolutely the same.

Ashutosh: Okay. Okay. And they were -- obviously, tax rate is higher, as you mentioned, it will normalize, but there are some line items saying that there's IN R8.3 crores provision related to some withholding taxes recoverable and overseas reduction. What is that exactly?

Sanjay Majmudar: That is the reason why -- it's very typical to one of our subsidiaries. Yes, Kunal will explain.

Kunal Shah: So there is -- we've been doing work outside at one of the countries that we operate in, that is like you have TDS in India. When you pay outside, you do a tax reduction and source and then there's a recovery adjustment of tax -- in that, we are facing some sort of issues in terms of

recovering that. So as a cautious, prudent method, we are -- we have shown -- we have written

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that off while we make efforts to recover that. Going forward, we have claimed an exemption over there. So this is just a onetime old issue that continued.

Ashutosh: Okay. Got it. And lastly, as an outlook, obviously, we have the guidance of adding volumes, and we have put up a subsidiary in Peru. How is South America as a market looking for us, what we have done and how do you see it going ahead?

Sanjay Majmudar: Of course, we remain extremely bullish on North America, Latin America. Peru is extremely critical for us. We are strengthening our presence there and the subsidiary formation is an effort to have a more direct presence in this critical market. So it's an ongoing process. And it's a part of our overall strategy.

Kunal Shah: Nothing specific to report on.

Sanjay Majmudar: Yes, yes. Like you know, we have more than 15, 16 subsidiaries in all critical markets. We need a POP, point of presence, there, and that is what the subsidiary would do.

Ashutosh: But like are we getting good traction in Latin America as such? I mean -- because that's a big market for copper and gold as well. So are we getting good traction orders from there in that market?

Kunal Shah: Nothing specific to report.

Sanjay Majmudar: We are working very hard in those markets. And of course, our endeavour is to fructify a lot of conversions. I think we are working very hard. Let's wait and see. That's all I can say at this point in time.

Ashutosh: And you mentioned 9,000 mi

Il liner volume in this quarter, 4,000 was produced on the new plant. Is that correct? 4,000 is the new plant?

Kunal Shah: Yes. Correct.

Moderator: Next question is from the line of Garwit Goel from Nvest Analytics. Next question is from the line of Dhananjay from ASK Investment Managers.

Dhananjay: Congratulations on good set of numbers. Wanted to ask regarding OP per ton...

Moderator: Dhananjay, your voice is not coming clearly. Can you please speak a little louder?

Dhananjay: Yes. Sir our OP per ton has increased sharply because of the reduction in sales costs. Is that something which we see stabilizing. Will this be something similar going ahead? Or would we have to pass this on back to customers? How would that play around?

Kunal Shah: Freight is -- like our other raw material cost is conceptually a pass-through. There's a timing difference, but freight rates are going down, that will be a pass-through.

Dhananjay: Okay. So then any guidance on what OP per ton would be then a fair estimate for the year considering because 46,000 is significantly much higher than...

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Kunal Shah: We don't have a fixed price. It's not an absolute number, no, because I mean -- it will depend on the selling price. Selling price is a function of because we are telling -- guiding in terms of margin -- operating margin, which is a 1%, 2022 is a directional guidance that we're giving as far as margins. We've done better. But that, I think we'll not be able to split here and say how much.

Now as far as the average realization is concerned, it will fall in line with raw material and freight, but there's also a product mix angle at it. So it's very difficult to give a guidance whether it will be INR150 crores or INR140 crores or will stay at INR160 crores. But if raw material remains at current level, it should be around INR150 crores. I mean, broadly, that's where it should stay.

Sanjay Majmudar: Little more perhaps. But, yes, as Kunal said, a lot of factors that play. But currently, this quarter, we did about INR165 crores average realization. It should hover in that range, plus/minus 5% or something of that sort.

Dhananjay: Sure. As the other volumes, any reason why there is a decline year-on-year considering, let's say, cement volume.

Sanjay Majmudar: It's just a function of quarterly typical requirement of a given set of customers. You should not read more into it.

Moderator: Next question is from the line of Bhoomika Nair from Dam Capital Advisors.

Bhoomika Nair: Yes, sir, a good set of numbers. Yes, sir. Sir, just I mean, I know we don't talk much about percentage margins, but we've seen a very strong margin profile in this quarter. While realizations have broadly held on -- held on. So is that kind of quarter 2 with the lag in pass-through of the lower prices, etcetera, for this quarter, sort of raw material, freight, etcetera?

Sanjay Majmudar: So Bhoomika, there are 2, 3 reasons, which are coming in play. One very important factor is product mix. So if the product mix is more tilted towards bigger or larger castings, then definitely the margin profile will improve. There is also an effect of how do you put it, the freight costs going down, etcetera. And then there will be some lag with which it will be passed.

A much better way of looking at us is it should normalize and stabilize in the range of 22%, 23% or 24% and thereabouts on an annual average basis, some quarter may look to be very good. I'm not saying that this is not sustainable over a longer period. All I'm saying is quarterly trends cannot reflect the annual trend. That's all.

Bhoomika Nair: Got it. Got it. Got it. Sir, the other thing is, obviously, we're seeing a lot of traction in terms of volumes, which is where you also guided roughly 40,000 tons of incremental volumes for...

Sanjay Majmudar: 25,000 to 30,000 tons is what we

are talking about. Our endeavour will be of course a little higher, but let's see.

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Bhoomika Nair: So, sir, your -- where are we seeing traction? Where are we progressing? How many new clients are we seeing? Some -- a little -- whatever way you can give some colour in terms of where -- what kind of volumes are under trials which can possibly kind of go up, etcetera, plus also on the -- if you can give some colour on EEMS, how is that kind of progressing?

Sanjay Majmudar: Okay, Bhoomika, there are a couple of things that we will definitely -- see, we will not give you client-wise details. It is not our policy. However, having said that, there are several new mining locations, at least 30, 40 new mining locations, which are under trial stage. Obviously, when we are talking about this, it is meaning that there will be different stages of progression at different mines. Some of them are at a fairly advanced stage, I would say. Some of them are at the initial stage. But based on all that and based on the indications available, we are fairly confident that this 25,000, 30,000 tons should be forthcoming.

There cannot be a timetable to it given that the typical process with which the conversions happen. Having said that, I think we are fairly confident that this should happen and this should be on a sustainable basis. This is point number one. Now your -- what was your second question you said?

Bhoomika Nair: Sir, on EEMS.

Sanjay Majmudar: Okay. So as we said, there are multiple approaches. One, the EEMS i.e. the typical patented mill lining design with which we are working is one of them. And the DP EEMS, everything collectively works. It is not just 1 particular factor.

Kunal Shah: And moreover, Bhoomika, idea was to talk about what's the solution? I mean, trying to get into how many tonnages to what each solution is, I don't think it's beyond the point relevant. Idea is to sell casting, right? Idea is to sell our product. And that was only to demonstrate that there is a design intervention, there's an alloy intervention ultimately leading to a disproportionate outcome for the customer.

Moderator: Next question is from the line of Ashwani Sharma from ICICI Securities.

Ashwani Sharma: My question is again on the margin. So if you look at this quarter, 28%. In the previous calls also, we have been kind of guiding that there's some reversal will happen. So at what point in time, maybe in the next quarter or quarter, if you can give some indication that it will normalize to 22%, 23%, which is in line with your guidance. So how do we see this, sir? Your margin profile going ahead?

Sanjay Majmudar: There are a couple of clarifications I would want to give. We have been saying that a minimum sustainable margin for our kind of business is in the range of 22% to 24% pure operating margin. We have also always maintained that our endeavour will be to improve the margins. Having said that, our focus currently is on conversions and market share gains where we would have to definitely also consider that we will have to price the products for every new entry that I get the product will be priced competitively.

So the point here is that I'm saying this is definitely a sort of a base margin based on which -- we are working. In some quarters, we have done well. Just for your understanding, Q3 of FY

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'23 was very good, exceptionally good. Again, Q4 because of the transition effect was normalized a little bit. Q1 is very good, again, where there are factors like reducing freight costs, reducing the raw material costs or maintaining raw material costs at a steady level and improving the product mix in favour of certain larger castings, which has changed the profile of Q1.

I made it very clear this should not again be regarded as sustainable. So in Q

2, you may again

find us coming to 25%. We don't guide on a quarterly basis. We only give a minimum base level margin guidance so that investors are clear that this is how the company operates. Now if I have done that in a particular quarter, we have cautiously making a statement that this should not be extrapolated to mean the margin for all the 4 quarters. That's all.

Ashwani Sharma: Secondly, on the Brazil thing, you touched upon Brazil thing in your initial remarks. If you can put more some light on this?

Kunal Shah: So the duties were applied for 5 years and the period ended. So there is a review that happens in which they will reassess what sort of duty to apply. And that's a little bit of a collaborative process. So there is a -- where we are required to submit information on all that we're doing, our costs, etcetera. So we are engaging with the department that runs this process.

Sanjay Majmudar: It is a routine process.

Kunal Shah: It is a routine process, and we'll be able to know what the new duty would be from 11.8%.

What will it change to? The whole process at the end of it will get determined, which will be by end of March.

Ashwani Sharma: So what is the current volume that we are doing to Brazil?

Kunal Shah: We'll do about...

Sanjay Majmudar: The full year about 8,000, 10,000 tons.

Ashwani Sharma: 8,000 to 10,000 tons. Okay.

Moderator: Next question is from the line of Atul Bhole from DSP Mutual Fund.

Atul Bhole: Sir, just one question. In sectors like chemicals or cables, etcetera, we are hearing commentary of clients going for destocking because of supply chains are normalizing and they would have stocked the inventory because of the earlier disturbances, so are you seeing such kind of sort of...

Sanjay Majmudar: No, nothing of that sort, our business is very different, I think.

Atul Bhole: Okay -- because of B2B angle, there are no destocking related issues...

Sanjay Majmudar: We had a long-term solution provider. Our growth is primarily focused on a conversion opportunity where the penetration in mining of our kind of high-chrome solutions are significantly lower in the range of 20%, 25% of the total demand, rest being met by

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conventional forged products where our entire endeavour is to convert the customer or the mines to our solutions where the question of stocking or destocking will not come.

Once we are onboarded, it becomes a very long-term engagement, and we get our indications about annual requirements as we maintain inventories in warehouses across the globe to make sure that the customer requirement is met. Now if there is -- so for example, if the client or the mine is already having earlier stocks of conventional products, they will first wait to exhaust them, give us initially lower orders and then gradually increase. So -- but our whole angle is very different.

Moderator: Next question is from line of Garwit Goel from Nvest Analytics.

Garwit Goel: Sir, my first question is on the total industry size as of today for grinding media balls? And how much of it belongs to high chrome grinding balls?

Sanjay Majmudar: So again, this industry, you have to dissect I would just very quickly...

Moderator: Garwit, sorry to interrupt you. Sir, sorry to interrupt you. Garwit, can you mute your line, please? There's a bit of disturbance from your background. Yes. Sir, you may continue.

Sanjay Majmudar: So if you look at mining, we are talking of a replacement opportunity of 2.5 million to 3 million tonnes, an addressable opportunity for the ore types that we are focused on is anyway in the range of 1.5 million to 2 million tonnes. Penetration of high chrome between us and our competition is in the range of 400,000 to 500,000 tonnes. And that is where the conversion opportunity we are working on.

In cement, it is close to about 300,000 tonnes. And it is,

I would say, entirely serviced by -- it

is converted into high-chrome use so that cement industry is more or less flat for us.

Garwit Goel: Understood, sir. And sir, how fast this penetration is going to be? Like we are guiding for only 10% to 12% volume growth, which seems a little bit conservative. If you look at your factors that you are talking about, like migration thing and industry growth and the capex we are undertaking, etcetera. So what is stopping us to have 20%, 25% kind of growth if our product is so good for our customers and -- considering the growth that the -- considering the growing metal demand at the global level, sir?

Sanjay Majmudar: You see there are multiple factors that come to the play. All the mines, they have their own sets of compulsions, mine manager, who is at the ground level. He operates with a limited budget. We are talking of a fundamental shift for which we are focused. Again, the process is very long. You have to go, you have to take trials, you have to convince the mine that this is workable for them. So you work on the chrome advantage as a cost-saving factor, then you work on the down process advantages that our solutions offer. You also work on the mill lining typical solutions.

After all this, it takes 1 or 2 years for us to convert every customer, even then after taking all the benefits, they have their own internal compulsion. So all these processes, it is a very, very painstakingly minute micro-level process, which takes its own time. And therefore, the

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conversion process itself is very slow, and therefore, we are always conservative in guidance and we're taking the target rates of conversion. So it's fairly complicated. It's not like you set up an -- automobile robotic line and you start producing. It's much more complicated than that. That's why it takes time.

Garwit Goel: Understood, sir. And sir, going ahead, if we see our June quarter. June quarter is lower as compared to other 3. So is that correct understanding that we will have improvement Q-on-Q

from here? And can we assume we should witness 20% kind of Y-o-Y top line growth this year?

Sanjay Majmudar: Sir, we are very clear that our quarterly trends should not be looked into as -- so you know, for example, if I have done 74,000 tonnes, it doesn't mean I will do 74,000 tonnes only as an extrapolation. What happens is that as we convert and there could be, therefore, quarters where we are flat quarters where you will see a decent volume growth, so I would say that overall volume growth of about 15% is what we have guided this year, there's about 25,000 to 30,000 tonnes. It did not come on a quarterly basis. It is not a sum total divided into 4. And I can't even say that what will be Q2 and what will be Q3.

Garvit Goel: And the last one is, sir, you mentioned 7% is on those treasury balances. So sir, this is too low. So -- which is lowering our overall ROC as well. So why are we not considering rewarding the shareholders in terms of buyback and all, sir?

Sanjay Majmudar: You see what is happening. The market is very big. We are working on several opportunities. We want to conserve our cash until such time that we reach an internal targeted level of penetration because we might come across any growth opportunity, we will need working capital. We are aggressively going on cash also -- capex also. So currently, we are working for the Board guidelines of about 20% distribution.

I think going forward, we are very consciously reviewing it every quarter, every 6 months.

And we will take considered call going forward. But we think that shareholder reward also will come in the form of a growth and that is what we are targeted upon.

Moderator: Next question is from Amar Kedia from AMBIT Capital.

Amar Kedia: Congratulations on a good set of numbers. So my question is relating to one of the

comments that you had made, I believe, a couple of quarters ago that freight costs at that point of time were elevated, and you had mentioned that if the freight costs come down, then you will be a little more competitive for the Latin American market. Now that freight costs have more or less normalized, are you witnessing incremental traction for the Latin American markets? Or we still have some time to see that?

Kunal Shah: I think the -- yes, Latin America freight was a big issue. So we lost time because of travel. We did a lot of work before COVID. We almost lost 1.5 years, 2 years for COVID. Shipping rates were high. It's now back into the market, right? So I think for the last 2 quarters, we've been talking about it. We are going -- I think shipping has become like your utility in terms of predictable, expected and working business as usual, right? So I think those converse, but it will not be everything okay, and it starts -- there is effort in a journey and a period linked to AIA Engineering Limited

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that. We'll be happy to share updates as they come along. Nothing specific to report at this time.

Amar Kedia: Okay. So should I -- and my understanding of what you said is that, okay, the competitive scenario is now better, but it will take -- it will still take some effort and time for that to yield results. Is that the correct understanding?

Kunal Shah: Yes. And which is why we are giving a volume guidance. So it takes into factor of that, right?

We cannot isolate 1 part of our business and waiting -- keep waiting for that to grow. That is not the only lever that we have for growth, right? So there'll be other parts of the business that will also grow and which is where that forms part of this 30,000 tonne guidance that we're sharing for the full year.

Amar Kedia: Sure. Sure. And the second question is, would it be possible to share what was realized ferrochrome prices for the quarter gone by as well as what are the prices today?

Kunal Shah: I think it's about -- previous quarter to this quarter, a few percentage points lower, but not materially different.

Sanjay Majmudar: Very marginal. It's fairly stable right now.

Amar Kedia: Okay. Somewhere around INR115 a kg also.

Sanjay Majmudar: Exactly. It is varying in that range.

Kunal Shah: It's a report grade. So -- you can't segregate, but it's in the same range, yes.

Moderator: Next question is from the line of Devanshu Sampat from YES Securities.

Devanshu Sampat: Just 1 question. I just wanted to understand the frequency of negotiation that we have with clients.

Sanjay Majmudar: Sir, it's a very detailed engaging process. So we have a front-end team of 60, 65 people across the globe who would go and open up the doors, along with the assistance of the local people, then where there will be a pitch, then there our technical guys, back end, front end, they will work together to design a solution, to design a wear part with a particular metallurgy, given the requirement, given the typical mining equipments or the typical mining or cement -- sorry, we will talk more of mining only. So typical mining operating conditions. Then there would be trials. There would be results which are evaluated. There would be further trials, further validations until our final solution is reached.

So a lot of this work happens at the mine end itself. A lot of it also happens at our back-end operations. So it goes as a synchronized way. Typically, it might take anywhere between at least 1 year to 1.5 years for us to reach the stage where we can confidently and convincingly tell the client that this is the final solution, which is also equally acceptable to the client. Then it goes into the pricing negotiation, then it goes into contracts. Contracts are typically long term. But all of this takes a lot of time. It's a very engaging -- continuously engaging process.

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Devanshu Sampat: Okay. So -- and sir, this is -- I mean, you are referring to for new clients side over here. I'm just asking in terms of somebody who's already there as if when the realization...

Sanjay Majmudar: [inaudible 0:37:19] slowly and gradually that would also as and when they need some service, some input, some technical issues, then our engineers go. Otherwise for an ongoing client, that engagement, it continues through annual indication of the quantity that they would require year-over-year.

Devanshu Sampat: Okay. Okay. So is there a particular time in the year this happens or it depends on each client to client, right?

Sanjay Majmudar: It depends on the client to client. And these are very typically continuous -- it's not so cyclical. Once you are onboarded, it is more or less continuous matching with his own mining production.

Devanshu Sampat: Okay. Okay. So just to get a sense, would it be fair to assume that probably the new negotiations that are happening would be somewhere close to 5%, 7% lower realizations that you mentioned versus what is that in 1Q?

Sanjay Majmudar: Again, it's very, very difficult to give a percentage statement because some of the mines we approach on a DP-related benefit or the down process related benefit. Some of the mines, many mines approach on the mining liner advantage that we bring in, in form of reduced power consumption costs at the SAG mill stage or improved throughput on an overall basis.

So pricing is, of course, very important, but not always the first point of discussion. But yes, eventually, when it comes to the final pricing negotiation, it is a very hard negotiation. Client wants much improved benefit at a cost which is matching with his budget, current budget. So

that's always a trade-off. But again, it depends on product to product. If you are talking of grinding media, it's different. If you are talking of liners, it is different. So very difficult to make 1 statement.

Moderator: Next question is from the line of Amar Maurya from AlfAccurate Advisors.

Amar Maurya: So sir, like you indicated that this EBITDA per tonne boost, which we are getting is primarily led to the product mix change, largely more of a large casting kind of a product. So is it there like in the total order book of around INR 600 crores, INR650 crores, what would be the mix of this large casting order book?

Sanjay Majmudar: No, no, no. Amar, so let's make 2, 3 things very clear. One, the participant asked or made a statement about EBITDA per tonne, but we are very clear in what Kunal replied and what we always say that internally we don't track on EBITDA per tonne for the very simple reason that I don't work with a standard product. There is a very wide variety of products. There's a wide disparity of pricing. Some products are high volume, therefore, relatively lower value. Some products are very high value, but relatively lower volume.

It's very -- and that product mix changes quarter-over-quarter consistently because we are servicing a very wide network of customers across 125 countries, and they don't have a
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standard type of requirement, correct? So a much better yardstick to track us is a percentage EBITDA or an operating profit margin that we can definitely aim as a base operating margin of 22% to 24%. We can do better year-over-year, quarter-over-quarter.

It could be different as the product mix changes, the pass-through comes in play, the freight costs comes in play. So, so many factors. Therefore, I think, a much better way is not to look at EBITDA per tonne, but to look at the percentage operating margin that we have generated or we can generate on a sustained basis.

Amar Maurya: But then even if I look at percentage EBITDA per tonne, like, yes, what we all are trying to understand is basically every analyst has gone wrong from last 4 quarters. Basically, everybody is assuming 23%, 24%, and you are basically beating the numbers. So that means

there is something which we are understanding -- probably we are not able to understand.

So I mean, what we are trying to understand is that is this the momentum of high-margin product mix is likely to sustain because as you are indicating that now you are servicing to a probably a larger sized product because normally in a larger-sized product, your fixed cost

reduces significantly, right?

Kunal Shah: Kunal here. Let me understand the quandary, and there is -- which is where we've clarified that we are not -- what we are seeing is a quarterly guidance. AIA is not giving a quarterly guidance first point. AIA is giving a directional conversation in terms of what is our business model will defend a 20% to 22% operating margin. There are periods we've done better for a variety of reasons, which we try and keep explaining, right? But directional margin is going to be that. Now it is not for us to give that quarterly. That's not somehow, that's not something that we've done for the last many years, correct? Because there are variables we don't understand. Some continue for a longer period to go against the way we think about things.

Some don't, right?

So to that extent, we believe it's a futile exercise to try giving a quarterly guidance on margins. That's the point. Comparing of 25% to a 22%, 22% is a directional guidance, 25% is an actual quarterly performance. So there will be a delta. Quarter-over-quarter, it is not a better product

mix that has generated the additional -- it is 1 part of the better margin. But there is also a lag, right? Costs have gone down. My selling price has to adjust. My selling price has some total of lots of customers, lots of products done with different formularies. Overall, there is a pass-through. Some is benchmarking the previous quarter. Some could be benchmarking the quarter before that. While that adjustment comes this quarter margin has seen, our costs have changed, right?

So there is a lag process. Overall, costs have gone down, my selling price will follow down on a lag basis. Right? We haven't said it is going to -- it does take 2 to 3, sometimes 4 quarters for all of it to get passed through. Directionally, it will get passed through, and which is where this 20% to 22% operating margin as a directional guidance comes along. After all completion, while all that pass-through happens, something else may change, right? So that is a real life where the directional guidance only mean so much because real factors come in and do the adjustment. So that's where we are with the margin answer.

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Amar Maurya: So normally, the lag of pricing pass-through takes, are you saying that 4 to 5 quarters to percolate into the customer...

Kunal Shah: Generally, it takes 2 to 3 quarters. Right? But the rate is also, the costs are also going down each quarter, at least the freight cost. Raw material went down and went up, right? So to that extent, there is that now to split every order and every customer and then explain each of the difference is something that I don't think we'll be able to do, right?

Sanjay Majmudar: And that also demonstrates that as we also maintained, we do have a lot of avenues to improve the margin. But the current focus is on market share gain. And therefore, we are conservatively giving a benchmark rate, which we think we can deliver on a sustainable basis. That's all.

Kunal Shah: I think we can take any other questions offline, moderator. We can probably get down with the call. Yes?

Moderator: Sure sir. Would you like to make any closing comments?

Kunal Shah: Yes. Thank you all. And as always, Sanjay Bhai and I remain available offline for any questions. Thank you. Have a good evening.

Sanj

ay Majmudar: Have a good evening. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call conferencing service. You may please disconnect your lines now. Thank you, and have a great evening.

Call: Nov 2023

AIA Engineering Limited

November 8, 2023

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on November 6, 2023

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Monday, November 6, 2023 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Half Year ended so"September, 2023.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited

Post Results Conference Call "

November 06, 2023

MANAGEMENT : MR. KUNAL SHAH – EXECUTIVE DIRECTOR
(CORPORATE AFFAIRS) – AIA ENGINEERING
LIMITED

MR. SANJAY MAJUMDAR – INDEPENDENT DIRECTOR -
AIA ENGINEERING LIMITED

AIA Engineering Limited

November 06, 2023

Page 2 of 16 Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is Nirav, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment, all participant lines are in a listen only mode later we will conduct a question and answer session. At that time if you have a question please pressing '*' then '1'. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to the AIA Engineering

Management team. Thank you and please go ahead, sir.

Kunal Shah: Thank you so much. A very welcome to everyone and good evening. Thank you for joining our call for second quarter result update for AIA. I will dive into numbers and then we can get into Q&A. I also have Sanjay Bhai here with me. I think second quarter has largely been in line with the first quarter with 77,725 metric tonnes of sales which converts to around 1273 Crores of revenue, total EBITDA comes to 444 Crores which is 34.32% and profit after tax at 32.3 Crores and EBITDA and profit numbers are higher sequentially and also compared to second quarter last year. Same numbers for the half year if I were to compare to H2 last year we did 151,771 tonnes as compared to 146,000 tonnes 6 months last year converting into sales about 2494 Crores which was 2376 in the 6 months last year. EBITDA was 611 Crores which is 846 Crores this 6 months and PAT was at 435 Crores which is at about 595 Crores so there is improvement in margin and we will go through unpacking some of those details. Our other income there was export benefit of 20.94 Crores which is in line with the benefits under RoDTEP and duty drawback. Our other income which is treasury is at 63 Crores and both these numbers are largely comparable to the first quarter numbers and total other income of 62.32 Crores and 20.94 what we are considering operating other income. Our working capital is in sync with the first quarter. There is a slight improvement in inventory and total number of days now working capital is about 95 days and there is improvement on this one metric which had gone up to 118-120 days right after COVID when we had issues around freight and container availability so there is a fair improvement on the working capital side. Segmental details again are largely comparable to the first quarter. We did 52,000 tonnes in mining which was about 53,000 tonnes in the first quarter, 25,600 tonnes in the other than mining. There is some improvement in cement than otherwise compared to 20,790 in the first quarter so there is about 3300 tonnes of higher sales in the second quarter compared to the first quarter. Our order books and other things are largely in line with what we have reported in the previous quarter with the caveat that order book does not include the value of contracts which are longer term, the supply happens under periodic monthly, quarterly purchase order and that is what we are reporting over here. Our net cash is now at 3135 Crores up from 2757 Crores end of June and 2563 Crores. AIA Engineering Limited
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Page 3 of 16 Crores end of March. Our realization is also largely in line, it is about Rs. 162 per kilo down from about 163-164 in the previous quarter. So couple of things if I compare first quarter to second quarter there has been an improvement in raw material that just reflects the lower

raw material consumed in this quarter compared to the first quarter and raw material continues to be volatile. Ferrochrome has been between 120 at its peak, it went down to about 100 it is back to 110-112 level so it continues to be volatile and there will continue to be a pass through going forward when we see the fluctuation coming on so this quarter a reduction and we will have a pass through mechanism built on it. There is some improvement in power that is a function of the higher captive renewable wind generates the highest in this quarter so there is some reduction in power cost on account of that so there is a 2% sequential improvement in margin on account of these two factors and both will normalize going forward. Another thing when we look at first half last year versus first of this year there is also a Forex from what was about 79 odd is 83 plus, average is about 83 plus in this first half so you see better numbers on account of rupee depreciation also so all of that has flowed in. The freight cost has also seen a reduction and our pass through is in mechanism. I think over next two quarters you will see margin adjustment on account of pass through in freight cost and one last thing is we still had one more quarter now where our product mix helped the realization as well as margin so I think we expect our margins to adjust between 3 and 5% over next few quarters and normalize to a long-term guidance but this is just to unpack the numbers for this quarter. Other highlights it is called a sunset review when the five year anti-dumping duty passes through that tenure and in Brazil that sunset review has started and we are in that process to furnish all information and go defend the duty over there so that is one development, second is we have completed the 30% acquisition of a company in Australia where we are part of the mid-liner capabilities so apart from that business as usual. We are on track to spend 500 Crores between now and end of March 2025 where about 200 Crores goes towards the grinding media expansion, 200 Crores towards overall restructuring and debottleneck, 50 Crores towards captive power and other 50 Crores for land and other requirements so we continue with that. We spend 100 Crores this quarter and we will continue to spend from that budget right up till March of 2025. 80,000 ton grinding media expansion is on track for being commissioned by December 2024. I think that sums up our commentary as far as numbers is concerned. I will have Sanjay just chip in on the business outlook and also some tonnage conversation and then we will go on to Q&A.

Sanjay Majmudar: Well good evening to everyone and thanks for joining this call . While Kunal has taken you through all the relevant highlights just quick one or two small clarifications . I think what Kunal meant was that we acquired a 30% stake in that Australian company as announced on the stock exchanges as well . That is pretty strategic in the sense that it is a high technology design capability company and it will help us to significantly push our penetration into the AIA Engineering Limited
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Page 4 of 16 overall mill liner opportunity that is point number one , point number two as you would have seen we have done fairly decent in terms of margins while the reported margins of 34 odd percent in Q2 at the operating level it is about 29% as Kunal explained we have the benefit of a very good product mix and of course reduction in freight which has helped in improving the percentages in terms of comparability. On the capex on all our medium to long-term opportunities we remain very intact . As you would have seen we have done close to about 151, 000 tonnes of sales in the first half as against 291,000 sales in the last year and we believe that we have given an indication that we are working on several exciting

opportunities and as we have also demonstrated in the past that conversion from ferro chrome is our complete area of focus based on all the key conversion drivers that we have and the focus as a market opportunity as well as the technological with all that we have. We do expect the incremental tonnage to also come up more or less in the same indicative range . The only thing is it may take a little more time that is the indication that is available today so we may not be able to do maybe 25 to 30,000 tonnes for this year . It might be slightly lower . We do not know exactly how much it could be lower . It could be maybe anywhere between 10 and 20,000 having said that the overall direction remains the same. It could be a little bit of tonnage shift from this year to next year but that does not in any way change the direction or the opportunity or the strategy with which we are going . I think with this overall business remains very bullish . We continue to remain very bullish on all the prospects and I will open the house open for Q &A. Moderator over to you.

Moderator : Thank you very much. Ladies and gentlemen we will now begin the question and answer session . The first question is from the line of Bhumika Nayar from Dam Capital . Please go ahead .

Bhumika Nayar : Yes good evening Sir and thank you for the opportunity . Sanjay bhai what you mentioned right now that there has been from an incremental tonnage perspective we are looking at lower number , if you can just give some more clarity around this that why are we seeing this kind of a slippage into the next year and what is the reason for the delay in the acceleration of volume or slower pace of conversion , if you can just talk about it.

Sanjay Majmudar : Bhumika what I wanted to convey that from a conversion process opportunity as well as the number of mines on which we are working it remains absolutely the same or rather more we are a little bit more aggressive. The only problem is that the time is exactly not under our control so today when we were evaluating first half vis-à-vis our earlier target of 23 -25,000 the indications available that there could be for this year maybe a shortfall of 10 or 15,000 tonnes just because that conversion is taking more time . You just cannot control the time . What we wanted to convey was that there could be a little bit of slippage so there is a very strong probability that next year the volumes could be actually more aggressive supposing I
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Page 5 of 16 am working on say 10-20 mines and we are looking at an opportunity of converting say 100 200,000 tonnes in immediate future out of that some will happen this year , some may slip to next year that is all I wanted to say . Whatever team told us that we can not control the exact quarter wise rate but there is absolutely no dilution from an opportunity standpoint .

Bhumika Nayar : Understood so basically what you are saying is next year could be the kind of look .

Sanjay Majmudar : But again see let us get confined to this year so for example earlier we were saying a 25 30,000 tonne volume growth that volume growth may go down a little bit from say 15 20,000 tonnes having said that next year it could be a little more aggressive but I do not want to give you any number about next year till I reach Q3 or maybe a little closer to Q4. This is just the nature of business we cannot help it.

Bhumika Nayar : Understood the other question was related to the Australia entity so if you can just throw some light in terms of what is the addressable market for this stake .

Sanjay Majmudar : Okay we are looking at an addressable market for mining liners at say around 300,000 tonnes plus for the metal segment correct . Now we have one design capability already this is one more incremental so this particular company the Australia based company was very strong

in designing a wide variety of mill liners so we have enhanced our designing capability and technological progress . They also have a very good access to certain markets

so this adds one more feather in our cap for aggressively converting the mill liner opportunity and improvement of our volumes in that segment that is all. We work with a very complex set of parameters where it is very difficult to explain to you from a layman's perspective that what exactly as you know over last 10 years our journey is to keep on strengthening our technological progress and our solution giving capability. This is one more acquisition which is more on a technology and design side and they already have a steady sort of a business which they are currently doing correct and we are supplying to them lot of liners so it is a very complimentary kind of a situation.

Bhumika Nayar : Okay so does that mean that our mix in terms of accelerating growth while the overall volumes might be muted but mix might shift a little more favorably towards mill liners per se given our capacity.

Kunal Shah: Bhumika the point is that obviously grinding media is a product of interest right and mill linings complement that conversation because we are bringing in all these other benefits alongside so even with what we are doing in Australia like Sanjay bhai explained it is deepening the engagement with the customer what we are saying we will go out and sell some more mill liners right. Our objective is to get the whole piece of that grinding circuit
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Page 6 of 16 which is mill linings and grinding media and to that extent grinding media to non-grinding media ratio will vary quarter over quarter and maybe for a period because something comes before the other but generally the product of interest remains to be grinding media so think of it that way.

Bhumika Nayar : Okay and Sir lastly in terms of the margin profile. I mean obviously this quarter was very strong and last two quarters we have seen that very strong improvement in the margin profile so do we think that while it may take some time to pass on the benefits of the lower cost to kind of client so this might remain elevated for the next one or two quarters and then kind of settle down towards our medium to long-term trajectory of 21-23%.

Sanjay Majmudar : I think a little more realistic trajectory could be a slightly about 23-24%. While we continue to report much better margins so as I said now we believe that this 23-24% seems to be a very consistently reasonable bottom that we can look at, it could be fluctuating quarter over quarter but it should maintain at a decent level.

Kunal Shah: And we live in a very volatile world right? I mean raw material like we cannot imagine everything else is corrected back to a certain level, our raw materials have not and they are going down and coming back up so in that situation there is quite a bit of uncertainty that is there and so going out and seeing years of margin is also a tough question for us also exactly so I mean freight and product mix will correct over a few quarters and what that number will be, at least for next one year like Sanjay bhai is saying it may be upwards of 20-22 and over a longer period it will get normalized to around 20-22% then.

Bhumika Nayar : Okay sure. I will come back in the question queue. Thank you.

Moderator : Thank you. Next question is from line of PA Garvit from Invest Analytics. Please go ahead.

PA Garvit : Hi thanks for the opportunity and congratulations for a good set of numbers. My question is on the sales realization side, what is the range expected for second half?

Kunal Shah: The sales realization.

PA Garvit : Right.

Kunal Shah: It will vary between 150 and 165 depending on like I said a variety of factors rupee weakening was not part of this estimation when we have done last year right and

and the product mix changes so closer to 155-160 over next four quarters is what we can estimate right now.

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Page 7 of 16 PA Garvit : I think earlier it was 165 to 170 right.

Kunal Shah: No it is the same more or less because factors keep changing today it is this. I mean I do not recall when it was 165-170 but for now where we stand 150 to 163 is a fair estimation of where it could be.

PA Garvit : Understood and what is the exact reason means why these delays are happening in the conversion like you are negotiating with the customers and mines.

Sanjay Majmudar : Let me elaborate so we are working on say X number of mines say 20, 25, 30 new mining locations where there is a lot of debate, it is not a question of debate it is a question of process so you do trials and errors. You engage into discussions with their technical guys. They may come for a further evaluation then they may want to negotiate on the terms. This process typically takes one to one and a half years maybe a little longer in case of certain more complicated situations. Now to add to this there are local factors there are other local limitations that also we have to counter so it is a sum of all this where we have evaluated

after the second quarter results where at the board there was a presentation done that how things are panning out and how things are looking , we felt that it could be a little shift from maybe one or two quarters that is all. We have not said that the opportunity has gone and as I said this is 100% beyond us . We are trying our level best . Our teams are engaging . They are very excited . There are lot of locations where we are working and as I said because technically our year ends by March 2024 we are talking of now two more quarters . It is possible that the volumes could come much better in Q4 than we anticipate but it is something that we felt that whatever we felt internally that this is what the reality we should convey to you that is all we will say.

PA Garvit : So going by that FY2025 can we expect 35 -40,000 kind of volumes in FY 2025.

Sanjay Majmudar : I told to the previous participant that we will come with a more precise number but broadly here you can look at least 30-40,000 minimum but again we will come to you with some more specific number as we approach the fourth quarter .

PA Garvit : Understood and Sir on your margin side so which are improving consistently over the quarters which is obviously a good thing but the problem is the reason for the same is not clear to me like it does not seem the operating leverage because our volumes are not that high if I compare with the past.

Sanjay Majmudar : You must understand our business is not running on operating leverage. Our business is primarily driven by an extremely wide product mix where we have products ranging from

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Page 8 of 16 Rs.80, Rs.100 a kilo all the way to Rs. 250-300 a kilo . It is a function of product mix then it is a function of pass through so where every quarter or every 6 months when there is a price adjustment due to pass through on the raw materials in a few quarters we could be at an advantage that raw materials have actually come down a little bit but the impact is not passed down and therefore there could be a quarterly strength that might reflect in margin . Secondly more important it is also a function of the currencies as last year average currency rate was 79 now this year we are looking at 82- 83 so that currency also moves in my favor because my imports or my foreign currency outgoes are minimalistic or they are practically zero and my inflow is very , very strongly positive now . It is very difficult to do a math and say that X is the contribution of Y factor etc, so it is a mix of all these three factors which keep on fluctuating but overall a sustainable margin

at this point in time definitely looks to

be upward of 22 to 24% as a pure operating EBITDA. A gain freight has come down drastically so that also has an impact when you do a math as per percentage. Freight is actual cost pass through but when the numerator and denominator contains a lower amount as a percentage you will see an improved percentage.

PA Garvit : Understood but like you mentioned in the first sector like passing on raw material is causing all this things but Sir this thing can improve our absolute sales but the margin and the absolute EBITDA cannot improve significantly .

Sanjay Majmudar : See this quarter we had a very strong sales coming from non-grinding, grinding media and non-grinding , now non-grinding media comprises of tube mill liners , then mining liners plus all my VSMS those large castings where definitely our margins and profitability overall is much better while we do not share the internal segment wise numbers for strategic and competitive reasons so our product mix play I would say a very significant part and that is what is driving our margin.

PA Garvit : So what kind of product mix do you expect in the upcoming two quarters like is it going to be the same or how it is going to shape up?

Sanjay Majmudar : We have always guided that our long-term sustainable margin should be in the range of 23-24%. We are not saying that Q3 mein X hoga or Q4 mein Y hoga. We do not do that . We do not share the quarterly margin numbers . We just give an indicative guidance. You have all my historical data with you so I think we should always try to work and improve from what we are guiding but this is what our guidance remains from a margin standpoint .

PA Garvit : Okay Sir thank that is it for my side.

Moderator : Thank you. Next question is from line of Ashish Shah from JM Financial . Please go ahead .

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Page 9 of 16 Ashish Shah: Yes good evening and thank you for the opportunity . Sir could you help me with what was the average raw material prices like say steel and ferrochrome for the quarter versus May last year so how has been the Y-o-Y movement .

Kunal Shah: Listen it will get little too granular to start sharing . The idea of sharing raw material price was only to say that it continues to be at an elevated level and volatile otherwise your raw material is rare from an accounting reported number will be our average raw material price to our selling price . We will be unable to share exact price. You can just look at a

ferrochrome at a scrap benchmark to see how things have moved.

Ashish Shah: Right fair enough second point Sir that while we have said that the freight rates and we can see that the freight rates have also come down historically, last few months they have been coming down but because of whatever is happening around in terms of the geopolitical issues are we seeing that go up again, have we seen any indications that in the coming months or quarters.

Kunal Shah: No not yet.

Ashish Shah: Not yet right and just a last bit so we obviously in our business model we pass on the impact of raw material and freight but what happens to the currency depreciation so is that a benefit that we as a structure retain that or we also pass on some benefit of the currency depreciation.

Kunal Shah: So except US and some countries end currency is not US dollar right. US dollar is a transacting currency. There is always importing currency on the other side and a lot of our pricing is ultimately a cross currency conversation. Yes generally a weakening rupee is better than an appreciating rupee but it is not fair to say that all rupee weaken becomes close to the bottom line. Generally it gets adjusted in our pricing because other importing currency would also have moved in tandem with Indian rupee so dollar pricing keeps getting adjusted as far as these cross currencies move.

Ashish Shah: Right got it. Thank you.

Moderator: Thank you. The next question is from the line of Puneet Pathani from CED Capital. Please go ahead.

Puneet Pathani: My first question is how difficult it is to manufacture high chrome grinding media and what prevents any new player from manufacturing and scaling up the same.

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Page 10 of 16 Sanjay Majmudar: My friend of course I will try to do a little bit of justice but for this I think you need to understand our business in a little greater detail. I will be happy to take it offline but just to very quickly give you a heads up we are 100% focused on providing customized solution so we understand a given application and design part to suit that particular application. We would have retrofitted hundreds of thousands of mills and equipments across the world in more than 125 countries. We have more than 100 different alloy combinations ranging from 5% to 32%. We have different heat treatment cycles for different types of solution. It is fairly complex so it is not easy for anybody to emulate the capability of providing a customized solution though it is not a rocket science we are a foundry and there would be hundreds and thousands of foundries across the world but there are very stiff entry barriers because once we provide a solution to a customer, there is almost 100% assured customer stickiness. We do not only reduce the costs but we reduce the overall cost of ownership and make their processes more efficient. We improve their profitability and all this we do as a package which is therefore very compelling so this is all a culmination of several factors over last 30 years that have given rise to all these entry barriers so even today on a very comprehensive basis we still an oligopoly between us and Magotteaux.

Puneet Pathani: Okay and the second question is just the extension of the first. I understand that it is very difficult to persuade and convince a minor to switch to high chrome grinding media and is there a possibility that once a minor adopts high chrome media or competitor could employ undercutting strategies to cannibalize our customer base.

Sanjay Majmudar: Do you mean to shift back to for ge.

Puneet Pathani: No you have converted your customer to high chrome media and any other manufacturer for example Magotteaux undercut you and forge that customer.

Sanjay Majmudar: Theoretically it is always possible practically it is very difficult because Magotteaux operates under different operating circumstances. We do operate under a very different set of circumstances. All our plants are in India we have huge cost advantages as compared to Magotteaux but yes theoretically it is very much possible practically it is extremely improbable if not impossible.

Puneet Pathani: Okay just one last question. On what attributes do you differentiate your products vis-à-vis your competition and why we do not face a lot of competition from China.

Sanjay Majmudar: I will address the second part first. China quality of grinding media and the approach of Chinese players no way matches our quality standards between when I say it is AIA and Magotteaux both so vis-a-vis China we operate on a similar platform because we have the

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Page 11 of 16 same or similar solution giving capabilities. However, therefore if you see overall so there could be one or two odd instances of some Chinese also quoting alongside us but when it comes to quality or when it comes to the addressing the customer requirements I think there

no serious competition from China , this is point number one . Having said that China itself is a large market for cement and also a little bit of mining however bulk of that market is currently addressed by some Chinese players . We at AIA we are present in a very special range of

products called larger castings or VSMS . We do not supply grinding media in China . Now your second question as compared to Magotteaux . As I said while we have significant advantages in terms of superior operating conditions , all plants in India significant cost advantage vis-à-vis the fact that Magotteaux operates with about 15-16 smaller midsize plants across various parts of the world . There is also another advantage that we are far more responsive and focused and we are able to give much quicker and better solutions from a quality standpoint . Certain things like for example mill liners technology which is a patented technology that we have plus certain designs of mill liners etc we have access to but I think Magotteaux does not have that so maybe from a capability standpoint we score a little higher but from an overall comparability they are more or less the same but it is just the equation of costs versus our capability.

Puneet Pathani : Okay that is it from my side and thanks for the opportunity .

Moderator : Thank you very much. Next question is from the line Santosh Kesari from Kesari Financial Service. Please go ahead .

Santosh Kesari : Hello Sir thank you so much for taking my question so I had two questions one is about accounting so in the consolidated accounts you can see that there is a withholding tax provision of 8 Crores 33 that is there in the note four to the quarterly financials so I was just wondering that what it is about if you can tell us and secondly if this withholding tax in the other country then is not it available as a foreign tax credit to you in India why should we make a provision .

Sanjay Majmudar : See this particular withholding tax was in one particular country , I mean there was no withholding tax as such but the government has withheld the tax . Our claim is for allowing us the refund but that refund claim is pending this is an African country where there are certain issues and therefore this withholding tax has been kept as it . Probably in our accounts we would have written of this . I think we have written it off correctly .

Kunal Shah: We are looking for a refund. We are working towards that but just to be conservative currently it stands as a write off but we continue to work towards getting a refund. It is

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Page 12 of 16 a new jurisdiction that we are working with and that is one tax issue that we are trying to figure out a way around.

Sanjay Majmudar : Secondly from I mean this tax credit perspective we do get tax credits everywhere as per the DTSS there is no problem wherever it is available we get there is no issue . This is a one specific solitary instance.

Santosh Kesari : Okay so here we are not sure that FTC would come .

Sanjay Majmudar : We have written it off yes .

Santosh Kesari : Okay fine now my second question is about the demand situation in the order book so I think you have spoken about the demand situation. If you can tell us the present status of the order book and give us some outlook for the future from the order book perspective .

Sanjay Majmudar : So the order book that we publish is the actual purchase orders on hand which is close to about 700 Crores generally quarter over quarter but most of our contracts are long-term . We only produce on a made to order basis . We do not produce on stock and sell basis except so based on our long-term contracts, which is typically 3 to 5 years or even longer we have a very clear understanding and visibility of what is our run rate and how things are going ahead . Order book only reflects the quarterly situation .

Santosh Kesari : Okay so we are sure of whatever we are producing to sell right.

Sanjay Majmudar : I have a clear visibility of almost the entire year or even next year but the order book only reflects the current POs on hand.

Santosh Kesari : Got it sir so the demand

situation is better than compared to the past two, three years because I will tell you the context where I am coming from see post COVID it was consensus that investment in mining is not so much and then world needs a lot of mining capabilities to come up in the near future so if that situation continues or the mining capabilities investments are done with and now we are looking at the replacement demand or the normal demand.

Sanjay Majmudar : See from our standpoint of course while the mining industry may continue to grow at say 3-4% or may not grow at all . Let us assume a situation does not grow , what we are talking about is that our entire focus is on the conversion opportunity 70-75% of the mining industry today does their grinding operations based on forged grinding media correct . Now what we are doing is we have come up with a much superior solution so between the ores

Page 13 of 16 that is gold copper and iron ore we talking of a very decent opportunity of anywhere between one and a half to 2 million tonnes vis-à-vis the penetration of 400, 500 tonnes between us and a few other players like Magotteaux and a few players on the liner side correct so liner ko separate kar lo even then we are talking of at least a million , million and a half unconverted opportunity which we are working on to convert so this is a pure 100% conversion based replacement based market opportunity and therefore we are agnostic to the mining sector growth . We believe our solution has a very significant benefit to offer vis - a-vis conventional forge media. The only difficulty is that the whole process is painstakingly slow because of a host of factors , local competition , local pulls and pressures , governmental road blocks like anti-dumping or some kind of similar duty opposition trade barriers then the mindset of the customer , the mining manager working with a limited budget where he is not really jumping and clapping his hands when I show him the profit that he can earn . All those factors collectively make my journey very harder having said that we are extremely confident that this should happen over a period of time and we see this as a longterm 5 to 10 year growth opportunity , rather than one or two years .

Santosh Kesari : Great to hear this Sir. At the same time the customer who are convinced and who are buying your products they are also sort of happy with the solution that they are getting right.

Sanjay Majmudar : Of course they are then they keep on buying for life and they need me every 15 days , one month, one day depending on how fast the consumption goes .

Santosh Kesari : Okay great to hear this Sir. Thank you so much for answering this in detail.

Moderator : Thank you. Next question is from the line of P A Garvit from Invest Analytics . Please go ahead .

PA Garvit : Hi thanks for the followup. Sir just want to know how economic activities are going on like what is the near to medium -term outlook in Australia as well as in Brazil in terms of mining.

Kunal Shah: Nothing significant to report . I mean the world continues as is copper and gold continue to be commodities of interest given end use that they have but nothing stand out to report in that sense.

PA Garvit : Okay Sir thank you.

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Page 14 of 16 Moderator : Thank you. Next question is from line of Nayan Chaturvedi from HSBC Mutual Fund. Please go ahead .

Nayan Chaturvedi : Yes thank you Sir. Thank you for the opportunity . Sir can you elaborate on this anti-dumping duty in Brazil. I missed some of your commentary on that part .

Kunal Shah: The five year period has just ended. They are going to do a reassessment there is a whole prescribed method to go about it and we are participating in that process right now by March of next year 2024 we should know the new regime that will

I come in once they

investigate and analyze data in last five years.

Sanjay Majmudar : And it is not disrupting my current supplies to Brazil it will continue .

Nayan Chaturvedi : If it goes against us right I mean so what could be the volume profile that we are supplying to Brazil .

Kunal Shah: Last year we did between 6 and 8,000 tonnes. This year we should be doing a little more .

We do not expect a very adverse outcome in any case the duty is there right, the worse can be duty continues which we are living with right now .

Nayan Chaturvedi : Okay thank you.

Moderator : Thank you. The next question is from the line of Raja Kumar individual investor . Please go ahead.

Raja Kumar : Good evening Sir thanks for the opportunity . Sir I want to know is there any update on the Peru subsidiary and as well as the Canadian operations and the second question is the volume guidance which you are reducing now is that got anything to do with the impending global slowdown.

Kunal Shah: It is not linked to that no . What was the first question ?

Raja Kumar : Update on your Peru subsidiary and any update on the Canadian operations and do you think the current standoff between India and Canada will impact us in anyway.

Kunal Shah: Not really ours is strictly a trade matter and in any case I mean it is a matter that is under subjudice meaning because we are party to that arrangement that is there as far as their last investigation was there and it continues . We are doing all we can to continue to sell in that market and nothing to report on that front right now .

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Page 15 of 16 Sanjay Majmudar : Nothing to do with the current stand off whatever yes.

Raja Kumar : Okay and u pdate on Peru subsidiary . I think in last quarter you mentione d that we have started a subsidiary in Peru .

Kunal Shah: Because a lot of these places we have staff we have people on the ground . We need permanent establishment and that requires us to be creating those companies so it is more structure thing rather than a market thing .

Sanjay Majmudar : And of course we continue to work very aggressively on the S outh American opportunity including Peru , Chile everywhere .

Raja Kumar : Okay and Sir this global slowdown is not going to impact us from a growth standpoint .

Sanj ay Majmudar : Let us just understand this is Europe . There is hardly any impact of overall European slowdown on our operations . South America , Australia all those geographies continue to do pretty well in terms of mining so no . Frankly there is no impact of the global slow down as such.

Raja Kumar : Okay Sir thank you.

Moderator : Thank you very much. N ext question is from the line of S uraj from Asian Market Securities . Please go ahead .

Suraj : Thank you for the opportunity so any update on our capex expansion plan .

Sanjay Majmudar : Yes we are on track as Kunal explained. W e have a capex plan of 500 Crores between this year and next year . This year we should do upwards of 300 plus that should increase our capacities the grin ding media , Kerala J IDC Kerala plant o f 80,000 capacity enhancement project should be over by December 2024 then there are some other debottlenecking or reorganizing plan ts which should add another 15-20,000 tonnes so we are absolutely on track so you should see about 440 going to close to 540 by end of next year .

Suraj : Okay thanks .

Moderator : Thank you. N ext question is from the line of Kamlesh Kotak from Asian Market Securities . Pease go ahead .

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Page 16 of 16 Kamlesh Kotak : Good evening gentlemen. S ir just I do not know whether you touched upon this, can y ou help us understand how the mill m arket opportunity , how big it is what are the key markets which are the key competitors , how we are positioned that will be of great help , thank you.

Kunal Shah: So mil l l

iner m arket is about 300,000 ton nes plus of annua l consumption and according to our information there are three or four organized players operating in that industry . We have set up a new Greenfield p lant with a 50,000 ton ne capacity and we have got about 25,000 tonne capacity in our existing plant so the re is about a 75,000 ton ne m arket opportunity that we looking in this segment and the whole opportunity is not just to sell more liners but it allows us to engage with these customers in offering them s olutions around increase in through put, lower par consumption in sync with our grinding media offering .

Kamlesh Kotak : So is it more of a cross -selling opportunity for our existing clients or we are taping new clients ?

Kunal Shah: Both.

Kamlesh Kotak : And could you give names of who are the key players as yo u mentioned I mean if you can help us .

Kunal Shah: There is there is a company called E lecmetal . I can share that on an e -mail . If you can send me an email I will share you . We have got these other names I may not be able to spell each one but if you can s end me an e-mail I will share all those details with you .

Kamlesh Kotak : Sure. Thank you very much Sir that is it from my side .

Moderator : Thank you. A s there are no further questions I would like to hand the conference over to the AIA Engineering management team for closing comments.

Kunal Shah: Thank you for joining and S anjay bhai and I remain available offline for any questions and we look forward to connecting end of third quarter . Take care and enjoy . Happy Diwali to everyone in advance.

Sanjay Majmud ar: Yes happy Diwali thank you.

Moderator : Thank you very much. L adies and gentlemen this concludes your conference for today . We thank you for participation and for using Chorus Call Conferencing Service. Y ou may please disconnect your lines now . Thank you and have a great evening .

Call: Feb 2024

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February 9, 2024

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on February 7, 2024

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Wednesday, February 7, 2024 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Nine Months ended 31st December, 2023.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

CIN: L292S9GJ1991PLC015182 An ISO 9001 Certified Company

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"AIA Engineering Limited Post Results Conference Call"

February 07, 2024

LIMITED
AIA Engineering Limited
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Page 2 of 12 Moderator : Good evening , ladies and gentlemen. Thank you for standing by. This is Lizanne , the moderator , for your call today.

Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment, all participant lines are in the listen only mode. Later we will conduct a question and answer at that time. If you have a question , you may please press '*' and '1' on your telephone.

I would now like to turn the conference over to the AIA engineering management team. Thank you and over to you sir.

Kunal Shah: Thank you so much. Very warm welcome to everyone. This is Kunal and as usual I also have Sanjay bhai here with me. I will start with a quick rundown on numbers for this quarter and then We will get on to Q &A.

I think this was a steady quarter nothing exceptional to report on any metrics. We produced 82,000 tons , sold 74, 000 tons which brought our nine-month sales to about 225,000 tons. We target to be closer to 300 for the full year up from 291 for full year last year. So overall about a 10,000 tons growth. We expect between. We have done about 8 ,000 tons in nine months and a little more as the year closes. Rest of the numbers are in line with Q3 , Q2.

One change has been our realization which has dropped from 165 to about 154 and largely because of product mix. We keep talking about product mix , two aspects of it, one is grinding media versus non grinding media and the alloys that we sell in each of these categories —we do 11% chrome to 30% chrome —and that generally influences the realization. So , the 74 ,000 tons out of 154 realization translated to 1, 146 crores of sales leading to an EBITDA of 395 crores as compared to 444 crores in sequential second quarter and 483 crores in the 3rd Quarter last year. EBITDA at 33.79% , almost comparable to second quarter EBITDA which was at 34.32 and a profit after tax of 279 crores.

Moving on ; similar export benefits our treasury income is comparable to previous periods. We had some foreign exchange gain this quarter about 17.40 crore s. So total other income at 83 crores. Our working capital again largely in sync. We have had some increase in WIP and S G but that's more accounting related which is stock in transit. Otherwise working capital continues to be at par with previous periods , around 90 days. This quarter is about 100 but overall , 90 days of working capital.

From a sales standpoint , we have done of the 74 ,000 tons 53, 395 in the mining segment and non-mining is 20745. Nine -month mining is at 158 ,000 tons and up from 144 in nine months last year. So , it's a nice 15 ,000 growth as far as mining is concerned. Our non -mining has shrunk by about 6, 000 tons. I think nothing exceptional. It's a timing issue more than anything else. In the previous period we had with some OE orders that materialized in that period but nothing material to report for that period.

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Page 3 of 12 Total CAPEX for this year is at 146 crores. We had identified 600 crores of total CAPEX , of which 500 crores of total CAPEX of which 200 crores was to go into the grinding media plant which we are on track. It's in the stage of installation or being set up. We hope to commission it between December '24 and March '25. And total cost for that plant will be 200 crores. We are also spending 200 crores on various debottlenecking efforts. We are buying land ; we are setting up some warehouses etc. to support the whole operation and 100 crores towards renewable. So , all put together we

are at about 500 and of which We have spent 146 crores in nine months this year and another 50 crores approximately till the end of the year. So , We will be at 200 for the full year. We have also transferred money towards the purchase of shares in the Australian company called MPS , we now have a 30% stake and we transferred money for that at 43 crores. So , there's a total outflow of 186 crores for non-OPEX reasons .

Our net cash for the period is at 3, 100 crores odd. I think overall as far as business is concerned , the two paradoxes , one is from a business standpoint I don't think We have been more excited or better situated for the opportunity in front of us. Right from our balance sheet , our excess capacity on the ground , our network and team in place and the solutions that we have for the customers and the opportunity largely the 2.5 -million -ton forged grinding media market which We are looking to convert to high chrome. At the same time , we recognize, and We have spoken about it in previous quarters about the challenges that , we have to overcome to convert. A lot of that is linked to customers mindset, customers perception of risk when one changes from forge to chrome and it's taking longer than longer than we have imagined which is where we were hoping to be at 320, 000 tons a t least We will be falling short this year . We continue with our overall I wouldn't say a guidance but at least an indicative direction of

saying 25,000- 30,000 tons each year we are looking to add. But it's contingent on a lot of these conversions coming into play and We have got customers or prospects where each customer can give 20 ,000-25,000 tons to customers who are between 5,000 and 10, 000 tons. There is an uncertainty around timeline and we are doing all we can and hoping that a lot of that opportunity materializes soon enough.

Macro , from a mining environment , I think our solutions have a deep opportunity just because we are improving operational parameters for the customer and especially at a time when the head grades of copper are falling and plants need to run at optimal utilization. I think our products feed into that and reducing operational costs which is power , wear cost for mill internals , reagent cost etc. I think overall we remain very excited about the opportunity at the same time like I said it's taking a little longer to convert and we hope to share better news as we move forward.

Before we get into Q &A maybe Sanjay bhai can share a quick update and then we can get into.

Sanjay Majmudar: Good afternoon to all. Thank you very much Kunal. I think Kunal has covered most of the points , most important point being the fact that we continue to remain completely committed and focused on the conversion opportunities. As I had indicated in the previous call , it is likely to take a little more time and therefore we see this year getting flattish maybe a very marginal growth of 8, 000 to 10,000 tons in sales as compared to last year. But we should continue

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Page 4 of 12 seeing good traction in the coming years. But having said that , the process is arduous long but we remain very excited about it and we are quite confident that eventually it is just a matter of time and all our efforts are completely in the right direction and we do hope to share some more exciting things as we move ahead and we achieve those goals.

I think even on the CAPEX We have done about 146 crores. We have done target another 150 odd crores in the current fiscal and then another about 200 odd crores in '24- 25. So, all those expansion projects are on stream.

I think with this let the house be open for Q &A.

Moderator: Thank you. Ladies and gentlemen , we will now begin with the question -and-answer session.

The first question is on the line of Mohit Kumar from ICI CI Securities.

Mohit Kumar: My first question

is , is there an impact of freight cost in this particular quarter? Are you seeing that the freight cost has jumped substantially in the quarter because of Red Sea ? Does that impact does it impact the Q 4 also?

Kunal Shah: Good question. I think I should have added that in the starting commentary. This quarter We have not seen , the current P &L for Q3 does not reflect the increased freight cost. But surely going forward there will be a freight cost increase which has surely come along because of the Red Sea insurgency. But as a concept , most of it is a pass through or most of it would be the effort would be to pass it on. We are also on a wait and watch basis right now , hoping that this is temporary and it's just something that doesn't require us to engage with the customer. So, while we remain on wait and watch there will be some costs that We will have to eat in the short term. But if we find these costs to be stickier and looking that it persists , it will be absolutely passed on like we did in the ' 21-22 phase where shipping went up by 3 x to 5x.

Mohit Kumar: My second question is on the non -mining sector. The volume has been declined in last nine months. Does it mean that there's some weakness in the cement industry which is percolating to a weakness in volumes? It looks like FY24 there'll be decline in the overall volume YOY for the entire fiscal.

Kunal Shah: Not really , that's why when non mining was a little higher, we kept explaining that if there is this smaller term shorter term demand that probably came in. See a lot of our solutions for cement also have much longer wear life. So , our castings for example where mining liner their average life could be 3 to 6 months. A tube mill liner for cement could be 5 years , 7 years sometimes even 10 years. And same thing for vertical mill parts that we sell to cement and thermal power business. So , there was some amount of cement , some amount of I would say a little backlog that came in from that didn't get processed in 2021. Companies saying let's keep surplus capacity and maybe added some bit of it , more than anything structural. Our guidance what we have seen over last 5 years is non mining is around 80,000 to 90, 000 tons and we expect that to continue at that level. Now We have gone to 100 but I think 80 to 90 is a fair figure to consider when plotting the non -mining business.

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Page 5 of 12 Moderator: We will move on to the next question , that is in the line of Karan Gupta from Capri Capital.

Karan Gupta: Can you throw some light on your capital allocation policy going forward with 3,100 crores of net cash that seems to be a sizable amount , what are your needs going to be and are you working on some policy of returning capital to shareholders?

Sanjay Majmudar: We are following a little conservative policy right now. As you would be aware yes, we are growing. There are a lot of opportunities that are coming. So, we are constantly doing CAPEX. About average run rate of 200-250 crores a year plus incremental working capital. My working capital gross is a little longer, net is about 100 days. But I have to invest significantly in that. Having said that we have comfortable cash. We believe that there could be some opportunities which might warrant us to deploy some unexpected cash. Therefore, what we have internally decided that till we reach a particular level of penetration in the overall global mining space of at least a sale of 300,000 to 350,000 to about close to 40,000 tons we will have to continuously incur CAPEX and we might want to have an opportunity to look at any inorganic possibility. Therefore, we are maintaining a little higher cash. We are consciously reviewing it every quarter and we will therefore take an appropriate call. But not in immediate future, not at least for next 1 year.

Karan Gupta: Has there

ever been any thought of maybe using some leverage on the balance sheet if at all?

Sanjay Majmudar: We are using to a significant extent our export packing credit limit to the extent of about 400 to 450 crores where there is an interest subvention. Effectively in rupee terms the rate of interest goes down to around just in the range of about 5%, 5.7%. We don't have any term loans. We don't need any term loans. We have enough cash on the books. But except for that there is no need for any leverage at this point in time.

Moderator: The next question is on the line of Amit Awani from PL Capital.

Amit Awani: My first question is on just to reconfirm the CAPEX, we used to talk about 5,40,000, that is on track, 50,000 for grinding unit?

Kunal Shah: Very much.

Sanjay Majmudar: We are already at 440 and another 80,000 tons plus another 20,000 odd tons. So, it will be 540.

Amit Awani: So just wanted to understand, on mill liner we started the journey 4-5 years back. What is the traction on which we are developing? So, we talked about Australian market and few other markets with value added products on mill liner. Just wanted to understand, are we on track and what is happening on the mill liner now?

Sanjay Majmudar: We are very much on track and we remain rather quite excited about the opportunities which are unfolding. So that is the reason why in order to strengthen our design and market acquisition portfolio, we have acquired this stake in this Australian company MPS which are experts in complementary mill lining designs apart from the other available patented design

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Page 6 of 12 that we have. We see this as a very good opportunity. We are currently at a run rate of around 30,000 odd tons of mill liners already on annual basis. We continue to—I would say that it is very important development in our long-term strategic planning to—take a major conversion possibility because that goes as a line item when we overall approach any mine, we talk of mill liners, we talk of grinding media and then we also talk of the beneficiation benefits. So, grinding and beneficiation are our focused areas and mill liner is exactly panning out the way we have anticipated.

Amit Awani: My second question is on as you highlighted, that there's a delay happening with respect to conversion because of the acceptability by the customers. I can see almost from past 7-8 years, so earlier because of the anti-dumping across 2-3 geographies and Covid and then now we were on track and doing capacity. But again, this year we are missing majorly. So past 9 years we have never added more than 25,000-30,000 incremental, I think just two-three instances. So, any change in strategy because again this year also we targeted (+25,000) addition and we are going to be flattish and we are doing so much CAPEX. Any read through or any change in basis you understand the problem that their receptibility is leading to delays in incremental volumes. Just wanted to understand the thought on that.

Sanjay Majmudar: Of course, I've been quite repetitive on this issue and I will once again slightly elaborate. So, the process is extremely long and time consuming. Again, it is not possible to exactly predict how it happens. So let me give you an example. Today we are working in almost all leading geographies and we are working with almost all known or even relatively unknown names in mining space with focus on copper and gold being the driving force and of course iron are also happening. The problem is these mines are very large, they are highly bureaucratic organizations. Earlier I must be very honest with you, what was the situation prevailing before 9 years and today is considerably and totally different in the sense that we have also climbed up our learning curve. We have now understood how the mining overall operates, what

are

their expectations, what are the threats and potential opportunities both. We have significantly strengthened our knowledge base by doing a lot of research on the DP or the down process that is the beneficiation process. Plus, these extraordinary tie-ups that we have done on the mill liner unique designs plus significant strengthening and training of our teams. So, all these

things have happened. Having said that as Kunal explained on a structural standpoint, if we look at the opportunity landscape and where we are positioned, we are extremely excited and we continue to remain excited and focused on the process. There is nothing that we see as something as a major deterrent which forces me to change my direction or my strategy. As I explained on the previous call also, this year we had predicted that the conversion pace or the time that is taking is more. Certain very important minds with extraordinary opportunities are also in the process of being developed and the only thing is the time. I don't think that you should very honestly read anything negative. But the reality is that yes, it is a time-consuming process, it is unpredictable but we are on track. If you look at the overall opportunity landscape vis-à-vis where we are positioned. On a medium to long term scenario, we will hopefully definitely be in a position to talk about higher numbers. But at this point in time, we are conservatively saying definite possibility of around 25,000-30,000 odd tons incremental volume growth in the coming year.

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Page 7 of 12 Amit Awani: Lastly on the overall conversion market, roughly about 2.5 million ton. I recollect I think we used to highlight 2 million. So just wanted to clarify and second thing is the competition doing better than us in the sense that the overall global conversions has been at the faster pace compared to AIA conversions of customers?

Sanjay Majmudar: No, I really don't get what you are saying but can you repeat your question?

Amit Awani: So, one is we highlighted 2.5 million ton of conversion from forge to high chrome. So, just wanted to understand that the overall conversion versus AIA which is facing delays, the overall global conversion is it faster than ...?

Kunal Shah: So, the point is that we are the only ones leading the whole charge towards conversion from forge to chrome.

Amit Awani: How about Magotteaux? Is it not into this?

Kunal Shah: Yes, they are also working on it. So, between us a lot of that conversion is happening. We are not sure of how much surplus capacity they have in other things. They're not a public company so, we don't have access to that information. But I would imagine as we understand, a lot of that conversions right now for conversion because what we are offering is a whole suite of products which is we are saying We will take responsibility for the grinding circuit which is mill liners and grinding media for the grinding mill. So, the conversation is very different. The conversation is not to say you're using our product and I'll just give you the same product at a cheaper price which is your general export, India export story. What we are saying is that a lot of our intervention is adding to disproportionate savings for the customers. That requires them to at least adapt to a different solution, get used to a new supplier the products. So, all of that I think what's taking time is just getting used to that there is this whole change management process. I don't think there is anyone else doing conversion to chrome really besides us given this context.

Amit Awani: So just to add, what you feel would have been the conversion rate right now out of 2.5 million tons forged to high chrome?

Kunal Shah: I think 0.5 million ton is being serviced by chrome as we speak.

Moderator: The next question is in the line of Swati Jhunjhunwala from

OB Capital.

Swati Jhunjhunwala: My question is on the volume. This year we have missed the volume addition mark by 30,000 additions in FY24. For FY25 when we are seeing 30,000 tons incremental addition, does this include the 10,000 to 15,000 that we have missed this year or is that over and above that?

Kunal Shah: I'll just share the context again; we are not chasing a funnel where you make four and one converts. That's the metric when you're saying the backlog adds up or not. Our expectation or rather our hope and our effort is to do much more than that. It's just that there is uncertainty linked to when that conversion will happen, how long that will take and which is where

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Page 8 of 12 because everyone keeps asking us how to model and what to use 25-30 is just an indicative figure. It's not coming out of a funnel, conversation saying here's what we are doing and here's what and hence the backlog gets added. I mean it is where what we have missed this year is not, the opportunity remains, the effort remains. It's a fair chance. I do more than that but there's a fair chance it takes longer and that's just the nature of our business right now.

Moderator: The next question is on the line of Rohit Singh from Investment Analytics.

Rohit Singh: My question is on the margin side and the realization side. What is the outlook for the current quarter in the terms of margins and the realizations?

Kunal Shah: I think margin We have discussed enough times where our guidance. We are not giving a margin guidance but we are saying that our business will do enough to do a 20% -22% margin. We have done better but we are not sharing a precise quarterly margin guidance. As far as our

realization is concerned, we expect it to be between 150 and 160 depending on the product mix.

Rohit Singh: In last quarter you mentioned the dip of 300 to 400 bps. So, in that manner I was asking, is there any further downward estimate of the margins? That is what I was asking for.

Kunal Shah: From current levels, there could be a further adjustment because of the freight that's increased. So near term, there is a likely increase in freight costs because of the Red Sea turbulence but longer term, medium term rather if that is sticky it will get passed through but on a longer-term basis. So longer term basis our margin guidance remains at 20%-22%.

Rohit Singh: I joined the con-call a bit later. So, what is the guidance of volume for FY24?

Sanjay Majmudar: As we explained actually our target is about 25,000 to 30,000 tons for FY24-25. We have shared the details that yes there are a lot of mines on which we are working. This volume could be a little higher but we remain conservative and this is about 25,000 to 30,000 tons. That's what we have seen as a target.

Rohit Singh: For FY24?

Sanjay Majmudar: '24-25. '24 if you go by the same run rate, we should be around 30,000 tons sales.

Moderator: The next question is on the line of Anirudh Shetty from Solidarity Advisors Private Limited.

Anirudh Shetty: Just one question from my end. In the past you have mentioned that copper and gold are opportunities that could do better than the others in terms of growth. In the industry, the overall industry, the 2.5-million-ton market and for our business what would the share be from gold and copper respectively?

Sanjay Majmudar: It is almost equal. Again, in terms of opportunity we are equally focused on iron ore. What we said was that copper and gold are the current areas of focus given the fact that we should be able to demonstrate the strong benefits that we are offering on the table. Again, we don't share

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Page 9 of 12 the industry segment-wise volumes but you can broadly say that between the three more or less they are equal.

Anirudh Shetty: Would that be

true for us as well, in our volume mix are we more or less equal across these three?

Sanjay Majmudar: Yes, I think so.

Moderator: The next question is from the line of Chirag from Centrum Broking.

Chirag: The question was on mill liners. So just to clarify you mentioned that 30,000 metric ton would be approximately the mill liners volume. That is for this year, correct FY24?

Sanjay Majmudar: Yes.

Chirag: We had put up a plan to 50,000 metric ton.

Sanjay Majmudar: I just want to clarify; we are also manufacturing mill liners in certain other multipurpose facilities. So, this is the combined figure I have given you. 27 to 30, it's a range actually.

Chirag: 27 to 30?

Sanjay Majmudar: Yes, this year, that's what the expectation is.

Chirag: 30,000 metric ton the new greenfield plant that we have, plus what would be the capacity of the other mill liners that we have in other plant?

Sanjay Majmudar: When we are talking of a multipurpose plant, there we can manufacture these mining mill liners.

Kunal Shah: The total capacity will be about 70,000 tons all put together for mill liners. We can do more but because the plant is also used for other products you can consider total 70.

Chirag: So basically at least for the next 2-3 years we would not be looking at further expansion of this new mill liner plant, correct?

Kunal Shah: Correct, no.

Chirag: And this volume of 3 lakh metric ton this year and possibly 25,000 to 30,000 metric ton capacity addition for FY25 that you are likely to do. So that includes this incremental opportunity of mill liner, correct?

Sanjay Majmudar: Yes, of course.

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Page 10 of 12 Chirag: And is it possible to broadly mention that how much mill liner would be more profitable compared to the chrome media?

Kunal Shah: That product-wise profitability is difficult to discuss but every product has its own profit profile. But you'll have to look at it in a totality because I can't do just one. It's a whole set of internals that we sell and there's only so much casting I can sell or liners I can sell in sync with grinding media. So, you'll have to look at it at the whole pool together.

Chirag: And on this Australian company where we have taken 30% stake. So here eventually what is the business plan? Eventually we will be taking over the entire company or they are going to be our partner?

Sanjay Majmudar: We want to eventually take up a majority stake. But we will not take over the entire company.

The current set of people who are experts, they will continue the operating team. We are not going to disturb. They will continue the operations. We are only adding strategic as well as marketing related inputs. We will be taking up a majority. That's the plan.

Chirag: So, their mill liners are of different material than ours or is it similar product?

Sanjay Majmudar: No. So there are different categories of mill liners. This is a complementary design capability that we are increasing. They do have a set of customers who are also using those designs and manufacturing complementary types of liners. It's a little complicated but yes, it complements, and it strengthens our portfolio of aggressively marketing mill liners in this mining segment.

Chirag: What would be the global addressable market be of mill liners?

Sanjay Majmudar: In my view what we are totally, currently manufacturing the metal liner part is about 300,000 tons.

Chirag: And the one that this Australian company makes?

Sanjay Majmudar: It's a part of it. They are not making liners mind you. They don't have any manufacturing capacity.

Kunal Shah: They're a design and service company and which have access to the market. There's IP and there's access to the market that they have.

Moderator: The next question is on the line of Anupam Gupta from IIFL.

Anupam Gupta: Firstly, on m

ining where you said that the timelines to convert is relatively uncertain. Can you give us some idea of what sort of potential volumes are under trial at this point of time in terms of customers or any sort of color there?

Kunal Shah: Specifically higher quantity. The learning is that it will take time just because of the nature of the market, the conservatism all the things that we have said. Like I said that's the paradox, that AIA Engineering Limited

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Page 11 of 12 we feel the most confident about a product. But there's a natural law that we can't inviolate.

That's something that We will have to respect the time that customers take to warm up to it and say now I'm ready to migrate is something that We will have to, that's the nurture part of the market that We will have to participate in. There are customers which is 25,000-30,000 tons at each level. If to such convert will be a 50,000-ton conversion. It's just that till I don't do it there's no point in speaking about it. The proof of the pudding is having it. To that extent we are just keeping it at because there's no point in me saying this much and then trying to explain why it didn't happen. The fact is we are saying it as is which is there's uncertainty linked to the timing of when and how that conversion will happen. We will try and share as much more color as we can going forward.

Anupam Gupta: Just to clarify let's say will this be more in geographies where we have lesser presence, Peru or Chile where we are trying to enter?

Kunal Shah: Today we are ready to set up even further to. We cannot afford to stay in one and not in the other on any metrics. So, whether we are in a market or not in a market we are making efforts across the board to go penetrate. There are different stages with each of these customers. I don't think it's geography linked as much as where the company is and what stage it is and what is their priority. How do they look at the whole change management process. So, it's a little more nuanced than trying to say one geography or one. I understand where you're coming from but unfortunately, I don't have an objective answer to this.

Sanjay Majmudar: The only thing to add what Kunal I think, you may take it like this. We are present in all important geographies where significant mining is happening.

Anupam Gupta: And one question on the non-mining volumes. They have been at this 90 KT levels for some time now. Although domestic market, cement market has also grown, domestic thermal coal market has also grown and CAPEX has also happened. Anything why is the relation not happening there?

Sanjay Majmudar: I'll tell you. As Kunal explained one mine location could offer a 25,000-30,000-ton opportunity, one mine, single mine or even more. Our entire country cement, even at present high level of production is being serviced on a volume of 27,000-28,000 tons. So, the requirement per ton of cement produce is minuscule as compared to mining. That is point number one. Therefore, even though the cement production may grow say by 10%-15%, my volume growth will be from 25,000 tons or 27,000 tons to maybe —again initial supply versus replacement, so all this cycle so —we continue to enjoy a (+95%) market share in cement in India. We have never lost any customer so far. Globally we are in more than 130 countries in cement, still globally we are talking of a 70,000-75,000-ton supply, ex China 35% market share. So, the market itself is small although growing. So that the incremental volume impact is absolutely insignificant. Same is thermal, thermal correct. But the growth in thermal at present is not that much. The power is more focused on renewables. Whatever we are able to supply in thermal we are doing is 7,000-8,000-9,000-10,000 tons. That's about it. 500 tons here and there is no impact at all on the overall scheme of things

Page 12 of 12 Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments .

Pritesh Chheda: The 50,000-ton liner capacity that you had added what is the utilization there currently?

Sanjay Majmudar: Currently overall is about 50% .

Pritesh Chheda: And the 4, 40,000-ton total capacity that we have, what would be your guess in terms of the utilization of that how many years you take?

Sanjay Majmudar: I want to clarify two things. We don't share plant wise capacity utilization figures but overall , for castings including mining liners , the larger VSMS and other type of liners , overall utilization is in the range of 50% to 60% and that's about it.

Pritesh Chheda: I know that the 4,40,000 how you have on ground, how many years you will take to utilize that?

Sanjay Majmudar: Our internal target is that we can theoretically go up to 80% , our target is that we want to do it in 3 years. Now let us see. But this should not be taken as a guidance. Don't catch me.

Pritesh Chheda: No problem. 4 ,40,000, 80% utilization 3 years ?

Sanjay Majmudar: Yes.

Kunal Shah: Operator, I think we are done with questions , so I think we can just wind down the call. Thank you everyone for joining and Sanjay bhai and I remain available offline for any further questions.

Sanjay Majmudar: Thank you and have a good evening.

Moderator: Thank you, members of the management team . Ladies and gentlemen , this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you and have a great evening.

Call: May 2024

AIA Engineering Limited
May 16, 2024

To,
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Mumbai - 400001
Script Code: 532683 To,
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National Stock Exchange of India Limited
"Exchange Plaza", C-I, Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400051
Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on May 14, 2024

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call between the Company and Investors on Tuesday, May 14, 2024 to discuss the Audited Financial Results and performance of the Company for the Quarter/Year ended 31st March, 2024.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited Q4 FY24 Post Results
Conference Call"

May 14, 2024

MANAGEMENT : MR. KUNAL SHAH – AIA ENGINEERING LIMITED
MR. SANJAY MAJMUDAR – AIA ENGINEERING
LIMITED

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Moderator: Ladies and gentlemen, good evening. Thank you for standing by. This is Sagar, the moderator for your call today. Welcome to the Post-Results Conference Call of AIA Engineering Limited.

We have with us today the Management Team of AIA Engineering Limited. At this moment, all participants are in a listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press "*" and "1".

I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Thank you everyone for joining us on this 4th Quarter call and results for our full year Fiscal Year '23-'24. As usual, I have got Sanjay Bhai and I am Kunal. Both of us will take you through the snapshot of this quarter and then get into Q&A.

I will quickly update for numbers and highlights of this quarter. There are two updates that we would like to share and then we will get into Q&A.

We have ended the full year at 297,000 tons, up from 291,000 tons last year, about 6,000 tons increase year-on-year and for this quarter we have done 71,400 tons and it was largely comparable to the 4th Quarter last year, which was at about 73,500. It has been a flat quarter year-on-year as well as sequentially where we have done 74,000 tons in the 3rd Quarter of this year.

Our revenue for the full year is at Rs. 1,130 crores and that translates to a realization of about Rs. 158 per kilo. Our EBITDA for the quarter stands at Rs. 374 crores, 0.63, which is at 32.57% and EBITDA for the full year is at Rs. 1,616 crores, which is the highest ever in our existence. So, it has been a record year for us and EBITDA margin of 33.31%. Profit after tax of Rs. 260 crores and the profit after tax to the full year at Rs. 1,135 crores. Year-on-year, again profit after tax is largely flat, it was Rs. 268 crores and EBITDA was Rs. 379, both figures are comparable this quarter compared to the 4th Quarter last year and lower down from Rs. 395 crores of EBITDA in the 3rd Quarter and Rs. 279 crores in the sequential 3rd Quarter of this year. So, overall it is a flat quarter compared sequentially and year-on-year.

Highlights of some other line items:

Our total other income is at Rs. 76 crores for the quarter, which includes Rs. 72 crores from our treasury income and Rs. 19.26 crores, which is our other operating income which is our export benefits and a small exchange gain of Rs. 4.23 crores that sums up to Rs. 76 crores overall. And that is again comparable to Rs. 83 crores in the 3rd Quarter, but which had an additional foreign exchange gain. If you knock that out, it is largely comparable between these AIA Engineering Limited

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two quarters. Working capital again continues to be flat. We are at 101 days consolidated and that is comparable to the 3rd Quarter last year and also the 4th Quarter last year. Most of our sales, the growth in sales have come from the mining side. So, if I were to break up the 71,000 tons, mining is at 44,900 and non-mining is 26,500. So, for the full year of the 297, we have done 203,000 tons in mining, which is up from 192,000 tons 12 months last year, FY22-'23 and the non-mining is about 99,000 tons is at 93,600 tons. So, it is a little lower, about 5% lower while mining is up by about 10,000-11,000 tons, so 291,000 tons. That is how it adds up to 297 for the full year. We have done, our net cash is at Rs. 3,290 crores. I think that is broadly the number highlights for the quarter.

We have got two more updates. You would have seen our filing on the stock exchanges around our anti-dumping and anti-custom wailing duty process that has been initiated by the US authorities based on a petition that was filed by our competitor there, which has a local plant in US which

is Magneto USA. And as you know, we have seen and experienced with Canada and Brazil, it is now almost a sub-judice matter where there is a department in the US, Trade Department now looking at our sales in that region and they will do, whatever is required on their side. We did 27,000 tons in US in calendar year 23 because that is the period under review. And as always, we will continue to not only defend our business in that region, but also actively cooperate and participate with the authorities there to make sure that a fair assessment is done. Beyond that we may not be able to speak much. For now, we expect business to continue as usual, so nothing more to report on that account. Our business in the dumping duty in Brazil is also undergoing an investigation, a sunset review, so 5 years, the duty was applied for and then there is a sunset review which is ongoing, and we hope to hear the outcomes of that next month in 4 to 6 weeks from now. So, that is our update on the trade side.

One more update is around our capacity. So, we are very happy to report that our Brownfield

expansions are non-grinding media business. As we had reported, we were spending a total of Rs. 200 crores of which we spend Rs. 110 crores already and we will do the balance in this year FY25 where we have done some Brownfield, some capacity balancing equipment. We are buying land for storage facilities and doing some reorganization of our older plants in Odhav. In addition to the efficiency that that will bring better organized supply chain and operational debottlenecking, it has also given us additional capacity of 20,000 tons. So, as we speak, our total capacity, which is at 440,000 tons now remains enhanced to 460,000 tons which includes this ground fee on the ongoing Brownfield for grinding media we had originally reported 80,000 ton grinding media capacity addition, a lot of our equipment comes from Europe, which is facing delays and interruptions. So, what we have done over this quarter is we have chosen to implement one module of that capacity, which is 36,000 tons and we hope to be ready and commission that in next 3-4 months. The balanced capacity for that, given the challenges that were there with the supply chain, we have decided now to put a halt on it because we are still with surplus capacity as our markets, as we start consuming more from our

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existing capacity, we will decide on further capacity addition. Customers need for us to have buffer capacity and so we will be looking to add more capacity, and this will be now the balance portion of this Brownfield will be like a plug and play where we start and finish it in six to nine months. So, that module is now being put on hold. So, for now, our current phase of expansion will end with 440 becoming 460,000 tons in our current capacity plus 36,000 tons of grinding media that will come online in next 3-4 months, which will take our total capacity to 496,000 tons. So, these are the 2 updates, the action in US and the capacity, the updates on our capacity for grinding media and non-grinding media.

Lastly, as far as market is concerned, I think we remain status quo with everything that we have said over last few quarters. We continue to not, while our endeavor is to add 30,000-40,000 tons of sales each year and we are prospecting far more of opportunity to convert from porch to chrome, we are not sharing an update on exact numbers that we plan to sell for this year. So, while our endeavor is and that is just the directional figure, we continue to not share a guidance note on tonnages for this quarter.

With that, as I said I will have Sanjay bhai share a small update from his side and we can get into Q&A after that.

Sanjay Majmudar: Good evening, everyone, and thanks for attending this call. So, just to add a couple of further

updates, so as Kunal explained, yes, we remain absolutely committed and focused on working on all the opportunities which we believe remain absolutely the same. Either we talk of all the three basic courses on which we are focused on in terms of our mining opportunities that is to say, iron, copper and gold. We are working on several conversion opportunities as we speak and therefore, although we appreciate and understand that this year was flat as it was indicated on the Q3 call that does not change the tone or the direction with which we are working. That is an incremental 30,000-40,000 tons at least on which we are currently working, and we remain committed to that. We believe that as we move forward, we should be able to guide you a little better. But all I can say is there are several such opportunities on which we are very bullish and working and directionally this modular approach does not and should not be read as the deferment, but this is just more structural and strategic in nature. That is my first point. Second, we are also making significant investments on the renewables. So, this year we are participating in a hybrid solar and wind project where we will be adding almost under the group captive scheme where we will be adding gross 60 megawatts which would translate into effective about 40% to 50% of the power factor, which should become operational in the current year. And because it is under this group captive scheme, the investment is in the range of Rs. 30 to Rs. 40 crores, but that will make us, by the end of this year, we will be at least around more than 50% to 60% effective captive. So, this will be implemented in the current year by end of the year. The impact will come next year. So, that will add another further

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significant renewable capacity. And I think the other CAPEX plans and everything Kunal has discussed.

So, just to conclude, directionally, we are absolutely committed and we remain very buoyant internally. But yes, we are facing challenges like this US anti-dumping and we will take it in our stride and do the needful. With this, I think moderator let us throw the house open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question

is from the line of Amit Ahuja from HG Hawa. Please go ahead.

Amit Ahuja : And my question was with respect to the MP S acquisition , like you just mentioned in the presentation that 43% shares are acquired at the rate of 64 in FY 24, so in the last concall it was mentioned, 30% stake is also acquired , so is it meaning that we are having 73% holding now?

Kunal Shah : No, plus 13 total of 43% now.

Amit Ahuja : So, in all the total spending is 43 plus the balance of 64, right?

Kunal Shah : No, we bought 30 before and 13% now , total is 43%, yes.

Amit Ahuja : And the total cost of acquisition is 64?

Kunal Shah : Yes, both put together, correct.

Moderator : Thank you. The next question is from the line of CA Garvit Goyal from Invest and Analytics . Please go ahead.

CA Garvit Goyal : Sir, you mentioned about putting more Brown field expansion on hold, so can you let us know what is the capacity that we are currently putting on hold?

Sanjay Majmudar : No, as against the first and foremost 80,000 was the composite. Now we are implementing the first module through a modular approach of 36,000. So, it is 440+20 Brownfield already implemented at Ottawa and a few other locations as explained by Kunal plus 36, so this will be 496,000, which should become operational by Q3 this year.

CA Garvit Goyal : Earlier, the total capacity target was 5,20,000, right ?

Kunal Shah : Correct 520 because 496.

CA Garvit Goyal : And sir, what is the exact reason , is it due to lower penetration happening across the industry or anything else?

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Kunal Shah : That is what Sanjay explained, right , this is , we are already doing capacity ahead of time and there was an opportunity to do it modular. It was taking time. If you remember our current guidance for commissioning was December, it was the end of this year and it was moving to next quarter. We said let us go ahead with what is available , how can we try and get, our module open early . That choice became available as we reconfigured our equipment and then we decided , said let us do something now and then the next module can be easy to plug when we decide to go ahead and do it. So, we are spending about total 170 , instead of 250 we are doing it at Rs. 175 crores and getting done with it so on.

Moderator : Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan : My first question is with respect to the overall mining demand environment. So, with gold prices going up and copper also resurging back in terms of prices, how do you see the mining activity across your various geographies , has there been any pickup that can lead to increase in grinding media demand? Are you seeing anything of that sort, sir ?

Kunal Shah : As we have always maintained, we want to remain very agnostic to mining demand cycle, correct. So, just because now there is an uptick, that doesn't mean that automatically next quarter , I will start getting more inquiries. No, the whole approach is conversion , correct and it is a very painstakingly time-consuming approach, so keeping aside the mining cycle, all I can say is that the demand opportunity of 1.5 to 2 million ton conversion on which we are focused is absolutely intact. We are very bullish on wherever all those geographies where gold and copper are predominant, not to discount iron, correct . So, we are equally very bullish on all these three . As we speak significant opportunities are under conversion process. Unfortunately , I can't give you details beyond this, but all I can say is that from an opportunity landscape, there is absolutely nil dilution. On the contrary, there are still more aggravated efforts that are being put. The only point is that it is beyond our control, the whole conversion takes its own sweet time. Having said that, our internal focus remains absolutely committed on all those conversion opportunities and we are working on. There is no let down in the pipeline. On the contrary, pipeline looks to be very buoyant.

Ravi Swaminathan : And with respect to the EBITDA margin , so earlier you used to guide it to be in the range of 22% to 23% and then couple of quarters ago you had mentioned 23 % to 24%. What kind of range that it is likely to settle in keeping in mind the cost saving initiatives that they are taking?

Kunal Shah : Ravi, I think we have had a consistent answer on this and our macro guidance continues at 20% to 22%. We have done better , beyond that, as you know for many quarters, but as a business model, we will defend that margin going forward. There is always an opportunity that if we are able to reduce our cost, there is a case for the customer benefiting out of that. That becomes something that becomes an operational leverage that our side, it could become a

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margin thing. We will see whether it is possible on a sustainable basis. So, that is an effort that continues, but from a guidance standpoint, I think we stand to what we have been historically maintaining.

Sanjay Majmudar : And just to add to Kunal, there is a logic to that because our whole focus is conversion, where we continue to believe that there could be challenges. Yes, our endeavor will be to do better. In fact, we have been consistently doing better operating margins than whatever guidance is. But at this point in time, we have not really looked at it. So, I

let us mention what we have spoken earlier.

Moderator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair : Kunal bhai, Sanjay bhai, I understand that this year has been a little tough in terms of the conversion and it has been a little slower in terms of what we had expected, but if I look at over the last 5 years right from 2019 in mining, we were about 170,000 and this year we have closed around 204,000 roughly. This gives an average CAGR of 4%. Now, while annual conversions, etc., there could be taking a longer conversion aspect, but the pace of conversion and the pace of volume growth has been relatively a bit slower. On an absolute basis, it has been about 30,000 odd kind of an incremental volume over the span of 5 years. So, just trying to understand what is driving this slower conversion and as we move ahead, at some point I think we were looking at some 30,000 incremental volumes on an annual basis. You think that is something that is really doable, what are the challenges and what can really drive that conversion at a faster pace?

Kunal Shah : I think important question, I think for most people on the call also. I think there is context to this 5 year period because there was COVID in between, right. There was a challenge in developing markets, there was a serious increase in freight costs for almost 2 years that made the conversion virtually impossible just because of the extra cost, our potential customer will have to pay compared to an incumbent which is in the same region, right. So, I think we lost almost 3-4 years during which time that it was layered with this whole trade action where we have lost volumes in Canada, Brazil and South Africa, right collectively closer to between 50,000 and 60,000 tons. So, it has been a very challenging period. The fact that despite all those headwinds, we have grown from 170 to 204 is something that excites us, that encourages us, that motivates us that we are on the right track. We are not at 100,000 tons. I mean, all of these collectively are black Swan events that actually take a company down right. No customer migrated back to an incumbent or to another competitor, 100% of our volumes remain we delivered right all of that you know the journey, you have seen our price passthroughs come along including all of freight, right? So, the point is that now over last 12 months or 18 months, markets have been cleared, the travel has started. Freight has normalized over last 6-9 months. I think we are in a level playing field, we are seeing now looking back to growth, I

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think next three years are really will be a period to look at us whether we have grown or not right. Our efforts continue and like Sanjay bhai had said before we are very optimistic because we have a solution for a pain area that the customer suffers from. Your yields from existing mines are falling is a reality for any copper mine you can call and check with right. Improvement in yield of recovery is an absolute interest top three items for any mining company. You are helping them reduce their ESG footprint in terms of reagents or in terms of lower power consumption, all of these of ESG, the top priority for most mining companies. So, from a solution standpoint, we are only sharpening and deepening our engagement with the customer, we only remain optimistic and enthusiastic. The reality is that it has taken time right even despite these things we would be happier that we sold 30,000, 40,000, 50,000 tons more, but keeping reality in mind and all the headwinds that we have faced, I think we are well placed now and look at us over next 3 years that last 5 years may not be the best indicator of the potential that our solution has. We continue to remain excited about it and having been able to add 30,

000 tons a year, I think should be a fair goal for what we try and offer, right for the opportunity that is there in front of us.

Bhoomika Nair : So, in a sense what you are trying to say that 30,000 incremental volume should be doable, all things being satisfiable in the next couple of years?

Kunal Shah : For us, it is an open and shut case where someone should migrate, right. This is our problem. I mean, with all the benefits that you have spoken about and discussed plenty times before, but the reality is that there is a friction process, right. There is a challenge in terms of various things there. Again that we have spoken about and it takes time and we are happy to do that right. It takes time, we are happy to be, we are here for the long haul and everything we offer is

of priority interest to the customer. I mean if it takes 6 months more or a year more or even two more that is okay in the time relative to the time that we are looking at to keep this business. I don't think we worry about as much about losing the market as much as how do I find ways to grow faster.

Sanjay Majmudar : And a very simple math Bhoomika is that, as Kunal explained, what we lost was around 50,000 tons. If you just do an adjusted math, then your CAGR would look better. Having said that, there is a part of our business, we have realized it. This is always going to happen. So, we have also climbed up our knowledge curve significantly. We have sharpened our tools. We have done excellent work on the DP side. Now, we have all sorts of mill liner solutions. So, now, even our confidence is much better. I absolutely agree with you. Just from a statistics point of view, it doesn't look so good, but there is a whole lot of completely changed platform on which we are standing today vis-a-vis where we were 5 years ago. That is a very important point to take care. Let us not speak more. Let time will tell. Let us see how it goes.

Bhoomika Nair : Sir, the other thing is on this whole US litigation, while obviously as such volumes have not yet gotten impacted and we continue to sell into that geography, what is the risk that this can

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get impacted because that is a fairly large chunk of our overall volumes, in your opinion, what is our likelihood of that kind of being impacted, if any?

Kunal Shah : This is like doing a crystal ball gaze into the future and I think we have been advised not to speculate on what it means. You know that there is a reasonable amount of volume that we are doing over there. It is a long process. It will take 9 to 10 months for us to engage with everyone and we are also learning as we engage and go through the process. But I would be restricted in having a response that could be a little speculative in nature in terms of what can the outcomes be, but we remain confident that we have done, we have got a fair price, we have got everything in place. We have got great lawyers who are helping us defend. So, the competition has to do what they have to do and we have to do what we have to do. So, we are looking at it in what to say, we are well placed to defend it vigorously, basically.

Bhoomika Nair : And just lastly, if I may on this MP's acquisition in Australia, how do you see that evolving over a period of time we have kind of taken a decent stake now out here, how can it help us in terms of scaling up volumes particularly in the mill liner space?

Kunal Shah : I think MPS brings competency that we don't have which is the whole process and application side of mill liner in relation to grinding, so great fit, it complements us well. We have taken on, we have added to our repertoire when we go out and engage with the customer. So, surely we are seeing dividends in terms of our ability to do a better engagement to include more customers now that we are going out. I think it is

a no brainer because that was competency.

That is a prerequisite to doing liner business. It would have taken us 5, 7, 8 years overall to acquire that knowledge which is available to us now. So, it will show the benefits, may not be in a quarter or two, but surely you will see an acceleration in our mill liner work.

Sanjay Majmudar : And it is a very profitable enterprise. So, whatever our target profits we are achieving that so that way also it is good.

Moderator : Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda : Sir, first one, just a clarification, your mill liner capacity is where you are adding this incremental 20,000 tons?

Sanjay Majmudar : It is what we are calling non-grinding media, so that capacity is used for our vertical mill parts, other mill parts, some of it can also go towards mill liners, but for our capacities, grinding media and other than grinding media, we just clarified or talked about mill liners because we set up our plan for that, but now we have and while it was getting commissioned and opportunity and all of that now we are going back to our older classification which is grinding media and other than grinding media and just 20 feet into that.

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Pritesh Chheda : Now, you have added 50,000 ton of mill liners I think last year and there was this whole idea of incremental addition of 10,000 tons per annum, but when I look at this year, your others, the volume has declined. So, what is playing out there in terms of the decline in volume, where mill liner itself incrementally was supposed to add 10,000 for the volume?

Kunal Shah : Other does not reflect mill liners. Other reflects non-mining segment, so mill liners are part of the mining volume that has been reported, because it is going towards the mining segment, we have not done a product wise this thing, but as you said that we have not grown at 10,000 tons in mill liners, it is a little. I don't have it on top of my head right now, but it is a little lower.

We don't want to really get into exact , how many product, what product has done, what tonnage , just from a competitive landscape standpoint, but it has grown, but not at the 10,000 pace that we are hoping to. We are hoping next 12 months that pace will accelerate as we go.

Pritesh Chheda : So, mill liner is a non-grinding media , right?

Kunal Shah : Mill liner is non-grinding media, correct.

Pritesh Chheda : I said your experience in the past trade actions in Canada, Brazil or Africa has been first loss of volumes to Indian later ?

Kunal Shah : Yes.

Pritesh Chheda : So, is it that in the incremental 27,000 tons of anti-dumping duty imposed by US or let us say not being imposed , review by US, the experience has to be similar ?

Sanjay Majmudar : Exactly. I will tell you why. See, as Kunal explained the matter is subjudice , we are completely restricted, but geographically each geography's situation would not be the same. Therefore experience cannot be the same. Second point is in the past we have lost in Brazil, we have gained quite a bit. So, we are quite okay with it. Don't worry about it. All I have to say that each geography is different , so parameters are not exactly comparable. So, the similar analogy cannot and should not be drawn.

Pritesh Chheda : The recent review was in Canada, what happened in Canada specifically, what was the volume at that time before the trade?

Kunal Shah : It was close to about 24,000 tons and we are at about 7,000 tons now.

Pritesh Chheda : And the matter is still subjudice?

Kunal Shah : It is not subjudice, it is already, we have got administrative process in place where I will have to expand on, it is a little more complex in Canada than everywhere else, but I don't think that is an impediment for our sales in Canada. We

are doing enough work and you will see the

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numbers in Canada go up in next 12 months and sooner than that. So, I don't think today what the Canada action has done has put in some administrative things in place , so that there is a certain pricing mechanisms that we have to agree to and which we are doing. I don't think the action there is now a deterrent in our ability to get more sales .

Pritesh Chheda : So, would you then be able to, in your revised format of selling whatever trade changes have been brought in or implemented , will it be at a similar EBITDA per kg as similar margin as earlier or a differential margin?

Sanjay Majmudar : I don't think it is too much granular detail for us to go into every region and you will have to look at us , margin as a company as a whole, I am afraid we will not be able to get into that granular conversation.

Pritesh Chheda : Just to reiterate, Canada was 24 before the matter and post that it went down to 6000 ?

Kunal Shah : No, it went down to 0 , now it is 7000.

Moderator : Thank you. The next question is from the line of Mani , who is an Individual Investor. Please go ahead.

Mani : I wanted to understand a little bit more about the mill liner segment, if you can explain what share of revenue does that contribute currently to AIA 70 that is number one ? Number two is I also want to understand is the strategy of AIA in the mill liner segment very similar to what it is in the grinding media, where you believe that the solution which you offer in mill liner, I am assuming the solution that you offer is ferrochrome based, mill liner and that is a significantly better solution compared to the steel mill lining market that is there , is that the understanding correct or if you can just little more talk about the mill liner segment and your strategy over there, that will be helpful ?

Kunal Shah : To everyone, I will just do a quick thing and we can go offline if you want to understand a little more, but mill liner , there are three or four of our incumbents, it is not steel versus chrome. The advantage we bring is not so much in metallurgy as much is in design. So, the whole mill liner conversation is working through proprietary, some patented designs that we offer that ultimately allow the customer for a higher throughput. It helps them save power cost and of course the cost of the mill lining. So, that is the whole overall solution that we look at when we talk about mill liners. The whole objective for us within that space is to not just sell out of the plant that we set up of 50,000 tons , to set up, let us say, to sell 30,000-40,000 tons next year. The idea is that that allows us to have a conversation for the whole grinding suite with the customer which includes mill liners and grinding media because the whole solution together delivers super normal consequence for the customer. So, our interest is to sell that whole combination . Of course , there will be customers that buy just linings from us and that is the journey and the conversion timeline that it takes , but that is the strategic reason why we are

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doing mill liners. The whole idea is to engage with the customer on that whole basket of products. I think that is where it is and it is not high chrome, it is a chrome solution. And we will continue to add, our aim is to add 8,000 to 10,000 tons a year and fully utilize the plant in next 4-5 years.

Moderator : Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Funds. Please go ahead.

Charanjit Singh : Sir, my first question is regarding our stands on whether we will be keen to now put up any capacities in the other locations apart from India, looking at the kind of duty structure restrictions, now this is the fourth geography which we have

seen. So, what are your thoughts

on that in terms of doing some capital allocation in the international markets?

Kunal Shah : I don't think our view has changed. We continue to believe India is a great location to, it is not a cost location for us, it is a competence issue. It is availability of ecosystem that allows us to produce. Nevertheless, we believe there is a large, I don't think that trade action in two or three countries. I don't think there are many more countries where we expect to see trade action. We see there are mining clusters in at least 15 countries. So, there is enough plus additional let us say 10 to 15 where there is follow an opportunity for us to grow. So, I think there is a larger market outside of these territories that we continue to focus on and we will see. For now, there is no plan, we continue to stay put with our current structure and our current growth plan.

Charanjit Singh : The other question is now, if you look at the overall mining production growth globally, now there have been also discussion that maybe those numbers will go up as you know copper and other commodities are seeing increased demand. So, what is your thoughts in terms of when you are looking at this production growth picking up, while conversion from for ge to high chrome is one of the most important factor, but overall underlying volumes itself, if it goes up, it benefits us. So, just if you can touch upon on the overall production growth what you are seeing in the markets?

Kunal Shah : You are absolutely right that if the underlying growth happens at an existing mindset, we will be natural beneficiaries of that growth. But we are not counting on that. There are several factors where despite their desire to grow, they may not be able to grow there, the approvals in place, there is the whole excavation part, post process. So, to that extent while they want to produce more, they may have limitations, but if they can obviously will be a natural beneficiary over there. But we are not counting on that as a strategy. For us, converting and migrating our customer from use of for ge to chrome is where we spend most of our effort on.

Charanjit Singh : So, lastly, now we have added this mill liner capability in our entire portfolio and there was also discussions earlier we used to talk about that as a complete solution provider, we will be able to target this market. So, if earlier, when we are targeting only the grinding media, now

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with the liner, what percentage of the overall CAPEX within this segment we are able to capture from a minors perspective, sir, with liner and grinding media together?

Kunal Shah : You mean to say the consumable cost?

Charanjit Singh : Correct.

Kunal Shah : Of CAPEX, so I think this covers almost everything.

Sanjay Majmudar : And because of the grinding side, their wear cost includes these parts line arrangement in mine, so of their grinding circuit this would be most of all of their consumable from a grinding standpoint, of course they use reagents and other things, but this is the largest cost line item for them or the top three at their operating site.

Charanjit Singh : And just lastly if you can touch upon, how is your progress in Chile as a market, we had got some initial traction, but if you can update on how is the journey there in Chile specifically?

Kunal Shah : It is great. We are on track. We hope to report something, a conversion in that market soon. But it will take the time it takes so. We are as eager to hear news about it as you are so. We are fully active and putting efforts in that region.

Moderator : Thank you. The next question is from the line of Priyanka Biswas from BNP. Please go ahead.

Priyanka Biswas : So, my first question is, we had seen this Red Sea crisis for some time, I mean disruption on the freight etc., so

can you just tell me how much impact had it on your volume shipments? So, what am I trying to say is like, let us see if this crisis was not there hypothetically, so how much higher could you have possibly done?

Kunal Shah : So, I think we had reported when that happened we were on a wait and watch mode to see whether this is temporary or it is sticky. It appeared that it looks to be a little longer time, but over this last quarter we have seen rates going down to start normalizing. We are not seeing of

carriers being interrupted or being called up etc ., and in line with that overall risk perception going down, rates have started going down. So, we pass through some rate and the rate is getting adjusted. So, our view is that if the rates are getting normalized soon. And to that extent and if they don't, we will be passing them. So, I think for now we are happy to see that rates are going down and getting normalized or in that direction.

Priyanka Biswas : So, what I meant was not from the freight trend point of view. What I meant is because of the disruptions and the longer selling times, would you have lost some volumes, I mean like delayed shipments or something like that. So, probably you could have done one maybe better in the quarter?

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Kunal Shah : It only means you to plan sharper and maybe a little longer lead time.

Sanjay Majmudar : But I don't think we have lost any volumes due to that, no.

Priyanka Biswas : Since you discussed about Chile, so I would just additionally ask about Peru where you had actually opened up a new subsidiary as well some months back. So, what is the progress in the other Latin American geographies and when can we start hearing news from there?

Kunal Shah : Soon, it continues to be status quo. I think it continues to be, lot of effort that we continue to put in those regions.

Priyanka Biswas : And what are the minerals that we are targeting there ?

Sanjay Majmudar : Copper and gold, of course, but mostly copper.

Moderator : Thank you. The next question is from the line of Anupam Gupta from IIFL. Please go ahead.

Anupam Gupta : So, just couple of questions, firstly on the volume side of it, so obviously the conversion has been slower than what every one has been expecting. Would you at any point of time ascribe this to maybe slightly more intense competition from the incumbents in this case, let us say when you say Peru and Chile, obviously the former incumbent there is pretty large in those regions. So, is the volume conversion in a way also being slow because the incumbent is giving you intense competition for that shift to happen ?

Kunal Shah : Not really, Anupam bhai. I think incumbent will do what they have to do and there is always friction point in terms of migrating from one solution to other, wherever it is. I think the more important question is the efficacy of our solution, right, all these things that we are speaking about that is how 15% of the markets got them converted to chrome. There is no reason that it is not going at least another 10 %-15% more right, but every single place, every single country has its own set of challenges, its own set of existing customs in terms of where they bought from, how they think about it, the time it takes, the risk appetite and I think that is where it is. It is a large market. We have done enough work. We continue to put in work. In our mind, the breakthrough is around the corner, and we continue to believe in our solution, right. Now, that is where the real-life world is where it will not appear open and shut to us, still takes, but that like we keep saying "Daag Acche Hai" right that means that for the next guy it is even more. That is why we keep this business. That is the whole joy and fun in this game is because that once the business comes to us, it stays. And when we are looking

at keeping this business for a

few decades out, it is okay if it takes few years in that conversion journey, right. As much as we are eager and anxious to make this happen yesterday, we also understand that we will have to do what it takes. We remain for a longer haul. We are not here to have a flash and burn.

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Anupam Gupta : And couple of book keeping questions. Firstly, now that you have trimmed down the capacity addition part of it, what should be the CAPEX one should build for FY25 and FY26 including what you are going for power?

Kunal Shah : FY25 total CAPEX is Rs. 200 crores, which is Rs. 90 crores for grinding media, balance which we are commissioning now, Rs. 35 crores for power and Rs. 75 crores for that ongoing debottlenecking and other things that we are doing. So, total 200, we spend about Rs. 210 FY24.

Anupam Gupta : And FY 26 should be similar quantum at this point of summary ?

Kunal Shah : FY26 for now is because that will depend on what new capacity that we are doing. There is no announced capacity or CAPEX plan for FY26 as we speak. We plan to complete all of this in this year through the year. We will see where things go and we will decide on what is happening on that front.

Anupam Gupta : And one just lastly, what should be your tax rate for FY26?

Sanjay Majmudar : I think it continues at 22% blended, between 22 and 23.

Moderator : Thank you. The next question is from the line of Lokesh Manik from Valium Capital. Please go ahead.

Lokesh Manik : My question was more on the macro front. So, we recap, let us say 7 -8 years , we have seen many countries become protectionist and one of the reasons why your competitors have competitors for that matter has been successful in their endeavors, we have taken advantage of this trend , in this slide, do you think your strategy of manufacturing out of India for the reasons that you have stated in the past and in today's call as well , you may be shifting a portion of manufacturing in countries that are more on the exhibiting this protectionism trend to safeguard their volumes because the cost of losing the business, as I understand, is significantly high given that you take three year s just to get put into the customers business and then you develop and you slowly build those volumes in these businesses. So, the cost seems to be significantly higher when such actions are taken, either moving a portion of the manufacturing in those coun tries or reorganizing the supply chain. If you discuss this at the board level, if you can share some insights on that would be really helpful ?

Kunal Shah : So, I think , first of all I want to remove this myth that a trade action stops our business. It has stopped only in South Africa and South Africa is a very unique case because their currency weakens against the Indian rupee. So, we have been consistently hit by a 3% to 4% hit on the currency weakening every year. On top of that, they applied a ban on export of scrap which means local scrap is 30% cheaper than what I buy in India, whic h is international paying price. Without the custom duty, it is not a dumping action, it is a custom duty that they applie d for
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the whole iron and steel i ndustry a nd we were part of that right to protect in local industry, and even had they not applied our product just by the ban on export of scrap and the weakening of the currency, there is a challenge with th em. So, if you leave aside that region, which is its own story there that South Africa for you . I think Brazil, I think we are doing okay in volumes. We continue to make efforts to take more volume , same thing for Canada. Yes, it has reduced, but it has not changed our fundamental viability or presence in that market. Every customer wants two suppliers. When there is a s

upplier that has hungry to provide more value to you that is ready to invest in stock for the just in time, right , why would any customer depend on one single location plant? I am not a rubber or a plastic or a steel industry. We have got 10 producers in your local industry. The consumers in Brazil and Canada may not want to depend on one supplier. What happens if there is an interruption at that plant? So, I don't want to insult the customer by t elling them that they will only ban because of the trade action they will stop buying, right . It was alrea dy a challenge for them to buy all the way from India back in the day whenever they convert it, when they have a choice of a local consumer because th ey want to diversify and risk mitigate their supply chains. Trade a ction only is a cost implication for them, if at all there is a trade action. I don't think that fundamentally changes our value proposition or our opportunity . Now, in the short term, ther e could be some volumes get affected now that depends on every country. So, Canada started with an interim duty and so volume got impacted immediately as those duties came in. In the US, when the process started, there were different process that they foll ow right and so likewise Brazil had a different process. So, all they are saying is in a year or two , there could be some interruption in the US as t he situation is different, so I don't want to compare it to Brazil and Canada. It is an independent situation where I think our proposition and our standing is a little different, but I cannot talk and speculate about what it means, we have to g o through the process.

Lokesh Manik : No, I am not speculating on that. What I am going to say is that have you thought that the portion of manufacturing could be moved there to satisfy these authorities? Is that possible on the cards that is what I am asking ?

Kunal Shah : Moving manufacturing that is first of all for us to say that our current situation has an issue . We don't think our current situation has an issue. That is what I am trying to make a p oint. Trade action is part of the deal. If my benefits to the customers , I am saying are plenty, I am saying the customer wants an alternate choice . There, I have got an opportunity, right . I have a little lower volume . In the scheme of things , this does not move the needle for us . I am just saying that producing outside the country we may set up a plan t somewhere outside the country. We may not do that. All of that is conjecture for us, for our business to continue to take, but for now, our current structure is robust. It has allowed us to supply and work with many countries . Our country which has some d uties , we are talking about a trade action that we supply to at least 50 countries where there are double digit import duties. We are not talking about those duties there. My competition is preferential access. So, we are not going into those granular deta ils where we still have a market share in that market, maybe as half the
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market. So, all I am trying to tell you is just because this gets announced, it gets talked about and it appears of course 27,000 tons. I understand optically it appears that there is a large action. All we are trying to say is that India remains a great destination for our type of products which requires shop floor competence. It requires hands to do some of the work. Over last 10 years, India and China have been two countries where a large majority of these investments have come. So, while I am not saying, we will never set up manufacturing ourselves in India, for now, we will do it for different reasons if all that becomes a conversation but for now, our view and our thinking of our positioning has not changed because of one more action around trade. I think the competition is doing what they think is right for the

their interest. For us, we

continue to do more of the same. I just believe that of the 100 things that we face as a challenge every year this is just one more that we have to overcome, understand, deal with it and overcome.

Sanjay Majmudar : As you know, as always, myself and Kunal remain available. We are definitely looking forward to much better things to talk about going forward. We will just inform as and when things happen. So, I think with this Kunal, you can give the concluding.

Kunal Shah : Thank you so much. And Sanjay bhai and I remain available offline to have a conversation and clarify any other further questions you have and look forward to connecting at the end of the first quarter for fiscal year 25. Thank you. Have a great evening.

Moderator : Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you. Have a great evening.

Call: Aug 2024

(AIA Engineering Limited
August 14, 2024

To,

The Manager (Listing),
The BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-I, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on August 12, 2024

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Monday, August 12, 2024 to discuss the Unaudited Financial Results and performance of the Company for the Quarter ended "June, 2024.

The aforesaid transcript is also being hosted on the website of the Company,

www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited Q1 FY 2025 Post-Results
Earnings Conference Call "

August 12, 2024

MANAGEMENT : MR. KUNAL SHAH – AIA ENGINEERING LIMITED
MR. SANJAY MAJMUDAR – AIA ENGINEERING
LIMITED
AIA Engineering Limited

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Page 2 of 15 Moderator: Good evening, ladies, and gentlemen. Thank you for standing by. This is Dorwin, the moderator for your call today. Welcome to the Post-Results Conference Call of AIA Engineering Limited. We have with us today the Management Team of AIA Engineering Limited.

At this moment, all participants are in a listen-only mode. Later, we will conduct a question-and-answer session. At that time, if you have a question, please press "*" and "1".

I would now like to turn the conference over to the AIA Engineering Management Team.

Please go ahead, sir.

Kunal Shah: Thank you. Good afternoon, good evening to everyone on the call. Thank you for joining us. I hope you got a chance to look at our numbers.

I have Sanjay bhai here with me, this is Kunal. As usual, I will do the number recap, Sanjay bhai will sum up the quarter in discussion, and then we will move on to Q&A.

Starting off, this was a quarter where there is an optical top line shrinkage in terms of tonnages for the quarter, we were at 60,592 tonnes as compared to 74,000 odd tonnes in Q1 of last year, and 71,000 odd tonnes in Q4 of sequential last quarter. And I will explain some of the macro issues there.

Total production was 68,000 tonnes and that translated into a revenue of Rs. 1,000 crores, Rs. 1,004 crores. An EBITDA of Rs. 372.32 crores, and a profit after tax of Rs. 259.58 crores. So, from a margin standpoint, this quarter has been great. From a number standpoint, there is a deficit in terms of tonnages, for reasons I will explain.

Moving on for our other income:

Total other income stood at Rs. 82 crores, of which Rs. 15.23 crore was export benefits, and about Rs. 73 crore was treasury, Rs. 72.96 crores, and Rs. 9 crores as part of foreign exchange, ForEx gain for a total of Rs. 82 crores. Working capital has been a little higher, receivables have moved from Rs. 66 crores to Rs. 77 crores, I think it is just our timing adjustment because we had poor sales reflecting a higher number of absolute receivables, otherwise it's at par with regular.

Raw material has moved from 31 to 52 days, and inventory stock has moved from 69 to 79 days. So, overall, slight increase in working capital, all of which is generally seasonally adjusted, nothing macro to look at. Of course, there is extra stock and that is also linked to our questions on the tonnage, so I will answer that.

From a number standpoint, we did 60,592 tonnes, of which almost 37,000 tonnes came from mining and 24,000 tonnes came from the non-mining site. If I were to compare sequentially, mining's come off from about 45,000 tonnes to 37,000 tonnes, and non-mining from 26,500 tonnes to about 23,800 tonnes. So, both these segments have seen a reduction.

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Page 3 of 15 One of the major reasons is, so there are two parts to the tonnage answer. If I look at sequential 71,000 tonnes in Q4 to 60,500 tonnes, it's approximately about 10,000 tonnes, 11,000 tonne reduction. This saw about 4,000 tonnes to 5,000 tonnes of orders that just will get shipped next quarter. That's an annual order that moves, over the last two, three years it was generally being invoiced in the first quarter, I think it will happen in the second quarter. So, that is one transfer. The second is the non-mining, which is about 3,000 tonnes, 4,000 tonnes, it's just the cyclicity of work, nothing that's structural. I think you see ups and downs in different quarters, in terms of when the order was placed, what is transit and what is getting invoiced but. There

is an additional 2,000 tonnes, 3,000 tonnes which are all clustered for want of containers. So, this quarter has been difficult not just higher shipping cost but also unavailability of containers.

And what that leads to is, has increased transit time reflected in a higher FG and delay of supply. So, one of our supplies to the Americas, we were without containers, what we wanted in June is coming to us in end of October. And there are a variety of reasons, I am sure all of you are aware about of just serious container shortage, a large part of that linked to the whole America-China trade and the Trump Administration or new administration duty strategy that China is possibly following.

Hopefully, all of that will ease up. But as we speak, our business remains a little in that uncertain domain as far as customers are concerned, because pricing has gone haywire and container availability is an issue. And that while the 2,000 tonnes, 3,000 tonnes of shrinkage on the container account will get made, mostly be made good the rest of the year. But customers all of a sudden have gone back to what we saw post COVID which is on a wait and watch, as far as new conversions are concerned. They want to be sure that price remains predictable, and the current shipping regime does not allow for that. And the timeline of the supply chain remains predictable, which also is a challenge.

So, I think these are the two macro reasons why the numbers and the tonnages this quarter are a little less. Moving forward, we are happy to announce a Brownfield expansion which is one of our factories in GIDC, Kerala, where we are adding composite mill rubber and composite liner plant, or the ability to produce liners in that material. And we have discussed the mill lining strategy where our endeavor is not just to improve wear, which most other incumbents are attempting to do with the customer. Our endeavor is to improve throughput, reduce power consumption and bring a whole host of operational benefits for the customer. That requires us to work on the design.

And while we have been in the market now actively for last few years, we realize that this ability to offer rubber and composite becomes even more important so for us to be perceived as a company offering the whole full suite of products. So, we are very excited about it. This CAPEX has required us to spend about Rs. 65 crores. We expect this facility to be commissioned towards the end of this year. So, it should not take a lot of time, because it's being done in an existing facility that we have.

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Page 4 of 15 We expect about 20,000 tonnes of additional capacity in this configuration to be available to us. Of course, mill liner sales and penetration and all of that we have discussed at length in the past few quarters. We remain excited about that space. With the new facility that we have for metal liners, and now with the composite rubber offering, I think our positioning as far as the customer, we expect it to be significantly different, and of course our ability to bring disproportionate benefit for the customer. So, that is the highlight for this quarter in terms of things we have done.

We have also done a buyback; Board approved a buyback of Rs. 500 crores. So, that should be getting through in the next few days, next few weeks. Our net cash stands at about Rs. 3,500 crores, that will get adjusted for the buyback cash and the dividend that has to flow out from that. A large part about CAPEX, the plan for capital outlay this year, we are doing about Rs. 35 crores on captive power, there's Rs. 65 crores on the mill liner composite facility, and money that we are spend on the first phase of the grinding media, which is about Rs. 150 crores. So, total as we speak, our outlay remains at about Rs. 250 crores, and we will keep updating as things evolve

I've from here.

So, with that said, I will request Sanjay bhai for a quick update. And then we will get into Q&A from there.

Sanjay Majmudar: So, good evening, everyone. Just a very quick additional couple of points which I thought I want to elucidate and clarify. So, yes, there is a definite challenge that we are facing in this quarter, entirely and to a very large extent relating to logistics issues.

As Kunal explained, containers availability has become an extremely challenging process now. The whole problem is because of various geopolitical issues, but more necessarily because of the Red Sea crisis. So, just to give an analogy, the freight cost for sending a container from here to say Latin America, which was about \$100, has gone up now to \$400 per tonne. And more importantly, the container availability is just not there with the result at around 5,000 tonnes, 6,000 tonnes of orders which were supposed to be shipped this quarter, could not be shipped. Having said that, now the whole supply chain time has also extended. What we used to do in 30-40 days is now taking more than two, two and a half to even three months. So, that's indeed a challenge which we are trying to circumvent.

The other part is a little bit cyclical nature of some businesses. Having said that, on a positive note, we remain extremely bullish and committed on all our mind conversion. So, there is no question of any customer not being there or any of those processes being interrupted. It's just that this absolute uncertainty makes us a little worried about what exactly is going to happen in terms of all these logistics issues. So, it's a very major problem apart from the cost.

And you please appreciate we work on cost plus, that means freight is complete pass through, and that is the reason why he explained some of the customers are also a little apprehensive about the absorbability of this entire phase. So, akin to one-year post-COVID situation, which we have realized that it is not as simple as we were earlier thinking, and it may take a little more time. That is the first part. But having said that, our focus, our conversions, our

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Page 5 of 15 opportunity, everything remains the same. So, this is just an aberration, let us see as we move ahead, in the second quarter hopefully we should get more how things are moving, and that is one aspect.

On this rubber and composite liners that we talked about; I want to clarify two things. One, it is so to say an extension of my metal liner capability, and the focus remains the same. We do not think there is anybody else today who can offer the same or similar solution. The composite

plus rubber is more to complete the whole line of offering which the customer requires. The focus remains the same, that is to offer unique process benefits which nobody, no competitor has that capability or design or ability to offer.

So, the focus remains niche. It is the material of composition that changes to complete the offering suite. And because you cannot tell a customer that now I will not, he wants for his SAG mills as well as ball meal. So, this is ordered to ensure that we become comprehensive and we give the same focus and same solution in all these materials that this capability has been added. It's a quick Brownfield expansion, we expect it to be over in the next three, four months. And that should see us making a much more comprehensive solution provider niche area only, and not me-too kind of product. That's what I just wanted to highlight.

So, I think with this let's put the house open for Q & A. Moderator?

Moderator: Certainly, sir. Thank you. The first question is from the line of Bhoomika Nair DAM Capital. Please go ahead.

Bhoomika Nair: Sir, you elaborated on the reasons for the miss in terms of the lower volumes during the quarter. Now,

given this challenge in terms of the logistics aspect of it, while we may be competitive on a plant wise or a production cost perspective, but is the logistics cost driving or the time that it is taking from what you elaborated, it's taking now two, three months versus earlier a few weeks. Is that what is driving a little lower conversion than what we had expected? And thereby what we are looking at a 30,000 incremental volumes on an annual basis could be at risk?

Sanjay Majmudar: Well, Bhoomika, you are in a way right that, yes, it is a serious concern. And I will be very honest, the targeted volume growth year-over-year target and the opportunity remains the same. But in all honesty, we want to wait and watch at least for one more quarter before we give you a clear volume guidance, at least for this year. This is a very honest position in which we are today. So, it's a short-term problem, but yes, indeed it is a problem. It's wrong to say that, no, there is no problem.

Again, let me explain, conversion from an acceptability of the solution is not an issue. But the whole problem of logistics is far more worrisome than what it appeared in the initial phases. And as we go deep here, please appreciate, the problems globally are accentuating in terms of the geopolitical tensions, now Iran is a new factor. There are so many issues. But having said that, this could be a short-term problem. Let us be clear, our target and the opportunity for incremental volume growth remains. Having said that, what could be the exact number we are
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Page 6 of 15 looking at this quarter, we are not able to tell you, at least till the end of the second quarter. We want to wait and wait for a few more months.

Bhoomika Nair: So, sir, is there a possibility of us to kind of invest much more in terms of warehousing capacities or to absorb some bit of the logistics cost which is --?

Sanjay Majmudar: Bhoomika, I will be very honest, we are not going to hazard any guess. We are seriously evaluating various options. So, please give us some more time and we will come back to you, maybe in a couple of months, that's all. Warehousing alone may or may not be a solution. We are working at it. All I can share is that we are consciously working at this as perhaps a long-term problem rather than only a short-term problem. That's all I can say at this point in time.

Bhoomika Nair: Sir, the second question was about our foray into this whole rubber and composite mill lining. I fully understand it's a whole suite of products that we are offering which will help in terms of faster conversion. But in terms of say from other peer set, how competitive will we be in terms of cost aspect, if you can elaborate a little more on that aspect?

Kunal Shah: So, for all these solutions that we are introducing, actually the whole cost and pricing becomes moot because the benefits which we are offering are in a very, very different realm. So, I do not think it's going to be a price discussion at all. I think the conversion is going to be linked to the operating or the sales cycle is going to be linked to their comfort and confidence, and ability to be the willingness to try a new solution. How urgent is the area that you are attempting to solve, right? It will be a combination of those things and surely not a price.

Sanjay Majmudar: So, if I put it a little differently, I do not think any competition can offer a directly comparable product or a solution. You get my point? So, if it is not comparable, there's no question of price discussion. Material competitors could be offering, there are many people who can offer composite and rubber, but not the design and not the solution.

Bhoomika Nair: So, what we are saying is that we are going to differ not in terms of what you are trying to say, if I understood correctly, it's not

that there aren't other offerings of rubber and composite in the market.

Sanjay Majmudar: In metal as well there people, in select metal, non-cast, everyone is giving in metal. But our offering was on a different pedestal. The same philosophy applies to rubber and composites as

well.

Bhoomika Nair : Which is on the increased throughput power consumption?

Sanjay Majmudar : Significant efficiency related solution , efficiency improvement, massive cost reduction due to improved throughputs or increased efficiency.

Bhoomika Nair : Any update on the various litigations which is ongoing , and particularly the latest one on the US, any update on that aspect?

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Page 7 of 15 Kunal Shah: No, not really. See, it's a nine -month project . As you know, the US is in a way sub judice, where it's a closed room process where we submit the data. So, we are fully cooperating and making sure giving all information as required. You know that Brazil dumping is already terminated . The countervailing duty part, which is 6 .5%, that's under the sunset review , and we hope to hear in next two months on the outcome of that, two to three months.

Bhoomika Nair : So, the US we are continuing to supply the volumes as things stand?

Kunal Shah: Yes.

Moderator: Thank you. The next question is from the line of Taran Agarwal from Old Bridge Capital.

Please go ahead.

Taran Agarwal : Just wanted to double check on your opening commentary. You said about 3 ,000 tonnes to 4,000 tonnes of volumes were deferred because of it's just a shift fr om one quarter to the other quarter , and a similar number was impacted because of lack of container availability, correct?

Kunal Shah: Yes. So, one order which is about 4, 000 tonnes has moved to the next quarter , but that is just billing. I was just trying to make a difference between what was the timing issue versus what is container and backlog. So , about 3 ,000 tonnes is container and backlog , and that's a timing issue . It's a consequence of containers being delayed and about 4, 000 tonnes is the order tha t is just getting invoiced this quarter .

Taran Agarwal : And now that almost one and a half i nto the second quarter, how are things currently? I mean, we understand, we have been reading about it, and it does not seem like on the ground situation has impro ved.

Sanjay Majmudar : No perceived real improvement. I will be very honestly .

Kunal Shah: Yes. And see , what happens in such things is , as you know, where they say hurricane is going to come and all milk and bread gets wiped out of shell , where everybody is trying to get more containers than what they need. In fact it worsens for a period even if nothing changes on the ground . So, today I think it's just very, very uncertain period right now .

Sanjay Majmudar : Yes, because we were discussin g, the container s that we were booking for August, June came in August, August is now September end or October first week. So, there's a lag of whole one month at le ast. The whole thing is , when China related issue was there, the whole supply chain got disturbed. This is a similar situation due to this Red Sea.

Moderator: Thank you. The next question is from the line of Ashutosh Tiwari from Equirus . Please go ahead.

Ashutosh Tiwari : Firstly , this delay , I hope it's not impacti ng the production at the customer level as of now ?

Sanjay Majmudar : Not much, not really, because we do have adequate. See what happens , if you see my finished goods stock , it has moved up. This is because the transit time has gone up, correct ? If you look

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Page 8 of 15 at my own production, we have done 68,000 tonnes, 69,000 tonnes . So, order , production everything is there even at our end and their end. But the only problem is , because you are not able to exactly commit on the supplier time , there is a litt

le bit of pull back, I mean , rather push

back and people are just evaluating the way customers evalu ate. But I do not think any customer we have any serious issue . Some customers are continuing , new customer conversion process is a bit slow , but nothing ha s stopped anywhere. It's just that things are uncertain, that's all.

Ashutosh Tiwari : Because see, I can understand that there wi ll be delayed conversion because of this thing. But if some customer 's production gets impacted, then probably it can have bigger implication that people may not look at because of the uncertainty on that. So, as of now that's not the case. It's just that things are getting delayed . But it ultimately reaches the time and pro bably we have enough stock at warehouses to manage those things. That is not a challenge.

Kunal Shah: Correct.

Kunal Shah: And second thing for this rubber and composite liners, this is in- house developed, or we have some tie -up?

Kunal Shah: It's all in -house .

Ashutosh Tiwari : And once the plant becomes ready, then we will go to customer for trials and all or something is already started a small scale?

Kunal Shah: We have already done w ork on it . We have done trial work ; with very small investment we

have done our own pilot project to see how it works. We have done more than six to eight trials . It's a very interesting offering to fill out the whole suite of products.

Ashutosh Tiwari : And lastly, this quarter the selling price realization that we got would have benefited from higher cement mix because that has castings as well it's higher price d. Is that correct?

Kunal Shah: Overall, if you have seen the numbers , the product mix is better where there is higher casting, higher priced product . And you are right , that is reflected in the higher selling price, yes , higher realization.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta : Sir, two questions, firstly on this mill liner thing. So, when you say 20,000 tonnes of incremental capacity, will this use castings from your existing plants or how will it work ?

Because Rs. 65 crores CAPEX seems to be a bit small for this sort of a capacity.

Kunal Shah: No, it is an additional capacity. It is where you are adjusting. That's why it's a Brownfield , right , where melting capacity is available, some from an existing where we are able to do balancing equipment for melting and the rubber part is being added additional.

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Page 9 of 15 Anupam Gupta : And second question relates to the disruption which is there. So, two parts to it, one is , you said conversion is slow , have you seen your Magotteaux taking advantage of this at all?

Kunal Shah: No, as far as their chrome capacity is concerned , as we understand, they are capacity constrained, they are fully utilized for last few years. So, there is only so much that they are able to do. The container issue that is there adds to our requirement to put more in transit so that customer does not suffer. If we prevail that they did okay during COVID it means a little more finished goods for us , it puts a little bit of additional timing pressure for new conversions.

More than existing, I think it's not so much of an issue.

Anupam Gupta : When you said earlier that this seems to be more of a structural issue now given the number of times that has happened in the last four, five years, that obviously there has to be some options which you are looking at. So, the idea would be ideally investing outside or having a party somewhere who is manufacturing closer to the customer, right , so that should be the right way to look at it?

Sanjay Majmudar : Anupam, give us some time. We will come out with clarity. You are right, we are evaluating various options, but that's all. I mean , at this point in time, let's put it at this that

yes, we are

evaluating seriously various things.

Kunal Shah: And listen , the how often will the Red Sea thing continue , the world is in a state of flux, right.

So, we have to make sure that we are not doing decision making in response to something that could have been short lived in a longer time spent journey, right. And then you are stuck with the structural flaw if you do something to deal with something that was short term, right . It's happened again does not mean its long term.

Anupam Gupta : So, the question obviously was coming from because you have a very well entrenched position in India in terms of manufacturing , the overall ecosystem you have set up pretty well for yourself. So, that's why the question was , and you have always said that you do not want to be outside India given the sort of advantage which is there.

Kunal Shah: While we say never say never, the point is that a negative event like this turns up logistics in this case, I think we do a hard introspection on what could be other measures that we can look at. I think we are doing an internal review on that. But India may , will and likely continue to be where , I mean , that is where our current position is , right . So, no change on that as we speak. If there is anything else, we will see .

Moderator: Thank you. Next question is from the line of Priyanka Biswas from BNP Paribas. Please go ahead. Yes, Priyanka.

Priyanka Biswas: So, first of all, speaking on a relatively long -term basis, so you had duties in Canada and Brazil , so kind of now removed on that front . So, what should be the volume trajectory from this geography ? Let's say , keeping aside this Red Sea issue , so what sort of volume trajectory can we expect ? And what is exactly the status of Canada right now?

Sanjay Majmudar : So, of course, as Kunal explained, US investigations have commenced , Canada has finished.

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Page 10 of 15 Kunal Shah: So, Canada, the way the duty structure is there, I think they have a certain duty component or a minimum price that we have to sell a t, and we are comfortable with that. We do not believe there was a case for a dumping scenario . But it's a whole process that every country goes through sometimes to protect its own local industry, sometimes on the behalf of the local incumbent. There are various aspects of it, right? It's not a very, very 100% objective process. I think we are fairly satisfied with the outcome. There was fair review done for all that was submitted . And we are in the market, and we will try and be an active participant , and that

shall happen in due course. I do not think that that is a deterrent in that sense for us . Our objective has always been to be selling at a fair price , and that's not change d. And if that does not change , our opportunity in the market does not change. So, as far as Canada is concerned , the market is available to us and we will make efforts to, like I said, to be an active participant over there, that's ongoing .

Sanjay Majmudar : Similarly in Brazil, that has come to an end.

Kunal Shah: Exactly . As far as long term , your question was that I think while these countries are important, we have always maintained that there's a large opportunity globally also. At least 15 countries , every country has its own set of challenges for a new entrant to come in, and that's what leads to time. That's what we have seen. But we are excited because there is a solution which has disproportionate benefit , feeding into something that is really active problems or the pain area for the customer. And as we have discussed , for copper mines and coal mines where we can increase throughput, we can improve recovery, our solutions find a lot of interest . And based on that we remain optimistic that our opportunities not just in Canada, Brazil which we are hopeful of participating in, but

also in all these other geographies that remain where there is not just a chrome supplier, but also a large forage opportunity for us to service. So, I think nothing changes. No duty per say changes that proposition. These are short term things that keep happening and we adjust to that looking at the longer -term lens.

Priyanka Biswas: So, just harping back on that , since you highlighted about copper and gold, what sort of penetration are we there in copper specifically ? Because Chile and Peru happen to be the largest geographies there, so how far are we succeeding over there?

Sanjay Majmudar : So, of course between copper, gold, and iron, these remain the three ores or metals of absolute focus. From an opportunity standpoint, all the three are very exciting for us . At this point in time, I think before one year or two years, I would say , we were just about beginning to enter copper. Now we are a serious player in quite a few copper mines. We are working very hard on some very, very large mines. I can only share this much. Gold, of course , we are there with all leading mines and we will continue our allocation , same is the case with iron. So, between the three, I would not say we are equal, but we are slightly heavyweight right now on gold. And I am a little lower on copper, but we are catching up very soon. So, over a longer period, all the three would be more or less equally driving our growth, that is what we perceive.

Priyanka Biswas: So, essentially what you are saying is , right now you are ramping up on copper, so you are heavy on gold. So, essentially like going forward, when the Red Sea situation resolves , so

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Page 11 of 15 based on that maybe 25, 30 KT annual volumes could be achieved under those circumstances based on higher penetration?

Sanjay Majmudar : Absolutely.

Priyanka Biswas: And just one last question from my side. Just for the sake of investor clarity, if you can. For a mine, let's say where you are now offering your integrated solutions like mill liners plus the grinding media , because you are offering it as an integrated solution nowadays . So, can you just give some examples of a savings that the customer can get in, let's say , absolute dollar terms ? So, essentially like if they switch over from, let's say, forged media to grinding media and get mill liners from you, there would be some additional cost aspect, but how much you are saving respect to that, maybe some examples.

Kunal Shah: Yes. So, I think first of all, we have done some case studies in this year's annual report, and you will see that once that gets published. But benefits , first of all, there's no extra cost. Please understand, these are consumable, they are nevertheless buying, they are buying this whole primary, secondary, tertiary ball mills , grinding media mills . They are buying grinding media lining s which are being worn out and replaced. So, they already have an OPEX budget . What we are saying is , if you buy from us , there will be disproportionate benefit that we will bring to your process , to the grinding process. So, now if it's a spend of \$ 10 million to \$15 million a year for a mine, if it's only rare benefit, it could be 20 % , 30%, 40%, so that can vary from let's say \$2 million to \$5 million, right. Now if you add the power saving on it, that could be a few million dollars. There is recovery improvement , that's another few million dollars . If it's throughput, that can be tens of millions of dollars because there is a absolute contribution of additional product being ground. So, for a copper customer that can vary from , on the lowest side it is only \$2 million to \$5 million, on the higher side to maybe \$150 million a year. And his input cost does not change which is he still have to buy these consumables. So, depending on how the depth of the solution and what levers are we a

dding or what the opportunity exists

at the customer site , that determines the value addition for the customer.

Priyanka Biswas: Well, that's great. We actually look forward to maybe the case studies in the annual report that you mentioned. Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: Sir, just a few clarifications on the mill liner part. So, the earlier capacity that we had of 50,000 metric tonnes and this new plant of 20,000 tonnes, so these both would not be fungible, correct?

Kunal Shah: No, so it is because it is. That's why it's a Brownfield where we have already got melting facilities which we will be using, plus we are augmenting the capacity. So, totally in our setup there will be additional 20,000 tonnes of this rubber or composite product. The rubber part is the new factory, the composite part is partially there, partially from an existing facility. So, you will have to look at it now in totality and not just as one vertical separate plant.

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Page 12 of 15 Chirag Muchhala: And as far as our segmental reporting is concerned, this entire mill liner gets booked in mining

segment, right? Or any part is also present in others?

Sanjay Majmudar : Mining.

Kunal Shah: Correct, it is a mining product.

Chirag Muchhala : And lastly on that Brazil clarification, so basically now since the sunset review has ended, so it would be a zero duty, correct? And have we reapproached customers and how things look like?

So, if you can share some data as to before that duty was levied, what were our volumes and currently what are our volumes, let's say, in last year?

Kunal Shah: So, the duty had two components in Brazil, one is what's called the dumping duty, and the other is what's called the countervailing duty. Basically any benefits that you get on export, they are reimbursed back, that becomes sort of a duty, that's called countervailing duty or CVD. So, 11.8% has reduced to 6.5% because 6.3% was the dumping duty. And that's terminated, so there's not going to be any sunset review or a future risk for now that comes out of a sunset review, even if it was 2% or 3%, it comes up for review after five years. Now, the whole that application is terminated.

As far as countervailing duty is concerned, which is at 6.5%, a sunset review is going on and it will be whatever the outcome of that is, I would not hazard a guess on that just now. But there will be a new number on it once that investigation is concluded, right? So, 11.8% as it stands, it is reduced to 6.5%, and whatever further it will get changed to. So, that is the first part. Second is, Brazil is an important market. While the existing market that we lost because of the duty is now what we will pursue, but in the meantime, we have also done work on the forged conversion. And back of that we see a bigger volume coming from the market. Going forward, in next 12 months, it will be surely upwards of 20,000 tonnes is what we expect in the market.

Chirag Muchhala: Sir, just last question on this rubber composite mill liners. So, how large the addressable end user market is? Suppose if they do not want to convert from rubber to metallic etc., and only focus on rubber, then what is the addressable opportunity we are looking at?

Kunal Shah: It is a few times larger than our capacity. I mean, for us, we are working with the captive consumer base that we have that we want to work with where we know we have a disproportionate solution. So, I mean, which is where we have not done a 50,000 tonnes or a larger capacity because this is what we believe is a great start and allows us to go out to enough customers to offer this solution.

Sanjay Majmudar: But you can say, at least 300,000 tonnes could be addressable market, total, between all of our products. Kunal S

hah: But rubber itself, rubber composite could be upwards of 100,000 tonnes. This is just a number, we have not done much more because we are not looking to convert all of it to our solution, right? So, today we are looking at our subsets that we want to target through this.

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Page 13 of 15 Moderator: Thank you. The next question comes from the line of Jyoti Singh from Nuvama. Please go ahead.

Jyoti Singh: Sir, I just wanted to get a sense on how the increase in gold price will be benefiting AIA. Also, if you can share the revenue bifurcation under mining, like how much is done from gold, iron ore and copper, individually?

Sanjay Majmudar : So, Jyoti, first let me make it clear, we do not give this bifurcation for several reasons. We have never given that. But to a previous question, I did answer that all the three are equally important. And more or less, over a longer period, their weights would be equal in terms of the opportunity as well as sales, this is what our target is. Though today the weight of copper could be a little lesser than gold and iron, correct? So, this is one.

Now, more importantly, we have been quite clear that upward or downward price movement of that particular commodity or metal is not a driving force for demand or the addressable market opportunity that we are looking at. So, today, just on a very conservative side and just to make

my position clear, our entire focus is conversion of all these mines from usage of forged or other type of liner solutions to our high chrome or, if I talk of liner high chrome plus composite solutions that we are offering.

Now, the penetration today of the high chrome solutions in these markets is about 20%, 25% of the addressable market of 1.5 million to 2 million tonnes if I just talk of these three focused metals, correct? Meaning, that by the time working on that 70-odd-percent opportunity for conversion of those mines from their conventional forge or other related solutions to my solution. So, even if the prices of gold do not move or they move up, if their CAPEX cycles are aggressive or not aggressive, of course in a given scenario when the market scenario is robust and very buoyant, logically people will be more open to spend more on these type of my solutions. But as Kunal explained earlier also, there is no CAPEX requirement as such, it's just the OPEX part that we are substituting.

So, a price movement upward or downward of the finished metal is not really what works to propel our demand or to increase our conversion rates. But it is just this opportunity, plus it's a very, very tough situation that you have to work very hard. It takes one, one and a half, two years for us to convert a mine. There is tremendous working back and forth, our engineers, their engineers. So, it's a very intense and very engaging exercise. It's not that I just walk in, show something and they buy. And that makes it tough but also it creates a very, very strong entry barrier, so that once the client is onboarded generally, we keep on supplying for years together and we keep on increasing our allocation. So, this is where we are.

Moderator: Thank you. The next question is from the line of Uttam Kumar from Aventus Park. Please go ahead.

Uttam Kumar: So, firstly, I mean, two parts to my first question. So, just from a long-term perspective, I want to understand on the demand scenario. Secondly, which geographies are we continuing to see

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Page 14 of 15 an increased traction with regards to mining activity, I mean, which could result us in a better demand for our products? That is number one.

And the second part of the question is that, could you give more color with regards to how many sites or which of the sites or the number of sites where we are currently doing trials, trying to penetrate in terms of product offerings? And of these

sites where you are doing all

these trials, where are we? And some could be at the mid-stage or the at the far end of the trial stage which could convert or give us a more confidence, because to be surpassing the 3 lakh tonnes of charges which we you should talk about and sustaining about of those levels?

Sanjay Majumdar : I think we need to quickly, of course, given the fact this is a common platform and for many of our friends this could be repetition, but I will try to very quickly address your questions. So, your first was the market demand supply scenario. So, as I explained, if we talk of cement, it is roughly about 300,000-odd tonnes, and ex-China it is about 180,000 tonnes. We have a 35%, 37% market share across the world. In India we have a 95%, 97% market share. And our total supplier, including India, is about 75,000 tonnes to 80,000 tonnes, and that market is completely converted globally into high chrome. So, the growth in cement is directly proposed in proportion with the growth in the cement capacity, and it is therefore very, very moderate, tepid growth. This is point number one.

The bigger opportunity is mining where the market is more than 3 million tonnes annually. Addressable market if I just look at the three metals where I am focused could be 2 million or a little more than that. Out of that, today, hardly 25-odd-percentage serviced by high chrome solution players like me, Magotteaux, and a few other players on the liner segment and few other local players. However, we too are the predominant ones. Rest all are the forged, grinding media suppliers like Molycorp, etc. And this is where we are working very hard to convert.

We believe we have excellent solutions. It is just that we keep on facing all these issues which many of them are beyond our control we being a global company. So, if I talk of number of customers or number of countries where I am present, in cement it is more than 125 countries across the world. In mining, as we speak, more than 30, 35 countries. Several locations, so each mining site is my customer. So, you would have 100-plus mining sites across the 35-odd countries. But focus obviously is North America, Latin America, Africa, Australia, CIS, and then Philippines and a few other Far East Asian countries. So, this is the mix. Europe does not

figure much in mining. Just if you want me to elaborate. But wherever this mining occurs, today I am present, and I am working on several new sites, as we speak, for conversion.

Uttam Kumar: Sir secondly, with regards to this Brownfield CAPEX which you talked about, 20,000 million capacity, is there any, I mean, are the realizations similar to what we have in the existing portfolio or is it a tad bit lower? Or could you give some color with regards to what can be the revenue capability of this 20,000 tonnes? And over the next year, how should we look at the capacity utilization levels for this particular segment?

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Page 15 of 15 Kunal Shah: I think this is just enhancing our product profile. Hi, this is Kunal. For now, pricing, all of that, I think we are still to be in the market, figure out what's the best way. But more likely than not pricing is not going to be a conversation breaker, right? Realization may not be vastly different. So, for now you may consider similar levels.

Sanjay Majmudar : Similar levels and average utilization levels .

Moderator: Thank you. The next question is from the line of Vijay Kumar from Trustline PMS. Please go ahead.

Vijay Kumar: I would like to know about the status of your 70% subsidiary which you Welcast Limited, you recently tried delisting. Is there any update? Are you planning to increase the sourcing from there? Or is it in the process of merging? Any update on that status of that company?

Sanjay Majmudar : Yes. As we speak, yes, we attempted for delisting, but somehow it did not succeed.

So, as it

stands now, it is status quo. We have not taken any other call. So, there is nothing on that front as we speak as of now.

Vijay Kumar: Is there any sourcing or is there not going to be any more sourcing from that subsidiary, or how is that?

Sanjay Majmudar : it may continue, of course, at a little reduced level, but it definitely continues. You would have seen even Welcast results we published a few days back. So, we continue to do the minimalistic kind of volume from Welcast facility. And that will continue till any other corporate decision in this regard is taken.

Vijay Kumar: Thank you, sir. You can look at ICICI and ICICI Securities kind of merger, which will eventually get the company delisted.

Sanjay Majmudar : So, very honestly, some banks have indicated and drawn our attention, but we are evaluating.

So, we cannot say anything till we have a clarity on the course that we want to take.

Moderator: Thank you. Sir, we do not have any questions in the queue at this point in time.

Kunal Shah : Lovely, then we can look to wrap up. As usual, Sanjay bhai and I are available to take questions offline and look forward to connecting with you at the end of the second quarter. Take care and have a good evening. Thanks.

Sanjay Majmudar : Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services . You may please disconnect your lines now. Thank you. Have a great evening.

Call: Nov 2024

AIA Engineering Limited

November 5, 2024

To,

The Manager (Listing),

The SSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on October 30, 2024

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Wednesday, October 30, 2024 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Half Year ended so"September, 2024.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Enc!.: As above

CIN: L29259GJ1991PLC015182 An ISO 9001 Certified Company

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"AIA Engineering Limited

Post Results Conference Call "

October 30, 2024

MANAGEMENT : MR. SANJAY MAJMUDAR – INDEPENDENT DIRECTOR –

AIA ENGINEERING LIMITED

MR. KUNAL SHAH – EXECUTIVE DIRECTOR –

CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day. And welcome to the AIA Engineering Limited Post Results Conference Call . This is Sagar. I'll be the moderator for your call today. We have with us, the management team of AIA Engineering Limited . As a reminder, all participant lines will be in the listen -only mode, later we will conduct a question and answer session at that time, if you have a question please press star and one.

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I would now like to turn the conference over to the AIA Engineering Management Team.

Please go ahead, sir.

Kunal Shah: Yes, thank you so much. First of all, a very warm welcome to all of you on, on the conference call for AIA to review our second quarter numbers. As usual, I also have Sanjay bhai on the line with us. He's in transit and possibly with us for another 15 minutes. So please pardon him and us that he may have to drop off early and sincere apologies for preponing this again because of this transit issues. And as we know, a lot of people came back to us saying either they're only on holiday or getting on to holiday. And we thought it's best to prepone it and accommodate everyone.

Quickly I'll run through the highlights for this quarter and then a small commentary and then we'll get into Q&A. This quarter continues to be flat in line with the first quarter of this year at 60,000 tons -- 60,330 tons, representing sales of 1,030 crores slightly above about 1,004 crores in the first quarter of this year and compared to 77,000 tons and 1,273 crores of revenue that we've done in the second quarter of last year.

If I'm moving on our other -- our operating income, that the export benefit portion comes to about 28.93. Sorry comes to 13.70 which is in line with our export for this period. Our forex and the Treasury income is at INR90 crores and thereby leading to a limit of INR 366 crores. Almost comparable to INR 372 crores of EBITDA in the first quarter and down from INR 444 crores that we did in the second quarter last year.

Our profit after tax is at INR256 crores, INR 256.72 again, almost in line with the first quarter of this year, which was at INR259.58 and down from INR 323 crores in the second quarter of last year. We have the note uploaded which mentions the breakup of our other income, which is Treasury, Foreign Exchange and Export benefits, happy to share more detail on what is required.

From a working capital standpoint, this year, we are at about 115 days of total working capital, which includes raw material at 55 you know, and then there is credit days that will get reduced from that. Working capital is in line, and our stock and data represents the lower volume of production and sales that we have seen compared to the previous period.

Coming on to an important slide on breakup of our segment-wise sales, as you will see that our mining sales outside of India is at 39,800, slightly up from 36,700 from the first quarter, but down from 52,000 tons in the second quarter of last year.

Our non-mining is almost flat and in line with what we've done fully or should be in line with what we've done last year. So, the half-year number now is at 120,922 compared to 151,000 tons that we've done in half-year last year. Two quarters of 60,000 tons of sales that we've done.

Some other housekeeping numbers, our net cash is at INR 3,212 crores, which is after the buyback pay-out that has been done. There is a small debt of about INR 120 crores, and the net cash figure is after that. All our other operating metrics are comparable. We have planned for capex of about

INR 250 crores, which includes our equity investment in renewable power, the

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rubber liner plant that we are setting up, and the 36,000-ton expansion for grinding media. So, all of that comes to about INR 250 crores, and we'll continue to spend that over this year and whatever spills over the year after that.

So, with that said, I will move on to the commentary for the quarter and the big question on the slower sales in this quarter and last. I think what we are seeing now are three larger themes,

and I'll have Sanjay Bhai expand on that a little more, but the key things are that we are seeing some slowdown at some mining customers, where our offtake just looks to be a little lower.

What we thought will be caught up in second and third quarter looks to be a little more systemic and structural. More than three or four large customers are going through a destocking process. So, material that was supposed to be invoiced and shipped out is being deferred to later quarters, and may be a destocking cycle is something that we may have to face with more customers.

And just supply chain issues that have bogged us for the last few quarters with the consequence where shipping rates not only went up, but containers were not available. We are seeing some pushback from customers on saying there is strategic uncertainty on account of the supply chain and want some more time before they go back to business with us.

So, all put together, it's a 30,000-ton impact for this quarter, but overall, we did 292,000 tons last year. It looks to be a 10% lower revenue volume either way, whichever way you slice it for this full year. So, closer to 260,000-ton, 255,000 ton to 60,000-ton mark for the full year.

And there are the conversation on growth and new customer addition. We are, and we maintained this last many quarters about all the efforts that the business, that the management is putting into augment our presence, to sharpen our offering and increase the value that we

offer to the customer. We are extremely confident, optimistic about things, but at the same time, conversion is just taking time and it is causing us as much grief just about the time that it is taking.

And there is no change in that conversion cycle timeframe that looks to be coming up. We will be continuing to put in all our efforts and we hope that important conversions from forge to chrome come along soon and we'll be happy to share progress on that as that happens. We'll have Sanjay Bhai chime in with his thoughts on this and then we can go on to Q&A. Sanjay bhai?

Moderator: Sorry to interrupt, sir. The line for Sanjay sir is disconnected. I'm just reconnecting his line.

Kunal Shah: Okay. While he joins, I think I'll just pre-empt a few questions from investors on the overall market sentiment and this unusual lower tonnage that we have seen in the last two quarters. It's a first for us over more than 18 years that we've been listed. There hasn't been a quarter where we have seen this. We do recognize that things don't – there is this classical situation where more than one thing goes against you or they're just outside your control. And maybe this is one such year. We are hoping that we emerge sharper and stronger out of it. But it is a year that looks like there will be some reduced revenue for the year.

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Is Sanjay Bhai back on?

Moderator: Yes, sir. His line is connected.

Kunal Shah: Sanjay Bhai, I've just finished. If you want to add to...

Sanjay Majmudar : Yes. Good afternoon to all of you and Happy Diwali in advance. So, as we explained and as Kunal elaborated, there are three, four very distinctly, I would say a bit unusual circumstances or factors that we are facing, perhaps after a very long period of time. So, one, there is a distinct impact of reduction in

offtake by customers who have placed their orders, but they are not following up with POs simply either because of perhaps destocking or perhaps they're waiting for the price to correct. Thanks to the freight still being pretty high, thanks to the supply chain change.

We are not -- I don't see this as a structural you know, reduction, but we are more analysing it and understanding this to be more cyclical rather than structural in nature. So, one fundamental issue is that, while our efforts for conversion continue, it is this reduction or little less order intake that we are receiving from the customers who are generally whose POs are generally coming in very regularly is what is bothering us a little bit.

Having said that, two, three things on the positive side, so we have in fact started our supplies though a bit slow to Canada, similarly, we are working very aggressively on several mines. Supply chain challenges and freight issues are definitely concerning us, but we feel that perhaps freight seems to be going down a little bit and in the coming quarter, it should look a little better.

But as we distinctly did the maths and understood the situation, on a very realistic note, we see a reduction in sales to the extent of may be 20,000, 25,000, 30,000 tons this year, which as I elaborated is cyclical in nature, nothing structural. We are very hopeful that all the conversions on which we are focused, several mines we are currently working. It might happen that we may be able to catch up, but it's very early in the day to make any guess and it is rather safe to say that there could be a little decline, about 5 to 10% in the overall sales this year.

Having said that, margins continue to remain robust. Everything else, opportunity-wise, everything else remains to be robust. So, we are keeping our fingers crossed and hoping for the best.

Secondly, it is early in the day to hazard a guess about how the next year is going to look like, though if one or two large contracts on which we are working, they fructify, things can very significantly change. So, we are hoping for the best, but on a conservative note, we don't want to give any guidance about next year till maybe we reach the three-quarter, results, and we have a little clarity on the new initiatives that we are working. The regular uptake, for whom we are already there, onboarded through long-term contracts.

So, I think with this, Kunal, let's go on to the Q&A.

Kunal Shah: Okay. Thanks, Sanjay bhai. And if you do drop off, please, Sanjay bhai, it's okay.

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Sanjay Majmudar: Yes, Yes. Thank you. Thank you. Actually, I'm just boarding the flight, so it could be a little challenge, actually.

Kunal Shah: Yes.

Sanjay Majmudar: Okay. But I'm there on the call till at least another few minutes. Yes.

Kunal Shah: Operator, we can move on to the Q&A.

Moderator: Thank you. The first question comes from Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Yes. Hi, Sanjay bhai. Hi, Kunal. Nice. You know, I heard your commentary on the volume kind of a challenge that we are seeing in this year. So, I just want to understand this, that you know, is it that the conversions are taking longer?

We had added actually the mining liner facility as well. You know, so how is, at least that should have seen some growth. And if you can also comment how the U.S. market is panning

out, whether volumes are steady there or have they fallen post the ongoing litigation out there.

If you can just give some color where exactly are you seeing, are you seeing this drop in any specific or kind of a thing which is more platinum, iron ore or something like that, then that can help us understand a little more ?

Because if I look at it, if you're looking at something like 260,000, 270,000 kind of volumes for the full year, then almost for over a four

-year period, we've not really seen growth. While I

understand it's too early to give guidance for next year then logically the next year, should we come back to that 320, 330 kind of a number, which is still just barely a 20, 30,000 kind of incremental volumes over 24? Or do you find that that would be a big challenge as of today to even provide that kind of visibility?

Kunal Shah: Yes, I agree. Thank you for your question. And you got a few questions rolled into it. So, I'll try and address each one by one. Let me start by a question on US, right? I think the matter is every jurisdiction takes it quite seriously. And we are only allowed to say so much on public platforms while the matter is subjudice. But our business there broadly continues as is. I mean, there are nuances there. But, I mean, we are using the disclosure that we made about the interim CBD that has been applied. And so, we continue to cooperate, work, defend and do make sure we put up the most relevant information promptly. So, US continues as is. And we are doing everything that we can for the dumping.

Bhoomika Nair: Volumes there in the US market are intact and they have not seen any kind of a decline. Would that understanding be correct?

Kunal Shah: Yes, Yes, Yes. Broadly, yes. The volume looks to be okay. I mean, like I said, I will be constrained in speaking much about it. But the business continues. It's a steady business for us that has been developed over many years and that continues as is.

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So, moving on to the next question that you had which is about the OAR. So, the offtake, I think there are all these, there is two pillars of the issue that we are seeing. One is the logistics and the supply chain and just the anxiety or the discomfort customers would have around that uncertainty, right?

So, that is one pillar and that's on and off and that's going along. And the other is around the what's happening at the customer's I think there are all types where there's just general it's a little optical commentary that you would hear from mining companies suggest things are okay and things look to be okay.

But we are just seeing a soft conversation. Now, whether that is temporary, whether it's going to be a little longer tenure, it's still too early to call that one out. But, and that, one of the

consequences for that is the restocking, conversation where they're just saying that, okay, we've got more stock we'll just not buy for the next two quarters or next one quarter or maybe next three quarters and continue the conversation forward.

Now, that restocking generally does not happen, unless they're looking at a little softer outlook, right? So, but we are too small a cog in the wheel to have any view beyond this. But we are just seeing softness at the customer's end and that's resulting in the situation. So, that is one aspect.

And the second, the pillar that I said, which is the supply chain is just real, right? In our case, where any new customer coming on board or customers who've been having a conversation or just bought it for a period want a little more comfort on the whole supply chain issues, right?

They are all like Sanjay bhai mentioned. It looks like the worst is behind us, right? What happened with the rates, the whole China container thing came a long, right? The global geopolitical space is a very funny situation where it's impossible for any company to have a certain view about which way to go with it.

So, we are staying in play, right? We are there, we are making sure we are giving all comfort. We are not defaulted on or delayed on any delivery, right? We added more stock last quarter to

make sure that no customer is impacted, but it is a conversation and there is some consequence on us for now. You asked about the mining liner. I think it remains at, continues at slack.

We've not been able to add what we were

looking to add this year from that space and variety

of factors. The irony is that we are becoming, the more confident we get about the consequences that we can participate in at the customer's end and the more the irony about it that it's just taking longer and there's nothing else I can say to allay that question.

But it's all business as usual right now. It's just this interim stage. It looks like, but that volume, the 292,000 tons the 10% lower volume this year compared to last, looks to be a reality for now.

What happens next year, I would just take a quarter or two. Is this an early sign of mining companies feeling a little less excited about the future? You know, these are things that we don't know today. This is just a temporary housekeeping action. But we are seeing more than

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one ore type and more than one geography face that. So, it may not be as we cannot dismiss it, yet it is not something that we can say for sure that it's an issue.

Sanjay Majmudar: And just to Kunal add, Bhoomika I don't think it is, as I said in the opening remarks, I don't think it is ore specific nor it is structural, but more cyclical. Let's hope for the best how it goes.

We are keeping our fingers crossed. As I said, we are working on several opportunities that run

into more than six-digit opportunity, you see. So, it's not that we have stopped working on

those opportunities, but it's just very unfortunate that the volume of take from the customers

has not happened the way we want or we had anticipated. And we cannot force them to buy, as you know. So, we have to

just see how it goes. But I think we are still very, very optimistic

about the medium to long term prospects. That's all I can say at this point in time.

Bhoomika Nair: So maybe if we can get some comfort around what is the kind of new customer interactions while the conversions might be happening a little slower, because one part is the existing customers kind of destocking. So, which is where there is a decline in terms of volumes, but

then that will be partly offset against some kind of new customers additions and conversions that are happening.

Sanjay Majmudar: Bhoomika, I indicated that we are working on several opportunities which can sum up beyond a six-digit easily opportunity. As you know, we don't share more details. We cannot. We are

under confidentiality for our own protection of our own interest. And I mean, that's all I can

say at this point in time. So, nothing, no work has stopped. Obviously, as we say, US is also

turning out to be quite reasonable, as you know, we have already disclosed. Canada indicated

we have started doing some supply. So, let's see. Let's wait for the third and the fourth

quarters. We are quite working very hard we will not like to face this kind of situation. But

then we have to accept the reality. This is what it is.

Bhoomika Nair: So, in that said, are we looking to kind of go a little slow on an expansion given utilization levels are kind of dipped a little bit? Any thought on that?

Sanjay Majmudar: No, no, no, no, nothing, nothing, nothing. See, our expansions will take its own pace. We are already working on a further 36,000 tons beyond 460. And this will and capex plans are still

INR250 crores to INR260 crores, there is no let down. So, had I anticipated something long

term or medium term, I would have stopped my capex, but no, that is not the case, clearly not

the case.

Kunal Shah: And also, we've already scaled down to the 80,000 became 36. And 36 is modular. So, in that sense we will take a call, it's not money committed one way, it's a ground field. And it is

modular. So, I mean, if we see that the next quarter also remains this way, we can always scale that down further. But it's like Sanjay was saying, in any case, it's not a material amount, large

amount that we're adding in. The big decision was

as scaling down the 80 to 36, which we have

already done. And which is again, which is a start stop for us to see if we want to further delay that.

Bhoomika Nair: Okay, okay. Got it. Got it. Thanks. I'll circle back in the queue. Thanks so much.

Moderator: The next question comes from Priyanka Biswas from BNP Paribas. Please go ahead.

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Priyanka Biswas: Happy Diwali in advance, Sanjay bhai and Kunal bhai.

Sanjay Majmudar: Yes, happy Diwali to you. Thank you.

Priyanka Biswas: Thank you. Thank you. So, my first question is, like, as you were highlighting that there has been a destocking angle at this moment. So, is my understanding correct that we have not lost

any customers as such? It's just a cyclical thing. So, there has been no existing customer loss,

at least, whatever we had?

Sanjay Majmudar: So, let me correct here a little bit. What we said that we are trying to understand the circumstances under which the uptake has reduced. Okay. So, one factor could be destocking.

Yes, in a few cases, we clearly know the customer is carrying larger stocks and therefore is

slow on placing the order. But honestly, that's not the only reason. There could be multiple

reasons. I think another reason worth considering is the fact that because of the supply chain and the freight challenges, our pricing has become a little less attractive because we do generally add everything. Correct. So, some people would have anticipated that, yes, since prices are going down, I mean, the rates are going down, let's wait for a while and then we will place the order. We have enough money here. There is a possibility that all these factors can reverse, can reverse quickly than what we anticipated. At this point in time, we have thought it conservatively to wait and watch and see how things pan out.

Priyanka Biswas: So, if I may put it this way, like what I understand that at least what I can understand from my interactions in the forged market, especially in China, so there has been excess capacity and they have been flooding the market with very cheap material at this point and supplying finance also in some of the mining geographies. Is it also one of the reasons the differential between, let's say, ferrochrome and forged has become quite high in certain places and that's why there is a reluctance to convert? Or is there some other reason?

Sanjay Majmudar: I don't -- Kunal, if you can throw some lights on this.

Kunal Shah: The first question is, I don't think that in the scheme of things where we are seeing there is a 2 million plus market, chrome is very less presence already. Even if I go from 15 % to 20 %, there is still a 100,000, 200,000 additional chrome market. I don't think that is a material factor where anything happening in the forged market can influence it. I mean, that's a one-way street as far as we are seeing it. Just on the order of -- the cost differential is, let's say, 2 %, but we are adding 98% of value in terms of throughputs and other things, right?

The recovery process and all of that. So, it is never -- the whole premise on which you are building the chrome opportunity is on all the other benefits that chrome offers along forged. Any additional lower cost of forged does not change that the value proposition. I think that is the growth portion that we are talking of.

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The earlier question that you had is, what is happening and what the earlier participant was asking is, it is a combination of all of these things. There could be a customer or two that are... there are very few other players in the space. So, there could have been situations where the order has moved from here to there, but it is a combination of all of these things. It will not be fair to say one way it is this that has led to the situation.

Priyanka

r Biswas: And if you can share, like, which geographies are impacted because, as you said, that US is not that impacted and Canada you have resumed. So, I'm wondering where exactly is the impact?

Kunal Shah: Canada is really yet to resume. It's been there at a pre a presence there is still yet to come through. I think we will not want to get into more details. Like Sanjay bhai explained, it's a -- there are plenty of nuances here in our business and it will be difficult to really get granular beyond this, Priyanka.

Priyanka Biswas: And just last question from my side, because we used to be quite a meaningful player in Brazilian iron ore earlier. And what I understand is, we had continued discussions in LATAM, copper, particularly Peru and Chile, those geographies. So, what are our progress in these two areas at the moment? Because Brazil, the anti-dumping duties are now gone. So, how are we progressing and how does the market look?

Kunal Shah: So, Brazil anti-dumping, there's only the CVD portion, as they call it, there's one portion that's still active. The dumping has been, the duty has been terminated in Brazil. So, again, South America needs to be a large, it's one of the largest ore markets. And as you know, copper is one of the largest commodities in that region. And it is absolutely a market of interest. And all our work is fitting in with that opportunity.

So, there is absolutely zero hesitation in saying that we have a solution that brings disproportionate benefits to the clients, correct? Especially in a context where their costs are going up, they won't have their credit, the throughputs are going down. We believe that our product fits in.

It is a little frustrating for the time that is required to do that, but that's the effort that we have to make, right? That's the investment the company has to make in terms of resources and just continuing to keep up with the customer. So, South America, to answer your question, remains absolutely a market of interest and there's no change in that thesis.

Priyanka Biswas: So, what about Brazil?

Sanjay Majmudar: Strong efforts are continued in those markets for conversion. Humongous efforts right now.

Priyanka Biswas: So, what about Brazil? I don't know, because we used to be quite strong, like with Vale and others. So, how is it looking? I mean, we were very strong in, I don't know, at that point. So, how is it looking there?

Kunal Shah: Well, again, a granular question and one market and one customer may not be the whole story, right? So, I think we'll just defer back to requesting not to get too granular, but nothing's

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changed. It is business as usual, as far as we are concerned. There's no structural situation that we are looking at that probably changes that thesis.

Priyanka Biswas: And just one more in. So, in the other expenses, I see that the other slide item that is there is on the higher side, despite lower production in this quarter. So, any expenses that may have gone up initially, just for my understanding.

Moderator: Sorry, the line for the Chairperson is disconnected. So, please stay connected while I reconnect the line. Ladies and gentlemen, we have the line for the Chairperson reconnected. So, please go ahead.

Kunal Shah: Yes, other expenses include professional and legal expenses and a lot of our legal trade defence costs in this two quarters, because a lot of work for the US has happened in those milestones in this quarter. So, that is where it's appearing that way.

Priyanka Biswas: Okay, completely understood. Thank you.

Sanjay Majmudar: Yes, the freight still continues to be a major component, freight.

Kunal Shah: Yes, the rest is all balancing. Nothing that is worth noting.

Priyanka Biswas: Okay, okay. Thank you so much.

Moderator: Thank you.

Kunal Shah: If you have no further questions, I think we

can wrap up the call.

Moderator: Yes, as there are no further questions, I now hand the conference over to the management for the closing comments. Please go ahead, sir.

Kunal Shah: Thank you, everyone. I do realize there may be more questions that you may have around this.

Moderator: Really sorry to interrupt, sir. We have a last -minute registration from Mr. S Gujar from ICICI Mutual Fund. Please go ahead, sir.

Sanjay Majmudar: Yes.

S Gujar: Yes, thanks for the opportunity. Sorry, I joined a bit late. So, pardon me if I'm being repetitive.

So, there's a question around because the supply chain issue, we had seen this in COVID and now, right? At what point do we actually go back to the drawing board to think about any expansion out of India?

Sanjay Majmudar: So, I'll be very candid with you. This is something which we at the board level are very seriously debating over last couple of quarters. Even in today's board meeting, we had extensive discussions, some technical presentations. I will only say at this point in time that we are looking at it quite seriously, but it's not so easy to take a call on this.

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Kunal Shah: I think the fundamental point is that our thesis remains for what we are doing out of India and everything else that we are doing. There will always be a conversation and discussion on what mitigation measures exist and when we will consider them. A plant outside India may or may not be in consideration, but like what you said is that we have to be in the marketplace and we have to make sure we work on a strategy that works to our advantage.

So, I think if and when that becomes a serious consideration, we'll be very happy to discuss.

But for now, our focus continues with all that we are doing. Like I said, with the previous participant, the point is that it is business as usual. I mean, we've had a little unusual lower offtake with a few customers and things that we discussed, but otherwise nothing really that requires urgent effort or actions on top of that.

S Gujar: Sure. Thanks. And all the best.

Moderator: Thank you. Sir, we have two more questions.

Sanjay Majmudar: Please go ahead.

Moderator: The next question comes from Ashish Kejriwal from Nuvama. Please go ahead.

Ashish Kejriwal: Yes. Hi. Good evening, everyone. Sir, my question is in one of the answers you said that maybe because customers may be thinking that there could be some reduction in prices and because of that fact, maybe they have reduced the volume. So, my question is, do we think that if we can reduce prices or take some hit on the margins, we'll be able to increase volumes or it will not?

Kunal Shah: I think what we meant was the freight cost. I don't think, again, I'll go back to a macro point is that our thesis does not rely on cost, right? When my solution can offer, can solve the problem of a hedge-grade worsening or recovery worsening or where I can improve throughput into the system and produce more metal, this cost becomes incidental, right?

It is not something that is a strategic conversation with the customer. What we were referring to was that one of the pillars of friction right now is the whole uncertainty around the shipping situation, which is unavailability of containers and the high shipping cost and customers, it would sometimes get on the fence is that there is some amount of uncertainty. Should I just wait it out and get till things stabilize a bit? You know, I think that's where the argument is.

Sanjay Majmudar: There was no question of renegotiating on the pricing. Yes . No, sir.

Ashish Kejriwal : I was just looking at for new customers.

Kunal Shah: I should be sorry to finish the question. Lower pricing is not the answer. It is not a price conversation, right? I hope I have explained that in that. It is not saying I need a discount or a lower price. There i

s much more effort and engagement that is required at all times with the customer to make sure he gets a significant disproportionate benefit in all these other things that we bring to the table.

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Ashish Kejriwal : Understood. So secondly, obviously, this is the case which we have been highlighting for so many years. But if you look at the numbers for last six years, actually, our sales volume in the mining segment is more or less stagnant. So, is it that we are not or you know, we are taking much more time to convert our customers?

Kunal Shah: I appreciate that. What I was saying is that it's a little unfair to just paint the canvases with one brushstroke.

Sanjay Majmudar: You do know that. Kunal, one sec, one sec. Let me be a little more clear on this. So, Ashish, you are right that volumes look stagnant. But please consider over the last five years, we have actually lost more than 50,000 tons and then gained them through new customer acquisitions.

Correct. So, there was an anti-dumping scenario, first starting with Brazil and Canada, then South Africa in a different context. But nevertheless, so you lost more than 50,000 tons. Still, the volumes not only held, but they showed 5% , 6%, 7%, 8%, 10% growth, which means that my conversion continued to happen.

Then came this geopolitical tensions and the whole world going into a tailspin and the shipping freight going through the roof 5 times, twice in the last three, four years. Please understand the challenges and the fact my opportunities. And then we have continuously upgraded in terms of our capabilities. So, we're talking about DP benefits. We're talking about fantastic mining liner solutions. We are also talking about cost reduction, which, as Kunal explained, is incidentally therefore important. But does it undermine my opportunity? Does it reduce my opportunity from a two million or one and a half to two million to maybe 500,000 tons are knocked off? Clearly, no. What happens? Yes, conversion is not exactly happening the way we think. Multiple challenges continue every new day. There's a new challenge. But the strength of our solution is so materially powerful that there are 70 people globally working in various geographies in continuous interaction, duly supported by another hundred people from India. You see, it's a massive exercise.

I don't think one or two soft quarters will change the whole course of the company. But at the same time, being realistic is what we thought we should convey to investors very transparently that if my own clarity is not perfect, how can I tell you A, B or C? And that is exactly what we are conveying. That does not mean that now my market is undermined or I am now facing an opportunity which is not exactly what I was talking about six months ago. So, you have actually gained the market. And now there are chances that we will regain the markets that are lost. But we continue to face new challenges. But we are undeterred, absolutely undeterred about it.

Ashish Kejriwal : I think that's very appreciative that you have pre-commented that. The thing is that no, obviously conversion is a slow business or slow-moving business. But in this time, are we facing resistance from the customers to convert or because of which China is aggressively because they have excess production. So, China is excessively marketing it and the gap between our product and the conventional product is so huge that people don't want to change. Are we seeing such kind of infection or not right now?

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Kunal Shah: Clearly China and we've discussed China as you know, on a strategic note that it is more of a commodity product supply. I think the whole thesis for AIA across both verticals and product lines is the value that we bring in terms of designs and solutions that we of

fer as a package.

And China always had a large internal market and low technology products. So, it's not something that is new today. And they were always for any product that they have a larger market, they always have more capacity. So, it's been there for the last 15 years. So broadly, nothing changes on China. Nothing has changed between five years ago and now.

Ashish Kejriwal : So last question. Okay, short term, maybe some hiccups are there. But do we envisage that in next five years, our number can double from here?

Sanjay Majmudar: I definitely think so.

Ashish Kejriwal : Okay, that's fine. Thank you and all the best.

Sanjay Majmudar: Thank you. Kunal, I'm sorry, I will have to drop off. Thank you everyone and all the very best. Thank you.

Moderator: Thank you. The next question comes from Parikshit Gupta from Fair Value Capital. Please go ahead.

Parikshit Gupta: All right, thank you very much for the opportunity. And just as a context, I am new to this company and a segment. So please pardon my lack of information. I just have one structural question. I understand that the grinding media is the largest business segment for the company along with expansion plans already undertaken.

So, I understand that you are already mindful of the rate of growth of the requirement of grinding media. Would it be possible for you to please articulate if this growth will come mostly from the mining sector, which contributes to I think about 70% of the business? Or if you could touch upon the other segments?

Kunal Shah: All of it is expected from the mining sector, not mostly, all of it.

Parikshit Gupta: Just to follow up on this, please, considering the cement manufacturers' expansion along with consolidation in the industry, especially in the southern parts of it, would they...

Kunal Shah: So, it is a global business for us. India happens to be an important market. But in the global sense of things, yes, India is a larger market and will be natural beneficiaries of any growth that comes along. But we are also introducing newer solutions with higher wear rates, etc. etc.

So, in the scheme of things, the growth in cement in India per se may not be a material game changer on the overall volume. But we will surely add volume. We are just not talking and estimating that. These are sometimes longer gestation projects. And estimating things, when it will fall on what calendar year or fiscal year, what volume will come, is difficult to estimate.

Parikshit Gupta: Understood. Thank you very much. Appreciate your time and best wishes for this year.

Moderator: All right. Thank you. Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

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Kunal Shah: All right. As usual, thank you so much. It's been a -- it's not been a regular quarter last two quarters. And I understand many of you may have still more follow-up questions. I hope we can spare Sanjay bhai on the Diwali, the weekend coming up. But I am available offline and both of us obviously will be available from next week onwards. So please do feel free to call us and we'll try our best to help you get a better sense on this. I wish you all a very happy Diwali and a good evening. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, this concludes your conference call for today. We thank you for your participation and for using C Horus Call Conferencing Services. You may please disconnect your lines now. Thank you. Have a great evening.

Call: Feb 2025

AIA Engineering Limited

February 10, 2025

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-I, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on February 7, 2025

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Friday, February 7, 2025 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Nine Months ended 31st December, 2024.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Enclosure: As above

CIN: L29259GJ1991PLC015182 An ISO 9001 Certified Company

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"AIA Engineering Limited

Post Results Conference Call"

February 07, 2025

MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE, NON-
INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED
M R. KUNAL SHAH – EXECUTIVE DIRECTOR – CORPORATE
AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is Lizann, the moderator for your call today. Welcome to the post results conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment, all participants are in the listen-only mode. Later, we will conduct a question and answer session. At that time, if you have a question, please press star and one.

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I would now like to turn the conference over to the AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Yes. Hello. A very warm good evening to everyone, and thank you for joining the call. I have Sanjay bhai. This is Kunal. And we have Sanjay bhai also here with me on the call. As usual, we'll start with a quick update on the highlights of this quarter, and we will get into Q&A thereafter.

Headline numbers, our sales tonnages are at 65,780, approximately 66,000 tons, up from 60,000 tons in the sequential second quarter and down from about 74,000 tons in third quarter last year. So for the 9 months to date, our total tonnage stands at about 187,000 tons. The revenue for the quarter is at INR1,050 crores, our EBITDA is at INR354.57 crores and our profit after tax is at INR259.22 crores. So for the total profit -- and that compares to INR256 crores in the sequential second quarter, and it's a little lower from INR280 crores approximately in the third quarter last year.

So with that, our full year volume, which is 187,000 tons for the 9 months, looks to be between 250,000 and 260,000 depending on invoicing, etcetera, is the guidance for the full year. And there is some amount -- some strategy announcements that we've done through the quarter. We would love to expand a little more on that.

As far as a few other numbers are concerned, our other operating income is at INR16 crores, mostly from export benefits and a few other operating other income. Our non-operating income includes our treasury income of INR58 crores and forex gain of about INR8 crores, for a total other income of INR67.32 crores.

I think rest of the other numbers remain at par with our working capital, our cash on the block after -- cash on the books after the buyback proceeds were paid out. I think everything else is in sync. I think I'll head on to the important numbers -- the important announcement. Sorry, before that, our realization for the quarter is at about INR160 per kilo. And again, in line with what we have done for the last few quarters.

I think raw material continues to be -- is a little stable for last 2 quarters. So our raw material cost as a percent of sales adjusted for inventory, I think, is broadly in line with the sequential second quarter. So I think that volatility looks to have eased out. Also on the freight, the shipping side of things, it looks a little better. Some corridors still continue to have elevated freight rates, but they're starting to reduce or ease up in many sectors. So that is also a positive. Moving on, the big important announcement was around our change in mindset for carrying out production outside of India. And we have plenty of questions on the context and where does this lead to? So I'll share a little bit of insight into that, and I'll have then Sanjay bhai expand a bit after that.

We are now staying put with our current capacity in India, which stands at 460,000 tons. We had earlier announced a plant in India for 80,000, which we scaled down to 36,000. But now with our intent to do -- to set up production outside of India, we are now

staying put and
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pausing any work on any further capacity addition in India. So 460,000 tons of current capacity in India now looks to be the number.

The 2 facilities that we have announced for grinding media production are in China and 1 in Ghana, both have their own respective strategies. The change in mindset comes from 5 years of facing volatile and -- volatile freight environment where freight rates have gone up as high as 5x, corrected back and then went up again.

I think we -- it's an acknowledgment that we live in a very, very fragile environment where there were 2 wars in recent history, 1 still continues on. And there are volatile regions in the world. And anything that escalates -- affects freight rates and that affects our whole conversion narrative or the strategy that we have.

So -- and also some of the markets that we are targeting like South America have a very long -- or have a reasonable lead time. And so the plant in China feeds into the ability to ship with less than half the time from India to important corridors that we are looking at. While the plant in Ghana caters to the West Asian opportunity for -- mainly for gold customers. So with that

having said, we are looking to set up modular plants, not scale up at one go, but the idea is to go up to 50,000 tons. And the total capex for both plants is currently established at -- estimated at USD50 million.

Now we are using the latest manufacturing technology, which allows us to reduce capital investment or do it in a modular fashion, while being capital efficient and utilizing the best automation methods currently available in our space. So that is where we've been able to reduce the spend, the capex and the ability to not do very large plants. These will be modular plants. And depending on how the markets and how that picks up, we can decide on further investment.

So at this time, the Board has approved these 2 plants. We have started work on both the plants. Given that there are new geographies and given that we want to start in a modular fashion, we will be short on details right now to share. You'll have to -- we need a quarter or 2 to get a little better handle on what are the time lines, how are we looking at on the early stage. But think of these as our attempt to get production closer to markets, which includes our access to certain markets, reduces freight cost and the shipping transit time.

And once we create that beachhead, we can still utilize the capacities from India to fulfill the growth in those markets. So I think there's a little -- there's quite a bit of strategy linked to it, but it will be -- it will play out over the next 2 years, and we'll keep sharing updates as things mature. So beyond the point, we may not have much to share on the specifics of exactly what capacity, when will it come along, et cetera.

So having said that, we'll have Sanjay bhai share his update, and then we can go on to Q&A. Sanjay Majmudar Thank you, Kunal. Just on -- so Kunal explained the logic. Now going back to the basics about our core business from India. While we explained in the earlier calls that, yes, this year, we do clearly see a degrowth, which is evident. The fact of the matter is that it is nothing structural or

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permanent to read about. The opportunity, the business prospects and all our endeavors for conversion continue to remain completely focused on several mines.

We do expect some good conversions to happen within a reasonable period of time, say, hopefully, in next 1 or 2 quarters, the way we are working on some several very, very important mines. And therefore, from that perspective, while China and Ghana, obviously, will add to a medium- to long-term strategic repositioning of company's initiatives and endeavors and abilities to convert the maximum number of mines into

our high chrome solutions.

Going forward, till this happens, our business and our growth targets remain more or less the same. So we do expect on a rollover basis, at least 30,000 to 40,000 tons of incremental annual volume growth from conversion from new mines.

And these new endeavor that Kunal talked about and that what we have announced will help us from a 2- to 5-year perspective to become a very, very solid player in this field with massive opportunities that can be converted after effectively facing the challenges that Kunal has elaborated, more on the supply side and the supply chain-related issues as a permanent repositioning strategies. So with this, I would request the moderator to open the house for Q&A.

Moderator: Thank you sir. The first question is from the line of Bhoomika from DAM Capital. Please go ahead.

Bhoomika: Yes, sir. Sir, in terms of, you mentioned that shipping freight rates are starting to come down. So while obviously, the China and Ghana plant will come in, but it will take some time for those plants to be operational. I don't know what the time lines are, if you can elaborate on that?

And in the meanwhile, with the shipping freight rates coming down, does that really help us in terms of scaling back the volumes? And by when do you expect that we come back to our 300 plus and you spoke about the incremental 30,000, 40,000 tons?

Kunal Shah: So Bhoomika, I think like I said, the environment is improving. We have a few other challenges as we've been explaining in the whole conversion journey that we are undertaking. From -- we are still not ready for sharing a guidance on volume. But over next 2, 3 quarters, it looks like that we should be back on a 25,000, 30,000 ton annual addition on a rolling basis. So I think not yet ready to give -- I mean, at a place where we're ready to give a guidance. And as soon as we see some green shoots, we'll be in a better place to give a better guidance. But from where it appears now in a few quarters, we should be -- in a few quarters, the visibility seems to be opening up for us to be growing at 25,000, 30,000, 35,000 tons a year. I think we should be back on track soon.

Sanjay Majmudar: In terms of time lines, Bhoomika, I think, of course, we will be making announcements. But China should start contributing something in the second half of next year. That is what the target is, but let's see. We are working very hard. Our teams are already there. Ghana should

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happen over next 18 months, that is how it looks like. But this is just broad indications. We will go and make specific...

Kunal Shah: And also it is modular, so we'll have specific guidance come out as the progress is a little more clearer.

Bhoomika: No, sure. That definitely helps because we at least get a trajectory that towards the end of '26 or sometime in '27, these plants will get operational. So that definitely helps. I understand that time line might not be exact, but at least it gives us some direction. Sir, on the incremental -- sorry to harp about this incremental volumes a little bit more?

While I understand the challenges continue, conversion rates are slow and shipping is just off-late stating to ease off, et cetera. But this year, we've seen a very steep decline when we're talking about 250,000, 260,000. So do we take that as a base and then look at the incremental volumes? Do we take it come back to 300,000 and then take the volume increase?

Kunal Shah: It should be -- listen, whatever is reduced is not structural, but it's just a little more complex to say this is from what we did last year. I mean, we consider 250,000 and getting us from growth from here, right? There is volume in Canada that we're expecting to come back, but that was from 2 years or 3 years ago. So all I'm saying is that the -- when do we get back to a little more predictable growth path, I think we should b

e there in the next few quarters, and we'll share what those volumes look like. And the starting point has to be this year.

Bhoomika: Got it. Got it. Okay. So the other aspect is in terms of our international foray, when we have decided to go to China, Ghana, why are we not looking at Chile because that's much larger market for us in terms of our potential conversion. So is there a reason why we are not going directly to Chile? Is there some challenges out there that you foresee, which is where you're looking to kind of service this market out of China?

Sanjay Majmudar: We are spoiled for choice in terms of where to go, right? So I think today marks the day where our mindset is changing, our approach to growth is changing. I think just take it with that, right? There will be more plants. There will be more announcements around that. We have to be careful. We don't want to announce and not do it, right? So -- and this is -- there are learnings built into it.

So I mean there is a certain strategy with which we are working. And there will be more plants, a plant in Chile could also be a possibility, but allow us some time, right? This is where we were a little better prepared. Our teams were a little better prepared. There was some work done ahead of others, and that is where we are saying, let's start with these 2 markets.

Bhoomika: Sure, sure. Understood. And just on the current business profile, we've seen margins actually hold up quite well for the last couple of years. I remember earlier, we used to guide for a more structural 21%, 23% kind of a range. But over the last 2 years, we've kind of worked a lot in terms of our pass-through of the shipping freights, in terms of power and fuel has also more domestic availability of raw material. So does that structurally change our margin profile more towards the 24%, 26% kind of a range?

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Kunal Shah: So Bhoomika, you're right, we have been consistently doing and giving better margins. Even if you knock off my treasury and other income, we are talking of operating margins in the range of 27%, 28%. We do believe that this is helping us through multiple factors, product mix being one of them. Again, why we have been a little more conservative than we should be is because of the fact that we still anticipate that when there is a considerable increase in volumes coming through, increased conversions, there could be price challenges.

But you're right, a 21% or 22% looks to be much lower than what we can do. History is with you. Let us not speculate, but yes, we should do. I personally believe we should do definitely better than 21%, 22% on a medium- to long-term basis. Having said that, strategically, we are not guiding anybody for the margins, and we want to maintain that for at least a few more quarters.

Moderator: The next question is from the line of Priyankar Biswas from BNP Paribas.

Priyankar Biswas: So sir, my first question is, if I recall from your statements in the previous quarter, there were some destocking-related impact at certain large customers that you had highlighted. So what's the status on that? And when can we see those volumes coming back? So that's the first question.

Kunal Shah: I think at least for one customer, we expect that to come back from the June quarter. Some in March, but mostly in June quarter.

Priyankar Biswas: So should it be fair to say that from June quarter and let's say, the freight disruptions being

largely behind. So we should be back to earlier normal quarterly run rate...

Kunal Shah: Yes. So that is what we explained to the previous -- on the previous question by Bhoomika that consider the current year, let's say, 250,000 to 260,000, whatever we close as a starting point.

There are a few several things that have happened over the last 3, 4 years. I mean, it will be difficult to go reconcile with each customer or each event.

I'm sayin

g going forward, and we are saying that in the next 2 or 3 quarters, it looks like that we should be back to a 25,000, 30,000 annual predictable growth rate, right? We are not in that shoes yet, but we should be getting there in the next 2 quarters is the current sense.

So for now, we are at 250,000 and no clear guidance for exactly the next 4 quarters or the FY '25-'26. But we -- as we -- it looks like that whatever headwinds are settling down a bit, we should have better clarity in the next 2 quarters. So allow us that time to give you a firmer data point.

Priyankar Biswas: Okay. That's very clear. The second question from my side is, see, if we are, let's say, putting up, let's say, plants in China, Ghana and maybe later on Indonesia as how it's planned, so it would be very similar to, let's say, the strategy which our peer Magotteaux was following earlier. What we had observed is that their margins are not that great when we compare versus yours. So how will our business model be different from theirs and how will we be able to protect our margins? That's my question.

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Kunal Shah: You are asking me the nuts and bolts of our strategy on a...

Priyankar Biswas: No, just how will it be different from Magotteaux because they don't get margins.

Kunal Shah: I will -- we are plenty conscious of margins. We believe the purpose of business is to create value for the customer and so that we also make a reasonable return on the efforts and resources that we invest inside it. And rest assured that we are mindful and we learn from mistakes that we or our competitors have made. We'll make sure that what we are doing is margin accretive rather than negative.

Priyankar Biswas: Sir, just one last question here. See, in recent times, we are seeing a lot of talk about U.S. tariffs on various countries. So especially like there's the possibility of let's say, tariff wars between U.S. and China. In that context, can you throw some light, do you expect some impact on our volumes or, let's say, on our investments that we may be doing at China? So that's my final questions.

Kunal Shah: Not really. I mean, U.S. is not -- may not be the destination country from China. I mean there is -- we're trying to do a few things. And today, it is considering that U.S. may not be the top destination from that plant.

Moderator: We'll move on to the next question that is from the line of Yash Nerurkar from Ionic Wealth.

Yash Nerurkar: So the first question that I had was, so what made you go global, like in terms of the plants in China and Ghana? So do your customers see this as positive as you've been closer to the mine? And is your global competitor making similar moves to tackle the freight issue and higher lead times?

Kunal Shah: I don't want to comment as much on what the competitor is thinking about it. For us, all we are saying right now is that our model was Make in India and then ship to the world. Now a large part of the world still will operate under that model, but we do recognize that there are merits in having plants where you -- there are some benefits linked to that.

And whether we do 2 plants, we do 2 full plants, whether we do 10 plants, these are works in progress because we also have to have the learnings from that in terms of what works, what doesn't work. So today, what we have announced are plants where we are going to be modular. We are looking at them being automated. We're looking at them that they don't eat into margin but they feed into that.

Now there are several things that we need to work upon, and which is where over the next 2 years, we will have clarity on what that means, what is the form and shape of this strategy. But for now, it looks like that for certain markets where there is exposure to high freight rates or volatile freight rates, there the plant in China can help us with that. That is one assumption that we are

working with, while keeping the benefits of efficient production base, so -- and making sure there is market access, right? So there are -- that's a three-pronged strategy that we are working with.

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We are going to make sure that the capital invested is limited. We are not dependent on 1 or 2

customers, but there's a little wider approach that we can do from that and making sure that the margins are -- the cost structures are not haywire. So that's where we have approached this from. Ultimately, that should translate into higher sales, right? So -- and that's still some time away. Today, I think the focus is going to be to make sure that we don't -- we are efficient with our investments and the location and things like that, right? So that's the current effort base, and we will share more information in the coming year as we get more information.

Sanjay Majmudar: So just to add very quickly, let me expand one point when we say modular, we mean that there's a huge amount of investments in R&D, knowledge bank, knowledge base, infrastructure support, technical support that is available from India. So for these plants, you don't have to go too much on the capex side, and they are very efficient. So that way, things will be much better, and we will be able to control the costs and margins both.

Yash Nerurkar: Right. So actually, I was about to ask you on the profitability as well because India, your manufacturing units in India considers the low-cost unit. So how will the profitability look like for these units in China and...

Kunal Shah: So that is what I told the previous participant as well. That's -- this is the strategy, the nuts and bolts of strategy, it will be difficult for us to explain on a call this way. Please allow us the credit that we will make sure that there is everything right about it when we go forward with it. We are working acutely. We are acutely aware about that, and we'll make sure we learn from mistakes we've made or others have made when they go venture out in other countries. So these are all -- which is where modular and being cautious about it, right?

This is -- so today, again, I'll reemphasize for others who have this question, that it is a change in mindset that maybe there are locations, and there is a method and approach to setting up staff, cost-efficient plants, which allow us to get market access. That's the direction. Now there'll be learnings within that. There will be change in strategy. There will be other things that will happen, that will happen over the next 2 years, and we are working actively in that direction. So which is where sharing too much information today will be a little premature.

And at the same time, our current business, which is dependent on -- there is a freight exposure. It looks like that the Red Sea and all of that crisis is abating. And to that extent, at least that headwind is softening. But whether it will mean immediate sales, we don't know, which is where we will have -- it looks like we'll take 2 or 3 quarters before we are -- we feel confident enough to say back to 25,000, 30,000 predictable growth. We're not there yet.

Yash Nerurkar: No, makes sense, makes sense, absolutely. So just another question that I had on this plant is, I mean it's okay if you can't share too much of detail. But just wanted to know in which region in China is this plant going to be? And see -- I mean most of the countries they are kind of diversifying the supply chains away from China. So what was the reason for you to get into China in the first place? And which market is that plant going to serve?

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Kunal Shah: Like I said, it's a little bit nuts and bolts of strategy. We would like to -- there is a lot of consideration done on why the plant in China. In our business, it makes sense to go there. I may not be at a li

berty to share much more colour on it today or at this time.

Moderator: The next question is from the line of Anupam Gupta from IIFL.

Anupam Gupta: Sir, a few questions. Firstly, the U.S. tariffs came into being in the third quarter. Any impact we have seen of that so far?

Kunal Shah: Not really, not really, no.

Anupam Gupta: No impact. Okay. Okay. Understand. And the second question is on the volume commentary, which you said that, let say, 2, 3 quarters down the line, possibly you'll come back to that run rate of adding 30,000 incrementally every year. But just to dwell there, what is -- so let's say, if it was a problem of destocking of certain customers, which you said will come back in, let's say, March and June sort of quarters, what is stopping us from recovering the volume which we lost versus last year? So we were at 290,000 last year. Has there been a customer loss, which has resulted in a reset to 250,000, 260,000 or what is it that is resetting it at a lower level versus recovering it faster?

Sanjay Majmudar: So just -- this is Sanjay here. Just to elaborate a little more on what your questions are. So as we said in the previous call, there are multiple factors that we feel are attributable. So all our teams have already very aggressively taken up with all the customers. And as Kunal explained, we do expect the order book or the order inflow from the existing customers to start coming at a regular level in next 1 or 2 quarters, primarily because of the fact that things look like stabilizing, even freight rates are normalizing.

And more or less, we believe that their own mining and production cycles are also becoming normal. So that destocking doesn't go overnight. It takes 1 or 2 quarters. We believe that by end of this year or maybe from the first quarter of next year, things should -- so I don't think we have lost any major customers. That is your first answer from our side.

Second, more importantly, we also have, therefore, as a matter of strategy, decided that we need to rethink from a medium- to long-term perspective, and that is exactly the reason why you have seen our announcement. We are very, very bullish on the prospects, medium- to long-term prospects. We also have to change our gears and evaluate the situation as it unfolds. And that is what proactiveness is very critical for long-term growth of the company. And that's what exactly we are doing.

As you see, our margins are good, we do expect the business potential to remain the same. I also made an announcement that very soon, you can look at some significantly large incremental orders from new mines which are under development. So everything is more or less as it is, except for this, I would say, temporary disruption and nothing really structural about it.

Anupam Gupta: Sure. Understand. And next question would be, sir, generally, we talk about Magotteaux in terms of competition, but we have also seen the large guy in the phone segment entering that
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high chrome segment as well. Have you started to see competition from them for your existing customer...

Sanjay Majmudar: No, not really, not really. Which large guy you are talking about, Molycop?

Anupam Gupta: Yes.

Sanjay Majmudar: No, I don't think so. I'm sorry, I can't go beyond that, but there really is not, I would say, a threat or a competition for us.

Anupam Gupta: Sure. Okay. And just one last question. One last question on the liner business. So you had put up that 50 kt capacity, which came up, then you had also ventured into the rubber lining -- rubber liners. So far, how has been the traction on liners been? Are we on track for that 4-year full utilization, which you had initially said? Or what's the trajectory there?

Kunal Shah: The trajectory -- this is Kunal. The trajectory is a little slower than how we had expected. In fact, there were quite a bit of learnings in terms of how -

- what customers looking at their perception, what is our approach and strategy to go break some of those customers. I think we are delayed with full utilization. I think it will take longer. And given another learning was we were sharing too much information trying to explain everyone about liners that it also got -- our competitors updates on exactly what we're trying to do.

So now I mean, as a policy, we are rolling up our volume. We are not sharing separate line item on volume and et cetera, with the mining liners, so -- but it is lower. I mean that does not take away from the fact that the liners have been slower for mining. But from a strategy standpoint, they remain one of the most important opportunities for us to discuss with customers and bring in all of these suite of solutions and benefits for the customer. So as we look to add more grinding media, mill liners are important tool to break into the customers.

Sanjay Majmudar: And just to add, this rubber and composites have been added very, very strategically to complete our product offering, solution offering capability. Again, we believe there is no direct competition to what we are actually offering.

Anupam Gupta: Okay. And this rubber composite has started in terms of deliveries or no?

Kunal Shah: Yes, we just started small quantities. They'll ramp up over the next 1 year.

Moderator: The next question is from the line of Suraj Sonulkar from Asian Market Securities.

Suraj Sonulkar: Some clarification that now we are -- we will not be expanding grinding media expansion of 36,000 ton in India, right?

Kunal Shah: Yes, right.

Suraj Sonulkar: And rubber and composite liner capacity of 20,000 tons that we commissioned in Jan, that included in our total 460,000 tons capacity, right?

Kunal Shah: That's right.

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Suraj Sonulkar: Okay. And what will be your capex guidance for FY '26 and '27?

Kunal Shah: So this year -- the next coming year, we'll do about -- up to INR50 crores in renewable power. And I think we'll be done with most of the strategy as far as optimizing power cost is concerned, up to INR50 crores in maintenance capex per year. So once you remove that, not more than INR35 crores to INR50 crores of maintenance capex, plus our investment in the 2 plants that we've announced. I think our capex will not be more than that in the near future.

Suraj Sonulkar: Okay. Okay. So we have planned \$50 million for this China and Ghana separate?

Kunal Shah: That's right, exactly.

Moderator: Thank you.

Kunal Shah: Operator, I think there are no more questions, we can wrap up.

Moderator: Sure. As there are no more questions, I would now like to hand the conference over to AIA Engineering management team for the closing comments.

Kunal Shah: Thank you so much. And as always, Sanjay bhai and I remain available to taking off-line questions. Have a great evening, and we'll connect at the end of the fourth quarter. Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call Conferencing Services. You may please disconnect your lines now. Thank you, and have a great evening.

Call: May 2025

AIA Engineering Limited
May 28, 2025

To,
The Manager (Listing),
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001
Script Code: 532683 To,
The Manager (Listing),
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400051
Script Code: AIAENG

Dear Sir/Madam,

Sub: Transcript of the Investors' Conference Call held on May 23, 2025

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call between the Company and Investors on Friday, May 23, 2025 to discuss the Audited Financial Results and performance of the Company for the Quarter/Year ended 31st March, 2025.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited'

S.N. Jetheliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited
Q4 FY25 Earning Conference Call"
May 23, 2025

CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 AIA Engineering Limited Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode,
MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE, NON-
INDEPENDENT DIRECTOR – AIA ENGINEERING LIMITED

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and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the management of AIA Engineering. Thank you, and over to you, sir.

Kunal Shah: Yes. Thank you so much, operator, and we can start the call. A very good evening to everyone, and thank you for joining the call. I have Sanjay bhai. This is Kunal. There is Sanjay bhai and I who are going to interface with you today for the post quarterly results for AIA Engineering for the fourth quarter for fiscal year '24-'25.

I think the year has been pretty dramatic in terms of a lot of global upheaval. You've got macro events from wars to shipping issues, to geopolitical issues through the tariff measures that have been put along and a lot of assumptions that generally we apply when we are doing long-range planning, I think, stand in question. And with that, we are happy to take the call.

Our business has seen some adjustment in these macro events, which are applicable to us. And we've shared commentary on our world view on it. I will do a quick summary of numbers. And then I'll have Sanjay bhai share a business update, and then we can get on to Q&A.

But broadly, none of our macro directions, conversations change. I think we remain confident about the power of the solution that we have and the disproportionate consequence it will have -- it has for our customers. There are challenges in terms of the conversion -- the whole conversion project that we have, which is from going from forged to chrome and the mill liner and all of that.

But all of these are just the learning parts of this whole growth journey where every country is different, every culture has its own way of going about risk or governance or change management, implications on costs, starting costs, all of that. And I think each day, there is learning and all feeding into something that we believe are further deeper moats into the business.

So with that caveat, let me do a quick summary of the financial snapshot. We sold 68,741 tons this quarter, and that brought our full year sales to 255,000 tons, which translates up to INR4,200 crores of sales and INR1,141 crores for the quarter, INR4,200 crores for the whole year and INR1,141 crores for this quarter, translating into EBITDA of INR399.52 crores and PBT of INR363 crores and profit after tax of INR285 crores, taking the profit for the whole year or EBITDA for the whole year at INR1,492 crores and profit after tax at INR1,060 crores. Our other income reflecting largely the drawback and the RoDTEP, the small amount that is available, that reflects the other operating income. The nonoperating bit has our treasury and some bit of foreign exchange gain coming from the weakening of the Indian rupee. The total other income, including the operating, nonoperating bits being at INR92 crores for the quarter.
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Our working capital continues in sync, no dramatic changes there. Revenue is -- the tonnages are mostly comparable between second and third quarter -- sorry, third and fourth quarter. We did about 66,000 in the third quarter and 68,000-odd tons in the fo

urth quarter. So generally comparable between third and the fourth quarter.

Our current capacity, just to reaffirm, stands at 460,000 tons. And we've announced plants at two locations, one in China and one in Ghana. We're looking at 50,000 tons each. Both these are new locations for us. We are excited about the strategic intent behind doing it, and we are working -- both projects are at different stages in terms of -- from conceptualization to land acquisition to all sorts of approvals.

I think the China plant should be up and about in some form, hopefully in the next 12 months. And as we go ahead, because it's our first time, we don't want to put firm dates because there are a lot of learnings that are built into that.

And the Ghana plant, so in the next 12 months, we have -- in the next 3 or 4 quarters, a lot of that approval work will be done and then it will go into the execution and then the commissioning. So allow us maybe 2 more quarters to give a little better sense on what's happening with those projects.

Outside of these two projects, we're looking at about INR120 crores, INR130 crores of capex, which is largely some amount of renewable power, balance capex for work that we have done

in our plants in India, some amount of maintenance capex and some land. So these are all -- all can be rolled up as a maintenance capex for this year. So around INR100 crores, INR120 crores, INR130 crores for that. And plus we will be spending over the next 2, 2.5 years on the two plants in -- one in China and one in Ghana.

That apart, one macro development, before Sanjay bhai talks about our business, is around the antidumping bit. And so more specifically about the antidumping bit in the U.S. and the larger duty tariffs that have been applied by U.S. on many products across the world.

So our lawyers have advised us to be a little muted about what's happening, how it's going because some of these are sub-judice. In some jurisdictions, we are defending our positions.

And a lot of what we say here is actually being used as transcripts, as inputs.

And so which is where all we will say right now is that -- so for U.S., there is a dumping duty now applicable at 9.6%, including CVD. There's the ADD and CVD both put together at 9% plus. And there is a tariff. Our product falls under the Section 232 tariffs. So there is a duty that's under that.

As we speak, our business continues, our customers are paying that duty like a lot of U.S. companies are for a lot of products. I know there will be lots of questions. We have very few answers. We can't crystal gaze into what's happening because there is a lot of policy shift in regards to the U.S.

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As I understand, India is in active bilateral conversation, and we are hoping that we get back to business as usual or a duty structure that allows long-term contracts. So we will not be able to speak more than this. But as we speak, our business continues, the customers are paying the extra duty cost.

So there is -- we don't currently have a material change in our U.S. exposure as far as sales are concerned. Of course, there is routine plus and minus that happens. This may change going forward. But as it stands right now, it looks okay, and there is no basis for us to say what will be the impact in 3 or 4 quarters.

So I would like, with everything else, please allow for the duty -- the tariff structures to stabilize once the 90-day hiatus goes, the bilateral pacts comes in place. So maybe a quarter or 2, allow us the liberty to deal with it in best possible means.

As far as the duty protection structures at the rest of the world is concerned, you've seen the protectionist measures in broadly are coming in our favor. It may come in at a certain level, but a lot of these countries realize that the dumping -- the nature of a dumping duty is when a company tries to sell below cost, below a fair

price, et cetera. And our margins do not suggest we are engaging in that kind of competitive behavior.

So -- but obviously, there is a local manufacturer and it says -- and they will do what they need to protect their business. And we have to do what we have to do. So in Brazil, we have seen that what used to be 12% plus, antidumping has been terminated. One of the rare cases in Brazil where our duty got terminated. That's a strong vindication of our pricing practices, right?

One may optically present it whichever way one wishes to but -- in terms of our competition. But the reality is we are putting up -- we are not giving up an inch. We are making sure fair and accurate presentation is done for our situation. And we are here for the long haul. Maybe things change for a year or 2 or 3. But even if it means an inch, we are putting in all our efforts.

So some of that success that we are proud of is that the dumping duty rightfully got terminated because there wasn't a fair case for it. And the CVD portion, which is at 6% plus, it's in the process of being revisited. We'll have the outcome of that soon.

But we would like to assure everyone on this call that as far as AIA is concerned and with margins that are already publicly available, dumping is a far way away as far as our pricing practices are concerned, right? So there is a lot of other geopolitical and other considerations and which we are learning to navigate as we move forward, becoming sharper as far as navigating that condition is concerned.

So with that said, I will ask -- request Sanjay bhai to share his bit, and we go on to Q&A.

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Sanjay Majmudar: Thanks, Kunal, and good evening to all of you. So as Kunal explained quite a bit, and I'm happy to say that as we had anticipated that we should definitely do around 250,000 tons of

sales this year. We have done about 255,000 tons as clearly indicated and guided over our Q3 call.

A little more heartening and gratifying fact is that while there is a top line degrowth of about 14% as compared to last year, the profit degrowth is only about 6.5%, which means our margins have not only remained intact, but rather they have little bit improved and they have remained quite robust at the reported EBITDA of about 34%, 35%. And if you knock off the other income, treasury income part, we are still at about 28%. So that is very gratifying. Another aspect I want to highlight is that this is indeed a year where we have actually put ourselves into a very different strategic mindset. The long-term philosophy and the long-term opportunity remains absolutely intact in terms of 1 million, 1.5 million ton opportunity. What we have done is we have revisited the drawing book and now we are at a stage where we have already started implementing our new strategy of spreading our wings and also simultaneously from India working on all those opportunities which are there in Latin America, in Africa, in CIS, in a lot of other parts of the world with a very clear shift on grinding efficiencies or the kind of solutions which we believe nobody else in the world is capable of offering.

But as Kunal said, these are the years of -- these are the times of extreme volatility. We are implementing, as we speak, apart from the new locations where we have started our work, quite a few other opportunities, contracts, projects on which we are working. And we should be in a position to come back with a more firm indication about how the current year will look like.

But at this point in time, we believe that we don't want to give any guidance about the volume growth for at least this year with a clear indication that our endeavor is to definitely achieve a reasonable level of growth. But I think it's a bit early for us to give you or quantify the same with any clarity at this point in time.

On the capex side, Kunal has already explained the progr

ess on both the locations is

reasonably good, and we expect China to be on ground and start getting at least the first phase operational by the end of this fiscal. That is our target as we speak. And over the next few quarters, we should be able to share some good further developments with you. With this, I request the moderator to open the house for the Q&A.

Moderator: The first question is from the line of Bhoomika from DAM Capital.

Bhoomika Nair: Sir, my first question is on the U.S. antidumping duty, which has been levied. So the total duty is 9.16%. Is there anything apart from that in terms of base duties or anything else?

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Kunal Shah: Yes, yes. So there is an overall duty that Trump has applied, right? There's a baseline duty, there's a section, there are several things going on. There's a duty on aluminum and steel, which is a different chapter. So there is a base duty that is there under the...

Sanjay Majmudar: Which is universally applicable.

Kunal Shah: Yes.

Bhoomika Nair: Absolutely, yes, yes.

Sanjay Majmudar: And this is apart from that.

Bhoomika Nair: Okay. And so post this tariff -- post this duty, which came up and the tariffs which came up, one is, can you outline or call out what was the FY '25 sales to the U.S. geography in million tons? And how are we seeing -- I know you said that there hasn't been any drop in the volume so far. But if you can just get the FY '25 volume numbers for U.S. geography?

Kunal Shah: Bhoomika, there is -- like I said, there's a lot more curiosity besides the investment fraternity about this information. U.S. is an important market, but it is not -- it is less than, I would say, 8%, 10% of the total volume, broadly, I'm saying, okay? So the materiality is there or not there, right, either whichever way you look at it.

And for now, the nature of the product is such that there is capability, there is extent, there's capacity, there are several things linked to it, right? So I mean, except for one or two other countries where we have seen a different buying behavior, U.S. is a little different from that standpoint.

Like I said, today, the business continues. If it's continued today, we look -- we have visibility for a quarter or 2 ahead because everyone in the U.S., forget a buyer of high chrome grinding media or liners or other products, even someone importing grains has confusion of what's going to happen.

So that's what I said that rather than nitpicking and unpacking what's happening, just -- let's just ride out next 2 quarters, and we'll get exact clarity on what it is. It will be a little bit more imaginative and speculative on left or right and trying to unpack it into smaller numbers. As long as business continues, we should be okay for now, right?

Sanjay Majmudar: And I will just add, our endeavor is to ensure our teams, everyone, we ensure that, I mean, there is nothing materially lost in U.S. We still continue with more or less the same volumes.

Bhoomika? Moderator?

Moderator: Bhoomika line got dropped. We'll move to the next. The next question is from the line of Chirag from Centrum Broking.

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Chirag: Sir, some updates. So last quarter, you had mentioned that we are working on some couple of large mines and possibly if they can convert, there could be 30,000, 40,000 metric ton addition. So any update on that front, sir?

Sanjay Majmudar: We are working on several mines and our endeavor continues.

Chirag: Okay. So in last quarter, we had mentioned that on the revised base of FY '25, we could again start looking at 25,000 to 30,000 metric ton addition per annum. And now in the opening remarks, you mentioned that you would not like to give any volume outlook for FY '26. So is it just U.S. uncertainty? Or do you still see the momentum of conversion from forged to grinding media not recovering that fast?

Sanj

ay Majmudar: I would not want to pinpoint any particular reason. But one, let me assure you one thing that we are not going back on that target. That is point number one. But what we thought that as we speak as compared to last quarter, again, so many things have happened in this world and things continue to happen. You agree with me? Correct?

Chirag: Yes, correct, yes.

Sanjay Majmudar: So while we are working on several fronts and our endeavor is to ensure that our medium- to long-term growth strategies remain intact and we become a predominant player in this industry, we felt that let us wait for a quarter or 2 and see how few things are unfolding without -- before giving a specific growth target. But I'm very clear. I'm not going back on what I said last quarter. There should not be any other inference.

Chirag: Okay. And sir, last question on our mill liner business, sir. So just wanted to know how in FY '25 that business fared and the outlook for the next 1 to 2 years? And any change in strategy in terms of ramping up of that business?

Sanjay Majmudar: No, I think it has been doing very well. A lot of focus, a lot of investment is going in that business, and we remain very bullish on that. As you are aware, we have already made some further expansions in that particular business and investment in that facilities. So we are working very hard on approaching this business on multiple fronts. As we speak, we have also increased our stake in that Australian company to 59%.

Chirag: Correct. So sir, has that business started contributing in double digits to our total annual volumes? Is it possible to share any volume broad ballpark outlook for this business?

Sanjay Majmudar: We don't share specific volumes, but of course, it is double digit, of course.

Chirag: And that business is currently outgrowing the grinding media business in terms of volume growth?

Sanjay Majmudar: No, no, no. So listen, grinding media still becomes a predominant volume driver. It can't outgrow the grinding media but it is growing. It is growing. Definitely, it is growing.

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Moderator: The next question is from the line of Bhavin Vithlani from SBI Mutual Fund.

Bhavin Vithlani: So could you outline the thought process of investments in China and Ghana because this is pivoting from a strategy of being in India in a single location?

Kunal Shah: So idea was that we have seen last 3 years, we've made -- we have furthered our solutions in terms of the ability of our consequences. We've been hamstrung by a few things. One of the things has been freight, right? There's a large implication on the transit time. For example, when you're going to South America, it's almost a 80-day, 90-day transit time.

On top of that, with the whole Red Sea thing that's been on for the last 2 years, in between the China, U.S. container thing, there is a little bit of freight anxiety that sometimes customers express saying the freight is going on from 1x to 3x, containers are unavailable at times or the shipping time that it takes, what if there is a global event and where supply does not come in. So these are just conversations. These are not showstopper, but these were regularly coming up to us. So there are -- we have taken -- we are trying to do things to see how can we fasten or fasten our acceptance with the customer, right? So we are making small bets. We are not going with a whole monolithic plant. We are going to do it in a modular fashion. We're going to do with a small capacity, see how that goes. So it is our attempt to see.

So for our plant in China, for example, our transit times are half to everywhere in the world than what it is from India. okay? And these are -- and most of our customers are mining customers where China already has a shipping corridor set up, right? So these are efficient shipping corridors to sail from at a cost that is generally half than what we

see from India and half the shipping time.

So that was one of the considerations to say what else can we do so that our fortunes are not linked to this one variable that has been -- which we thought after COVID. So 2 years of freight issues post COVID, then we saw about a year that things normalize, again when what happened with the Red Sea issues, the freight volatility came in.

So this is one of our attempts to say making a small bet to see whether it changes the whole approach and the game to say now I've got the capacity which can deliver and offer a better supply chain visibility, predictability, cost from a shipping standpoint, et cetera. I think it is only from that standpoint. India continues to be the location.

So this is for our ability to break into a customer, give them the comfort. We'll see what happens from there, correct? The idea is that I've got a super normal solution, which can bring all these benefits to the customer. And it's taking a little more time. Could this be weighing on the customer's mind? Would this help facilitate a faster, quicker conversion? This is our attempt to in that direction, and we are not betting the house for it. So that is the context.

Bhavin Vithlani: I'm sorry to harp here. I mean where -- when I look through this investment decision, it is in a country which has little or probably no respect to...

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Kunal Shah: What I'll say is I don't think there is a debate on this beyond this. This is our strategy. This is what we are moving forward with, making a small bet. I think it will be not good use of everyone's time to now discuss a personal view. There is -- and I would love to take this offline, and I'm very happy to share and we can go through this one-on-one after that.

Bhavin Vithlani: Fine. And the second thing is, if you could just help us understand how are the realization different for grinding media and mill liners? If you could give us a little ballpark in terms of indication, that would be helpful for us.

Kunal Shah: So realization for -- so the way we look at it is we've got grinding media as one category of products and non-grinding media is another category, right? So mill liners are part of the non-grinding media category. We've got vertical mill parts, we do quarry parts. We do castings for cement mills, right?

So there is about 12, 13 suite of products that we do under the non-grinding media. And that overall is about 30% of the volume, broadly, I'm saying. 25% by volume comes over there.

The cost of making these parts is also very different. So if I -- if you ask me about the margin, my both categories are comparable. But if you ask me about my realization, my non-grinding media could be from INR130, INR140, it can go right up to INR230, INR250, okay?

So now the weighted average now keeps changing depending on what I have done more, what has required machining, what is a 25% chrome versus 11%, 12% chrome. There's -- all those variables come in, where do I need much heavier patterns versus smaller, easier patterns, right? There's a whole cost investment that goes into the costing and the pricing part of it.

Some parts take up to 4 months from the receipt of the order. Our design itself takes a month, our pattern making takes another 1.5 month, 2 months, then there is production, sample casting. Post production, there is a month-long machining exercise, almost a 5, 6 months start to finish. So -- and then the pricing then is commensurate with that.

All that cost that gets applied, accrued for that product and hence, from a margin standpoint, largely may not be very different. But from a cost and hence, the selling price, there is a little bit -- there is a level of where it's not comparable. These products are strictly not comparable. But I would say between INR140, INR150, they go right up to INR250. I'm saying realization per kilo.

Bhavin Vithlani: Great.

And just last question. About a year back or so, we had green shoots from getting into the South America territory, especially Chile. That's an area considering the production of copper that country has and our sales, we were significantly under-indexed. So if you could give us some color on where we are because that is a geography which can give us significant volume delta going forward.

Kunal Shah: Yes, yes. That could be a material game changer for us. And it will be -- it will sound repetitive to say that, but we are very hopeful that we get a breakthrough soon, but we'll just

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have to wait for it, right? It's been a long chase and effort. We've gone through quite a bit of macro events in between.

We hope that we are building on that momentum, and I'm hoping in the next 2 quarters, there is some breakthrough that we would get to share. But we've been in that a quarter away and not cross the line at least 3 times in the last maybe 1.5 years. So with that caveat, I'm hoping that we have something good to share soon.

Bhavin Vithlani: Sure. Just one more question I had because I remember we speaking about there are certain customers which had to do inventory correction due to internal challenges. Could you just give us an update on -- I mean, what kind -- what percentage of volume would have been lost because of that? And where are we in that?

Kunal Shah: We lost about 8,000 to 10,000 with 2 customers, 2 or 3 customers last year over 12 months. So rolling basis, that volume should come back. I think the one which was a larger customer, I think in another max 1 quarter gets back to original consumption pattern. I think that's 1 quarter away. The other 2, I mean, either are in the process. I think, let's say, in a quarter's time, at least that volume on a rolling 12-month basis, we are hopeful will reset about 8,000 to 10,000 tons.

Bhavin Vithlani: Okay. So is it fair to say that the drop in the volume that we have seen is none of the cases where we have lost a customer? It's mainly to do with the idiosyncrasies of the customers and their inventory issues, et cetera.

Kunal Shah: So that was one part of it. We did lose volume. I think we did lose volume to the competition, I think for one large customer that went back, that went to the competition. But I think other than that, nothing has changed in that -- and that was a rare event over the last 20 years that we've been competing, maybe 5 handful events where customer is -- that's where it is.

And some part of that may be linked to the duty structure and the uncertainty and all of that.

So we are hopeful that we can correct that. Hopefully, we can correct that event also.

And I will -- we can speak offline for the whole -- once more on the logic about the China, Ghana. Yes.

Moderator: Thank you, a remainder to all participants, you may press star and one to ask question.

Kunal Shah: Operator, I think if this is done, we can wind this up.

Moderator: Okay. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Kunal Shah: Thank you. Thanks, everyone, for staying on the call and hearing us. And as usual, Sanjay bhai and I continue to remain available for any questions offline. Thank you.

Sanjay Majmudar: Thank you very much. Have a good evening.

AIA Engineering Limited

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Moderator: Thank you. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

AIA Engineering Limited
August 18, 2025

To,

The Manager (Listing),
The BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001

Script Code: 532683 To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block-G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400051

Script Code: AIAENG

Dear Sir/Madam,

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Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S.N. Jethliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited

Q1 FY '26 Earnings Conference Call"

August 13, 2025

MANAGEMENT : MR. SANJAY MAJUMDAR - NON-EXECUTIVE, NON -
INDEPENDENT DIRECTOR - AIA ENGINEERING LIMITED
MR. KUNAL SHAH – EXECUTIVE DIRECTOR –
CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to AIA Engineering Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode

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and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your telephone. Please note that this conference is being recorded. I now hand the conference over to the management. Thank you, and over to you, sir.

Kunal Shah: Thank you so much, moderator. A very warm welcome to everyone. This is Kunal. And as always, I've got Sanjay bhai on the call here with me, and both of us will walk you through the results for the first quarter of financial year '25-'26 and a broad update on the business. I will start with headline numbers for the business for this quarter and then we'll get into Q&A. We produced 59,500 tons, and we sold 60,156 tons in the quarter. This is flat as compared to first quarter last year. And from a sales standpoint and compares to 68,000 tons that we did in the fourth quarter last year. This translates to about INR1,026 crores of revenue and a realization of about INR170 per kilo. We've got INR12.93 crores of other operating income, which includes export benefits and another INR108 crores of non-operating income and all of that translating to an EBITDA of about INR420.39 crores at 40.46% EBITDA and a profit after tax of INR305 crores. That compares to INR259 crores of PAT in first quarter last year and INR285 crores in the sequential fourth quarter of last year. Moving on our other income of INR108 crores includes INR88 crores of treasury income, which is up from INR73 crores from first quarter last year and INR73 crores of fourth quarter last year. There is a INR19 crore of foreign exchange income, both combined taking the non-operating other income portion to INR108 crores. Working capital largely continues on track. There's a slight increase in finished goods. It's flat -- it's broadly flat. Raw material has slightly reduced. Receivable remains flat. So overall, working capital in line with every quarter. From a tonnage standpoint, again, flat number is comparable to first quarter, 36,000 -odd in mining and 23,000 -odd in non-mining, which is cement and utilities for a total of 60,000 tons, almost in line with the first quarter last year. A 10,000-ton reduction in mining volume compared to fourth quarter and a slight increase in the non-mining portion. Our net cash stands at INR4,083 crores. Our investment plan for this year, we've spoken about plants in China and Ghana. Both those plants are in -- we are looking to acquire land, we are applied for all sorts of permissions. I think end of next quarter or the quarter within the next 2 quarters, we'll share more updates on, because it's our first time going out sort of India, and we are learning the procedures for both planned acquisition as well as various preproduction approvals and both appear to be a little longer drawn than what we had originally estimated.

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So for now, we continue with both the plants, and we'll share a little more light about what we are doing with that in next 1 or 2 quarters. Apart from that, we are continuing to make a small investment in renewable power. We are at about 38 megawatts as of date, and we are adding another 60 -odd megawatt, taking it to about 100 megawatt-plus and when all of it gets commissioned in next -- in this fiscal year, almost 55% of our power will come from green sources, from renewable sources. So we are very proud of that of not only achieving the green milestone for our energy consumption, but also helping us in reduced cost on that account. We'll be doing in addition to that for the rest of the year, and I'm not still sharing the number for what I'll be spending for our plants outside of India as far as capex is concerned. But outside of that, we expect about INR50 crores of non-generational maintenance, some land, some warehouse, all of that and about INR40 crores for the renewable -- balance part of the renewables. So about INR100 crores spend in addition to anything that we spend on China and Ghana is a capital protection for this year. Lastly, one good news came this quarter was related to the Brazil sunset review where the department has reduced the CVD component. The antidumping portion of it got discontinued because the total duty was 11.8% CVD and the

antidumping portion, antidumping got terminated, and the CVD portion is now down from 6.5% to 2.9%. Total duty now on antidumping account is at 2.9%.

That's a big relief and validation of what we've been telling not only authorities in various countries, but also our customers that we absolutely follow fair pricing strategy and open pricing practices. And that's something that it's taken a lot of effort to put things in perspective to make sure that the case is heard appropriately.

And the same thing is what we're doing with other jurisdictions where there is some sort of conversation on the duty front. The U.S. antidumping stands at 9.8%, 10.07%, about 10%. But of course, there is a much larger from tariffs that we fall under the -- all of us will take 50% duty if it continues as it is.

To that extent, there is some uncertainty on the U.S. accounts, but we are in discussions with all our customers. As we speak, most part of our volume in U.S. continues. Customers want an alternate source for this product.

So beyond that, beyond customers telling us will continue for near term, we may not be able to share more commentary as we speak. We would rather wait and watch, see where this settles down and have a little better view on what happens to our U.S. business ...

Sanjay Majumdar: Just to add just to add this 50% duty that we are currently paying is nothing to do with the recent reciprocal tariff announced by the U.S. President, Mr. Trump. This was already applicable to us earlier under Section 232 from January, I think from February, initially 25% and then about one month ago increased to 50%.

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So I mean just to clarify, this has nothing to do with the current new wave of tariffs, we just -- because this we were anyway paying, customers are paying even as on today, this duty plus this 10-odd percent antidumping, which Kunal talked about and the supplies continue.

Kunal Shah: Exactly. I think Sanjay bhai any other updates you want to share.

Sanjay Majumdar: Sure, okay. Of course, pre-empting a common question that how do you look at this current scenario? Because we have been doing around 60,000-odd tons of sales, we did about 250,000 tons, 255,000 tons last year. What could be the outlook for this year, etcetera. Pre-empting those questions, I want to just make it very clear that as we had indicated even in the last call, we are absolutely clear and bullish on the prospects of conversion for the large number of mills that we are looking at from the forged to our high chrome solutions.

With this and tremendous work even in terms of re-strategizing our whole approach has gone into it. We are working with a very large number of mining customers right now at a fairly advanced stage of negotiation. And we do expect quite a bit of conversion-related news to start coming in the coming quarter.

Therefore, from a very clear-cut management standpoint, we are not at all worried and we do expect to return back to a decent level of volume growth from the next fiscal. Having said that, this process is taking a lot of time. And therefore, this year, we feel that we might still end up

the current fiscal year with a near flat situation. However, maybe next one or two quarters, lot of things are happening, and we'll be able to give some clarity.

But as we speak, we are very clear. We don't see any structural issue. It's just a re-strategizing and now, again, going back on the track of normal growth, which we expect to start coming from next fiscal with complete clarity. This fiscal we want to wait and watch for maybe one or two quarters. But we are still -- our target is to see what growth we can achieve over last year, but we have no certainty or clarity, and therefore, we are not giving any specific growth guidance for this year.

I think with this, I'll request the moderator to open the house for Q&A.

Moderator: Thank you. The first question comes from the line of Bhoomik a Nair from DAM Capital. Please go ahead.

Bhoomik a Nair: Yes, you mentioned in the end that there would be kind of a flattish volume. I remember that in the previous call, we had mentioned about some growth and the benefits of the conversion efforts that we have taken to kind of start playing out sometime in this year, at least. So in...

Sanjay Majumdar: I reiterated that, I'm sorry, I'm interrupting you. I said, we are not giving any specific guidance about the growth in this year and our targets. And I said that we'll probably come back to you by end of Q2, let us see. We have not said that nothing will happen, but lot of efforts are going on, and I wanted to clarify that 100% from next year, we are on track. This year we are waiting little bit more for a few outcomes.

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Bhoomik a Nair: Okay. Okay. Fair point. From a U.S. perspective, given that there will be the 50% duty, do you think our volumes will be at risk if it were to come to play?

Kunal Shah: Can you repeat last part? I couldn't hear.

Bhoomik a Nair: I was saying that if the 50% tariff was to come into play as anticipated, assuming no relief on that aspect for a minute, would that mean that our volumes would get impacted out there on the U.S. bit of volume?

Sanjay Majumdar: No. So Bhoomik a, as I clarified two things. One, this last round of 50% is reciprocal tariff and not sectoral. Sectoral tariff was in February, it was increased to 25%, the whole world knows.

Correct.

Bhoomik a Nair: Yes, yes.

Sanjay Majumdar: Today also my clients, my customers are paying 50% sectoral plus 10% CVD and they're continuing mine. Obviously, the negotiations around the corner, will this continue and whether a part of it you will bear or not. So that is a continuous dialogue, which our salespeople are doing. And therefore, our supply as we see continue to go a little halting, but they continue.

Nobody has said we will not continue.

The people are also in the hope sooner rather than later there will be some -- we were noting of BTA happening. People were hopeful that in BTA the tariff will come to a reasonable level.

As we all know, the whole world knows, this has now become a little political, more political rather than a really economic ally, the rational decision-making process does not make any sense.

But as we speak, people are saying, that's all I can say at this point in time.

Bhoomik a Nair: Okay. Fair point. Understood. So the other thing is in terms of our China and Ghana, you mentioned that there are -- it is taking a little longer than anticipated because of the approvals, etcetera, and land acquisitions as such. So what would be a reasonable time line to look at for --

- if I understand correctly, China will be first operational followed by Ghana. What would be the right time line to look at for that plant to be operational?

Kunal Shah: That's what I shared that our hope was to start with that initial land and approval this quarter, it

looks like it's a little -- it's much longer drawn out than what we had imagined, right? It's our first time going in there, which is where it looks like we will -- I'll be able to share a plan, hopefully, next quarter or fair chance it goes to the quarter after that.

And which will be exactly what happened. I can't share 12 months from approval and the approval is maybe 15 months away, right? So just give us a quarter more, we'll share a little more idea actual teams out there, lot of work is going on, so that work in progress is there.

Bhoomik a Nair: Okay. Fair point. Lastly, if I look at the margin profile this quarter has been quite healthy. So anything that you can call out in terms of what attributed to this margin being sharply up?

Sanjay Majumdar: Okay. So Bhoomik a, one, if you knock off the treasury income, gain of INR19-odd crores, we are talking about, about 29% to 30% operating margin, which I definitely agree that this is

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slightly on the higher side, there are two factors. One tax provision annual 2% it will be more, in this quarter it is less point number one.

Point number two, there is a good, very good product mix that has also given us a tailwind.

Now therefore, I would believe that on an operational margin this 29% or 30% cannot be regarded as a sustainable long term. Of course, we are talking of 23%, 24% as a minimum. I believe we want to stick to that as a very, very sustainable, it should be less than that. We are doing better.

I believe we might do better, but let's stick it at that.

Bhoomik a Nair: Okay. Fair point. I will come back in the queue then. Thank you so much and all the best.

Moderator: Thank you. The next question comes from the line of Priyanka Biswas from JM Finance.

Please go ahead.

Priyanka Biswas: Thanks for the opportunity and my first question is again coming back to the -- from the previous questions like -- this very high level of pricing that we are seeing on -- I mean, almost like a INR170 per kg, do you expect that to sustain at least in a very near term, I mean compared to forged it seems to be a very high level of premium. So what is your take on it?

Kunal Shah: Priyanka I think realization when we have always maintained, it is not just a margin reflector, it's also the product mix that we do in a quarter. You -- there are -- there is also the price pass-through with this quarter has seen freight reduction, some level of freight reduction, some level of raw material reduction.

So some of these costs have reduced, which will get passed on over a period. So two things have happened this quarter, price, product mix leading to a little higher realization and lower cost. And hence, you're seeing that price -- there is an abnormal margin this quarter, which we think will normalize over the next two quarters.

Priyanka Biswas: Okay, understood. And also, if I may come back, like I remember in the previous calls, you

used to highlight like significant opportunities in Latin America, particularly in copper. So what is our progress there currently? I mean what are the states or any prospects that we are looking for near term conversion?

Kunal Shah: I think we are status quo there like Sanjay bhai was explaining the previous participant, our efforts are on. We are on it. We are making all efforts towards it. We remain excited and confident about it. We hope to get back to growth stage soon. There have been breakthroughs. We are hoping that, that culminates into something meaningful that we can speak about. We have decided to speak about it after we get that breakthrough rather than positing it about and when and how because it's been deferred for some time. So we are hoping that it converts into a contract and a tangible order and hoping that

at gate opens up for further volume.

Priyanka Biswas: Yes, I hope so as well, let's say, within the next couple of years maybe you see some volumes. And just I ask one question from my side. Previous year in FY '25, in some of the calls, you had mentioned that in certain mining geographies, there were some excess inventory that was there

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of grinding media. So that kind of led to sort of a destocking thing. So is it behind us? So has those volumes kind of resumed?

Kunal Shah: Yes, there are two, three different things that were happening, two customers going to a restocking, they're back to -- that volume looks to be back, that will normalize, yes.

Priyanka Biswas: That's all from my side.

Moderator: Thank you. The next question comes from line of Devaan Shah from D.D Enterprise. Please go ahead.

Devaan Shah: Sir, I'm an individual investor. I have some two, three minor queries only. Regarding the cash we are holding on the books, is it for Welch because the Welch buyback was not gone through. So any plan to like utilize the same cash, which we are holding on the books?

Sanjay Majumdar: No, Devaan bhai, I think there is some confusion here. Welch never had a new buyback, it was a delisting attempt, which was not successful. And that was a very, very insignificant amount actually. So this cash has been conserved for quite some time, considering the fact that we are very, very optimistic about the tremendous growth potential that the business has. And therefore, given the fact that at any point in time some or the other opportunity could unfold, we are a bit conservative and in the past also we have said that once we believe that the business has all the endeavors that we are giving for growth they are sort of stabilized. We will look at options for reducing the level of cash.

But at this point in time, we agree we are admitting that we are maintaining a little higher level of cash that we want to do so more on a conservative basis given the potential that we have.

Devaan Shah: Okay. So the other question is -- like can you just tell me like who is going to be over there for next 5 to 10 years for the management controlling because the owner, whose age is very much near to the like retirement or something like that. So is there any follow-on plan also is there like we are going to get it from the management or you're going to get it like professional management outside of the company. So any follow-up plans for that?

Sanjay Majumdar: Please understand one thing. There is no question of any management outside of the company. We are, in fact, professionalizing this for over last 3, 4 years. There's a very proper succession plan strategy, which is under implementation. The idea is that the whole management and the organization should run quickly on professional ground and all the efforts are on.

So there's no question of any outsider coming and running, etcetera. But, yes, a proper succession plan is under implementation and it will be properly and formally implemented over a period of next 1, 1.5 to 2 years.

Devaan Shah: Okay. That's all from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Varun Jain from Dolat Capital. Please go ahead.

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Varun Jain: So my first question was on power and fuel costs. So if I look at your power and fuel cost as a percent age of sales, from FY '20 it was close to 10% and then it has been falling, so FY '22, 9.2% and now FY '25, 7%. So as the renewable power mix increases, where do you think this will settle?

Sanjay Majumdar: Renewable, see, at this point in time, we are, I think, about 35% -- 30% to 35% as the renewable level in terms of our actual credit

that we are getting in terms of generation through

wind and solar in our billing. We are investing about -- we are putting another 100 -- total 60-plus megawatts, which will take us to about 100 megawatts. So according to me, there should be -- there is a very decent scope of further reduction. It should settle 7%, 7.5%.

Varun Jain: Sir, 7% already in FY '25 only you reach. So it should go close to 5.5% or 6%, right, in the next two years?

Sanjay Majumdar: Yes. It should reduce further. It will reduce further. There will definitely be savings and you can take around 6% to 6.5%, you're right.

Varun Jain: Okay. And my next question was, so your -- in this quarter, the margins were very good. One of the reasons you told us was that product mix favoured realizations and the freight cost was low, but was there also a raw material cost impact, like, ferrochrome or alloys you got at a cheaper price?

Sanjay Majumdar: As always versus 100% pass-through. So you are very right. In a given quarter, if the prices have gone down, but our sales realizations are as per the previous agreed level, there would be a different push up on the margin. However, in the next quarter, so I explained to Bhoomik one of the earlier participants that yes, there are two factors. One is the knockoff, this other income, treasury income, etcetera. So it around 30% at the operating level EBITDA, correct. Now that is slightly higher than what we normally will do at about 27% -odd. That is what the run rate with which we have been generally reporting. There are two, one is our tax rate this quarter, if you have seen, it's about 20% against normally about 23%, 20.8%. So at PBT level -- PAT level you will see impact.

Second, there is a very clear-cut strong tailwind of the product mix. So the bigger castings as we call them, its dispatch comes more and they are very profitable. So therefore, there is a little bit of a push. And then as Kunal explained, there will be a pass-through effect, which will come in the next quarter, which will normalize. So if you see according to that, so we are okay. We should look at the normal level of margin only rather than extrapolating this.

Varun Jain: Okay, sir. Got it. And my last question was, you have given some light on this, that you lost I think 30,000 tons of destocking volumes were lost. So you said there were some recoveries out of that 30,000 tons. How much have you recovered?

Kunal Shah: But, 30,000 tons was not a destocking account. There was one customer where we lost some volume. It was -- I think we will not be able to break down every single customer that way.

But the destocking that customer is back up, the volume is back up now. Then there was a 8,000 tons, 10,000 tons, I think, 7,000 tons, 8,000 tons, 10,000 tons difference on that account.

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There were other customers who have reduced purchases on that account. I'm not sure what is the current level there. But the billing process changed related to that one customer that's back to regular invoicing. So that will reflect full year, will be the full potential, that reduction has been made.

Varun Jain: Okay, sir. Thank you and all the best.

Kunal Shah: Thank you.

Moderator: Thank you. The next question comes from the line of Bhavin from SBI Mutual Fund. Please go ahead.

Bhavin: Hi. Good evening, Kunal. Good evening, Sanjay Bhaji.

Kunal Shah: Yes, sir.

Sanjay Majumdar: Yes. Good evening.

Bhavin: Could you talk about the mill liners, we commissioned a plan, have you seen stabilization?

How is that ramping up and if you could also talk about, because that would have -- our strategy was to actually first get into the existing customers so that they know AIA, they know the AIA qualities that cross-sell opportunity was one

that would have helped us.

Kunal Shah: Correct. That's true. Beyond the mill liner, as you know, we've also -- the metal mill liner, we've also added the rubber composite capability. So I think as we went into the space as we understood the overall offering. One is it has taken longer than what we imagined. But having said that, it has -- this was our time where we have rightsized our offering.

We've done some amount of trials, right? Customer went back and tell your references of this ore, of this metal or for this size of the mill. So a lot of that was, who's going to give us the first trial. Who's going to allow us a trial that allows us subsequent sale or subsequent size and configuration?

I think that's what has taken us time. I think, so if you -- Sanjay Bhaji can speak more, but for today's Board meeting, for example, there was a 2-hour discussion just on the sharpness and the potential for the mill lining solution, right? How it's all coming together. And the solution is for us to sell liners and grinding media together. So that's the customer we are looking at. So, there were some customers where we had the chance to sell just lining, but we want to

keep the capacity available because we are fully committed and believe in the solution where disproportionate benefits can accrue by using our design material, our design and our material of linings along with our grinding media. Both are in sync to actually deliver the full solution that we are pitching to customers. We are hoping that we have good news to share soon.

Sanjay Majumdar: Just to add to what Kun al said, what we are bringing on table now is something very unique, which very honestly mining industry has not seen before. And that solution has been already tried and tested in a couple of mines with excellent results. Based on that, we are now approaching on a combination of a solution which -- where cost becomes, I would say,

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secondary or tertiary. Primary, it is the grinding efficiency, the throughputs and how we are doing a combination of different types of liner designs, very unique, which increases the grinding efficiency and the overall benefits which a mine gets is unimaginable. I think that is what is giving us tremendous confidence. Very soon, we should have some very good news to share. That's all I can say at this point in time.

Bhavin: And what would be the utilization of the plant currently?

Kun al Shah: I think we have moved some of Odhav production also onto this plant. But the utilization of the overall mill lining capacity would still be small. I don't think we will be crossing 30,000 tons. We will still be between 25,000 tons and 30,000 tons for the full year mill liners. And capacity would be in addition in excess of 70,000 tons, 75,000 tons.

Sanjay Majumdar: 30,000 tons, so both...

Kun al Shah: I mean, Odhav and...

Sanjay Majumdar: It is a little lower than around 40% to 50%.

Kun al Shah: Less than 40%. Yes. Yes.

Sanjay Majumdar: Yes.

Bhavin: 75,000 tons is the capacity and utilization...

Kun al Shah: Yes. For some part of it is fungible, but I would say, we are doing between 25,000 tons and 30,000 tons of 75,000 tons capacity broadly.

Bhavin: Okay. And just to understand directionally how different are the realizations for the mill liners versus the grinding media?

Kun al Shah: The selling price is, of course, a little more in middle liners, because the cost of the alloy is different and there is a lot more subsequent effort, right? You need to do drawings, design, people need to travel for that, collect information, make wooden patterns, then a sample piece gets made, then a finish rod, then they're post-treatment. So the whole host of investment into patterns and the engineering work that needs to be done

one before and after the product is made, is significantly higher, the cost on us, right? So when you factor all of that, the selling price does go higher than grinding media. But our margin on the selling price, I think, is largely comparable as a percent -- margin as a percentage is comparable.

Bhavin: Just trying to understand because if you see our weighted average, we've been doing \$1,600, \$1,700 a ton. So I mean, just to get the differential in terms of realization?

Kun al Shah: But we also do vertical mill parts and that volume also shifts within vertical mill parts also, we do like six or seven products. So prices vary from -- just to give you a sense from, let's say, INR180 to maybe INR400 a kilo, right? Exactly because we do machining on some parts.

There are many other parts where metal dies have to be made or metal fabricated parts have to be made for the wooden pattern.

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So the investment vary and the processing on the material varies and the effort as pre-production varies. So that is where for us, it's sometimes difficult to break apart each piece and add up. And I understand that INR170 is a high figure. But like we said, that reflects a little bit of the higher dollar rupee and the product mix and the margin reflects some part of lower cost also.

Bhavin: Sure. And when we were looking at the export data country-wise, there was a very sharp drop in the volumes to Australia from 37,000 to 40,000 - odd we saw in '22, '23 to all about 15,000 - odd us. If you could just help us understand the reason for sharp drop to Australia?

Sanjay Majumdar: My request is, let us take this off-line.

Bhavin: Okay. And the -- just last part when you said flattish volumes this year, there was some inventory drawdown that was their inventory correction by the customer, which was there about 8,000, 10,000 which we expect to normalize and there's some increase in the volumes

that can happen from the mill liners as we see. And despite that, the flattish volume guidance, is that, I mean, we just want to understand.

Kunal Shah: Bhavin Bhaisi, 8 or 10 also is flat for us. The idea is that we have to get to 30,000, 40,000 tons and a 10 or a 15 or a 20 is still not volume increase that excites us. I think Sanjay Bhaisi without having to nitpick into 5 or 7 or 12, he is just saying flat, saying it will vary your 10,000 tons, something else may go down, something else may come along. Over all this year as we look going forward with new contracts coming in later in the year, factoring all of that, it looks like it will be a flat year. And when you say flat, it will be between minus 5 and plus 15.

Sanjay Majumdar: Yes, Yes. And I'm very clear I also say that by the end of fiscal quarter, we should have much better clarity on a few large contracts or assignments that we are working. So I think you kindly wait for a quarter more. I think we are working on so many other projects. And with this novel approach, we are getting fantastic results. So it's just a matter of time, very honestly. That is why we said, otherwise, we would be not in a position to give at least this indication. But I think it was an exciting response that we are getting and hopefully, we should be absolutely on track in terms of normal growth from next year. And definitely, we are targeting some volume growth this year.

Bhavin: Sure. Yes, thank you so much.

Moderator: Thank you. The next question comes from the line of Amit Khetan from Laburnum Capital. Please go ahead.

Amit Khetan: Hi, Sanjay Bhaisi and Kunal Bhaisi. So if I -- AIA faced challenges over the last 3, 4 years, right? But if we just look at the industry volumes over the last 5 years, specifically mining, would you have a sense of how much the high chrome industry mining has

as grown in absolute terms?

Kunal Shah: High chrome is what our competitors are doing. So volumes in high chrome are largely limited to what both of us are doing, right? I don't know the number on the top of my head, but we'll just have to do that math. There is no new player for sales coming down. Exactly, not.

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Amit Khetan: No, but the competitor would have also gained some share from you, right, by way of in countries where there are duty structures. We are trying to understand how much is in place at the industry level.

Kunal Shah: What I'm saying is if volume has moved between them to us or ask to them, the industry has remained flat and there has remained still some total of what both of us are doing. That's what we are seeing. So that has grown to expense we have, basically. If we have lost some volume, it's going to then generally, it would have gone to them or there's something the plant has shut or plant has reduced operation to whatever. So the high chrome share is what volume of both of us added up would reflect.

Amit Khetan: Got it. So broadly over the last 5 years at an industry level has been very limited conversions. Is that what you're trying to see.

Kunal Shah: Possibly. I mean, that's the total, whatever the math was to, yes.

Amit Khetan: Okay. Okay. And secondly, when you talk about -- forget about this year, but let's say about on a normal year when you're talking about 25,000 to 30,000, 35,000 conversion, new addition in volumes, how much of that are you factoring in the new conversions? And how much is just a regain of old volume, which now because of ...

Kunal Shah: I think there will -- earth is that given our exposure -- see, we are not per se, a one trick pony.

There is one customer, one geography, one product line, right? We are selling to more than 120 countries. We're doing cement and mining. Within mining, we're doing two or three old types. So given all of that, there will always be macro. What we are learning is an always a macro factor that will keep coming along in, putting some headwinds that we need to figure out and work through. So what we are seeing is when we are seeing growth, when we are talking about growth, it is all new conversions from forged to chrome.

Now some volume that's gone away, it will come back. That is basic arithmetic between us and the competitor whatever the macro situation may be. We are not considering that when we're talking about growth coming back, all the growth figures that we want to hopefully share soon.

Sanjay Majumdar: So just to add, it's a fact that over last few years, you might not have seen a great amount of conversion. This is a function of two, three things. One, to the efficacy of our solution is universally accepted by the customer. There is always a great deal of resistance on their part in converting due to a wide variety of reasons. So what we decided that we must make it so potent that we have -- that the customer would definitely fall for it. So there is a local factor, there is a local competition.

Today, I'm saying that now with the mining liner related solution plus the DP-related benefit that we are offering, plus a very unique type of grinding media solution that we have got as a package it becomes so compelling that we have started getting very good results. A couple of

projects have shown extremely encouraging results and the clients say right now, they are in the process of negotiating some significantly large higher volume of orders, that has given us confidence that we have now approached many mines.

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So what is happening is that we have also climbed up the learning curve in terms of our capability and our potential.

I to break into mining based on efficiencies rather than cost. Mining industry, each mine is typically INR50,000 crores kind of a company. For them small volumes or small savings are not relevant. What is relevant is if we offer something which is a game changer, that is where the whole conversion happens. I think we have climbed up to manage curve and it's just a matter of time. We would start seeing definitely better traction in the coming quarters.

Amit Khetan: Got it. Got it. Thank you. That's very helpful.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments. Thank you, and over to you, sir.

Kunal Shah: Thank you so much. As always, Sanjay bhai and I remain available offline to clarify or speak on any other questions. Thank you so much, and have a great evening, everyone. Thanks.

Sanjay Majumdar: Thank you.

Moderator: Thank you. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

AIA Engineering Limited
November 10, 2025,
The Manager (Listing),
The BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001
Script Code: 532683 To,
The Manager (Listing),
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block-G,
Bandra-Kurla Complex, Bandra (E)
Mumbai - 400051
Script Code: AIAENG", ~"

Dear Sir/Madam,
Sub: Transcript of the Investors' Conference Call held on November 7, 2025
Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference (till held between the Company and Investors on Friday, November 7, 2025 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/half Year ended 30th September, 2025....

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you, ~"

Yours faithfully,

For AIA Engineering Limited

S.N. Jetheliya

Company Secretary

Encl.: As above

CIN: L29259GJ1991PLC015182 An 1509001 Certified Company

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"AIA Engineering Limited Q2 and H1 FY'26 Earnings
Conference Call"

November 07, 2025

MANAGEMENT : MR. KUNAL SHAH - EXECUTIVE DIRECTOR ,
CORPORATE AFFAIRS, AIA ENGINEERING LIMITED

MR. SANJAY MAJMUDAR - NON-EXECUTIVE , NON-
INDEPENDENT DIRECTOR, AIA ENGINEERING LIMITED

AIA Engineering Limited
November 07, 2025

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Moderator: Ladies and gentlemen, good day and welcome to AIA Engineering Limited Q2 and H1 FY'26 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Kunal Shah from AIA Engineering Limited. Thank you and over to you, sir.

Kunal Shah: Thank you so much. A very warm welcome to everyone. Good evening, this is Kunal and I have Sanjay Bhai along with me here on the call today.

As I get into, top-line numbers and we will share a little update on the business and then we can get on to Q&A.

I think 2nd Quarter is largely in line with the 1st Quarter of this year. No remarkable financial difference, things look steady state by and large as far as operating numbers are concerned. I will still run through a quick summary, and then we will get on to the business bit of things.

We sold about 63,000 tons for a total of about 123,000 tons for the half year.

That compares to about 120,000 tons that we have done half year, last fiscal year and up from 60,000 tons that we have done 2nd Quarter last year, we have done about 63,000 tons this year, which translated to Rs. 1,029 crores of topline and EBITDA of Rs. 395 crores and profit after tax of Rs. 277 crores for the quarter. So, overall, from a financial number standpoint, the quarter looks largely okay and in line with the previous quarter.

Further breaking up our other income:

The total of which is about Rs. 98 crores, 33 crores of that belongs to foreign exchange and in that sense, it's an operating other income. We also have Rs. 18 crores of export benefits and about Rs. 64 crores of treasury income. So, the total other income is Rs. 98 crores is other income and export benefits, it's about Rs. 18 crores, about Rs. 116 crores of other income for 2nd Quarter of this year. And almost similar to what we earned in the 2nd Quarter last year. Nothing remarkable from a working capital standpoint, all our debtors and stock largely in line with what we have done historically.

From a tonnage standpoint:

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We did 63,000 tons of which about 38,000 tons came from mining and 24 from non-mining.

And again, so there's a small increase in the non-mining bid, mining bid continues to be flat between 2nd Quarter of last year, and slightly up from the 1st Quarter of this year.

Our average realization for the quarter is at Rs. 163. And that reflects product mix. I think raw material costs are largely comparable to the 1st Quarter. So, no large difference between the two.

There are some numbers around power and fuel and other operating metrics where some bit of renewable captive as it gets online there is some implication, but largely comparable from an operational standpoint, nothing that's a large delta change.

From a business standpoint, all things that we have spoken about in the past around work that we are doing with the mines, I think all our efforts continue. There's a very important development that we have shared about a customer in Chile, we are not sharing the name, because the customer would not prefer for us to speak about it on a public platform, but very interesting customer. They have shared a contract that will last over 18 months, and their consumption is going to be variable, because it goes up and down, but our sale per year will vary between 13,000-14,000 to 17,000-18,000 tons, depending on their throughput and other things. So, let's, let's say about 15,000 tons a year is volume that we expect out of that. But more importantly, over and above the win, it is an important en

dorsement, it's a very important customer and it's our first breakthrough or a first win in that important South American market, and first ever customer who's now using hi-chrome for their grinding media. So, it's a big milestone from for us, from a directional standpoint, and an endorsement of all that we are trying to say. Our solution is designed to offer far more benefits than our typical grinding media offering has been historically doing and that includes mid liners and design changes within that and a whole solution engineering that we do. So, we continue to remain very excited. We are digging in our heels and putting in all the effort to make sure we have small wins and hopefully

bigger milestones and good news to share.

I will have Sanjay bhai share a little bit more on it and then we can get to Q&A.

Sanjay Majumdar: So, thanks, Kunal and a very warm welcome and a good evening to all of you.

So, as Kunal indicated, and as we had hinted even during our 1st Quarter call, there is a very, very, I would say a remarkably exciting shift in terms of our approach as a package, what we are now offering, where a very unique liner driven solution where as a package, the liner plus grinding media solution offers very exciting benefits to our end users. We had, so that would very quickly improve the throughput significantly, as well as reduce the power and other operating costs, which makes our solution unique. In a way, it takes us away from doing the risk of pricing and then anti-dumping and all other associated problems.

And more importantly, as Kunal just, we have also made that announcement, we have taken successful trials based on this new approach with quite a few mines. And as we speak now, two
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large mines are also on the trial, very, very important mines, I would say. Plus this recent order that we have won, all of that makes us confident that going forward, we had also indicated that by this year, we may expect some increase in the volume, maybe 5,000-10,000-15,000 tons. But from next year, we are very confident that we should be able to demonstrate year-over-year sustained growth in terms of increase in volume, which has so far been one of the, I would say, a concern areas from the investor standpoint.

I think with this, I think let the house open for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bala Subramania from Arihant Capital. Please go ahead.

Bala Subramania: Good evening, sir. Thank you so much for the opportunities. Sir, like what is the tangible evidence for the conversion pipeline, especially for forced to hi-chrome side? And are you seeing any change in our actual process from mining customers, especially requesting hi-chrome or integrated linear media solutions? Can you say the top three to five conversion opportunities in your pipeline?

Kunal Shah: So, Mr. Bala, one is, of course, as you very rightly said, the proof of pudding is in eating. We have got one major order whose announcement we have made. One Chile, very important customer, where the order size is 18 months is about 22,000 to 23,000 tons and about \$33 million order. That is one straight evidence of a conversion, correct? More importantly, as I said, we have conducted successful trials in about 10 to 12 mines, including in India, very important mines, very important iron ore producing or zinc production mines and overseas in Nigeria, in Ghana, in a few very other important locations where we have seen that the customers get the tangible benefits. Based on that, now currently, we are in trial, very, very advanced stage of trial where in the month of December and in the month of January-February of this fiscal itself, we will start getting the final outcome of those trials. These are very large mines, much bigger than what we have been conducting. S

o, what is going to happen is that over the next 3-4 months, you may come across a couple of other such announcements where this is obviously, plus, please understand our current business is ongoing. As you see from a sales or an EBITDA standpoint or from overall, everything is steady. And this approach, as you might have seen over the last 5-6 years, we have had several issues, both in terms of anti-dumping investigations and a lot of other trade barrier related problems. We believe that this solution takes us away from all those issues and we are working very hard on it. So, beyond that, at this point in time, I am sorry, I am unable to share.

Bala Subramania: Okay, sir. Sir, this new 75,000 ton middle liner capacity, what is the current utilization rate and what is the timeline to reach breakeven and what kind of utilization we may expect in the next 2 to 3 years' time frame? And how does the margin profile of the new rubber composite liners compare to your traditional grinding media? And when we can expect these lines to be materialistic revenue contributors, maybe over the medium term?

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Kunal Shah: I think middle liners, while we have spent and done CAPEX and hence talked about that particular product line, you will have to look at everything that we do as an offering because we are offering a solution. I think the tonnage of middle liner per se is not always important. It's a beachhead for us because that brings in a lot of process improvement. The volume may come from grinding media, right? Because we are selling things as a package. We are trying to sell things as a solution. I think we will give overall guidance and the overall guidance that we give will include all mining parts that we are selling, which will be grinding media and middle liners. And middle liners, when we say that includes rubber liners also. I think it will be difficult for us

to give a product-wise utilization or growth plan in that sense. Like Sanjay bhai said, we are making efforts. The first milestone is there. We will share an overall guidance whenever we believe that we have enough visibility and confidence on that conversion number.

Bala Subramania: Sir, I think overall 4.6 lakh ton per annum capacity, I think we did nearly 1.28 lakh. I think it comes annualized run rate of around 2.6 lakh metric ton that range. It's almost 55%-60% kind of utilization. Post that what kind of utilization we may expect, like 70%-80% kind of rate. And what are the specific projects in terms of CAPEX, whether we focused on deep bottlenecking or new product lines or geographic expansion site. If we get more clarity on that CAPEX, that would be really helpful.

Sanjay Majmudar: Sure. So, first and foremost, you're right at current capacity utilization level around 55%-60%. Please understand it's a mix of various products. So, we have grinding media, we have liners, we have castings, we have a mix of all the products that we give. We give as a combined blended capacity. But two main products, one is casting, which includes liners and everything, tube mill, timber and all other cement, mining liners, etc. And the castings are what we call them as VSMS, that is vertical spindle mill spare parts, the bigger ones. And then there is a grinding media as a mix. We work on a very long term customer acquisition and maintenance basis. So, we have to always make sure that after all the efforts that we put in, and as you explained in the past, it takes me almost two years, more than that in some cases, a little less than that in some cases, to convince the customer that their solution is right. Now, when a customer comes for an audit, our audit, he should never get that feeling that we don't have adequate capacity to take care of his requirements. And therefore, we are always a little ahead in terms of capacity creation. Because that process, even if it is a Brownfield pro

ject today, it takes 1.5 years. If it's a greenfield, it might take 2 years, 3 years, if I have to procure more land and start from the scratch. But on an average, theoretically, I can go up to 70%, 75% 80% utilization. And therefore, we are constantly year-over-year, consciously taking care that we always have some additional capacity available, given the nature of our business and customer relationships.

Bala Subramania: Okay, so what kind of CAPEX numbers, maybe next two years timeframe? This year, we have already guided for a CAPEX of over Rs. 180 crores. We have incurred about Rs. 40 odd crores.

This includes, of course, investment in my new, I mean the subsidiary company MPS, plus my hybrid and renewable solar investment that I am planning to make about Rs. 30 crores in this

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year, plus some maintenance CAPEX, some general CAPEX, etc., plus some investment that we will be making in Ghana and China, that is the new facilities that we are in the process of creating. So, on an average, I think if you want to take an average annual CAPEX, currently, you may take a number of around Rs. 150 crores.

Bala Subramania: Got it, sir.

Sanjay Majmudar: Thank you.

Moderator: Thank you. The next question is from the line of Raman Kerti from Sequent Investments. Please go ahead.

Raman Kerti: Hello, sir. Congratulations on a stable set of numbers, as well as on winning a recent order from Chile. I just want to understand that we recently won a Chile order. Can we expect a volume uptake in the second half of the year? Because it's 18 months order. So, it will be, if my understanding is right, it will be starting to be, you will be starting to execute those orders from this coming quarter?

Sanjay Majmudar: Yes, we expect the offtake to start from Q4 of this year. And it should go on as per the requirement of the customer. But as Kunal explained, on an average, on an annual run rate, you can take around 12,000 to 15,000 tons. So, maybe this quarter, we may ship around 3,000 to 4,000 tons. This quarter means the last one, fourth quarter, we already started production.

Raman Kerti: Okay. And I just want to understand what will be the realization difference when it comes to our average realization, which are around Rs. 163 versus this Chile order? Is it a better realization?

Sanjay Majmudar: It is not comparable for two reasons. We only share the blended average realization number, where if it is grinding media, it has to be on the lower side. If it is castings, if it is liners, it has to be on the higher side. It ranges from Rs. 100-Rs. 110 a kilo all the way up to Rs. 300-Rs. 350 a kilo in terms of my different products. So, this particular order is grinding media, so it will be always on the lower end of the spectrum. And hence, it is not comparable.

Raman Kerti: And sir, with respect to volume growth, what is the volume growth are we expecting in FY'27?

Sanjay Majmudar: So, as I said in the beginning of the call, we believe that from next year onwards, at least 30,000 tons plus annual volume growth is what at the minimum level we are expecting or targeting, I would say. Given the new initiatives that we have taken over last 24 months, 12 to 24 months.

Raman Kerti: So, 30,000 additional, right?

Sanjay Majmudar: Yes, of course, incremental. And that too I want to make a cautionary statement here. We are waiting for the outcome of these couple of more very large, successful orders, and then we will

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really give you a proper volume guidance by the end of this year. But this is the minimum I am talking about, the minimum targeted. It has to happen. This is what we feel.

Raman Kerti: And by when are you planning? When do you expect this, the trial products to be converted into orders?

Sanjay Majmudar: One order will be reaching the final stage of trials around December

end. Another one will be

by Jan end or mid-February. But again, let me tell you, these are not little things where we are working, but these are really most important or extremely, I would say game changer kind of situations where then it can open up a very, very big opportunity, because many people are waiting and watching for the outcome of these trials. At any given point in time already working with 2030 mining sites, but then you have different stages, some of them small, some of them medium. These are the ones which are relevant based on the new approach which we have adopted.

Raman Kerti: Understood. Sir, my final question is with respect to the overseas operation, we have a unit in Ghana as well as China. What's the current capacity, operational capacity, and what's the utilization of those capacities? There is, I think, I don't know where you got that information from. We only announced a plan and an intention to set up plants outside India. We want to be very careful. We will be doing smaller modular plants. And as we stand right now in the process of acquiring land, applying for approvals, we will share a firm plan once we have things on the ground. We have never set up a plant outside India. It's a greenfield facility. We have only announced an intention to set up two plants, and we are working towards strategy to do that. And once we have clarity, we will be revisiting some of those decisions in terms of scale, size, capacity, and we will share that update once we have an absolute firm idea when we start implementing the plant. Till that time, our capacity continues to be in India.

Raman Kerti: So, the entire 4,60,000 tons per annum capacity is in India?

Sanjay Majmudar: Of course.

Raman Kerti: Understood. Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Varun Jain from Dolat Capital. Please go ahead.

Varun Jain: Hi. Good evening, sir. So, I have a couple of questions. So, my first question is that if I look at your H1FY'26 versus H1FY'25 volumes, so in mining there is a minus 2.5% degrowth, but the other segment is growing by almost 10%, 9.7%. So, this is driven by cement or thermal or what?

Kunal Shah: Nothing to read. These are just timing things, my friend. There's no meaningful reason for that. It's just water in the fields that added up to this.

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Varun Jain: And this 10%, will it continue for this entire year, like it was in H1?

Kunal Shah: 250,000 tons, I can't explain for 2,000 tons plus and minus, no? I mean, that will happen. I don't know, between getting an order, producing it, dispatching it, delivering it, invoicing, there are timing differences. Companies have shutdowns, maintenance downtime issues. I mean, all that happens. So, this is just operational plus adjustment between two quarters. Nothing more than that.

Varun Jain: Okay. And the other question is that you have guided on EBITDA margins close to 24%-25% as sustainable. So, Q1, you said product mix was very good. So, you got 29.5%. But even in this quarter, it's close to 28.3%. So, will the margin remain at these elevated levels, at 28% plus levels for the next two quarters also? Or this quarter also has a favorable product mix or something? I can understand your question that things are worse than what I told, 2%. If you have done better margins, I mean, I will let it be at that, right? Our guidance is what we believe we should share with everyone and what we can defend. It continues to be at not even 24. It's 20% to 22% operating margin. We have done better. There are many factors that come to play. We will not be guiding a different number. That is something our performance is up for there.

As a policy, we will not be guiding a profit figure beyond that.

Varun Jain: That is fine if you're not guiding. But can you tell us the reason why in Q2 it was so high, 28.3?

Kunal Shah: Exactly what

you said. There is foreign exchange, there is raw material adjustment, there is transport cost, there is product mix. And it is impossible for us to strip out every single item and keep explaining where. So, it's a combination of those things.

Sanjay Majmudar: So, I will just clarify a few things. See, one, you're right, our margins are good. What we are factoring is that when I go for a significantly higher volume, that volume, when I start getting the orders, so that volume is predominantly going to come from grinding media, correct? So,

today, my product mix is extremely comfortable. So, I have a very high value added, high profit making products also as a part of the mix, which play a dominant role. But when a grinding media plays a dominant role, when my volumes go up sizably, naturally, the average realization and the margins would change. And that is why we are saying that we feel that while our guidance was 2022, on a more optimistic or a more positive note, I feel we have said that around 2024 can look sustainable. We are doing better because we have an extremely favorable product mix. That's the primary reason we are doing very good. But as the product mix changes, this can change. Therefore, in all wisdom, we are saying, please don't factor anything beyond '24 or '25 on a long term basis. Say, when I reach 300,000 tons or 350,000 tons or 400,000 tons, this can definitely change. I can do better, but it's always better to guide or give a picture on a conservative side and then do a little better. And this is the reality of the situation.

Varun Jain: No, I understand, sir. So, I just have a last bookkeeping question. So, in Q2 FY'26, your year-on-year realization has fallen, yet gross margin is up by close to 418 bps. So, is this like some
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one time low cost inventory you had or something? And also in Q2 FY'26, this export incentive has risen very sharply. So, just last two.

Sanjay Majmudar: No, so there are two aspects. One, again, although I may sound boringly repetitive, the fact of the matter is that a quarter over a quarter gross margin movement cannot and will never indicate a sustainable trend. Because, for example, in one particular quarter, say if I have shipped out of that 63,000 tons, if I have shipped 15,000 or 18,000 tons of liners plus castings, the needle can move completely different. In the next quarter, if that number falls to 12,000 tons and my grinding media goes to 40,000, 50,000 tons, again, the needle will change. My more clear suggestion would be, please look at us on a little longish, maybe over an annual basis or a half yearly basis. And then don't try to work out the trend or don't read too much on a particular quarter. Having said that, we are very comfortable. We are profit making. We are generating good cash. Everything is comfortable. We are working very hard on now major breakthroughs. And that can and will definitely make a difference in the times to come. But in a particular quarter, if anything changes, it should not be read as a trendsetter.

Varun Jain: Okay. And sir, just one last question I want to squeeze in. This order which you got from Chile, is that your first ever order from Chile for hi-chrome grinding media?

Sanjay Majmudar: I will tell you. We all know that Chile, Peru, they are very important matrix for from the point of view of copper, gold or the minerals where we are targeting. Correct? So, we have been working on Chile for more than 2-3 years. This is the first major order we got. And the idea was to show that this is a breakthrough. Internally, we are treating this as a breakthrough, because we got that entry into a very tough market on a substantial basis. You get my point? And that becomes a trendsetter, according to us. That also becomes a very important reference point. So, it's not the first order, but it is one of the first major breakthrough orders, I

would put it like that.

Varun Jain: Okay, so above anything above 20,000 metric ton, you would classify as a major order. Am I reading it right?

Sanjay Majmudar: At the board level on the materiality, we had a discussion today, we are working on it, we will probably look at a 15,000 ton plus as a materiality threshold, but we will come back to you.

Varun Jain: Okay, sir. Thank you and all the very best. Thank you. Thank you.

Moderator: Thank you. The next question is from the line of Deepan Shankar from TrustLine PMS. Please go ahead.

Deepan Shankar: Good evening, everyone and thanks a lot for the opportunity. So, firstly, considering there is substantial potential for hi-chrome grinding media for further conversion in the market, what are the key challenges faced by the Company in this kind of conversions? Especially, what is the
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price gap between the source in the grinding media and hi-chrome and how the gap has widened over the past three years?

Sanjay Majmudar: So, my friend, the question that you asked is an extremely pertinent question, which goes to the very core of our activity. So, first and foremost, let me elaborate a few things. I understand that you perhaps have not been tracking us for a very long time. So, what our whole forte is, that this particular market of grinding and crushing in mining, we are focused on gold, copper, and iron. As an opportunity, this is about 2 million-2.5 million tons. Predominantly, the penetration of hi-chrome solution vis-à-vis conventional, forged or other material solutions, the penetration is 25%-30%. So, we are talking about 60%-70% opportunity, which is a million and a half or even more for these three specific ores. Challenges are many. We are in India. So, our solution is not only based on cost savings. That is how we had initially started. The fact of the matter is, as

compared to a forged grinding media or any other material of construction for liners, our solution works in three directions. One, it straightaway saves cost of this consumable part, which is 8% to 10% of this entire mining process cost. Point number one, but that doesn't change the needle because there are multifarious challenges. These mines are extremely powerful, completely decentralized, localized, large operations. Nobody's interested if you go and say that, hey, I am going to save you a few hundred thousand dollars, etc., etc. So, then over the last 7-8 years, we have now made us a very, very formidable force by changing our solution to one, not only on cost saving, but saving on sizably increasing the throughput of the mines for the same or similar cost they are incurring on the same products that they are buying conventionally. So, if, for example, it's a gold mine, where input-output ratios are extremely adverse, if I say that on a \$5 million purchase of my grinding media or liner as a package that I am offering, if I am improving a throughput whose value is 25-30 million in a year, or 50 million in two years, against the 5 or 10 million that he pays me, he's not only saving on the cost of this material, but he's completely changing his equation of the balance sheet. Third, my solution now saves a lot of power cost. These operations, mining operations, are extremely capital-intensive. Our area of focus is grinding and crushing from the SAG mill stage up to primary, tertiary, secondary, tertiary, and beneficiation. These are extremely capital-intensive operations where if I am able to improve throughput, save power cost, my solution goes far beyond cost-saving. And this is what we have earned over a period of the last 3-4-5-6-7 years of very hard work. That is where I am getting a little more confident when I talk that now I am approaching mines not simply saying that I will save you money, but saying that I will improve your entire efficiency and it will be a game-changer for you, and you pa

y me the same price you're anyway paying. This is the reason. But it's a bit complicated. Our mining customers are very difficult people. It takes a very long time for us to convert, but now the opportunity is massive and we believe we are geared to take that opportunity. I think on this call, beyond this, to spend more time on that question would be unfair for the other participants.

Deepan Shankar: Okay, sure sir. And like when we look at these Magotteaux available financial information, for the last two calendar years they were able to grow at 10% to 14%. So, have they gained more
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market share in this or the most of that has only come from the grinding media and not from micro?

Sanjay Majmudar: No, so Magotteaux first, now our competition frankly has moved away and we are still very, very focused on the 4 grinding media players who are, so Magotteaux in their own, so they have multiple plants. Megatox is a very complicated scenario. There are some 14-15 plants in 12-13 locations. Some of them good, some of them not so good. They also have licensee relationships. So, beyond that, we can't comment. But frankly, we are not really focused on Magotteaux as a competition.

Deepan Shankar: Okay. So, lastly, in the last couple of quarters, we have been saying that there is inventory ramped down by large customers, potentially could be 20 to 30,000 tons of volume. So, are we expecting these volumes to come back at least by next year?

Sanjay Majmudar: So, it is not a question of volumes coming back, but our entire focus is on gaining incremental market share and volumes in new set of customers that we are talking. Of course, some of these volumes are bound to come back because now things have settled down quite a bit. But we offer our solutions to several mines across the geographies. And therefore, we are not really worried about one particular geography or rather agnostic if some volumes do not come back the way we anticipate from, say, Brazil or Canada. It's not that needle changer. But yes, overall, we are very focused on the new customer acquisition.

Deepan Shankar: Okay, thank you and all the best.

Sanjay Majmudar: And one point I forgot to mention on Magotteaux, they are also into non hi-chrome, which can be giving more volumes. We are not into that segment at all.

Deepan Shankar: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Priyankar Biswas from JM Financials. Please go ahead.

Priyankar Biswas: Good evening, sir. I heard from the commentary that right now, like, trials are going on at 11 large mines. So, if I look at it like a prospect pipeline, so if on an average, it's something like a 15 KT types opportunity, each one of them, would it be right to assess that it's almost close to a 150 KT type opportunity of all the three, all the 11 mines were to eventually convert to Hi-chrome? Would that be a fair assessment?

Sanjay Majmudar: Sandeep bhai was just trying to answer one gentleman's question where you've been asked in 20 different ways to give some guidance. And we are trying to explain why you're not able to share a guidance, right? Short of a guidance, what work are you doing? We have 10 mines, you're working at it. I think we are doing work at more than 50 mines across the world in different

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stages. There are at least 8 or 10 where we are in advanced stage. There are maybe 10 or 15 where we are collective work that we may be doing, maybe prospecting work, maybe more than 200 to 50,000 tons, correct? But that's at various levels of work and where does it convert? How long does it take? Whether it's a job? I mean, there are plenty of things linked to that. The question is not the opportunity. The question is the larger context in which we operate with as an incumbent. The incumbent has been around for a

long time. The customers are conservative.

It takes time for them to, so all our effort is to make sure that our value proposition becomes better and sharper and more value added. That's what we are doing, right? And which is what finally, and these are things only when we do hard things, do we make the kind of margin that we make. You get it? So, the idea is that for us, these are hard things. These are things where there is no straightforward signaling to say, I will do this amount of growth. And which is where is our business at, right? So, more than 10 mines, I think our prospecting work is far more. And to answer your question, yes, there'll be at least 200,000 to 250,000 tons of prospecting work that we are doing.

Priyankar Biswas: Okay, that's extremely clear. Also, like they say the Copper Belt of Latin America, can you give me a sense of what is the hi-chrome penetration there? The reason I ask is, if it is a very underpenetrated geography for hi-chrome, for example, then we can potentially see a lot of growth. I mean, multi-year types of growth. So, and what sort of...?

Kunal Shah: Except of Brazil, Chile, Peru, which are the large copper producing regions, there is absolutely none. The breakthrough that we did is the first hi-chrome in that region for copper.

Priyankar Biswas: So, Kunal bhai, if this region were eventually to convert, I am not saying it will happen in one year, but let's say in a 4-5 year view. So, what can be the potential levels from this geography?

Kunal Shah: I think the region consumed close to, I think, forge players sell close to 700,000-800,000 tons there. So, I mean, that's the math.

Priyankar Biswas: So, even if we let's say reach a 20% penetration, that will also be a huge market. So, that would be the understanding.

Kunal Shah: Absolutely, you're right. That's what our whole efforts are. Bang on.

Priyankar Biswas: Okay. Very clear. Also, just if I can squeeze in. So, any impact from the tariffs in US so far? Like are the other US customers still taking the volumes? Like how are the volumes trending over there?

Kunal Shah: No. we are continuing selling and the customers are paying the duty. But mind you, this is not the reciprocal tariff. This was the sectoral tariff, which was initially 25% imposed in the month of February against steel and aluminum. And somewhere in May, this was increased to 50%.

Correct. So, customers are paying, they are continuing to pay. There is, of course, some

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negotiation, some slowdown with some customers who are a little reluctant to pay. But we are not barring. We sell only to those customers who pay the tariff.

Priyankar Biswas: Okay. And if I can squeeze just one last one. So, recently, a competitor has bought Molycop. So, do you think that from your business strategy, would it make a significant level of difference, especially in the grinding media or the mid liners as a result, like if Molycop really gets revived in a way? So, what are your views on that?

Kunal Shah: I think we were competing with Molycop for last 7-8-10 years. A Molycorp with \$300 million debt is better or a Molycorp with \$800 million debt is better on a 150 million EBITDA. So, yes, there is some ownership changes. There was a previous owner that tried lots of things to make changes in that. Forged is not our terrain. That's not a product that we operate in. Forged is a product, right? And hence, Molycop's offering is a product. AIA is a solution company. They are selling an alloy-based product. We are doing design engineering on it, and we are ultimately offering a solution that saves significantly more than the investment that they make in our parts. So, to that extent, if a product company has gone through ownership changes, I am not sure how else would we respond to. But there is financial leverage, and that itself doesn't make us feel nervous. Otherwise, we have to

keep doing what we have to do, right? We are staying in our lane and working to make sure that we focus on what we do well and making our offering even more extraordinary as far as value-addition of the customer is concerned.

Priyankar Biswas: So, you are not too worried about it? So, maybe the AIA business will remain as usual? I mean, nothing at all.

Kunal Shah: It's nothing for us. We are just an observer like any other participant in the trade that there's

something that has happened. Good, they will go through their own journey, whatever that means for them, right?

Priyankar Biswas: Yes. Absolutely clear. Thank you so much.

Moderator: Thank you. The next question is from the line of Devang Baid from Bd Enterprises. Please go ahead.

Devang Baid: Sir, majority of the questions have been answered regarding the 4,000 crore-5,000 crore cash we were holding out and we are expecting some good news coming within the next 3 to 4 months maximum, what we are expecting. Now, my only minor question is, because I think so there is a subsidiary company, Welcast, and you have closed down the plant. Any update further on that? Because I don't think so that like I tried to call multiple times on the both the numbers, which was given on the announcement, but not a single number was reachable. So, can you just guide me out with that? Because I am holding some shares on that one also.

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Sanjay Majmudar: So, Devang Bhai, Welcast closure, we already made an announcement that it was not viable for Welcast to continue, given the fact that it was a very old plant. It was a very awkward location and for us to as a shareholder, major shareholder as a holding company to invest anything in Welcast was not making sense. More so, particularly when we have created excellent infrastructure here in Gujarat and so it was more driven by the commercial consideration.

Nothing else.

Devang Baid: So, any plan to like, either the company is going to get it merged out or like because...?

Sanjay Majmudar: No, so as of now, we have not made any such plan. We, in fact, if you remember, a couple of times, we had tried to delist Welcast also, but we did not meet with any success because, I mean, we did not get the adequate number of shares which is statutorily required. But this is where the situation is. As of now, it is a standstill.

Devang Baid: Okay. That is fine, sir. Like, that is all from my side, nothing else. That is fine. Thank you, sir.

Moderator: Thank you. The next question is from the line of Raja Kumar from R K Investment. Please go ahead.

Raja Kumar: Hello. Thank you for the opportunity. Good evening, Sanjay bhai and Kunal bhai. Sir, just two questions. Your standalone profit performance is better than your consolidated performance. So, is it due to some of the subsidiaries not doing well or is it more like you sold the material and the material is remaining unsold in the consol?

Sanjay Majmudar: Mr. Raja, I want to make one thing very, very clear. My subsidiaries are, except for MPS, which is a small design focused subsidiary company that we have recently acquired, all other subsidiaries are fully integral marketing linked subsidiaries. Therefore, you should only look at our consolidated numbers and not my standalone or subsidiary standalone numbers.

Raja Kumar: Okay. Got it, sir. I understand now. Sir, the second question is, I see that note number 8 in your financial statements. You have mentioned that one of the factories has been shut down. So, I just want to know, given that you are expanding, so we have not explored using that capacity for any of the alternate purpose. For any reason, you are shutting down the entity?

Sanjay Majmudar: In one of the, just the previous question, I think that note pertains to the shutdown that we have recently announced of Welcast Steel Plant. As I explained, it's a very old plant, the location in B

angalore in the heart of the city. It was not viable for us to make more investments into Welcast so as to make it operationally viable. And therefore, in the interest of financial prudence, we decided to shut it down. You don't need anything because at the parent level, we have sizable capacities created here.

Raja Kumar: Okay, sir. Thank you so much.

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Moderator: Thank you. The next question is from the line of Lokesh Manik from Dalma Capital. Please go ahead.

Lokesh Manik: Hi. Good evening, Kunal bhai and Sanjay bhai. My question was firstly on the new package solutions you spoke about earlier in the call and how it moves you away from the entire ADD fiasco. So, just clarification here is, is it now the technical description of the product that puts you out of the net or is it the pricing of the combined solution is such that no domestic player can 47:51 start dumping?

Sanjay Majmudar: So, I would put it like this that we are offering this as a complete package where individual items are, rather they become insignificant. So, this package works as a complete total 360 degree solution where we move away from price discussion of a particular product. I mean, at this point in time, I can share only this much.

Lokesh Manik: Fair enough. So, secondly, if you can just give us a sense of what would be the penetration of

this solution in our existing business to as a percentage of total customers and whatever you may want to share, just to get a sense of how we are progressing on that front?

Kunal Shah: Most of our sales will come from solution sales. Most of our sales, going forward, large breakthroughs are linked to these solutions.

Lokesh Manik: So, with the trial runs you spoke about, that are scheduled to be completed in January, would it be a fair assessment that 30%-40% of the business now would be these package solutions that we would be entering in?

Kunal Shah: I think what Sanjay bhai is saying is that important trials are in place. Those trials mean we will do more about it. This is efficacy of hi-chrome grinding media. It's an efficacy for overall solution, right? It's a two-level approach that we have. The first breakthrough for hi-chrome is done, where there is some bit of solution. There is more of solution that we are working on, but these are all, the minute we get into the rabbit hole where there is no answer, right? So, just bear with us. All we are saying is, there is interesting work going on, and once we have clarity, we will share numbers for people to build future guidance on.

Sanjay Majmudar: Just to clarify, when I say a package, it's a unique lining-based solution coupled with linked grinding media, which is offered as a package. So, my product remains the same. It's not something new that I have invented, but it is the efficacy and the solution that I am offering as a package, which is a game-changer. You get the point? So, I make the liner, I make the grinding media, I sell that. But it is linked and it is balanced, which I think, honestly, no other competitor in the world is offering today. This is the uniqueness. And through intense research, innovative designs, a lot of hard work has gone into this.

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Lokesh Manik: Great, sir. Sir, last question was on just the substitute, if I may say, call it a substitute, which is a forged grinding media. Can a competitor we spoke about previously, Molycop, which has been acquired by one of the Indian players and they are pioneers in that new lining space, so, can they also come up with a similar solution or you think that hi-chrome grinding media far outpaces that kind of a solution, even if they were to come up with it?

Sanjay Majmudar: See, in all modesty and not to sound arrogant or anything, very honestly, theoretically, anybody can do a research for 5-10-15 years and try to come up wi

th something. But one Molycop is a predominantly forged player, and we are replacing forged with our solution. Correct? Now, the other Indian player competitors you talked about, they are technically into liners. We are also into metal 51:41__or rubber or composite liners. But what we offer as a unique design and as a combination and with a kind of a guaranteed throughput etc. etc., I don't think they are anywhere near in terms of the capability. Having said that, yes, technically, theoretically they can, but it's going to be very, very difficult. It will take a lot of time, if at all. And I think at this point in time, nobody in the world is offering this. Globally, nobody.

Lokesh Manik: Very heartening to know that. Thank you so much. That's it from my side.

Sanjay Majmudar: Thanks.

Moderator: Thank you. The next question is from Mayank Bhandari from Asian Markets. Please go ahead.

Mayank Bhandari: Thanks for the opportunity. Just one clarification on the gross margin. Are we baking in the lowest steel prices here? And what would be the guidance? Will it improve sequentially from here on?

Sanjay Majmudar: See, our gross margins are around 38% to maybe 39% generally. We always work with a complete pass through kind of a scenario. Currently, for quite some time, the prices are a little soft. Particularly, ferrochrome is quite a bit steady. But if at all, if something, and again it's a function of product mix, as I said. But it's not really something that causes us any concern. There's always a lag of one quarter or two quarters, and we normalize any changes in the cost structure.

Mayank Bhandari: So, we are more dependent on steel or ferrochrome?

Sanjay Majmudar: So, in terms of value, 50% of my raw material cost is ferrochrome and 50% could be scrap. But in terms of quantity almost 70% is scrap and 25%-30% is chrome. And there's absolutely no problem in getting that.

Mayank Bhandari: Okay. And sir, on this hi-chrome thing, I mean, as we go back and touch that, we have a patent towards this product. And we understand that, is there any increased Chinese competition in this hi-chrome market? Or have we seen anything sort of that?

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Sanjay Majmudar: Chinese players are very much present globally also. But I don't think anybody can come really nearer to us in terms of the solution or the advantages that we are offering.

Mayank Bhandari: So, hi-chrome offering is there, but it does not match the exact quality that we offer.

Sanjay Majmudar: Yes, I mean, that hi-chrome product that they offer is more like commodities. What we do is a part of a package solution, which is very unique.

Mayank Bhandari: Okay. Thank you very much.

Sanjay Majmudar: Thank you.

Moderator: Thank you. The next question is from the line of Vipin Goyal from Mirabilis Investment. Please go ahead.

Vipin Goyal: Hi, Kunal bhai, Sanjay bhai. I am Vipin Goel from Mirabilis. Heartening to know about the exclusivity of the bundle solution that you talked about for the two mines. Small question here is, are these two mines, two sites, completely new customers to us? Or is it being done for existing customers where we are pitching them incremental solution?

Kunal Shah: It is for new customers.

Vipin Goyal: Okay.

Kunal Shah: You can run through our last few transcripts, a lot of these questions will get answered. I don't want to take everyone's time on these questions. And we are happy to take questions offline if you still have any.

Vipin Goyal: Great. And sir, just one more on the package solution that, I mean, apart from this, barring these two mines, if I just take the purely based on the Chile order, is it good to assume that as of now, today's visibility, 12,000 to 15,000 incremental volumes are for sure for certain for next year?

Kunal Shah: Exactly. The new order that we got is correct.

Vipin Goyal: Got it. Thank you.

Kunal Shah: Tha

nk you.

Moderator: Thank you. The last question is from the line of Varun Jain from Dolat Capital. Please go ahead.

Varun Jain: Hi, sir. So, just touching upon your previous comments. So, you said that you are a solution oriented company because you have midliner and grinding media. Now, even they have both of these things.

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Sanjay Majmudar: I would not be able to further comment on Molycop.

Varun Jain: Okay. So, they basically had said that they have grown their hi-chrome media from 0 to 62,000 MT in the past couple of years. And they target 200,000 MT. So, they have been growing in the past year. So, can you tell us like where this growth has come from and whether they have taken some market share from you or what?

Kunal Shah: We are not aware about their hi-chrome business. We do not see any hi-chrome from Molycop or from Tega in markets that we operate in. There are lots of comments and things. It's not right for us to comment about it. Today as we speak, they are not affecting my market. We don't compete with them in any other place. I will leave it at that. Right? They have a public commentary, I would rather that you go and clarify those with that. From our standpoint, we have clarified our guidance and the work that we are doing. I think we will keep our questions to that.

Varun Jain: Okay, sir. Thank you and all the best.

Kunal Shah: Thank you so much, guys. Again, we are, like I said, largely our business continues as is. A great milestone for us in terms of our win in Chile. And we hope to build on that in the next few years, create a very sustainable, meaningful presence in South America based on that and hopefully, we will have better news to share in the coming quarters. With that, Sanjay and I will sign off and remain available for any offline questions you may have. Thank you very much and have a good evening. Thank you.

Moderator: Thank you, sir. On behalf of AIA Engineering Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

AIA Engineering Limited

February 2, 2026

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Script Code: 532683

Dear Sir/Madam, To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block - G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

Script Code: AIAENG

Sub: Transcript of the Investors' Conference Call held on January 30, 2026

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Friday, January 30, 2026 to discuss the Unaudited Financial Results and performance of the Company for the Quarter/Nine Months ended 31st December, 2025.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S. N. Jetheliya

Company Secretary

Encl.: As above

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"AIA Engineering Limited

Conference Call"

January 30, 2026

MANAGEMENT : M R. SANJAY MAJMUDAR - NON-EXECUTIVE , NON-INDEPENDENT

DIRECTOR – AIA ENGINEERING LIMITED

M R. KUNAL SHAH – DIRECTOR – CORPORATE AFFAIRS – AIA

ENGINEERING LIMITED

AIA Engineering Limited

January 30, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the AIA Engineering Limited conference call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kunal Shah & Mr. Sanjay Majumdar from AIA Engineering Limited. Thank you, and over to you, sir.

Sanjay Majmudar: Is my line audible? Am I audible?

Moderator: Yes, sir. Now you are loud and clear.

Sanjay Majmudar: So have we started the call?

Moderator: Yes, sir. Go ahead.

Sanjay Majmudar: Yes. So, good afternoon, ladies and gentlemen, and welcome to the Q3 results call of AIA Engineering. I'm Sanjay Majmudar. And as usual, myself and Kunal, we will be taking this call. Unfortunately, Kunal is slightly stuck in traffic, and he will be joining in next 2 to 3 minutes.

So in the interest of the time, I will just, as usual, give a little overview of the Q3 numbers. I'm assuming that you all would have a chance to have a look at the numbers. As you will see in this quarter, we have done around 67,896 tons of production and 64,500 tons of sales. Cumulatively, therefore, till -- for the 9 months' period, this comes to almost 187,000 tons of production and almost a similar tonnage of sales. The overall top line in terms of the operating revenue stood at about INR1,066 crores, and including other nonoperating income, we have reported about INR1,200 crores as the top line.

The reported EBITDA is about INR425 crores, which comes to almost 40%. And the operating EBITDA is around 28% after knocking off the other nonoperating income. We have reported a PAT of about -- we have reported a PAT of about INR294 crores after deducting the minority interest. Correspondingly, for the 9-month period, the EBITDA stood at about INR1,093 crores and the PAT stood at about INR775 crores.

Now if I look at the numbers in retrospect, I have just -- Kunal has just joined. So Kunal, we were just giving the overview of the numbers for the Q3 and 9-month period.

Kunal Shah: Yes. Good afternoon, good evening, everyone. I also have a bad throat, so you're going to hear more of Sanjay Bhai than I have, you will hear of me. This quarter has been relatively a uneventful period.

I think we continue to do more of what we are doing, very little in terms of market or business update. I think it looks to be a year wherein -- or rather a period where there is tremendous amount of instability around us. And possibly the best course of action is to fasten one's seat
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belt and make sure that we survive this period, and we consolidate ourselves and to make sure that we thrive with everything else that we are doing.

Sanjay Majmudar: Just a small correction. The 9 months PAT stood at INR876 crores and the EBITDA stood at INR1,241 crores on a top line of about INR3,153 crores, and the total income of INR3,495 crores. You may continue.

Kunal Shah: Exactly. So for the quarter, we've done about INR294 crores PAT and INR425 crores of EBITDA. So the numbers continue to reflect all the value that we bring to the customers, and all of which forms a basis for what we are doing for new customers within the mining environment -- mining customer base.

Moving on, as far as other income is concerned, the total stood at INR135 crores. There is a reasonable amount of foreign exchange gain as the currency, as we all know, has moved beyond INR90. So there's a INR50 crores of foreign exchange gain. The rest is standard and customary. There's an INR18 crore export benefit.

and there is a treasury income of INR83 crores. So total about INR135

crores of other income.

We are assuming that foreign exchange and the export benefits are operational in the nature that the next year the foreign exchange gain will move into a revenue line item, assuming all our invoicing -- It looks like currency may not appreciate much from here, may continue to slide, as we all know, the Indian rupee vis-a-vis the dollar situation is concerned.

That stood at -- INR67 crores. So there is a marked increase in other income compared to the third quarter last year. I think everything else continues, working capital is in line. From a volume standpoint, volumes still reflect a little bit of issues that we've discussed over this period. So third quarter is at par with the third quarter last year, and 9 months is also similar.

So we are absolutely -- absolutely similar numbers in both these periods. We did 187,800 tons and about 64,500 in this quarter. Otherwise, numbers are comparable within mining and non-mining. While Sanjay bhai will speak a little more about how this forms, what are the basis, and things that we are looking at, broadly, business is as is from everything that we mentioned,

realization is similar. Our cash levels continue to be around INR4,200 crores.

We're not looking at significant capex beyond maintenance and some bits of remaining capex from our casting plant. One highlight was the fact that we've closed our plant in -- closed the plant of our subsidiary in Bangalore called Welcast Steels, and that reflected 24,000 tons of capacity. So we were at 460,000 tons, which was 340,000 of grinding media, 120,000 of nongrinding media. The grinding media now stands reduced by 24,000 tons. So 314,000 tons and 120,000 of castings, taking our total capacity from -- to 436,000 tons.

This year, we'll do current run rate about 250,000 to 260,000 tons. So we are still operating reasonably below full capacity utilization. And our facilities in Ahmedabad, we can look at more capacity as brownfield, plus our plans to go build things outside of India, as discussed in Ghana and China.

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So with that said, even after the plant -- even after that capacity going off stream, it looks to be that we are okay as far as serving our customer base and serving our growth needs are concerned. As far as market is concerned, like I said, just serious amount of uncertainty across the board. Every country is doing things in its own -- trying to protect its own interest.

There is lots of uncertainty around geopolitics with wars being raised in several regions, something that's going on with Iran right now, the Southeast. So shipping lanes continue to be fragile and high wired. So that's also a risk in terms of container availability, shipping line availability, shipping time and of course, the volatility in shipping costs. So having said that, just reflecting back on what are we doing with the customers. So the world is continuing to go put borders, duties, protective measures.

How does a company like AIA thrive and grow? What is the mindset? So we are saying that if that is the world that we live in, which is protectionist in nature, how do we look at our strength vis-a-vis incumbents or competition? And one of the fact is that India remains an extraordinary location for our type of products, which is not just production or hands on the factory, but it is the whole value chain, which is design, pattern making, production, customer interfacing, the whole service and metallurgy aspect, and of course, our production.

The ecosystem that exists in India for these type of products overall and the solutions that we have built on top, give us the confidence that despite what may happen, despite these turbulences that we are seeing on the ground, we all are seeing the serious surge in metals, precious metals, gold and silver, and there is a significant talk about what happens to copper.

And we were reading

about how the world has mined x amount of copper in last -- from -- till the time humanity came, started mining, that amount of copper will needed to be mined in the next 20 years, just to continue a 3% growth rate. So there is just unreal amount of stuff happening. Copper looks to be in a structural bull run.

The world will run out of copper in -- with the way it's projected to be, and copper production is reducing in tonnage standpoint every year, every month, just because of the grade condition.

And it looks like we are one of the only game in town addressing this serious problem.

So we are very excited of all our solution interface and engineering that we are doing in terms of solving those issues, solving those critical challenges for our mining clients, especially gold and copper. And with that said, we have to -- that does not absolve us of overcoming these duties and shipping-related issues or the general overall conservatism that we see with our customers in having to try out different solutions.

All we can do is continue to reinforce our efforts, ensure that our solutions become more and more deeper and bring more value addition to the client, and we are hoping that unlock happens.

We announced our first chrome customer in South America, and that's the first chrome consumer in the mining space. A lot of people then ask us, will that mean 100,000 tons coming up?

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I think our guidance -- we'll continue to extend from our guidance, and we've explained, that's because of the lack of clear signaling from the customers on what means -- liking the product or getting the proof of concept to moving to full commercial engagement. There is a whole lot of steps involved. And we don't want to be in a situation where we go ahead of ourselves. So we'll do the work. We'll see the tonnages coming on, and we'll keep sharing as much as we can, but - - and share as much about the business, but you will have to pardon us for not being able to share volume guidance at this time.

So besides the developments within the win that we had last quarter, we do several trials. We

are working on several trials. A lot of -- some important trials which were -- which we were to get results of last quarter, look to have moved to this quarter, the March quarter, and that's just the way things are at mining end. There is just lot of unpredictable variables that we work with. So trying to say will we see clarity in 3 months, 6 months or 2 years is not also a question that, unfortunately, we'll be able to help.

And we are hoping that the numbers that we have presented and everything else about the business reflects the kind of effort that we are making to bring value.

That's, I think, the singular mission of our work where there is disproportionate value that we try and bring our customers. And that's one of the outcomes there is the financial numbers that we just presented. And hopefully, that will translate into sustainable growth going forward.

With that, I'll have Sanjay bhai, or maybe we can just go into Q&A.

Sanjay Majmudar: Yes. Just to add very quickly, as Kunal mentioned, in the last call we had indicated that some new solution package, solution-oriented trials are going on. I want to say that the trials are progressing positively. Only thing is it is taking a little more time given the complexity and the technicalities involved for us to get the results, but we are positively and quite excitedly working towards it. And that is the reason why in terms of opportunity it remains the same.

I think our uniqueness remains absolutely intact. The trials are going on satisfactorily. So let us hopefully wait and watch till we get the final outcome. With that, I would request the moderator to open the house -- open for Q&A.

Moderator: The first question is from the line of Rita Fernandes from Neo Asset Management. Yes Mr. Fernandes, go wi

th the question please. As there is no response, we'll move to the next.

The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: So sir, I wanted to ask you in your mining volumes which are close to 40,000 MT per quarter how much of it is in India? And how much of that is to -- approximately how much of that is to Hindustan Copper?

Sanjay Majmudar: Sir, we -- Mr. Jain, we don't give client-wise details. But broadly, you can say that if you look at the mining volumes, on an average around 3,000 to 4,000 tons maximum would be from India.

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Rest all will be from outside India, but we'll come back to you. Just give me a moment, and I will look at the numbers. But most of the mining volume is from outside India.

Varun Jain: Yes, yes. No, I understand that. So sir, since in the initial remarks, you were saying that there's a lot of geopolitical uncertainty.

Sanjay Majmudar: Indian -- I would say that annually, the Indian mining run rate would not be more than 10,000 to 12,000 tons a year.

Varun Jain: Yes. But sir, like Hindustan Copper, they have said that they will increase their capacity from 3.5 million metric ton to 12 million metric ton by FY '30-'31. So that represents a big opportunity for AIA. How do you see -- like, will that give us 30,000, 40,000, 50,000 metric ton structural volume increase over the next 5, 6 years?

Sanjay Majmudar: Sir, it is like, if I've been very honest with you, our fundamental focus in mining is actually in the opportunity outside India. The reason is, we are looking at very large, much, much bigger markets like Latin, where between copper and gold we are talking of at least 0.5 million ton kind of an opportunity on which we are working.

Similarly, you look at Australia, similarly you look at some of the other markets, the key other markets being Africa, CIS, et cetera. So my point is that if you look at your sales, coming back to your specific question, mining volume in the domestic market in the third quarter was about 5,000 tons.

And 9-month period the mining volume -- one second, where is the 9 months. Okay. Yes. So on that run rate basis you can say that in 9 months, the volume was about 18,000 tons, in mining, in India.

Varun Jain: So sir, my question was that only sir, then for like 3.5 million MT of Hindustan Copper, if this is like 20,000. So that's a big number, right, for -- if they like quadruple in the next 5 years. So if you can also 3x or 4x these volumes. Do you think that is possible? Specifically, I'm asking for...

Sanjay Majmudar: No, no. So let me give you a very simple perspective. As I said over the previous calls also, we are currently focused on all these markets where the opportunity is significantly large. That doesn't mean that we are not looking at India. So wherever in India there's an opportunity, Hindustan Copper, doubling or tripling the production of copper is something that as and when we move ahead, we will definitely evaluate and see what best we can do.

But as I said, from a growth driver perspective, it is the mining opportunity outside India is where our maximum efforts are concentrated. In fact, for that matter, even iron ore production is going to go up.

So I'm not saying that India is not really a country of focus. But from a global perspective, the opportunity-wise, we are focused on markets which offer much, much bigger opportunity at this
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point in time where we are already being engaged and we are working very aggressively over the last several quarters. We are working in India. We have taken lot of trials in India. We are supplying in India.

That's why if you see my volumes have grown. From quarter-to-quarter, we are currently in the run rate -- in India also, as I shared the numbers. This -- but I'm very clear, the focus is outside India.

Varun Jain: Ok

ay, sir. And my second question was on capex. So FY '26, I think you guided close to INR180 crores, out of which INR105 crores is done. So will balance INR75 crores be done in Q4? And what about this China and Ghana, like any time line on that?

Sanjay Majmudar: I'll tell you. Balance INR75 crores, INR80 crores, around INR30 crores is for our new solar hybrid capacity, which is committed, and which is 100% going to happen in Q4. Plus certain capex -- I would say a realistic number is in the range of about INR50 crores to INR55 crores.

But let us see, we are working on it, for Q4.

Varun Jain: And sir, China and Ghana?

Sanjay Majmudar: China and Ghana, see, we have already -- we are in the process. So land is procured in Ghana. We are awaiting for certain clearances from the government. So that work -- but that is not going to be significant in Q4.

Varun Jain: No, no, sir, not -- I was not asking for Q4. I was asking what is the outlook? Like when is the plant -- when will the plants come up? That was the question.

Sanjay Majmudar: See, we believe, see in China, we have -- in Ghana, we have currently procured the land, done the site development and are awaiting for certain clearances from the government, which I'm expecting to happen in this quarter. If that happens, then over the next 1.5 years we should have the Ghana capex in place. China, we have initiated the process. We have set up a small lab also in China, and we are in the process of evaluating and finalizing the plants. But you can say over the next 1.5 to 2 years, we should have both the facilities in place.

Varun Jain: Okay, sir. And just my last question. So last call you said that 2 large mines were in advanced stages and 10 to 12 others were in medium stages. So what is -- like what is the conversion? And is this mill liner-driven approach working? And what is the mill liner capacity utilization for 9 months and Q3?

Sanjay Majmudar: See, mill liner-based approach is the focus on which we are working right now. As I mentioned -- Kunal mentioned, and myself also, I mentioned in the initial opening remarks on the call that the progress is happening satisfactorily, but it is taking a little time. So we are waiting. There are certain technical matters which we have resolved. And then again, those trials are progressing quite satisfactorily.

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The process has taken maybe 2, 3 more months. So let us wait. There is nothing more that I have to add, but it is continuing.

Varun Jain: And sir, capacity utilization of mill liners?

Sanjay Majmudar: Capacity -- mill liners also, see capacity utilization currently working at around 50%.

Varun Jain: Okay, okay. So this is for 9 months or Q3?

Sanjay Majmudar: 9 months. 9 months.

Moderator: The next question is from the line of Priyankar Biswas from JM Financial.

Priyankar Biswas: So quite a steady quarter, I would say. So my first question is regarding, again, coming back to the trials. So essentially, like for the sort of the large 2 mines that we were on very advanced stages. So we should be expecting the results in the coming 2 to 3 months is what you are saying, right, if I understood it correctly?

Sanjay Majmudar: Correct.

Priyankar Biswas: Okay. And sir, one -- the thing is I wanted to...

Sanjay Majmudar: To be very clear, at least one mine in next 2 to 3 months, the second mine could be maybe 4 to 5 months.

Priyankar Biswas: Okay. That's even clear. Okay. And I also wanted to understand, let's say, how the Forex effect works here. So just for my understanding, so how much, let's say, of your sales currently, like a ballpark amount will also do, like is USD denominated?

The reason I'm asking is like a lot of your costs are INR denominated here. So eventually because

there is a sharp depreciation. So how should we see the realizations, let's say, in a rupee term going forward, like in that sense?

Kunal Shah: Kunal he

re. So, I think 3, 4 aspects to this, and I think we've shared this over currency conversations in the past. We are not -- don't -- we are not an Indian exporter who benefits or loses on account of the dollar change, because generally our -- the -- so first of all, our transactional currency is U.S. dollars.

We are not dealing with -- we are selling to 140 countries, but we are at best dealing with a Canadian dollar or a euro or Australian dollar and the U.S. dollar. So most of it is U.S. dollars. So most of our exports transaction currency is U.S.

dollar, but the importing country generally would have seen a similar change like India has. So when you sell to Australia, when you sell to Brazil, when you sell to all these countries -- and by and large, is the rupee, so if my cost is -- my selling price is INR1,000. At INR80, I was

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selling at, let's say, \$1,200. At INR92, I'm selling at \$1,150 or \$11 whatever the math is. So yes, we do get to keep some difference.

When it's weakening, we do see -- we do get to keep some part of that, right? But by and large, it's a pass-through. So currency for us is a pass-through because it allows us to be more competitive, allows us to be at our optimal best. You get it? So when it appreciates or it depreciates like with raw material, there will be a lead lag effect before it all passes on. But in a way, I don't think you can take our numbers and say currency has gone up 5%, so my margins will go up 5%. Basically, that's what I'm saying. There will be some remnant of a lead lag that will be there for next 2 or 3 quarters. Our endeavor is to make sure that it becomes a cost more rather than a margin conversation.

Priyanka Biswas: Okay. So maybe like what is the relative performance of the other local currencies also comes into the picture. That's what I understand. Also, like since you -- I think I heard during the -- when you were making your opening remarks, so if I heard it correct, like almost INR4,200 crores of cash you have. Now, I believe even this cash, it would also be largely USD denominated? Or is it like a domestic currency?

Kunal Shah: No. Outside of India we only have transactional operating cash, which is less than 10% or 5% of the money there. Most of our investments are in Indian rupees in India, most of it.

Priyanka Biswas: Okay. And just one more question, if I may squeeze in. Recently, we are hearing talks about the EU FTA that has happened, quoted like the mother of all deals. So can you highlight like what sort of tariffs that you -- or duties that you're facing in Europe at present? And so, if that deal translates like over a period of time, would there be any benefit?

Kunal Shah: We don't sell to Hermès, European luxury houses. Our customers are mines and cement plants. And generally, Europe is not a very active player in these fields. So Europe FTA, by and large we are neutral to it. It does not change anything materially for us.

Moderator: The next question is from the line of Devang Shah from DD Enterprise.

Devang Shah: Sir, the main question is currently, if I'm not wrong, we are utilizing the capex utilization -- the capacity utilization is around 75%, right?

Sanjay Majmudar: No, Devang, overall, if you see around 60% to 62%, see plant-wise, it will differ, but around, you can say, average 60% to 65%.

Devang Shah: Okay. So now -- sir, the thing is like if the global markets, the mining business is boosting up currently, what we can see from last 2 quarters, the mining business, the commodities are selling very good at the prices. So is it any, like further -- can you remark us like if the capacity utilization grows up by 75% or 80% or 85%, the EBITDA level what we are posting currently is 27%. So that will also increase or any plan like the capacity utilization to expand more?

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Sanjay Majmud

ar: So Devang, there are 2 different types of questions that you have posed. The first part is are we linked directly to the fortunes of mining industry? So currently, you said that the prices of commodities are on the rise, does it create a separate set of an opportunity for us? Very honestly, we are a little agnostic to the mining industry cycles. What we are focused on is this conversion opportunity.

So just to recap, on the gold, copper and iron, these are the 3 main metals on which we are focused worldwide. Market is huge. Market for consumable is maybe more than 3 million tons.

But the addressable market for me on which I'm focused right now is maybe 1.5 million to maximum 2 million tons. Out that, the penetration is 25%, 30%, 35%, penetration of high chrome-based solutions. So it is this sweet spot of 1 million, 1.5 million tons on which I'm focused for conversion.

Now therefore, when I'm talking to the mines for conversion, I'm talking on 3 aspects. One, I'm saying a very simplistic thing that if you are consuming currently 8% to 10% of your total conversion cost is your consumable wear parts that I'm supplying, because my wear rates are very lower, I will reduce this consumption by 20%, 30%, so that your cost comes down to that extent. That is point number one. More importantly, it is the entire grinding and crushing efficiency in the mining on which I'm focused. Therefore, I'm working on 2 aspects: one, improvement of throughputs.

This is very complicated. We started off with SAG mills. We are currently focused on some very unique ball mill-centric solutions on which we have been talking about over the last 2 quarters, and we are still very excited about it in terms of -- though progress is slightly slow, opportunity is very positive, and it remains in that trajectory. Only thing is a little uncertainty as to what exactly -- when exactly we can start talking about the volume growth, et cetera. That's why we are quiet about it.

That is one. Second is significant reduction in the other operating costs like power, et cetera. So you improve your throughput, you save power costs, and you also incidentally save on certain other consumable costs associated with beneficiation process like cyanide, et cetera.

Our entire focus, therefore, is now a combination of unique liner plus our unique high chrome grinding media going as a package. So my point here is that whether a mining industry cycle is an upside or a downside, the benefit that I'm offering is much, much materially different than anything linked to cycle.

So this is the first leg of your question. And the second part of your question was that whether I will get the benefit of operating leverage. You see currently, we are doing a very decent EBITDA, even at the operating level because of very favorable product mix and a very controlled side of a cost. At this point in time, we haven't done any major exercise. But if theoretically volumes double, then of course, there could be some improvement.

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Having said that, whatever volumes are driving this growth, if it is more of a grinding media, it could be a different issue. So I would say we are refraining from -- any guidance on the margins. We are saying that we are operating at a decent margin, and we want to continue operate at that level. Of course, our guidance per se on an operating side at a much higher volume is actually lower. We are talking of 23%, 24% and not even 27%. But that is actually not a function of operating leverage. It's a function of product mix.

Devang Shah: Okay. So it's -- possibly for next 3, 4 quarters, the capacity utilization will also not increase drastically?

Sanjay Majmudar: I would not want to comment on that, honestly, because if my -- the way I'm working on, if suddenly I get opportunity, I can increase my capacity utilization.

Moderator: The next question is from the line

of Bhavin from SBI Mutual Fund.

Bhavini: Could you give us a bit more flavor on the non-grinding media piece, which is the liners out there, especially if you could give us some -- what was the output on the metal liners and what was the output on the hybrid liners that we've kind of expanded? Where are we in that journey?

And what's the kind of growth we are seeing in that segment of the business?

Kunal Shah: Got it. So Bhavin bhai, I think clear -- the strategy seems to be reasonably clear now on what we are targeting and how we are going about it. As part of that, which is the whole gamut of lining solutions, which becomes an interface so that gold and copper miners can see increased throughput, all of that. That requires us to go through a whole trial journey, right, where we are -- where -- we don't have case studies. There is resistance to doing a grinding media upgrade from forged to chrome, because where there is 0 process change, there is 0 equipment change, it just needs a forged process.

Then the lining conversation becomes a little more -- the challenge quotient increases a little more than just the grinding media conversation. And the good part is there is a whole trial journey, right? So where customers are -- where we are finding customers who are -- who have the most at risk from these issues, which is throughput drop and other things. And so we are in various phases of trials. And like you go into a trial, these are all uncharted projects.

There is learning, there is one more iteration. It could be a design iteration, it could be an alloy interface or it could be the whole solution that we have put together, which includes a few other elements, right? And all 3 put together is what makes it a little uncertain as far as time lines are concerned.

So the answer -- short answer is that our lining -- the whole lining solution that we have now put together, and which we are hoping allows us the breakthrough to sell linings plus grinding media together as a solution is going through very serious trial journey. This is in addition to doing work on the grinding media and the conversion, right, where we are saying -- So liners, we are trying to -- it's easy to fill the factory, and say I've got 30,000 tons more of linings.

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But if that is not part of the solution and I'm just doing what the incumbent is doing, that does not further my goal, right? The goal is not to sell 30,000 tons of more liners and make INR200 crores of more profit. The idea is to sell 100,000 tons of liners plus grinding media as a solution and bring disproportionate benefit. And all of that happens as part of the solution. So that's the medium-term to long-term strategy.

And as part of that, all I have to report is that we are undergoing various trials. We are hoping some which have done well, where we are going to Stage 2, then some where we may have a redesign or a reintervention in one of the 3 things that I said, and the others awaiting either trial, time line or production or supply. So it's within the trial stage as we speak.

Bhavini: Sure. And then what -- if you could give us some indication in terms of the percentage of the volumes coming from miners, and -- basically, we have both the metal as well as the hybrid piece.

Sanjay Majmudar: So Bhavin bhai, as I said, in reflect to a previous question that we are currently operating at a little lower than 50% of our rated installed capacity.

In fact, if you look at rubber and composite, that is a relatively newer capacity that we have created, this is blended. In fact, that particular capacity is still available even at a higher level. What we are trying to say that as soon as this ball mill-related trials are over, there could be a significant uptake in the volumes of liners, which will also drive my grinding media. That is the whole story. You get my point.

Focus is now on valu

e creation rather than just pushing the volume of grinding media. And grinding media pushing is an incidental benefit I will get because of the uniqueness of the solution. So our approach for last 3,4 quarter, we have done this renewed strategy for which we are working very hard. Enough capacity is available. If I have to ramp up, I can easily ramp up further without any difficulty.

Today, it is not a question of capacity utilization. Today is a question of getting that significant breakthroughs, which once that happens, things can turn around dramatically. That's all I think we will say at this point in time. Let's --please give us some more time.

Bhavini: Got it. No. So the other part is -- and please correct me if I'm wrong, South America is the larger producer of the copper globally. And to our understanding, and please correct me, 40% of the end market for grinding media and liners is the South America market, where we have a negligible presence as we speak. And we have got some breakthrough over there.

Now in case we are successful, which we are, then given that the size of the market that is, we will quickly be running short of the capacity. So is that something that is there at the back of the mind that maybe some land, et cetera, has already been acquired, and we can quickly ramp up? This is the best case, while we have -- the last 4 years has been difficult, we understand. But do we also have the ability to pick up very fast in case the South America goes well for us?

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Sanjay Majmudar: I think so. The thing is that with the work that we have done for China and Ghana, right, which is modular plants, a lot of that is quick setup. I -- As we speak, I think our capacity to set up production facilities is reasonably there. Plus we have our plants in Bangalore and Trichy that we can ramp up and put together. So I don't think capacity is going to be a constraint at all. If you are seeing next 50, 70, we will not wait to get to 400, before we start thinking of a new plant, right? In fact, the day we cross 300,000, 330,000 tons, by the time the next 100 comes, we'll have the additional capacity up and about.

So absolutely, we are -- customers, in fact, want to make sure that we've got the capacity that any interruption does not make them suffer around it. So yes, we think about it. And there is a reasonable plan in place to not -- if that good outcome happens, we will -- it will not be because of the lack of capacity that we fall short.

Moderator: The next question is from the line of Varun Jain from Dolat Capital.

Varun Jain: So just piggybacking on the previous questioner's question. Sir, who is your biggest competitor in this mill liner business?

Sanjay Majmudar: Yes, there are 3 or 4 incumbents. There is Elecmetal, there is Bradken, and there's a OEM called Metso and then there is one more company from Indonesia. There are 4 incumbents who do mill linings, but these are all conventional. So there there's no design element. It is just using the design or the spec that came with the mill whenever it must have been installed.

Varun Jain: Okay. And sir, in this, there is no -- like in your grinding media business, you are trying to convert them from, say, forged to high chrome. Here, you are not -- you are supplying metal to metal, composite to composite like that. There is no conversion element in the mill liner business, if I'm understanding it right?

Kunal Shah: There is -- so conversion is not in the alloy side, while that could also be part of the conversation, we are doing our own design. So the conversion, in a way is where we are moving from whatever is the incumbent design to our design. And when I say our design, it also includes certain other elements that together become a solution.

So there is a conversion element if you will -- which is where someone uses a new element from what they are using currently.

So I don't know if you want to call that conversion or not, but we are not per se doing incumbent design and just producing them and supplying that. So whatever work that we look to do will be our design product.

Varun Jain: But the metallurgy is not what you are targeting for the mill liner, right?

Kunal Shah: Generally not. Generally not. No. It is also part of the conversation, but that's not what we are leaning with. In -- You're right, in grinding media, our main stay is to move from forged to chrome, which is a metallurgy conversation. There are other elements. Metallurgy could be one of them.

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Varun Jain: Got it. Got it. And sir, just 2 housekeeping questions. So one is on this U.S. piece. So with the tariffs and all, have you seen any customer drop off?

Kunal Shah: It continues as is, but it's a punishing duty. But for now, the customers are paying and importing the product. Not sure what it means going forward.

Varun Jain: No, sir. I mean it's very commendable that with such high tariffs also they are -- if there's no customer drop off, really shows that your product is very hard to replace for them. And just last question, sir, FY '27, I think in the last quarter con call you had said that you will expect to get back to that 25,000, 30,000 MT volume run rate. So for FY '27-'28, can we build that in, can -- that much?

Sanjay Majmudar: I think so at this point in time. But the bigger issue is not this 25,000, 30,000 tons. The bigger issue is how much we can do as a market share the way we have done in cement, and how we can grow on a medium to long-term. So one is, of course, this year looks flat. But over the last couple of years, we have been struggling on various fronts.

So now this novel solution and the novel package that we are offering, we are looking at something very, very different, radically different than this run rate of 25,000, 30,000 that we are talking about. So I think, yes, that much we are not really worried about that 25,000, 30,000. What we are looking at is something very, very radically different. That's what we are trying to say.

Moderator: The next question is from the line of Vaibhav Shah from Equirus Securities.

Vaibhav Shah: So my first question is on the Chile order. So could you clarify whether the offtake has already been started or is yet to begin? Also, how should we think about the likelihood of this order converting into recurring basis, post the completion of this offtake?

Sanjay Majmudar: Yes, yes. So we have started supply. So Q3 includes supplies to Chile. And of course, it's over 18 months. So that way it will continue, and we are pretty confident that it should continue on a recurring basis.

Vaibhav Shah: Okay. Second question is on, since this is only a grinding media order, so are we also doing trials or discussion with them to expand into package solution going forward? And apart from this, the anticipated 2 or 3 orders in the next 2 quarters, so would they only be grinding media or will it be a package solution?

Kunal Shah: There is no guidance. There is no 2 or 3. I think these are all -- it ultimately gets down to some numbers. Unfortunately, you'll have to pardon us for -- what we are saying is for liners, we are in various stages of trials, right? And for grinding media, again, similar but a different trial journey that goes along, but that includes other discussions around visibility of shipping, costs of shipping, and overall resistance to what is happening.

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So the Chilean customer, today we are focused on the grinding media bit. We're not trying to get into the solution conversation, because the grinding media has its own pathway, right, which is a little different than the solution pathway, right?

So -- and once one becomes successful and becomes tried and tested, then we'll have more strategies

s depending on what is the pain area at the customer. For now, I think the input is more on what we are doing from our side than to give any color on one client, 2 projects, what happens in next 6 months. We really have very little to say about it, and we'll share as those developments happen.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: My first question is, sir, with respect to the current significant rally in gold and copper prices, some of our existing large clients related to gold and copper, are they coming back to you, discussing about increasing the mining output so that in one way, supply is catching up to the rally in these commodities?

Is that happening, something that are you seeing where the customers are saying -- coming back to the drawing board, and saying we want to increase supply. So therefore, you need to supply more grinding media? Is that something which is happening?

Kunal Shah: Ravi, this conversation -- the shortage and the problem is what we are seeing from 3 years. It's reflected in this high rally and it's become public news today, right? This is exactly what we've been saying is the top issue for a miner, for a copper miner, forget the rally and the financial consequence of it.

Like I said in my opening remarks, the world has mined 700 million tons of copper in all its mining history, right, which is all the wires and other things that we have. If the copper consumption grows only at 3%, which is normal world growth rate, you will need another 700 million in next 18 years, okay?

Now you add that with AIA and your data centers, the amount of copper used in a data center is madness, then you have all the transmission for the renewal that comes in, renewables, and all your electronic device consumption, if all of that is growing, there is no copper coming up. There is limited mines coming up, right? New mines take 7, 8, 10 years to come along. They are all in ecologically sensitive environment. There are political issues.

In that sense, there is a clear and present danger that the world cannot produce enough copper. Now, something else will come along, demand goes down, all of these things we don't understand. But the mine -- new mines are not coming up, and the same mine is not able to produce the same volume they did last year. So even before the rally, this was a problem for the miners, because whoever is in the mining space saw the writing on the wall. You get it?

So to that extent, it is a clear and present danger. That does not mean that they are saying -- dropping all their anxiety or the concerns around the new solution and saying let's just try. They

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will apply their normal due diligence and protection measures to contain the risk out of this solution. But whoever we are talking to is absolutely very interested and fearful of making a change. And that's the dichotomy that we'll have to live with, right?

Sanjay Majmudar: So just to add, Ravi, very important aspect of our solution is the fact that if you look at the key mines where we are working, some of the major ones, we can't name them, they have a history of last 3 years where, because of the depleting quality of the ore, their output is, in fact, going down rather than going up.

One of our value propositions is that if you use our solution, without incurring major capex, we will be able to improve your throughput, and therefore, allow you to maintain your output.

Majorly when they cater new and mine new, if they get any new lease, so we will be there as a part of the long-term solution. But currently, it is helping them solve this key concern, and helping them reduce their cost and improving their throughput is what our focus.

Ravi Swaminathan: Understood. And sir, second question with respect to the volumes that we had lost, some -- close to around 40,000, 50,000 tons

related to the geographies over the past 5, 6 years, that is South Africa, Canada and Brazil due to the duties, et cetera. How much of it would we have recovered? And how much more potential is there in terms of recovery?

Kunal Shah: How much more potential for...?

Ravi Swaminathan: No, no, the volumes that we have lost in South Africa, et cetera.

Sanjay Majmudar: There is no recovery in South Africa at this point of time.

Kunal Shah: I mean, listen, these are all protective measures. That's not -- it's a little speculative to imagine regime changes, duty changes. It is what it is. We have to move forward from here, and focus on what we can action on. I mean, any recovery of volume is linked to changes in duty structures,

and that's something that I think are here to stay.

So, I mean, we have stopped agonizing and speculating on when it will happen. We have to create a solution that will survive even that. I think that's the message that we are internally taking away and working on.

Ravi Swaminathan: Okay. So out of that 50,000 tons of lost volumes, not much would have been recovered is the way we should look at...?

Kunal Shah: No, no, no. The total volume lost would be in excess of 75,000, 80,000 tons. We would have been -- was there no duty protectionist measures that the world has put up over the last 5, 7 years, that 80,000 tons of volume is overall that we have lost on duty measures. So that's what it is.

Ravi Swaminathan: Understood sir.

Kunal Shah: I'm only happy to report that my profits have gone from INR600 crores to INR1,100 crores, despite losing 30% of my volume.

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Sanjay Majmudar: No, we have gained elsewhere no. There is a replacement, compensation.

Ravi Swaminathan: Compensation in the sense, you're talking about volume...

Sanjay Majmudar: See, 60,000, 70,000 tons of volume loss is replaced by the new mines or the additional orders that we have got, that is how we have maintained a flat trajectory or a marginal growth. You get my point? That's what I was trying to hint at.

Ravi Swaminathan: Understood. But the steady cut in duties that we have seen in certain countries like Brazil, et cetera, has this helped in you able to negotiate with the client and tell that please get back the -- please give back the volumes. Has that happened?

Kunal Shah: Not really. I think, like I said, let's -- for wherever there is duty, let the country be, right? That's something that there's enough for us to continue where some of these barriers are lower, and we continue to work with that.

Even in duty impacted areas, if my solution can prevail. But would I rather work on where there is -- the duty barrier is lower, where there is an opportunity or should I go to the last bastion where there is an additional challenge for a duty cost impact, right?

Ravi Swaminathan: Understood sir. Got it.

Moderator: The next question is from SP from AB & Company.

SP: Sir, we have a subsidiary by the name Welcast Steels. So what is the future of that company, considering that the plant is closed now?

Sanjay Majmudar: No sir. See, we have closed that plant, and we have also made disclosures on the Stock Exchanges. The reason is it was a fairly old plant, and we had created significant alternate capacities in our Ahmedabad facility. Correct? So it was not viable for us to invest heavily into that plant and to make it operational, and therefore, we have closed it.

So closure of that plant at this point in time, there is no plan to reopen it. So you can treat that particular thing as done and dusted. Having said that, today -- and if you remember couple of times, we tried to delist Welcast also being a listed company, but it could not be successfully done. So right now, currently, we have reduced all the operational expenses to the bare minimum. And we will see as we move forward how to deal with it.

SP: Sir, why was the subsidiary acqui-

ired in the first instance...

Sanjay Majmudar: No. That was done before 25 years. When we did not have adequate capacity, we had acquired it even before AIA started setting up expansion projects in Moraiya and Kerala. You get my point? So this is the history. Welcast was with me even before AIA went public.

SP: Okay. All the best, sir.

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Sanjay Majmudar: It was when we severed our relationship, and we severed the JV, and we wanted some capacities quickly for southern markets. We got this opportunity as a listed company, previously owned by Times of India family. It's a long history, sir.

Unknown :: Okay. And all the best. Yes.

Moderator: As there are no further questions from the participants, I would now hand the conference over to the Management for the closing comments. Over to you, sir.

Kunal Shah: Yes. Thank you so much. As always, Sanjay Bhai and I remain for any follow-on questions offline. Wish you a very good evening -- rest of the evening, and look to connect with you at the end of our fourth quarter numbers. Thank you.

Sanjay Majmudar: Thank you.

Moderator: Thank you. On behalf of AIA Engineering Limited, that concludes this conference. Thank you

for joining us, and you may now disconnect your lines.

Call: May 2026

AIA Engineering Limited

May 29, 2026

To,

The Manager (Listing),

The BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Script Code: 532683

Dear Sir/Madam, To,

The Manager (Listing),

National Stock Exchange of India Limited

"Exchange Plaza", C-1, Block - G,

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

Script Code: AIAENG

Sub: Transcript of the Investors' Conference Call held on May 26, 2026

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held between the Company and Investors on Tuesday, May 26, 2026 to discuss the Audited Financial Results and performance of the Company for the Quarter/Year ended 31st March, 2026.

The aforesaid transcript is also being hosted on the website of the Company, www.aiaengineering.com in accordance with the Regulation 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For AIA Engineering Limited

S. N. Jetheliya

Company Secretary

Encl.: As above

CIN: L29259GJ1991PLC015182 An ISO 9001 Certified Company

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"AIA Engineering Limited

Post Results Conference Call"

May 26, 2026

MANAGEMENT : MR. SANJAY MAJMUDAR – NON-EXECUTIVE AND NON-
INDEPENDENT DIRECTOR – AIA ENGINEERING
LIMITED

M R. KUNAL SHAH – EXECUTIVE DIRECTOR –
CORPORATE AFFAIRS – AIA ENGINEERING LIMITED

AIA Engineering Limited

May 26, 2026

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Moderator: Good evening, ladies and gentlemen. Thank you for standing by. This is Darwin the moderator

for your call today. Welcome to the Post Results Conference call of AIA Engineering Limited. We have with us today the management team of AIA Engineering Limited. At this moment, all participants are in the listen-only mode, later we will conduct a question and answer session at that time. If you have a question, you may press star and one.

I would now like to turn the conference over to AIA Engineering management team, Mr. Kunal Shah and Mr. Sanjay Majmudar. Thank you, and over to you, sir.

Kunal Shah: Thank you so much. A very warm welcome to all of you. This is Kunal and I have Sanjay bhai here with me on the call. I think this quarter is business as usual. There are a few highlights that I would like to discuss. But generally speaking, nothing of note that is different from all that we have spoken about last quarter.

I will start with a quick recap of numbers, and then we can get into Q&A. We've done 70,000 tons of sales for the quarter for a full year sales of 258,000 tons, largely flat from full year last year, which was 255,000 tons and compared to 68,000 odd tons in the fourth quarter last year. There is it has translated to INR1,251 crores of top line for the quarter. And INR4,355 crores for the full year.

EBITDA of INR502 crores for the quarter. And INR1,744 crores for the full year translating into a profit after tax of INR393 crores and a full year profit after tax of INR1,270 crores. This quarter, I think, has been the highest ever profit after tax EBITDA for the company and we are very happy to report numbers where in a period of serious macro uncertainty serious macro headwinds.

And this is -- a lot of these outcomes are linked to a lot of efforts that we are bringing to our customers ultimately to improve their operations, right? So that is one aspect of it. Of course, there is a benefit that accrued on account of currency. There is INR65 crores currency that's sitting in the EBITDA for this quarter and which is about 4% or 5% in EBITDA or operating margins coming from the currency as other income.

Of course, if the currency remains at this level, then it will translate into the rupee realization.

So moving on our total other income for the quarter is INR132 crores and INR474 crores for the whole quarter -- for the whole year. INR15 crores comes from export benefits business as usual treasury income of INR67 crores, again linked to our treasury business as usual and a foreign exchange gain of INR65 crores, INR64.47 crores, which is linked to the rupee depreciation.

We also had a higher amount of sales of castings in this period. So the combination of the rupee weakening income on account of currency and the product mix has translated to a realization per kilogram of about INR178 for the quarter, but for the full year remains at INR165.

So I think the next set of questions would be what does this quarter mean? How do I apportion for the rest of the year? I think this quarter has this one-off in terms of currency and the product mix one can consider it as a business as usual realization for the full year. Moving on, I think AIA Engineering Limited

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working capital at par with what we have done. Tonnage at 70 includes about 45 from mining and 25 from non-mining and for the year, INR258 crores about INR160 crores comes from mining and the rest comes from non-mining.

With that said, total cash -- net cash is about INR4,300 crores. We spent about INR130 crores on capex. This year, other than our investments in Ghana and China which as we speak are under paperwork approval procedures, there is no spend have done. I also do not have an estimate of how much we will spend on the plants because that depends on how much will be spend this year because as we speak, they are in

I think, a WIP status as far as just getting everything else around it put together.

I hope in a quarter or two, I have more updates on what's going on with those two plants. But for other than capex that we may do in plants outside of India, for India, total outflow of between INR60 crores and INR100 crores on all sorts of maintenance capex that we need for our plants, balancing equipment upgradation, cost saving initiatives, etcetera and some investment to finish out our renewable portfolio.

After which I think we're going to spend about INR30 crores that's balance on that. The renewable about 60% of our power or 65% of our power once that comes online, which is by June or July will come from renewable sources. Of course, it's a cost saving, but it's also renewable footprint for our power resources.

So total, we don't expect more than between INR100 crores and INR150 crores of outflow on accounts of maintenance capex and the renewable balancing investment left for the renewable part. One important -- so from a market standpoint, the macro headwinds all of us are aware about. But just to reiterate, there is extreme uncertainty as far as global shipping is concerned. There is -- just bizarre events happening where prices are volatile, availability is volatile and customers' anxiety around global shipping. So, shipping remains to be a proxy for global

geopolitical uncertainty and hence, the shipping uncertainty and that plays a role where people are -- customers that migrate to our solution will be exposed to the global supply chain. That's something that we have to take in our stride.

We are hoping world will normalize, if not today in a few months' time, and it will get back to business as usual, but that is an impediment today. Other than that, there is where every country is going back to bringing borders on. We have seen duty measures. We've seen antidumping measures.

We've seen Trump and U.S. bringing measures to protect local industry. I think every country is going to look for their own interest cost. And to that extent, protection is measures are, I think, for us, a business as usual situation and we are creating strategies that allow us to grow on a sustainable basis, taking that in our stride.

One of the updates from a business standpoint, I think from a product and a solution standpoint is that a lot of people are asking us about what's happening on the market, what are we doing and we've been speaking about it. But we would like to share a little more color on a specific aspect of our solution engineering, which is linked to the discharge system.

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So, when you have these grinding mills, you've got grinding media, you've got linings and then you've got linings at the discharge end. And that -- we are calling it new generation discharge system. That's part of our overall solution. But we had a big breakthrough last month where one of a very marquee customer we implemented our solution of the discharge system which is the linings and the solution linked to the discharge system.

And it brought in material benefits, which is throughput improvement power reduction. And in a larger-size mill where the operating conditions are significantly abusive in a sense of the amount of material that's being handled every hour and the kind of impact conditions inside. And over 2 years, we work with that customers gets sharpening and refining our solution, doing multiple rounds of supply. And finally, we've gotten that customer -- we've gotten that win for the customer, right? We've gotten that important unlock for that one customer in South America where all these benefits have accrued.

And that just reinforces the conversation that we were doing that as we progress to a solution offering, which is grinding media linings and when I say linings, it includes these solutions around discharge systems where there is a material

benefit for the customer, which is throughput

and which is an important problem at the mine site, which is where grade of ore is worsening in the metal output is falling, in which situation this unlock where better throughput actually solves that critical bottleneck for the customers.

We've gotten this important win. I will caveat it to say that this is -- it is in a direction. So a few quarters back, we spoke about our first customer where we got a 15,000 ton order for an important mine in South America. Now we've got a lining win where the proof of concept in terms of all that we have been speaking about has come through.

I think it is all moving in a direction where solutions that AIA is providing will have disproportionate benefit for the customer or rather play a role in solving the top 2 or 3 bottleneck, which is worsening ore grades, which is falling metal output, power consumption the saving in the power first footprint.

The recovery that comes from the copper or gold recovery that comes out from the ore, thanks to the down-process benefits. I think all of that is now coming together. And we are hoping these solutions ultimately allow for the unlock, which is for a larger quantity of orders as a combination of linings and dining media.

I still don't have an answer on what will happen. Please help us with not asking specifics on this quarter, next quarter or next year. I think there is a large market. 800,000 to 1 million ton market for gold and copper and all mines facing critical issues. And we have a solution that we allow - - that will allow them to unlock and allow them to overcome some of these critical issues and unlock growth for us.

So keeping that caveat in mind, we are happy to share this updates that there was an important win in terms of proof of concept of our solution. With that said, I will have Sanjay bhai share his comments from last few quarters and the Board meeting today, and then we'll get into Q&A.

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Sanjay Majmudar: So, thank you, Kunal, and a very, very warm welcome to all of you and a very good evening to all of you. As Kunal explained, what has happened is, as you know, we have been over the last

few calls talking about these trials that are going on in some very large mines. So the one that we have spoken about is a successful outcome of that one of the critical trials. It is very important because that establishes the efficacy of the solution that we have been talking about in a very novel way, where I believe AIA is the only company in the world which is offering this solution for ball mills, apart from the segment solutions that we were offering earlier. And ball mill is an area of concern for all these mines. Two things: ore quality getting depleted, ore becoming harder.

So even for maintenance, particularly in the metal categories like gold and copper, this was very challenging. We believe today what we have now announced what Kunal has announced that this trial success has been sort of watched quite eagerly by large mines worldwide. And I think that can pave way for a systematic and long-term journey for AIA.

Of course, many challenges have been there over the last few quarters, people have been asking. But now with the solution being there, we felt it appropriate to at least share that this is what has happened, which is very encouraging. And internally, we remain very buoyant and confident about medium to long-term very, very strong growth prospects.

So, with this, I would request the moderator to open the call for Q&A.

Moderator: Thank you very much. Our first question comes from Varun Jain from Dolat Capital. Please go ahead.

Varun Jain: Good evening, Kunal bhai. Good evening, Sanjay bhai. So, congratulations on a good set of numbers and on the mine conversion. So just on that, so this mine conversion, what is the sustainable volume it will add every year to AIA

?

Sanjay Majmudar: So Varun, as we said, the current trial was based on a combination of lining system plus the new generation discharge system. The whole approach that we had adopted over the last 1.5 to 2 years was to take the clients away from discussion on the pricing, which was already and always creating headaches about antidumping and all those issues and create a system whereby the mining efficiency and the mining output and their operating costs can be effectively significantly altered.

So, I think what we are now currently envisaging is that it's too early for us to give you any clear-cut idea about X volume, Y volume. What is important is that with this success, the addressable market which is very huge becomes very closely and immediately reachable. It takes time. I can't just tell you that today, I will get X number of orders. But very important, the same client was very happy.

And we have now got a very, very strong reference point where large mines in the world would be eagerly talking. Again, as I repeat, the strategy is to talk about the solution based on this lining and the discharge system radically make their problem solved. And then as a corollary, automatically also talk about grinding media, which is a high-volume business.

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So, this is just a strategic shift. Volume growth will come, should come. Let us wait for a while and let us see how it assimilates. But what was very encouraging what we have shared. So at this point in time, we feel it's a little premature to give you any volume guidance, but a very positive thing has happened, which we wanted to share.

Varun Jain: Okay, sir. And sir, this customer, this is -- I'm assuming this is a Chilean copper mine. Is that understanding right? And on that, we were hearing that there are some reports that the...

Sanjay Majmudar: Let us confine it to one of the very large mines based out of South Africa -- South America, sorry.

Varun Jain: Okay. Okay. And on that only, sir, in South America, we are hearing that there is a sulfuric acid shortage because of which some smelting operations in copper mines have stopped. So are you also facing any issues like that?

Sanjay Majmudar: No, no. Nothing of the sort. See, we are talking of a very large headroom correct. We are not saturated in terms of conversions, but we are talking of a very large headroom. Some momentary sulfuric acid shortage doesn't affect us in any manner at all in as much as this endeavor is going on.

Varun Jain: Okay, sir. And sir, on the realization, so this quarter, you had the highest ever realization. It's crossed INR180 per kg. So sir -- and you said that it's not sustainable. You're guiding INR155. So, assuming...

Sanjay Majmudar: INR165 is the -- if you see the annual average, it is INR165 and that's thereabouts. You see what happens is the function of product mix. So last quarter, we had a very heavy tilting in favor of more value-added casting and therefore, this shift plus the rupee depreciation also has a mild impact, partial impact on that. But I think a sustainable figure is INR165 and thereabouts as Kunal explained.

Varun Jain: Yes. So sir, my question on that was that since this conversion you said is like a mill liner plus

grinding media and further conversions will also...

Sanjay Majmudar: It is not grinding media.

Kunal Shah: Sorry, the point is that going forward, as we model the product mix, you can consider INR165 as the realization.

Varun Jain: No, no sir. My question was that since it's not a grinding media, it's mill liner, so then structurally the realization should be higher only, not because these are...

Sanjay Majmudar: You are right, you are right. But the plan is to sell grinding media right? It is not to sell just liners or non-grinding media. Both will grow in proportion, which is why consider INR165 right now.

Varun Jain: Okay. Okay. And sir, in Q4, your tax

rate was much lower, like close to 16% or so. So why was that?

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Sanjay Majmudar: Sir, first, Q4 was the final adjustment of the tax for the whole year minus already provided for.

That is the first time answer. Second answer, this year overall for the whole year tax rate is couple of percentage points lower because of 2 reasons. One, there was a what do I say a refund -- a significant refund that came in one of our subsidiaries, almost INR15 crore.

Second, another factor is that in one of the other subsidiaries, we have also provided for what we call as a deferred tax asset because of a reversal that we are getting in the current year. You consider it as 22% effectively.

Kunal Shah: There is a one-off in this quarter linked to other adjustments, reversals, provisions, etcetera, where there is a INR25 crore, INR30 crore tax lower than what it should be.

Varun Jain: Okay. And sir last question from my side, sir, what was the mill liner utilization for metallic and composite? And what is the minimum volume growth guidance for FY '27?

Sanjay Majmudar: We are not giving any specific numbers about metallic or composite. We are doing -- we have a good traction on the mill liners. We will only talk about the overall volumes. But please understand, as I said, one of the key trials where we were very anxious has become successful. So, there are good things likely to come. Let us wait for a while.

Varun Jain: Okay sir. Thank you and all the best.

Moderator: Thank you. Our next question is from the line of Ankur Periwal with Axis Capital. Please go ahead.

Ankur Periwal: Yes. Hi, Sanjay bhai. Hi, Kunal bhai. Thank you and Congratulation for the new client win there. So first question, while you are not disclosing from a volume growth perspective, have we got any initial orders from this customer given that year-end order book is much higher than what it used to be last year. So, from that perspective, have we got any?

Sanjay Majmudar: No, no. So after the successful trial in one of their mines, they have immediately also given us the order for the second mine conversion. That's all I can share at this point in time. See, we are under very strict confidentiality clauses you must appreciate.

Ankur Periwal: Sure, sir. No worries on that. And just a follow-up on that. What is the capacity utilization here for us both in mining as well as in grinding media?

Sanjay Majmudar: Current capacity utilization this year is about 55% overall.

Ankur Periwal: Okay. But there will be higher demand for castings here for this client, right? So has there been a jump in that numbers in castings?

Sanjay Majmudar: Castings production has gone up, but still, we have enough capacities to cater to the expected increasing volumes that might come over the next couple of years. And as you know, as per our policy, we always move a couple of years in advance. So as and when we see the traction coming.

We have enough wherewithal to quickly.

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Currently, whatever 4,36,000 tons capacity, in front of that 2,58,000 tons our production is done.

We can go up to 70%-75% utilization. As and when the utilization improves, we will also keep on adding incremental capacity. That is where, at this point in time, Ghana as well as China are on a bit slowdown mode. However, we can accelerate as and when needed.

Ankur Periwal: Great sir. That's helpful. And just lastly, if you can help with the update on the ADD, the custom duties, etcetera, which is going on in multiple countries. Any changes there and any demand uptake because of that?

Sanjay Majmudar: Status quo continues, as is.

Ankur Periwal: Okay, sure. That is, it from my side, sir. Thank you and all the best.

Management: Thank you.

Moderator: Thank you. Our next question comes from the line of Devang Shah with Ant Financial. Please

go ahead.

Devang Shah: Yes. Hi

, sir. Congratulations for the good set of numbers.

Sanjay Majmudar: Thank you.

Devang Shah: My major query is if China and Ghana is slowing down, sir, geopolitical tensions are going to be there for next 1 or 2 quarters. If we imagine that thing, if we expect that thing, then is it okay to again, our company will quarterly post an operating profit margin of about 23% or something like that?

Sanjay Majmudar: No, no...

Devang Shah: That will be difficult to sustain?

Sanjay Majmudar: No, no. I think you have mixed up 2 things. One, currently over the last couple of quarters we have been putting our full force, I would say, over the last 1 year on this new solution and the new system on which we are now offering the global mining customers something unique on the platter, correct?

So, when we say that China and Ghana are slowing down, we don't mean to say that we have shelved them. What we have said now that the focus is clearer, we will once again take a call and start accelerating that, point number one. So that has nothing to do with my margin. Okay. I have an operating margin even today. If you see my operating margin after excluding other income is about 28%, 29%.

What we are saying in the past, that as and when the volume grows, as and when the product mix grows and more and more grinding media is sold, because that product mix is bound to then tilt in favor of grinding media as a large volume giving proposition. Then the operating margins in absolute numbers will grow, but as a percentage can come down in the range of 26%-24%.

This is what we were explained. There is nothing related to Ghana and...

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Devang Shah: Okay sir. Got it, sir. The major -- the other thing is, as from 3 or 4 quarters, like we're expecting the capacity utilization is going between 55%, 60%, 65%. So is it -- at this continuation capacity utilization, aren't we facing like in further going forward, aren't we going to feel the pressure?

Sanjay Majmudar: What sort of pressure my friend? I mean...

Devang Shah: Like for the shortage of...

Sanjay Majmudar: No, no. So I explained in the earlier question that current 55% utilization, I can go up to 70%-75%. So I can go from 1 lakh tons, 2.5 lakh tons to 3.5 lakhs tons easily. within the available capacity. Okay. Now, this is not an automatic line item which just increases.

So as soon as we start getting the traction, we have paused our one brownfield expansion in GIDC, Kerala which is nearer to Ahmedabad, not your south Kerala. Tso that I can do immediately. So in 6 months to 1 year -- I can further push another 50,000-75,000 tons.

I have enough of land plus infrastructure available. So we'll see as we go ahead. Simultaneously, 100,000 tons capacity which we were planning between Ghana and China. For Ghana, land and location is finalized so if more 50,000 tons I want to put, I can do that Sir, we never face a capacity shortage.

Devang Shah: Okay. And sir, any plans to further usage of the reserves are there on the books? Is it like our last con call, it was about some takeover was there or something like buyout was there or something like that. Are we on that track only or we are not?

Sanjay Majmudar: No, no, I don't think we have ever talked about any takeover or buyout. So I think there's some confusion here. What we have said we are conservatively, we have been maintaining a fairly high level of cash.

We have said that till we reach optimum positioning in terms of what efficacy of our solution and stability that we want to bring in as a consistent growth and clear direction we want to carry a little extra cash with us. As soon as we reach that, we will think of other avenues of reducing that cash. But at this point in time, there is absolutely no such announcement, which please note.

Devang Shah: Okay, that's fine. That's all from my side. All the best. Thank you, sir.

Moderator: Thank you. Our

next question comes from the line of Priyankar Biswas with JM Financial.

Please go ahead.

Priyankar Biswas: Congratulations, Kunal and Sanjay bhai. So particularly, I would say the conversion itself was a great news. So just coming back on that. So can you provide me some color like this sort of large conversions, how should we look at the pipeline, let's say, if I have to take like a 2, 3-year views? And based on that, let's say, like today, we have a mining volume of something like 160 KT, right, for FY26. So, let's say, by FY29 or FY30, where are we aspiring to be?

Kunal Shah: I think the first part is that what we're trying to speak of is that the goal has shifted from just selling grinding media to selling a package or a solution which is linked to a disproportionate

all of that becomes far insignificant versus just a commodity supply, right, or just a product transaction of supply.

That is the endeavor. How do we retool the company or how do we tool the company to survive next 50 years with a clear moat and the moat comes from a sticky offering and the offering comes from engineering and engineering comes from the solution.

So that's the pathway for us. So, this is the point is that in a mill which is handling a few thousand tons of ore per hour to be able to create this level of impact is something that has been painful lot of learning, but has happened.

Now the question is -- and that's what my opening line was or introduction to this point was that, I can't today convert it into goals and outcomes. So, if I'm saying there is 800,000 tons to 1 million tons of ore market today and let's say, 100,000 or 150,000 tons of mining market.

That is a significant market in South America that -- where we are now pursuing with a very strategic intent, right. That here is the goal, here is the tactics. And once this traction is found, it is -- I don't think there is an answer because we've seen this in cement in the past where in 5 years, a large part of the incumbent got converted to pro. You've seen this in platinum in South Africa. We've seen this with iron ore, let's say, 15, 17 years ago.

So, we are hoping that once a critical mass is reached as far as references is concerned and the solution has been tried by a few people, the adoption should be fast. Now that does not mean it will happen in 2 years, 4 years, 20 years, right? We really don't have an answer over there. We are sharing what we are doing from our standpoint. You guys have far better networks in references to go speak about where -- what we are saying, what does it mean in the scheme of things.

So, I think it's a long-winded answer. The short answer is we don't know, right? We hope that what we're doing with 1 or 2 or 5 mills, and we've done this for other size smaller, medium-sized mills, maybe 15 other mills, right? This is one larger one that we've done in the area. We are hoping that this gives us predictable growth going forward.

But you'll have to allow us a few more quarters or we keep updating as more information gets clear. If I share anything now, it is more coming from an answer that is unsupported by ground reality or signals from the market that I can build on.

Priyankar Biswas: Okay, Kunal bhai that's a very clear. Maybe we can refer back to, let's say, when you did this large-scale cement conversion. So, I see over FY2006 to FY2010 where your volumes almost literally doubled in a span of 5 years, maybe take that as an approximate. But coming back, so I think this technology you had developed almost like 6 years back, if I recall correctly, this...

Kunal Shah: There is a discharge system that we are seeing. So, the whole bit has been a 10-year journey, but the whole mining conversation in the form and shape, because the solution is the old concept

, we've been doing for cement, right? The mill linings kept coming in 5, 6 years ago. The down process for grinding media has been -- we've been doing that from 2017, 2018, 2019. So, that's been around for 5, 6 years.

But the discharge system has changed the whole conversation that is last 2 years, last -- not even 2 years, right? So, what we have been saying lining systems includes this additional element which is part of the lining offering, but it's a very different shape and form than what we were talking about 18 months ago. This is a very recent development, and that it's built on all the knowledge. It is not a standalone plug-and-play that something came up and we are now talking about it.

It's a journey where we discovered while we were solving for something else, we realized the bigger problem. We realized we have an engineering capability to design a solution on top of that. And that's what I think excites us the most because that ultimately forms the core offering through which grinding media lining will be sold. I would say this is not older than 18 months.

The solution that we are now pitching around which the whole solution is built is last 18 months.

Priyankar Biswas: Okay. So, it's more like a 10-year evolution. So, you started from the down systems and went to like last 5, 6 years, the lining part. And now you have developed this new generation...

Kunal Shah: So, our North Star is that I cannot be a transactional product supplier, right, which we haven't within the mining space, we've gone up the value chain, right? Our goal is that how do I -- I cannot exist on a multi-decade moat driven offering, unless I'm doing something extraordinary

difficult to do, something that is also disproportionately impact the customer, right?

And that's the path that we followed in the past that we are doing now. So, how do I improve throughput? How do I reduce cost? How do I reduce power, how do I improve recovery.

Everything that we are doing is ultimately going into those outcomes. And as we went -- kept going forward, we kept discovering better and more impactful ways to influence some of these outcomes.

Sanjay Majmudar: And Priyankar just to add to make a statement as an Indian company that today in this space, which is dominated by giants. There is nobody in the world offering a similar solution, is a very tall statement, and I think we are very proud about it. So, let us wait and see how it unfolds.

Priyankar Biswas: And just last thing if I can squeeze in, that like some of statistics point of view, can you provide like with your solution, what sort of savings, like if you can, let's say, quantify a bit, increased let's say yield or maybe as you say, greater Polymetal output, or let's say power reduction? So, what are the benefits if you can just quantify some more?

Kunal Shah: I cannot quantify for this specific transaction. That's not possible. It's not allowed.

Priyankar Biswas: No, not this customer, like in general, what is expected to be...

Kunal Shah: At least 15% of throughput improvement, at least. Otherwise, it's not material. And throughput is inversely linked to power. So, 15% throughput improvement is 15% power reduction, plus other benefits of down process and other things. That depends on every customer. But a fractional improvement is still material.

Sanjay Majmudar: And just to add from a geographical standpoint in some of the regions where power cost is huge, power becomes a very big driving force. In some geographies where throughput improvement

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is very critical, it becomes a driving force for approaching that particular client. Having said that, these two factors are massive when it comes to reduction of the total cost of ownership, which are just making the savings in terms of consumable wear parts.

Kunal Shah: Okay. Now, it's absolute

y clear.

Moderator: Our next question comes from the line of Raja Kumar with RK Investment. Please go ahead.

Raja Kumar: Can you hear me?

Moderator: You're audible sir.

Raja Kumar: Thanks for the opportunity. Sir, these new solutions that we are offering, is that an expertise that we built post-acquisition of Vega Industries Australia?

Kunal Shah: No, no sir. Vega is a history in terms of way back in 2001-2002, it is nothing. Vega acquisitions were all concluded.

Management: It was not an acquisition. When we started off, that was an entity. It is our own fully owned subsidiary. It was just an entity that was created...

Sanjay Majmudar: For global market.

Kunal Shah: There were 3 sales people employed out of that company, when we originally started. It was not pulled out of AIA. It was just an entity with 3 people inside. And we said, rather than creating a new entity, let's just pull this into AIA. There was no an acquisition as such.

Raja Kumar: Okay, got it, sir. So, this technology that you're talking about, so I'm sure you'll be patenting this as well, right?

Sanjay Majmudar: There is a patent as far as design is concerned, but it is -- IP in terms of cause an effect, cause and outcomes. It is a causal knowledge that becomes part of our IP. But design will surely be going through a patent conversation, yes.

Raja Kumar: Okay. No, no. The reason for this question is, is there a risk that somebody can copy this technology or AI will have a patent.

Sanjay Majmudar: Sir, this technology is not a formula or a Coca-Cola formula which can be copied. It requires humongous amount of engineering effort in terms of designing and application and then finding the right methodology and massive interaction with a client of a size which is several times bigger than AIA, and who is ready to stop his mine and allow me to do this conversion for a few days. So, it's not just something that anybody can walk in. We are not at all worried about somebody copying. That's much all I can say, honestly.

Raja Kumar: Sir, the second question is a housekeeping question. So, just looking at the inventory numbers between '25 and '26, they have gone up almost 25%, whereas your production sales numbers are like more or less 2%, 3% plus or minus. So, just want to know what is the reason for this 25% increase in inventory?

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Kunal Shah: So, 100% of our stock is built against orders. There is the South American order that got introduced, I think, from October, November this year. And there was a change in billing cycle for another lot where the billing shifted from when it moved from India to actually when they consume. So, both of that amount, it was a delayed invoicing and we just translated into a little more stock. So, order revenue became stock and that on a rotating basis continues then. So, it is all material for a customer. It's not housekeeping, then actual addition of stock.

Raja Kumar: Okay. And lastly, sir, is it fair to assume that the volume journey for AIA will now start go forward?

Sanjay Majmudar: That is all our endeavor, sir.

Raja Kumar: Okay, sir. Thank you so much. All the very best.

Sanjay Majmudar: Thank you.

Moderator: Our next question comes from the line of Chirag Muchhala with Centrum Broking. Please go ahead.

Chirag Muchhala: Sir, first question is, as you mentioned in the opening remarks that, I mean, post this Middle East crisis, there are some global uncertainties. So, sir, last time in FY25, we had seen some of the deferrals in terms of conversion from forged to high chrome, etcetera, by customers, that generally they would prefer not to do this when shipping-related uncertainties are high. So, just wanted to know how is the mood with miners globally currently? And in terms of conversion in FY27, do you see those getting fast-tracked or there is a possibility of delays.

Sanjay Majmudar: Chirag bhai, currently while shi

pping cost is a challenge, however, we don't see that as a limiting factor. Actually, what has happened is the transit period has been elongated slightly by maybe 10, 15 days. However, the shipping cost which initially after the war was very high has now come down to a reasonably moderate level.

I don't think that's a concern and most importantly, the efficacy and the solution that we are talking about, it is far, far away from any of the commodity pricing worries. So, frankly, it is not at all material for the whole effort. So, right now we are not actually worried about it. And anyway, we work with 100% passthrough.

Chirag Muchhala: Yes correct, sir. I was just thinking in terms of their move to I mean go ahead with a new solution in such times?

Sanjay Majmudar: Sir, it is like, imagine a copper mine where over the last five years, the output has dropped by 10%, 20%, 15%. That copper mine will have to invest hundreds of millions in terms of their ball mill and crushing capacities to maintain that output. We are going there and telling him that without any capex, without anything, we will give you a solution where you can maintain your output instead of reducing it, or in fact, increase your throughput. Why will he think about the shipping cost sir.

Chirag Muchhala: Correct sir.

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Sanjay Majmudar: Okay, so there is no moat. The moat is really the efficacy and the remarkable positive impact of the solution. Nothing to do with any costing.

Chirag Muchhala: Sir, second question is that, sir, it's heartening to know that in one of the large mines our trials have been successful. If I'm not wrong, sir, we were doing such trials in two large mines. So, sir, any update on the second mine?

Sanjay Majmudar: It is going on, sir. It is going on. We are expecting something to happen over the next couple of months.

Chirag Muchhala: Okay. And sir, lastly, sir, have we -- I mean, started winning any volumes back from Brazil after the end of that sunset review clause?

Sanjay Majmudar: We should be doing 6,000, 8,000 tons in Brazil, but it still needs to scale up. It is not gone through the scale-up, we had hoped for.

Chirag Muchhala: Okay, sir. Thanks.

Moderator: Our next question comes from the line of Varun Jain from Dolat Capital. Please go ahead.

Varun Jain: Just a couple of questions I had missed. So, sir, in your balance sheet, I've seen that you had a short-term borrowing of INR485 crores. That has gone to zero. So, you had earlier said you use this export tax credit limit because there is interest subvention in that. So, you have stopped using that?

Kunal Shah: Sorry, can you repeat that? I think interest subvention...

Sanjay Majmudar: No, no, no. So, it's very momentary or functional what we were doing earlier that we were trying to sort of utilize lower cost credit and trying to work out on a little bit of arbitrage that is all cyclical. It doesn't happen consistently. And there's no specific reason for being low in this quarter. It just happens as cycles. More of a treasury function also.

Varun Jain: Okay. And sir, any from the treasury, like you have INR4,300 crores of cash. So, any plan? So, there has been a lot of, I think, a couple of years that the plan has not come for. So, any updates?

Sanjay Majmudar: It was previous question, I had replied that we have deliberately and consciously kept a little higher level of cash, though it impacts my ROCs. So, if my 22% ROC without this cash goes up to 35%, 37%, we are conscious about it.

Having said that, we are working on many fronts. Give us at least 6 to 12 months more. I'm sure today, even today at the Board level, we have these discussions. So we are very conscious about it, allow us this luxury for a few more quarters. That's all I have to say.

Varun Jain: Sir, on the dollar rupee thing, so since rupee has been depreciating so much, so do any of your customers come back

and say that they also want some rebate or some price negotiation there, or you get to keep the entire benefit?

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Sanjay Majmudar: I think we already settled this question in the past where we benefit momentarily because most customers, except U.S., are importing in a local currency, Canadian dollars, reals, euro, South Africa, whatever the currency is.

So generally, I think there is a disconnect where now where rupee has weakened more than other currency, but generally they expect a lower dollar price so that their local currency cost does not go up. So, for us, a depreciating currency is better than an appreciating currency because we get to keep some.

But as a concept, I have to reset or I want to reset my dollar price. You get it? So a weakening currency, when it weakens, the reset in dollar may take a quarter or two, but till that time we have a little more benefit for a quarter or 2, and then one can assume a lot of it's being passed through.

Varun Jain: Okay, sir. In the last year, sir, you had guided close to INR300 crores of this power capex. Have you been able to do that? And what is the power -- because I think the power cost in this quarter was close to 5.8% as a percentage of sales. So, will that be structurally lower as more capacity of power comes on?

Sanjay Majmudar: Yes. So, about INR30 crores odd of balancing capex.

Varun Jain: INR30 crores, yes.

Sanjay Majmudar: INR30 crores odd of balancing capex is required to be incurred in completing the ongoing hybrid -- captive hybrid group captive scheme project that we are going on. So just to give you a perspective, our current consumption annually is about 30 crore units at current level.

It may go up. Correct? In front of it once rated capacity which I will achieve will be almost equal to about 100 megawatts in terms of my renewables. in front of which at peak, I should be able to generate about 20 crore units.

So, which means I'll become almost 60%-65% dependent on my own captive renewable power. These are all under group captive. So, as against discount cost, this should come around INR5 to INR5.5. So, it will be a saving of INR1.5 net -- net. But my investment for this is relatively much lower.

Varun Jain: Okay, sir. That's all for me. Thank you and all the best.

Sanjay Majmudar: Thank you.

Moderator: Thank you. Our next question comes from the line of Lokesh Manik with Vallum Capital. Please go ahead.

Lokesh Manik: Yes. Hi, good evening, Sanjay bhai and Kunal bhai...

Sanjay Majmudar: Can you be a little bit...

Moderator: Sorry to interrupt.

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Lokesh Manik: Yes. Is this better?

Sanjay Majmudar: Yes. Slightly better.

Lokesh Manik: Good. Sanjay bhai. Just one question and one suggestion. One suggestion was that if you could, going forward, provide us with percentage of revenue coming from new solution offering. I appreciate it is very small today.

We don't need the pricing and the quantity information, but percent of sales coming will give us an idea in terms of how the strategy is moving quarter-to-quarter or going forward year-to-year. It will just give some qualitative sense.

Just a suggestion on that front. And second was a question on, with this new offering, would the time for conversion reduce versus acquiring a new customer where you would take at least 3-4 years to establish your credentials versus, with the new solution offering, you can do it much faster. Is that the case from your recent experiment, sir? Yes.

Kunal Shah: From a time to market, it surely helps because now there's a better reference, right? In the process, there is skepticism or friction for the customer to say whether it will work or not work. Having done it at an important mine site surely helps to confidence. But I think this announcement was also to reinforce that it's a very interesting solution that we are

now crystallizing as we go forward. It's both things. Our own confidence that all that we are saying is coming through.

We have the confidence. We knew the technology will work. We've done it with smaller mills.

But to get a solution to work at a bigger mill reinforces our confidence in it, number one.

Reinforces the fact that my solution is extraordinary or disproportionate and instills with comfort, of course, and hopefully a lower conversion time.

But like I said, it ultimately the signal today, I can't convert that into 2,000, 5,000, 10,000 tons in 2 years, right? So, we still don't have that...

Lokesh Manik: Sir. For the 15 mines that you've implemented, have you seen the time to market reduce from 4 years. That was my just understanding. Just...

Kunal Shah: Sir, these are 15 mines are in different countries. They are different mill configurations, different operating conditions. What I am saying is, there are two parallel things. One is building out the solution, and second is the reference list. As both happen, your time surely has to reduce.

I think what I'm saying is if the input increases, the output will increase but I cannot give you an objective answer there, I can't tell you that out of 24 months it will take 18 months. What I'm trying to tell you is that it will still take time, but objectively these are important developments that hopefully will lead to lower conversion time.

Lokesh Manik: Understood. That's it from my side. Thank you so much.

Sanjay Majmudar: Thank you.

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Moderator: Thank you. Ladies and gentlemen, to ask a question, you may press star and one. Our next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Sir. Thanks for the follow-up. So, first question, if I look at our last, not specific for FY26, but let's say even '25 and '26 put together. There is an absolute increase in realization on a per ton basis. While the cost here is largely flat or maybe down, I'm looking more on COGS side. Would it be fair to say that this increase in realization is largely a function of product mix, maybe more of casting getting sold versus grinding media here?

Kunal Shah: I think as of now, my raw material cost is at one of the highest levels today, this quarter. With the Iran war. Then we have war in Russia, then Covid. It has been volatile. So, my raw material absolute rupees per kilo has gone up, my selling price has gone up, number one. My shipping cost has gone up, is reflected in my selling price.

My currency has moved from INR75, INR78, INR80 to INR95, that is reflected in my realization, and my product mix is part of it. It's a combination of all four things. I don't think we'll be able to strip it out to say which is why, to say what is each element. Next year, INR165 is a fair realization to consider.

Ankur Periwal: Sure. But just thinking aloud, if -- as the solution business keeps on picking up, which is where more of castings will get occupied versus not only grinding media, won't directionally the realization growth will sort of as well?

Kunal Shah: Not really, because today also a lot of our business in cement. Some part of mining is solution-driven, but the nature of the solution is changing. It is still grinding media and castings. Today also, a reasonable portion of my volume comes from castings. Castings have always been and will continue to be important part over here.

What we are specifically discussing is the intervention and the impact of the castings bit. We don't want to sell only casting. It cannot function without the grinding media in sync with the whole operating condition. The impact of castings are not just wear parts, but are tools that are bringing disproportionate benefit as part of the solution, which includes grinding media.

You cannot just strip away castings and say, making 500 in realization. It will, we will intent,

endeavor, and the solution is to sell the whole package, which includes grinding media and casting, and which is where considering much above INR165 may not be a fair assumption.

Ankur Periwal: Sure. That's very clear. Just second bit, the earlier order of around 15 or 1,000 tons from the South American client. Should that volume start coming in this year? Any timelines you can share on that?

Kunal Shah: No, it has already started.

Ankur Periwal: Okay. Last year it started?

Kunal Shah: No, the dispatches started last year. This quarter, January quarter would have started seeing some invoicing. I think a lot of that will come in this quarter and ongoing, first quarter of this year

onwards. Some of it is there in the fourth quarter, because dispatches from India started in October. Invoicing will happen from, I think, started from sometime in February, January, February, and it will get into regular stream from this quarter.

Ankur Periwal: Sure, sir. That's very helpful. Thank you and all the best. Thanks.

Kunal Shah: Thank you.

Moderator: Thank you. As there are no more questions, I would now like to hand the conference over to the AIA Engineering management team. Please go ahead, sir.

Kunal Shah: Thank you everyone for joining. As usual, Sanjay and I are available for any questions offline, and we look forward to connecting at the end of the first quarter next year. Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes your conference for today. We thank you for your participation and for using Chorus Call conferencing services. You may please disconnect your lines now. Thank you and have a great evening.